

Time Technoplast (TIMETECHNO)

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"Time Technoplast Limited Q1 FY23 Earnings
Conference Call "

August 16, 2022

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MODERATOR : MR. VIKRAM SURYAVANSHI – PHILLIP CAPITAL
(INDIA) PRIVATE LIMITED

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Moderator: Good afternoon, ladies and gentlemen , and welcome to the Time Technoplast Q1 FY23 Earnings Conference Call, hosted by PhillipCapital (India) Private Limited .

This conference call may contain forward -looking statements about the Company which are based on the beliefs, opinions, and expectations of the Company as on the date of this call. These statements are not guarantees of future performance and involve risks and uncertainties that are difficult to predict.

As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing "*" then "0" on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Vikram Suryavanshi Vice President, PhillipCapital. Thank you and over to you , sir.

Vikram Suryavanshi: Thank you, Michelle. Good evening and very warm welcome to everyone. Thank you for being on the call of Time Technoplast Limited. We are happy to have the management with us here today for question -and-session session with the investment community. Management is represented by Mr. Sanjaya Kulkarni – Chairman and independent Director; Mr . Bharat Vageria – Managing Director; Mr. Raghupathy Thyagarajan – Whole time Director; Mr. Sandip Modi – Senior Vice President (Accounts and Corporate Planning); and Mr. Hemant Soni – Head, Legal & Corporate Affairs.

Before we start with the question -and-answer session, we will have opening comments from the management. Now I hand over the call to Mr. Bharat Vageria for their opening comments. Over to you, sir.

Bharat Vageria: Thank you, Vikram, and good afternoon to all of you. I have with me Mr. Raghupathy Thyagarajan – Whole time Director; Mr. Sandip Modi – Senior Vice President (Accounts and Corporate Planning); Mr. Hemant Soni – Vice President, Legal & Corporate Affairs. Due to heavy rains, our Chairman and Independent Director Mr. Sanjaya Kulkarni could not come physically but he is connected through phone in the call.

We are here to essentially talk about our results for Q1 FY 2023 and outlook for the rest of the years. We are pleased to inform that company has started Fiscal 2023 on an encouraging note with the healthy performance driven by good demand in industrial packaging, robust growth in

composite cylinder business.

Q1 Revenue and PAT are up by 25% and 56% year-on-year led by higher utilization of capacities. This is despite global uncertainties and continued inflationary pressure in key raw materials. The company continues to receive overwhelming response for its Type -IV Composite cylinders for CNG Cascades.

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In addition, during the quarter, NED Energy Limited, a subsidiary of Time Technoplast Limited has signed a Memorandum of Understanding with Tesla Power USA Inc., for orders of value of 100 crores to supply VRLA Batteries of different sizes for applications across power, solar, and UPS etc. With the strong outlook on Indian pharmaceutical and chemical business driven by migration of chemical companies out of China coupled with a good demand for CNG cascades, we expect to continue our growth momentum for the rest of the year.

The results are already announced but I would just walk through some of the key financials and operation highlights. During the Q1 FY23 compared to Q1 FY22, on a consolidated basis, net sales stood 945 crores as against 755 crores. EBITDA 124 crores as against 101 crores, but PAT is increasing as a percentage more. That is 44 crores as against 29 crores. Cash profit 86 crores as against 68 crores.

In terms of the percentage compared to previous year, sales increased by 25%, which is in

India 27%, overseas 23%. Volume increased 13%, India 14%, overseas 12%. EBITDA is increased by 23%, and PAT is increased by 56%. EBITDA margin, yes, compared to whole year estimate is down means we can say EBITDA margin is at 13.1% as against 13.4%, but as we all are aware, in the first Q1 of this FY23, little inflationary in the raw material prices were there, which we have also passed on to the customer, but there is a gap of around 25 to 30 days effected a little margin.

The share of the business established products versus value added products, value added products grew by 36% in Q1 FY23 as compared to Q1 FY22 while established products grew by 23%. The share of the value-added product has been 22% on the total sales in Q1 FY23 as against 20% means it is clearly visible sales of the value-added products are increasing in terms of the percentage. And share of the India and overseas business is 63% and 37% almost is same as per the previous year, not much change.

EBITDA margin in India and overseas also in the range of around 13.3% and 12.9% respectively. Debt, small reduction is the result compared to March ending may be around 26 crores. CAPEX plan as we said the last time also, the annual CAPEX expenditure was normal and this automation, re-engineering and value-added products expansion in normal rate is 170 to 180 crores and especially we are watching and as looking to the demand of CNG, we will have a more CAPEX for time to time we are doing to capture the business in hand. And in the first quarter, CAPEX incurred is 49 crores, which includes mainly for value-added products 34 crores and maintenance CAPEX is 15 crores.

Now consolidation restructuring in overseas business is already we have updated provided in our results also. The consolidation overseas business by way of restructuring through the consolidation through the JV by disinvestment of majority stake is still under process as of 30th June and we will come to know outcome of this in the period ahead. But we are sure as company has projected in the current financial year, the things will be under consolidation.

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In addition to that one also I would like to tell you, subsequent to consolidation of overseas businesses in India is also some consolidation of the business to optimize the unit productivity will be also in the agenda. That also will begin immediately.

So, now I would like to open the floor to answer specific questions. Thank you for hearing questions.

Moderator: Thank you very much. We will now begin the question-and-answer session. The first question is from the line of Pritesh Chheda from Lucky Investment Managers Private Limited. Please go ahead.

Pritesh Chheda: Sir, just a simple calculation between June '19 and June '22. June '19 being the normal quarter and June '22 being a normal quarter, there is hardly any growth in the revenue of the company despite the fact that you have written in your presentation somewhere that chemical and pharmaceutical sectors are doing well. So, just, you know, why is it so? And this assessment let's say for the last five, six years, we have been in a static revenue zone. So, you know, what is the challenger or what is your assessment of this?

Bharat Vageria: Now you're talking about the company from June '19 to June '20, right?

Pritesh Chheda: June '19 to June '22. June '19 was 870 crores revenue. June '22 is 950 crores revenue . And if you take from '17, '18, '19, '20, our business has been 3,000, 3,500 crore only.

Bharat Vageria: Yes, but I think we will have to make a comparison of EBITDA part also. You see that there is a revenue is depending on the prices of the inputs. Now as we have mentioned last time also, there now pre -COVID there was business have started already. Apart from the two years, our business is coming to pre -COVID level and has

achieved 945 crores compared to previous

year also, there is a virgin growth of 13% . And as we all know, chemicals business has started picking up in India, and definitely this year as we are also sure and as the business is coming up in each of the sector, so this year we are also expecting as last year pre -COVID level business was around 3,600 crores. But definitely now we are back to the pre -COVID level, but definitely this year we will achieve the revenue along the 15% more than the previous year. So, definitely, good demand is there. Each of the segment is picking up now and we are sure this year we will cross more than 4,000 crores.

Pritesh Chheda: My second question is the LPG composite cylinder and the CNG composite, the CNG cylinder cascade, so this business, what was the size of this business in the year gone by, which is FY22? And what will be the size of the business this year based on whatever orders that you have got and execution within line ?

Bharat Vageria: Now as far as LPG is concerned, in the beginning itself we have told that we have a good order book, has received the order from this IOCL and the supply, it is going in the first year and second year also will be continue and almost 60%, 70% of our capacity is booked by IOCL. In Q1, yes, little supply was less considering the flood in many of the regions and it is affecting Time Technoplast Limited

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the delivery part also, but as we are also committed to supply almost around 7,50,000 cylinders of this LPG to the IOCL plus we are supplying to the other many countries. So, LPG business I can say the percent utilization will also be more than 90% as far as LPG is concerned .

CNG concern is also as last year was very small and Q1 last year was hardly we did the revenue of 6 crores, but current year this Q1 also we did revenue of around Rs. 30 crores. But as a composite and the whole if you will see, the last year around 230 crores, but this year we are sure it will cross more than 350 crores. So, definitely the growth in this composite cylinder will be more than 50% and even more than 50% in CNG and LPG together.

Pritesh Chheda: So, 230 was CNG plus LPG put together with very less number for CNG last year, and 350 is this year of CNG and LPG together, right?

Bharat Vageria: Yes. More than that. 350 is the conservative.

Pritesh Chheda: And sir, volume if you could share in the 230 crore, what was the volume of cylinders?

Bharat Vageria: In 230 crores, volume of the cylinders, if you ask me the 2022 whole of the year, it is around 9 lakh cylinder was there.

Pritesh Chheda: And this year?

Bharat Vageria: And this year? This year we are projecting because you know the cylinder capacity we have manufactured 10 lakh cylinders in the present capacity. So, definitely we will have more than 90% utilization. LPG, we are only considering 90% capacity where we can do the revenue of maximum revenue we can do 230 crores from our existing investment. But then last time also I told that whenever the new tenders will come because this business is committed for two years. Now, whenever the new tender will come out from the other gas distribution company like HPCL and the BPCL, then definitely we will talk about detail expansion plan, but currently, yes, we are utilizing existing capacity so where we can generate the maximum revenue of 230 to 240 crores and out of that, 90% we are utilizing here.

But especially, I would like to tell you about the CNG part where we had done the initially, slowly, slowly we are investing. And further in the last call I mentioned that my technical directors was out of India, and we wanted to do the CAPEX one for the CNG cylinder which already talk is on. We have already expansion plan is finalized, but in any case taking the delivery time is more considering 8 to 10 months. So, definitely part expansion will go this year,

but full utilization and I will receive the capital equipment by beginning of the next year.

So, we will get some benefit in Q4 of this year, but full benefit will be captured in 2023 -24 when the entire CAPEX money will come.

Order booking is concerned, we have a good order booking. Even I am telling you, pleased to tell you today also we have order booking of around 250 crores value of the CNG orders in Time Technoplast Limited

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hand and LPG order is also around 300 crores we have for two years supply. If I put both together, then 550 crores order book is there. Even CNG part, Pritesh, we have slowed down order booking because when I don't have a supply capacity, I don't want to increase unnecessary order book at the present because too much volatility in the prices. So, we thought it's the right time. When we will have a visibility of receiving of the plant, then we will do the booking of the CNG.

Pritesh Chheda: Sir, what is the total volume LPG plus CNG this year?

Bharat Vageria: This means you mean to say 2023?

Pritesh Chheda: 2023. Yes.

Bharat Vageria: 2022 -23, we are estimating both together as I mentioned to you 350 crores value terms.

Pritesh Chheda: Sir, volume?

Bharat Vageria: Volume? Volume wise I am considering 950,000 LPG cylinder and this cascade, I am considering around 225 cascades.

Pritesh Chheda: Okay, 225 cascades. So, basically 1 million LPG cylinder capacity will run at 90% capacity.

Bharat Vageria: More than 90%. Yes.

Pritesh Chheda: And how much cascade capacity do we have?

Bharat Vageria: In that cascades casualty, I have increased already in this quarter, I have increased.

Pritesh Chheda: So, what number, sir?

Bharat Vageria: I have increased whatever, it's different lines are the re. Last time we had four lines. We have now installed five lines. Six line is working, but one line I can do around 5 to 6 cascade in a month. So, four lines I am doing around 20 cascades. So, all utilization, full capacity running.

Now the fifth line will start at the end of this month. So, next I can say six months, I'll have a capacity and we will be able to do around 25 cascades in a month.

Moderator: Thank you. The next question is from the line of Shashi Ranjan, an individual investor. Please go ahead. As the participant has left the queue, we move on to the next question which is from the line of Karan Gupta from CAVI Capital. Please go ahead.

Karan Gupta: Sir, you mentioned that our year -to-year growth in revenues in EBITDA, but if I just look at the quarter -over-quarter number, so comparing Quarter 4 of FY22 to Quarter 1 of FY23, it looks like there's a slight degrowth. I understand there might be a little seasonality, but can you just talk about the numbers on a quarter -over-quarter basis, please?

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Bharat Vageria: Now what you want to understand about Quarter 1 of the previous year or Quarter 1 of this year, right?

Karan Gupta: No, comparing Quarter 4 of the previous year's compared to Quarter 1 of this year?

Bharat Vageria: No, Quarter 4 of the previous year and Quarter 1 of this, yes, current year, you are right. If you see because you know that always I just would like to explain our business trend in the last 15 or 20 years. In each of the years you will find first quarter we do normal business of 22 or 22% of the overall revenue. Then in the second quarter it is around 25% of the overall revenue.

Third quarter we get around 27% of the total revenue and mostly 30% we get always in the Q4 because India, all companies follow the financial year, and everybody has a target. Every corporate has a target. Every Epc contractor will have a target. Government has a target. So, always it is same.

So, you see never means Q4 is the highest where we do 30% business. So, Q4 to if you will see the Q1, definitely there is a down

by 20% business quarterly because in the Q4, we had achieved 1,040 crore business as against we achieved 945 crores. The EBITDA level is down compared to last same means Q4 to Q1 of this year is 11%. Profit is down by 21% and net profit after everything this minority interest down by 20%. But then this data is Q4 to Q1 not comparable always if you see that Q1 to Q1 of the previous year, then we will go to the Q4, definitely you will have a growth over this Q4 of FY22 to FY23 because there is a lot of potential and good opportunity for the CNG business where the capacity already expanded now. And further, company has a plan to do expansion more CNG. LPG also full order book is there as far as currently this concerned. So, I've given you the comparison of last year Q4 to this Q1.

Karan Gupta: I appreciate that sir and understand the seasonality in the business. Sir, next question I actually wanted you to discuss a little bit, I know you've made disclosures regarding the organization of the international businesses. But I just wanted to get an understanding of why the company is doing this at this point? Why this changing strategy that historically you've expanded significantly overseas and put up a lot of CAPEX? So, why this decision to consolidate those holdings and you know, focus more on India at the present time?

Bharat Vageria: Karan, it's a good question you have asked. It is the same question we also thought and discussed deliberately in our Board meeting also. You know that my overseas business which is almost giving me the 30 to 33% revenue from overseas, but whereby EBITDA margins are

in the range of around 13%. But the business we are talking now it's a right time for completion. Why?

Because in India, there is a too much opportunity available from the composite products which we have seen in the last two years time. And in fact, these two years' time we thought why not to increase the return of the investor, return the good benefit to all valued investor including promoters also? So, thought it is to be because in value added products, these composite

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products comes under the value added products where the EBITDA margin is ranging from 18% to 22%, average we can take 20%.

So, what we are doing is to increase the ROC, to have a good opportunity available in India, and to capture the demand which is already there, and where the big investment is also required, investment I am talking in LPG and CNG put together, that works out more than 200 crores. So, company is replacing the business from 13% EBITDA level to 18% EBITDA level.

In addition to that, there will be the substantial benefit in reducing the working capital cycle time also. The value added products where the working capital cycle time is in the range of I can say 65 to 70 days, but in the other products the cycle time is more than 100 days.

These are the main objective means we are very clear, we would, current ROC, which is in the range of 13%, in the next three years' time, it should reach to around 19, above 19% or maybe around 20%.

Karan Gupta: Do you had any projections of what your CAPEX is going to be?

Bharat Vageria: That normally you have seen. I can say the trend is here. CAPEX, normal CAPEX is in the range of 150 to 180 crores, which includes the normal maintenance, automation, re-engineering for my existing product to maintain the capacity, changing in the mold, changing the machine. That's all are there, but for the value added product where we would like, for example, just I am giving you the composite product which currently we are doing in the range of around 250 crores to 260 crore business, we are targeting in the next three years' time this business should reach to the 1,000 crore business, and that is possible very quickly because order booking is there. Good demand is there. So, we will have required to do

investment of

around 250 crores in composite product, but that will be done on completion of this decision. Yes, we are committed. We have already ordered the plant and equipment. Project is already finalized, but we thought because this equipment is also good delivery time, they take around eight to ten months time in delivery.

Karan Gupta: Sir, I understand where you're coming from. What I was trying to understand was or get a better sense of was if you're saying you're going to be spending 150 to 180 crores over the next three years in CAPEX, that's about 450 to 500 crores. Now is that going to be funded through internal accruals? How much of that is going to come from this reorganization where I'm assuming you'll be raising some capital by, you know, offloading states in your overseas subsidiaries and plants? So, can you just tell us what the source of all this funding is going to be?

Bharat Vageria: So, in fact, you have gone through our resolution, which is approved by the Board of the Directors and shareholders. Disinvestment process, for example, received by X, okay, because it's still yet to what realization we are going to get, that's all will be decided by our advisors.

We have already given the name JPMorgan and E&Y is our advisor for this disinvestment

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process, and there we will also be continue as a management, the majority stake will go to the strategic or financial investor, but some minority we will continue.

Management will also be we'll continue with the same management will continue, but our objective was I mentioned to you that whatever consideration we will receive that will be used for the almost around 50 to 60% will be used for the reduction of the debt. Then the expansion which I mentioned to you around 250 crores we are planning for expansion of the composite products, and balance definitely something, balance definitely for the valued our investor including the promoters all will get some kind of the benefit by the way whatever this Board is approved. Maybe that is special dividend. Maybe buyback of the shares by company. That will be then decided on finalization of this complete deal. And once we have also clarified, this entire process will be completed in the current financial year only.

Karan Gupta: No, I understand that those are disclosures that you've already made. The sense I was trying to get was like, you know, just around numbers, I understand you've given the mandate to JPMorgan.

Bharat Vageria: But you know the numbers. We don't know even numbers. Some kind of the rumors people

maybe telling those numbers.

Karan Gupta: No, you must have some internal going into such a large reorganization, I'm sure you must have a sense of some expectation as to the kind of capital that you might be able to raise. For example, you know, your debt was just unsecured loans, I'm looking at was about 250 crores as of March. So, if you're assuming you'll pay those back, you'll be able to fund 50 to 60% of this 500 crores of CAPEX. So, along those lines, you must have had some kind of internal working that, you know, you might be able to share with us?

Bharat Vageria: No, but one thing I'm telling you as we have signed some kind of the confidential agreement with the potential this thing, so we can't give them. But you know very well in indirect way means you know the current valuation of the company, what company's value together. If you will get some time over and over premium and whether objective to see in the previous year, we are targeting to increase the ROC by 20%, and that is possible by expansion in the value added product.

And I am also one another coming on your point only. If I will wait for three years and I can very well justify for debt and everything, if we do not do that disinvestment, but then my expansion product will take some time, and that time

I can say, we can missed out that bus.

But we would like to capture the growth of the CNG where the very, very huge potential in India, but not only CNG.

One thing again I am clarifying you further, we are equipments which we are talking for applications for CNG as well as we will do the test up to the testing process for the hydrogen cylinder also which have a very large potential. You can say after three years, India will have a Time Technoplast Limited

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very good market for hydrogen cylinder. So, equipment which we are collecting is a combination of mainly for CNG but some kind of the testing system approving size, we are considering equipment for hydrogen equipment also. So, for that we are, in fact, therefore, we are doing the disinvestment, consolidations of operations.

Further you see my remarks. In India also we are consolidating some of the product line. You have seen in the last two years' time, we have consolidated like we have put the item for held on the sell almost 50 crores value of what we have mentioned the assets which are under sell which have been identified in addition to that consolidation by operation because nowadays, wherever to optimize margins, capacity utilization will have the consolidation process is continues on. So, we have first initiative as we have taken for consolidation of the overseas business. Yes, in the period two years ahead, India also we will do some consolidation of the product mix.

Karan Gupta: Sir, it is very encouraging because from an analyst perspective, what we have seen in the past, you know, obviously, the company is very innovative. You have an excellent R&D team. You come up with very innovative products. It's just manufacturing and sales these products entails a lot of CAPEX and that, you know, the capital kind of gets blocked. So, there has been no, that's why over the years, you know, at least my understanding is that's why the return on that capital has been relatively weak. So, it is very encouraging what you are saying and we hope, you know, you are able to achieve every thing that you set out for. So, thank you. I really appreciate the opportunity, again.

But one quick this data taking point on page eight of your presentation where you have given the volume growth. For value added products, you know, the sub-total says 22.9% year-over-year volume growth. I couldn't follow that calculation. So, you know, either now or offline if somebody could just help me out with how that number was arrived at?

Bharat Vageria: Yes. We will provide. I think what we can do is the details are available with our team.

Moderator: Thank you. The next question is from the line of Bhagyesh from HDFC Mutual Fund. Please go ahead.

Bhagyesh: I have couple of queries over here. See, understand the potential for the CNG business is quite large and the CNG capital business should do well because India again is going back to the decentralized approach that you have this complex biogas program wherein instead of the pipeline, more of cascade the usage will come in. Have you calculated the potential? What is the potential for the CNG cascade business for you over three, four years when they roll out this 5,000 odd pumps and the centers also to make CBG? And who are the competitors over here?

Company Representative: Well, we have made a very detailed assessment of the potential that exists for the CNG pipeline by itself. Going by the fact that, you know, when the CNG rollout was carried out by Time Technoplast Limited

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the government, the number of pumps which were available across retail units were barely about 1,500 only, and when the government have started, you know, engaging themselves in the expansion, the prime minister on a couple of occasions have made a confirmation and a commitment that they would want the number of retail outlets on CN

G to extend, expand from

1,500 to 10,000 retail outlets in another four to eight years. That was the kind of time that they were talked about.

If you look at the fact that, you know, when we talk about these kind of expansions, now basically the number of units that are linked with this CNG ecosystem is fairly large. And one of the best ways to move the CNG gas is through the cylinder etcetera. Traditionally, they have been using type 1 or steel cylinders that has been in use, but with the new technological advancements that have come up, the type 4 cylinders have proven time and again that they are much more economical and safer as well to use them in the place of steel cascades etc. And the last one -year operation we have been able to prove this point many times over.

If we look at the projection that we are making in terms of the CNG cascade by itself, in a span of about eight years or so, even if I take barely a conversion rate about 50% or so, we are estimating that the yearly business would be somewhere in the region of 700 to 800 crores.

Bhagyesh: In CNG cascade 700 to 800 crores for the entire industry, cascade making industry, CNG cas.

Company Representative: See, in addition to this, there are lots of other applications for which these cylinders also goes for. For example, these can be used for MR use, as they call it as mobile refilling unit. Not

everybody can have an access to go to the retail outlets because some of the rural areas etc., wherever you would want the CNG to be dispensed, what the government is planning to do is they will fill the CNG in a casket and then it will be serving as a mobile retail unit so that you can drive up to the cascade unit and then fill it up, and then after it gets emptied, the vehicle will move away and come back with an refill etc. So, that kind of additional business would also be there, which has also been projected to anywhere in the region of 150 to 200 crores.

Government is also investing into biogas. That is also a form of CNG, in fact, compressed biogas, wherein some of the leading companies have also made commitments for investing into this system. And there again, looking at the potential that they put in expected businesses in the region of about 400 crores also. So, there are a couple of more. I have not even touched upon the fact that the use of the cylinders for automotive requirements because at the end of the day, each vehicle, whether it is a bus, car or, you know, a lorry, they would need a lot of these cylinders fitted to the vehicles which I have not even touched upon to address this requirement that by itself is going to be fairly large. But then as I was mentioning it, we are extremely buoyant looking at the potential and the support that we have received from the industry. With the current order booking, it's a very clear confirmation as to which way the industry is supporting.

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In addition to this, the next question that you asked me was with regard to the competition. Going by the government policy to make India Atmanirbhar Bharat, we have been able to successfully develop the technology here and roll out the manufacturing process. There are about three or four people companies who are engaged in the casket business of type 3 and 4, which are the lighter weight options. But currently, they are all imported from different countries and assembled here in India. Fulfilling the requirement of local Aatmanirbhar Bharat, we are in enviable position, I would say, as being the only supplier for sure.

Bhagyesh: One more question. If you see your influencer part, you are doing something in the energy storage devices business, and assuming these are the storage facilities for the Lithium-ion batteries for the ESS applications, right?

Bharat Vageria: Yes.

Bhagyesh: Then why not extend this business to the automotive part also? Because

se there will be

requirement for battery covers or holding these things because we are already dealing with several auto companies essentially. So, is there a thought process to get into the actual EV business also? Because it is the same. Essentially, this is a static way of storing these things essentially.

Bharat Vageria: We are working on the Lithium battery side of the potential as well. As you know that we have a fully -owned subsidiary under the name of NED Energy who have been in their business for batteries for Lead acid batteries etc. There we have rolled out the development of Lithium-ion batteries, which will be used for EV, electric vehicles, and we have been focusing on the latest technology that is available in terms of the cell technology, and with the programming that is possible to have a thermal control also on these batteries that will be assembled there. We are in discussion with a couple of three -wheeler companies etc., to carry out the initial trials where

they are already in progress. So, we are also addressing that opportunity for sure.

Moderator: Thank you. The next question is from the line of Ganesh, an individual investor. Please go ahead.

Ganesh: So, we have been talking about the EBITDA range for our value added products, you know, in the range of 18 to 22%. So, what is stopping us from realizing that? What is stopping us from realizing such an EBITDA range? Because I see the EBITDA for value added products in the last year, forget COVID for now, so it's been in the range of 17 to 18%. Fine, but our aspirational range seems to be 18 to 22%, right? So, I just want to understand what is stopping us from releasing that aspirational range?

Bharat Vageria: Yes. In fact, you know, that value added product, what are the items covered in the value added products. That is all composite products, Mox Films, then these IBC. These three products are covered under this. My meant to say the value -added products where the EBITDA margin in the range of 18 to 22%, the average is 20%. But certain times, there may be the

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temporary price inflationary was there. So, maybe 1 or 2% here or there, but certainly when we do the price booking and order booking, we consider that the EBITDA margin should be in the range of 18 to 20%. So, average, average margin we have seen 14% EBITDA level, which we are also targeting considering established existing products will have a margin in the range of 11.5 to 14%, which includes all established product where the packaging and some automotive related products that all covered under the established products. We are sure definitely in the period is going to be improved further as the value added percentage business is going to be increased.

Ganesh: Just one more question. So, in an earlier call, we understood that our LPG cylinder line capacity is 1.4 million cylinders per year, but because we manufacture cylinders of various sizes, the actual capacity is 1 million cylinders. Fine. With our current order book, the cylinder sizes must be uniform, right, with IOCL and other vendors. So, with the same or similar line, will we be able to get the 1.4 million cylinders per year capacity because the sizes are uniform?

Company Representative: Yes. In fact, the current capacity that we have been invested almost about five to six years ago, and then actually, that was the equipment that was running in Europe which we acquired. Now when we are looking at expansion, obviously, lots of technologies have also changed. In the meantime, the productivity has also gone up. There are faster machines that are available. Obviously, the kind of investments even if we maintain, we will have definitely a better capacity for sure.

Ganesh: So, will it be even more efficient when we consider multiple cylinder sizes or it is less efficient?

Company Representative: Yes, of course.

There will be a certain amount of consolidation that have taken place in the last four or five years. We have been able to understand as to which sizes are running and which sizes have a lower volumes etc. So, we adapt the next line of expansion based upon the fact that we need to run more of this size and such and such a size and such a type of capacity. So, obviously, we will be in a position to have a better output for sure.

Moderator: Thank you. The next question is from the line of Mahendra Jain from Way2Wealth. Please go ahead.

Mahendra Jain: Can you elaborate little bit like on disinvestment path, how we are going to achieve that like by doing demerger of packaging business, international packaging business or something like that? Or what kind of disinvestment like inviting some investor into that? Is there is any clarity about it?

Bharat Vageria: We have been able to give you more clarity, I can say, in the next Con call, definitely, more clarity will be there, because it still matter is with the strategic or financial investor discussion need with the advisor part. And I will in the period we will definitely market, we will update

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about the disinvestment process. Till I can say only one thing. Matter is under discussion and will update you as the data will be available with me.

Mahendra Jain: What about this pledge share like you were planning to sell?

Bharat Vageria: Yes. I had mentioned that pledge will be released shortly. That matter is already due diligence process by the potential buyer which I have sent my communication. It is on, but I think regarding that, you will hear in the next short time maybe 30 to 45 days, you will hear very slowly. My internal target is also keeping the debt free means pledge free by 30th September. That's the internal target I am keeping it.

Mahendra Jain: So, sir, second question is on raw material prices fluctuation. So, how we are like looking for

future like volatility and all these things? So, how much we are comfortable right now in that situation?

Bharat Vageria: You are right. You know that because you are also aware in the market and you are also in the market that how the polymer prices or oil prices have treated in the last six months including the foreign exchange also. But as we have seen in the last I can say 20 to 25 days, prices are coming on the reasonable level, I can say, which was in October, November, December 2021. So, prices is coming normalizing because demand supply is also increasing. Initially in the month of, I can say, November to March, there are so many plants were under measures shut down in India and overseas. So, now I think polymer prices as you have, many people have, many means research team are projecting oil prices in the range of maybe around \$90 to \$100, not maybe 120. Similarly in polymer prices, we are also expecting a range, I can say, around \$1150 to \$1300, but not \$1600 or \$1500. Reasonable price, price, whatever previous year average was there, that price should come back in the next three months' time.

Moderator: Thank you. The next question is from the line of Hiten Boricha from Joindre Capital. Please go ahead.

Hiten Boricha: Sir, I have only one question related to the CAPEX. So, you mentioned a current composite cylinder capacity is running at 90 plus capacity utilization, right. So, just wanted to understand what will be a capacitive post the expansion of this composite cylinder? It's currently 1 million cylinder, right?

Bharat Vageria: Yes. I recall my communication earlier which was sent to BSE and NSE where I had mentioned that if we do the expansion certainly for half a million cylinder where we will need around 80 to 85 crores, but certainly, that visibility, currently it is not there. We will see after three months' time when the new business or new tender will come out by the govern

ment gas

distribution company. But currently, as you heard in the previous person who has asked about the capacity, as we have a 1-million -cylinder capacity, but currently utilization scalable we get 1 million cylinder for the different sizes. So, I think that clear visibility about the LPG expansion we will have after the three to four months' time only. Otherwise, small

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modification, automation, maintaining the CAPEX will be done as which already covered under expansion CAPEX plan of 170 crores.

Hiten Boricha: So, sir, I am referring to this PPT slide number 10 where you have mentioned the company plans to add 1 million cylinder in next 12 months. So, this is additional from current 1 million, right?

Bharat Vageria: Yes. That's 18 months prior to 3 months we have given that. In next 12 to 18 months' time, we will have a CAPEX program for LPG cylinder for addition of up to 1 million cylinder, but that is not yet taken in. Yes, expansion plan is there subject to how the capillaries and how the demand is coming.

Hiten Boricha: So, this is not yet confirmed, right?

Bharat Vageria: No, not confirmed. Only as I mentioned previous also, CNG expansion program, yes, because order booking itself is 250 crores as on date. So, definitely, CNG expansion plan is already finalized and that we are going ahead.

Hiten Boricha: Sir, what is the current capacity of CNG cylinders?

Bharat Vageria: Cylinder capacity as I mentioned to you where we can do business of around the current capacity means what we have the CNG cylinder manufacturing we have mentioned the 250 cascade in a year we can do that. In terms of the value as mentioned to you, around 150 crores we can do, but as the order booking itself is 250 crore as on date and to take the fresh order, we have already two executions of fresh order. We have identified CAPEX plan, but that in any case, equipment is going to be arrived in the next 8 to 10 months' time. So, full capacity utilization as we are projecting, I tell you current business, 2022, we did business of around 200 and almost 250 crores for this we did. But this year, definitely, we are projecting more than 350 crores for composite products including the CNG and LPG.

Hiten Boricha: So, we are expanding in CNG cascade business.

Bharat Vageria: Yes. CNG we are expanding because more order book is there and more demand is coming up.

Hiten Boricha: And what are we spending on this, sir?

Bharat Vageria: We had, in fact, identify equipments where we are going to do investment, but first that investment committed, but that's the investment we are doing. Around 125 crores we are doing it. When we are investing 125 crores for the CNG CAPEX, we are able to generate revenue of around more than 400 crores.

Hiten Boricha: And this capacity will be coming next year in FY24?

Bharat Vageria: Next year, yes, full utilization will come next year only.

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Hiten Boricha: Second half, right?

Bharat Vageria: Next year it will come full. I think in Q1 we will be able to get it.

Moderator: Thank you. The next question is from the line of Shashi Ranjan, an individual investor. Please go ahead.

Shashi Ranjan: The question that I have is that what measures are we taking to control the rising raw material prices and passing it on to our customers?

Bharat Vageria: Yes, Shashi, what happened, really such kind of the product, our products are mostly 92% products are b2b and users we are giving, and everybody knows the polymer prices. And you can see the last I can say 10, 15 years' trend. Whenever price increase is there, we pass on to the customer. Price decrease also we pass on to. Both the ways the understanding is there. And most of the customers, I can tell you, around 50% customer, we do the business on monthly pricing. Every month we

will pass on to them with the time lag maybe because but every month when the supplier change prices four times, but we change one time only. So, we pass on with the gap of 15 to 20 days, but some customers we do business on quarterly business. Almost 40% business we are doing with the quarterly business with customers. There also we do the pricing transfer.

So, only 8% consumer product is there where we can play with the schemes. If prices are down, we increase the schemes, free schemes, and when the prices are up, we withdraw that scheme. So, therefore, you have seen our EBITDA level also, except in Corona period where the EBITDA was 11%. Otherwise, our EBITDA range is in the range of 13 to 15.5% is our margin range for the EBITDA. So, we are able to pass on. There is no doubt because price, and another thing we have seen the price increase in the last four months. So, every price increase has been given because almost 70% is the raw material cost. So, we can't sustain the rate if we don't pass increase to the customer.

Shashi Ranjan: Just a clarification on that. Can you just divide the revenue on which we divide, on which we hike the prices on quarterly basis versus monthly basis?

Bharat Vageria: As I mentioned to you, almost my 50% customer were do business on monthly basis, 50% of the customer, and 40% customer may be revenue-wise we will do the bifurcation, but normally, such a way, I can say that almost 70% business where we pass on benefit to immediately to the customer.

Shashi Ranjan: Now, can I squeeze one more that's on competition part? How we are going to address the competition from companies like the Supreme Industries who managed to grab order book of almost double of what they can produce than a company like Indoruss Synergy who has started supplying caskets to Adani Gas, Mahanagar Gas Limited, IRM Energy from Gujarat. And as far as developers, they have also managed to grab the market and sell their product. So, how

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we are going to handle the competition? Is there sufficient to have, you know, business for all the competitors we have right now?

Company Representative: Shashi, it's desirable that we have some competition. It allows us to get some benchmarks, number one. Number two, as you would understand the profile of the buyers in the composite segments are mostly the government-based organizations who rarely would be in a position to qualify any tender if there are not more than one bidder. So, though we are the companies who have manufacturing capabilities locally, but at the same time, it is necessary for other options who would be probably, you know, part of the bidding process by itself. So, if companies like you mentioned are able to import the cylinders and assemble them, they would also be in a position to help the process of tendering.

Of course, they will be at a gross disadvantages, and there are a couple of policies the government has rolled out which makes the local bidder to be much, much more favorable as well. There are companies in the LPG segments. We have, I will put it, it's more like a, you know, race where we are far, far ahead in terms of the competition. In terms of our reach, in terms of our segmentation, in terms of our product range, we are there probably. Globally, we have the largest product range that we have in terms of the sizes also.

So, any requirement that comes up even on the LPG segment we are in a position to do that. We are constantly innovating and improving our technologies and the product scales etc. So, if there are competition, they are always welcome. There was nothing to really get worried. In fact, we welcome them so that we are able to, you know, allow the customer to have the confidence that here is a business that where he doesn't have to really depend on one single source and that also sometimes can be a little hindrance

as well. But then we continue to, you

know, delight the customers as we normally would like to put it very humbly, and the customers are very taken care well of. No problems at all.

Shashi Ranjan: But just to understand that competition part a bit better, for instance, I'll quote of Supreme Industries who won bidding from IOCL and the price they quoted was Rs. 2,312 per LPG cylinder for more than 7.25 lakh cylinders of 10 Kg category. Although when they won this order, their production capacity was only 5 lakh units, and are we lagging somewhere because a company with a production capacity of 5 lakh is managed to grab a piece of order which is more than 7.25 lakh? And how did we fail against Supreme Industry over there as the price being quoted by Supreme Industry which I calculated roughly was 2,312? So, JB participated in that IOCL tender and was Supreme Industry well ahead of us when it comes to grabbing the order?

Company Representative: Well, it's the answer lies in the question that you have asked. When you don't have the capacity and you bid for a higher capacity, obviously, you know, as to what the result would be, right?

And I don't want to say more than that. But with us, we are very realistic in terms of how we are able to treat our order booking. We already have a good percentage of my business is being catered to my customers who are placed overseas and giving preference to the local

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requirement that comes up with the IOCL requirement that has also come up. We are now fully booked in terms of the capacity or I will put in 90% share the business is there.

So, I would not say, if party B was not there, whether I would have got those additional orders? When I don't have the capacity, that's the situation. So, if more and more customers do get composite cylinders this year, then the next year we will probably have multiple number of customers, you know, adding doubling that. So, it always helps in the growth of the market. It is never desirable to have just one player operating in this segment or for that matter any segment.

Shashi Ranjan: How Abhi Investment Holdings PTE is going to help us? Can you shed some light on this that he recently floated subsidiary?

Bharat Vageria: Yes, means you are talking about the recent one subsidiary company was formed in the Singapore. You're talking about that, no?

Shashi Ranjan: Yes, sir.

Bharat Vageria: Because, you know, that my holding company presently is Genex where who is holding the Taiwan, Malaysia, Indonesia, Taiwan, all companies are under that one group. So, when we are doing the restructuring business, some kind of the area wise restructuring ongoing.

Therefore, this company have been formed so that my strategic investor whenever we will come, we will put the money in that company. Then we will transfer someone who's holding. Then we will also own some percentage of holding. So, there is one kind of a step towards the, I can say, consultation of this overseas operation which we are already talking, right?

Moderator: As the current participant has left the queue, we will move on to the next question, which is from the line of Harsh Peria, an individual investor. Please go ahead.

Harsh Peria: I have a question about your CNG cascade business. You had mentioned that you are putting up a new line which will come on stream in six to eight months. What is the cost to put up a new line in this division?

Bharat Vageria: I think you missed out that. I had mentioned that we are going to invest around 130 crores for this line. This is the fully automatic line. And where we can expect revenue for 400 crores, right?

Harsh Peria: My another question was on your business development plan for CNG on board vehicles. Is there any update in terms of OEM authorization regarding this?

Company Representative: Yes, right now with the capacity being uti

lized for the specific type of demand that has already

generated, we have been working with for the development of the auto OEMs as well, for the auto cylinders as well. That's also a very large segment of demand. The new expansion that is being planned takes care of some of those requirements where a little different manufacturing

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capabilities are also required. So, all of these things are being lined up. So, when we roll out the next phase of expansion in the coming year or so, we will be in a position to have that thrust as well.

Harsh Peria: And do we have a priority like will we target more towards commercial vehicle OEMs or passenger car OEMs or are we trying to do business development across the sector?

Company Representative: Yes, of course, not to forget the fact that the passenger vehicles would be the cream of the lot. There will be a large demand, and they will have the better paying capabilities as well. So, that

is also the range of focus. Commercial vehicles will also be there to take care of the fact that they will take advantage of the lower cost of fuel expenses when it comes to CNG. The government is putting a lot of thrust in terms of being able to get use a cleaner fuel as well. There are many such applications where it will come in through, and we are very, very confident going by the fact that some of these applications have already found acceptance in overseas. We are also able to confidently foresee that we will have a similar and better experience as well.

Hars h Peria: That provides a lot of context. Thanks for clarifying that. My last question was is it possible for you guys to share like the cross margin breakup for CNG cascades and LPG cylinders?

Like what are the gross margins which you are making on these products?

Company Representative: Well, I wouldn't want to give you a break up on that because they are pretty confidential in nature. As people in the earlier calls have also confirmed, you know, there are enough years available to take care of some of the additional information. But then when we meet one-on-one, we will be in a position to share this offline. That's not a problem.

Moderator: Thank you. And that was the last question for today. As that was the last question for today, I would now like to hand the conference over to the management for closing comments.

Bharat Vageria: Thank you very much to all my audience, and definitely good period is ahead. And whatever time we have taken and definitely the right time has come now as the pre-COVID level is over.

And definitely as we have promised and we have given the guidance for more than 15% growth in the previous calls, and the same thing will be improving the performance and the net of the margins also. Thank you very much to all my valuable investors.

Moderator: Thank you. On behalf of PhillipCapital (India) Private Limited, that concludes this conference.

Thank you for joining us, and you may now disconnect your lines.

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"Time Technoplast Limited Q2 FY-23 Earnings
Conference Call"

November 14, 2022

MANAGEMENT : MR. BHARAT KUMAR VAGERIA – MANAGING
DIRECTOR
MR. RAGHUPATHY THYAGARAJAN – WHOLE TIME
DIRECTOR
MR. SANDIP MODI – SENIOR VICE PRESIDENT
(ACCOUNTS AND CORPORATE PLANNING)
MR. HEMANT SONI – VICE PRESIDENT (LEGAL &
CORPORATE AFFAIRS)
MODERATORS : MR. VIKRAM SURYAVANSHI – PHILLIP CAPITAL
(INDIA) PRIVATE LIMITED

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Moderator: Ladies and gentlemen, good day and welcome to the Time Technoplast Limited Q2 FY 23 Conference Call hosted by PhillipCapital (India) Private Limited. This conference call may contain forward-looking statements about the company which are based on the beliefs, opinions and expectations of the company as of the date of this call. These statements are not guarantees of future performance and involve risks and uncertainties that are difficult to predict. As a reminder, all participant lines will be in a listen only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call please signal an operator by pressing "*" then "0" on your touch tone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Vikram Suryavanshi from PhillipCapital (India) Private Limited. Thank you and over to you sir.

Vikram Suryavanshi: Thank you Mike. Good afternoon and very warm welcome to everyone. Thank you for being on the call of Time Technoplast Limited. We are happy to have the management with us here today for question-and-answer session with the investment community. Management is represented by Mr. Bharat Kumar Vageria – Managing Director; Mr. Raghupathy Thyagarajan – Whole time Director; Mr. Sandip Modi – Senior Vice President (Accounts and Corporate Planning); Mr. Hemant Soni – Vice President (Legal & Corporate Affairs). Before we start with the question-and-answer session, we'll have opening comments from the management. Now, I hand over the call to Mr. Bharat Vageria for opening comments. Over to you sir.

Bharat Vageria: Thank you Vikram. Good afternoon to all of you. I have with me Mr. Raghupathy Thyagarajan – Whole time Director; Mr. Sandip Modi – Senior Vice President (Accounts and Corporate Planning); Mr. Hemant Soni – Head, Legal & Corporate Affairs. We are here essentially to talk about our results for Q2, and half yearly FY 2023 and outlook for the rest of the year. We are pleased to report a consistent healthy growth this quarter. And first half, we went by good business performance. The business delivered a healthy revenue growth of 18% in H1 FY 23. Our top priority continue to remain in a strengthening the revenue share of value-added product. The value-added product segment grew by 28% year-on-year, how our margin was slightly impacted owing to prevailing geopolitical scenario and challenging macro-economic environment. Despite a geopolitical scenario challenging macro-economic environment, the challenging global scenario we remain cautiously optimistic about our performance in the future backed by whose demand for our value-added product. We are also pleased to inform

you that in the last two year , two and half years the number of the shareholders of the company have increased 300-fold and now reached more than 100 K. We would further like to inform you that Mr. Sanjeev Sharma, who is associated with the company for more than 25 years have been elected as Whole time Director. He is currently looking after President on International and also heading company's operations in North and Eastern part of India .

So, results are already announced , but I will just walk through some of the key financial and operational highlights . During the Q2 FY23 corresponding Q2 FY 23 numbers there also I will give you on consultation basis. Net sale stood Rs. 1,024 crores as against Rs. 915 crores of the Time Technoplast Limited

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previous year same quarter. EBITDA is Rs. 134 crores as against Rs. 131 crore . Profit after tax, I can say the same as quarter last year Rs. 50 crores, cash profit Rs. 92 crores . Especially in the Q2 of this year affected because we all are aware that there 's too much cost

of input has

increased substantially which includes foreign exchange is also increased s o there 's a little time gap in passing of the prices that is affecting but hardly 1.2 0% effected in terms of the EBITDA margins. Now the key highlights for the quarter compared with the figures, net sale increase by 12 % , India 8%, overseas 21% . Volume increase by 9%, India 5%, overseas 17%, EBITDA increase by 2% compared to last year .

The EBITDA margin 13.1% and against 14.3% decrease by 120 versus which I 've explained to you on account the i nput cost we took some time to pass in as a 25 to 30 days gap to the customer and input prices increased because of the too much volatility in the foreign exchange also. Now, half year if you will see the overall comparison of the half year like FY 23 you will find a good growth as far as net sales stood Rs. 1,969 crores as against Rs. 1,670 crores.

EBITDA is Rs. 258 crores as against Rs. 232, profit after tax Rs. 94 crore as against Rs. 79 crore , cash profit Rs. 178 crores as against Rs. 158 crore . So, in terms of the half yearly you see the net sales increased by 18% , India 16% , overseas 22% . Overseas mainly reason as we have a very a presence in US market and in other country good business opportunity was there because China business is shifting to the other Asian countries that is the benefit we are getting it. The volume increased by 11%. India 9% , overseas 14% , EBITDA increased by 11% , PAT increased by 20% . So, PAT is little on account of the price increases.

EBITDA margin is 13.1% as against 13.9% decrease by 80 basis point. But , I'm glad to tell you in the second half always we get 55% business. So, we will definitely try our best to achieve the target ed EBITDA of the current EBITDA and pay it on the current financial year 2022 which company has pr ojected . We are not changing any kind of the guidelines at present, because visibility for the second half is looking good because India everybody is committed and India will get a minimum growth of 7% that is visibility is there. So, share of the business , established product and the value -added product , quarter -on-quarter the new business is increasing which is valued added product grew by 28% in FY 23 compared to FY 22 mainly because of the CNG project, which you are aware that we have launched in the last 18 months only. The growth opportunity in the period that is also there.

So, after that value -added product share of the India and overseas business is 64% , 36% as against 68% and 32% by FY22. EBITDA margin India and overseas are in the same range there is no any much difference in the range 0.3% only, 13.2% and 12.9%. T otal PAT is also in spite of too much price has increase d in the previous quarter, foreign exchange fluctuation, the debt are in the same range, 811 crore as against 832 crores, there is reduction of 15 crores. T he CAPEX part is concern is first half 108 crore s which includes 37 crores towards the capacity expansion , re-engineering automation for the established product and 71 crores towards the value -added product . I recall my call had in the last conference call , I had mentioned very clearly companies focusing expansion in value -added product, especially in CNG. Therefore, you will find in the further two or three quarters value -added expenditure capital expenditure is

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high because company had to meet certain targeted revenue looking to the present whose demand of the composite products market.

So, one another thing I would also like to update because our valued shareholders and board has given me the permission for consolidation cum restr ucturing to the overseas business and that process is still on , there is some delay I can say 30 to 45 days because of the summer vacations , because of the involvement from the many countries in the due diligence process.

Still that deal is on, process is on and in a short period I can say short period, in the current financial year itself, we will try our best to complete the entire deal and you will hear some

good news in the period ahead. So, still project is on, the team was working separately on that deal. Then, I would like to give now a specific floor for the question -and-answer because I want to give more time to the valued investor. They can get clarification wherever they need it. Thank you.

Moderator: Thank you. We will now begin the question -answer session. We have the first question from the line of Shalini Duby from Time Technoplast. Please go ahead.

Shalini Duby: Please let us know what is our company plans for shareholders. And what is the company doing to increase the shares. These are my two questions.

Bharat Vageria: Firstly, I would like to hear from you, how it is there might be management's name is Time Technoplast?

Shalini Duby: I am not able to hear you.

Bharat Vageria: You are from which company, you represent which company Shalini?

Shalini Duby: Time Technoplast.

Bharat Vageria: No, we are from Time Technoplast, you represent from which company?

Shalini Duby: I am a shareholder.

Bharat Vageria: Okay. You are a shareholder, I heard that you are from Time Technoplast. Now tell me your question.

Shalini Duby: What are your future plans for the shareholders and how you will reward them. And shares have not increased much it's hardly 10% to 12% quarter -on-quarter. So, what are your provision to increase the same?

Bharat Vageria: It's a good question. In fact company has now apart from last two Corona years, two and a half Corona period as mentioned in March 2022 company reached to pre COVID level business.

Now, the expansion plan is almost more than around 15% volume growth you will see and 15% volume in revenue growth will give the benefit by your expansion in EBITDA margin.

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Further company is adding the new product portfolio as last 18 months it is included composite product which comes from the value-added product and good potential is there. In fact, three years down the line company is looking to the business of more than 5000 crores on consolidation basis. So, which will have a value-added product shares will be increased because company is more focusing in expansion program is already finalized for the composite products. And in addition to that, the LPG gas cylinder which company has rewarded in this current calendar year only in the month of February the company got the order from IOCL government company and for supply of the two years composite cylinder. So, that would also give the margin boost is there, if you ask me company because investor and shareholders take the company when you understand in the form of the ROCE. So, my current ROCE which is in the range of 13.5% to 14% which we are targeting in the next few years time it should be over 19% that is the whole target we are keeping it. That's will come two way, increase in the EBITDA margin, increase reducing the working input cycle time because the value-added product need less cycle time. Another thing as far as shareholders is concerned, if you see my company resolution which is already reference to the restructuring and consolidation is already passed by shareholders also and that will give reward to the shareholders, that will give benefit to reduction in the depth. So, many areas company is planning to give the reward to the shareholders and to give the benefit that.

Shalini Duby: This is one and another is, the operating profit margin is fluctuating between 9% to 12% and this time it's 8.99 quarter -on-quarter.

Bharat Vageria: Are you talking about EBITDA margin?

Shalini Duby: Yes, sir the profit OCM is 13% constant.

Bharat Vageria: You are talking Shalini about the

EBITDA margin which is 13.1%, company target achievement for whole year 14.2% for the whole year EBITDA margin.

Shalini Duby: I am seeing that is fine. And how much is your order book right now?

Bharat Vageria: SIT order book, company's order book is product wise and packaging product goes month -on-month but company has five products for which the order book is around 150 crore and other than that we have this composite product whose order book is LPG and CNG both, for CNG we have around 250 crore and LPG booking is around 400 crore. Order book is there in all product else all orders are on the basis of month -to-month. We have an order book around 800 - 900 crore.

Shalini Duby: Okay. Secondly, is the company gives products on credit?

Bharat Vageria: No, we have industrial product, we have to follow the industrial norm it's not a consumer product. We have to follow the industry norms. And if you see our cycle time increased in Corona times and slowly it's improving now.

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Shalini Duby: Yes, I can see that improvement, the working capital days and cash cycle is increased and it has improved from Corona period. So, the progress is good and your FII is reducing, do we have any internal issues in the company which investors don't know.

Bharat Vageria: No, nothing like that. All funds have a time period of investment. The price is low or high they have to exit at that time so we can't comment on that. But as I have given in my opening remark comments that in March 2020 we had 31,000 shareholders and now we have more than 1 lakh shareholders. So, it can't be that 1 lakh shareholders don't understand the market, they are widely spread and educated, they know the business growth of the company. And today everyone knows how chemical business is growing in other countries. China business is shifting towards Asian countries and other countries. So, as the chemical business will grow then packaging business will also grow which is almost 65% to 70% we have packaging business.

Moderator: Thank you. We have the next question from the line of Vikram Suryavanshi. Please go ahead.

Vikram Suryavanshi: Basically, can you share about how is the progress on CNG CAPEX and probably we have seen order which is more or less around 250 crores so how is the attraction in new order for CNG. So, if you can give idea on that?

Bharat Vageria: You are right, so as you are concerned of order book, because we're not taking the fresh order because whatever capacity we have been executing the old orders which were taken and we also would like to take the fresh orders with the increased prices. And further, as far as visibility is concerned, as you did in the first half, we did almost 60 crores business, balance second half will be more because we have just completed one small line again, but the major CAPEX which I have shared in the last quarter that we are committed already where company will invest around 130 crores in CNG project. So, in the next years' time we can get the revenue of more than 700 crores. So, we are on that line only, but again the automatic line will take some time in the delivery period. Therefore, the small way expansion, mini expansion in our portfolio is going on and so that we can complete our, at least fulfill the market demand which we have. As far as CNG is concerned, there is no problem in booking of the order. We can do the booking of 1000 crores if want today. But we also don't want to commit for the longer period at the current prices. Because we would like to sustain our EBITDA margin in the range of 18% to 20%. So, when the capacity expansion comes, we will do the booking otherwise during that period, whatever my monthly therefore, you must have seen my order booking is almost same in the lines of 225 to 50 crores we are continuing with whatever supply we are doing the similar

quantity we will take again that order that we can execute faster. So, we are yes focusing value-added product especially LPG and CX expansion is on radar and that we will do on time.

Vikram Suryavanshi: Okay, got it. And you touched upon this margin, there is bit amount of impact on the margin and in terms of FOREX impacts, as well as the delay in passing on some of the costs. So, how does the margin scenario look given there is a talk about the slowdown in global, particularly US, Europe and how is basically industry in terms of demand outlook and probably you can

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give slightly more idea about the impact of this FOREX as well as the raw material on the margin going ahead?

Bharat Vageria: Yes, your concern is right. But again, I'm telling you my overseas business has grown by 21%, because we are the leader in eight countries out of the 10 countries. So, I don't think I have not seen any kind of the downward in that region. And EBITDA margin, which is specific this quarter two have been affected, because sudden jump in the foreign exchange, which was going on 81, 82 and suddenly went up to 83 paise. So, we take time in the passing otherwise our 92% business is B2B industry business, any price increases then we pass on to them. So, whatever margin and EBITDA margin we lost in this quarter will gain in the second half of the current financial year. And, in addition I would tell you, we have no projects in Europe. Because Europe slow down even whatever slowed down, Europe many factories have closed down anything. But we see also that the good opportunities so we can supply some of the our packaging product from the Asian countries to the other countries, including Europe also we can supply because Europe production is affected because of the energy cost is very high there. But that is not sustainable to anywhere 300%, 400% energy cost is hiked there already.

Vikram Suryavanshi: Right. And the currency impact would be around say 50, 60 basis points or higher?

Management: No, I think not that much because we pass on to them, if a 125 basis points is down that is on account of the two reasons, you can say the 50 basis points on account of maybe foreign exchange that is hardly worked out around 6 crores something or on account of raw material prices which is sudden increase in the month of August and September which has now started

slowing down. So, that benefit also will come back in this quarter , because we have passed on now whatever increase is there because certain customers for the customer we do on the quarterly pricing with them. So, that benefit will come back to us in this quarter.

Moderator: Thank you. We have the next question from the line of Prema Banda from BSM . Please go ahead.

Prema Banda: Can you clarify what kind of business will be less after the overseas is sold off with the current organization , how the business will be after

Bharat Vageria: No, I could not hear your question.

Prema Banda: My question is around this re-organization that you are doing . What will the revenue be left with the Indian company after the re-organization selling of internationally business, if you can give clarification?

Bharat Vageria: That is again, it depends because we have a presence in 10 overseas country. We are discussing with the party to sell the entire galaxy , entire overseas businesses with the majority shareholding and we can do the part of the area also because it 's all 10 countries different. So , that's when we will finalize our deal we will definitely come and explain to you but as

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overseas my current business is almost around 35% is overseas business we are doing in the 10 countries today in scenario . And I can say other words I have almost around 40% in Middle East we have , around

25% in these countries we have in Asian countries, foreign countries, and we have around 15% business in USA .

Moderator: Thank you. We have the next question from the line of Jenish Gada an Individual Investor . Please go ahead .

Jenish Gada: Any update and progress on one of our foreign unit sale as in last quarter management highlighted that they have appointed a big banker for the sale of the unit , and by when we expect to sell the unit and what is management expecting the proceeds, the amount of proceeds to be received, whereas the proceeds will be used where , it will be used in capacity expansion or working capital or it will be given back to the shareholders ?

Bharat Vageria: I will tell you , you are right because it was to be completed in this , it will be completed in the current financial year only. It is showing as you are right that we have appointed advisors to handle this transaction JP Morgan and E&Y is handling it, but at the same time we also would like to evaluate the valuation . So, my advisors are in touch with them and they would like to encash the good value , in spite of current whatever global scenario is ongoing. But then as far as this unit of these funds are concerned, we have already got the approval from the board that it can be used for the partly repayment of the debt , partly for the value -added product expansion especially LPG , CNG and hydrogen cylinder and partly with benefit to the shareholders that three things are there. Then the transaction will be completed definitely we will update how the benefits of the shareholders are coming. That 's the time will be decided you know the benefit of giving the shareholders are many reasons buy back, dividend , special dividends there are so many ways to give to the benefit of the shareholders.

Jenish Gada: Sir is management confident that the same will be completed in current financial year ?

Bharat Vageria: I can say probably percentage terms I can say yes , 80% yes.

Jenish Gada: Okay, and reason for the sale of that unit?

Bharat Vageria: Somebody from investor side is also suggesting because we have a lot of things to do in India as we have a presence in 10 countries where my EBITDA margin is range of 12 % to 13%. But we have a lot of investment in my composite product where the EBITDA margin is 18% to 20%. So, we would like to substitute business from 13% EBITDA level to 18% to 20% EBITDA level. So, that return on capital can be increased and the company can achieve the ROC in the next three years' time of 20%, the large demand is there.

Moderator: Thank you. We have the next question from the line of Hitesh Taunk from ICICI Direct. Please go ahead.

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Hitesh Taunk: Sir, I have few questions. I 'll start with the pipe segments first. We have seen a good traction in the pipe business from this quarter onwards . And it has shown improvement also . So, what is the outlook in that segment and what is the order book , what is the outlook because that segment was remain like that from few years?

Bharat Vageria: So, should I answer first this question then you will ask , or again you give me your questions, I will answer you all the questions together ?

Hitesh Taunk: Okay . So, you want me to ask all the questions , okay.

Bharat Vageria: Yes, I will give you all the questions answer together, pipe business I got it.

Hitesh Taunk: Okay. And the second question is from the L PG front . What was the export volume for the LPG cylinder for this quarter, and have we seen, I believe my calculation says that we have seen a significant drop in the export volume because we are diverting significant volume to domestic companies only. So, is there any significant loss of business from the export point of view , this is my second question. And my third question is, sir you were saying that you are see

ing significant growth in the second half. According to my calculation, the second half revenue will be going to grow according to your estimate 21% which is, significantly higher than our historical growth rate. What is going to drive this kind of revenue growth, I know that value input categories going on higher teams, but I also know that the established product which is a significant revenue contributor in the topline is growing at about 10 % to 11%. So, what kind of growth are you seeing in these two segments going further. And my last question is that you're seeing a 14 .5% kind of margin on a full year basis, that means nearly 14.5% or say 120, 130 basis point jump from here on . So, that will flow from Q3 onwards, because we know that there would be a kind of volatility in the PVC prices. So, that will flow from Q3 onwards or will it be from Q4 onwards . So, these are my questions . I will come in the queue if I have more. Thank you.

Bharat Vageria: Yes, Hitesh your all questions are good to understand, as you have asked me the pipe business, you know that last two and half years was affected, especially in this rainy season also it is affected, but pipe business now, as per the government has also increased that infra is pending and now good value of the tenders has come out in the market. So, we have also taken up the good I can say now, today onwards even I can say from October onwards I am booked till March. So, good order booking as far as pipes are concerned. So, for all of the year pipe business we have kept the target of over 200 crores maybe around 220 crores or something, so we are going to achieve it because in the first half we achieved 100 crores , but definitely the balance of visibility is there. And prices are also now come down to the reasonable level , I can say reasonable the prices which have increased in the last nine months maybe 15 % to 20% prices were up. So, after October or after October it started slowing down. So, if I recall you know that when you are in the PVC market , PVC prices went up to \$1,600 and now went down to up to \$700 again, but there is a substantial we are not in that sector at all. So, PVC is much affect the market, but we are in some kind of the special product . In special product Time Technoplast Limited

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prices there is no much volatility it is in the range of 15 % to 20%. So, as far as pipe business is concerned, as I mentioned in my various call and we 're also looking into capacity, we can do the pipe business of almost around 400 crores with my existing investment that we can see the visibility in the next year. Because as this year, the COVID level business was done in March 22. This rainy season in India is affected , many still in the last month also we had many areas there still rain is ongoing, but now the execution have been started. So, as per the pipe business , we should increase by almost 20%, 25% every year. For example, we are expecting to close around 220 crore this year. Then further we can expect around 300 crores next year and at the same time, you know very well we have said many times we are not going to do new expansion in the pipe business till we achieve 90% capacity utilization.

Now, you 've asked me the LPG. Yes, LPG local supply has been started , we used to supply 80% locally and 20% export, but especially in the last quarter in India rainy season was there is the many states which has affected delivery system of the Indian Oil Corporation. Therefore, this opportunity we export , much more quantity particular last quarter increased to 40% and localized supplied 60% only. But again, export order we execute, we take the order and always take time to supply in the next four to five months' time . Considering the present situation availability of container and my customers are giving me adequate time for supply in their country. So, as far

as LPG is concerned, my utilization definitely we are estimating around 85% that is going to be maintained this year a Iso.

Now, second have you asked me about the EBITDA margin which is 13 .1% and H1 23 we achieved 31 .1%. Yes, all my guideline for all of the year is 14.2%. So, therefore, in the balance second half we have to get the EBITDA margin increase by around 1% and that is sustainable and achievable because last month, last quarter to much volatility in the polymer prices, too volatility in the foreign exchange, resulting it took time to pass on to the customer. So, we have already pass on that prices. And this particular like I say, the Q3 and Q4 has first half will be 45% business, Q3 we do around 26 %, 27% business and the last quarter is 30% business . So, still we are not changing our guidelines, we are strict on our guidelines to achieve EBITDA margin in the range of 14% , it should surpass to 14%.

And the PAT margin again little will be affected on account of the interest cost which is

increased by the RBI, but we will be able to maintain that also because in the next six months time we are targeting to improve our working capital cycle time, whatever cost increase is there that we will be able to save in the improving the working capital cycle time. I hope I answer all your questions.

Hitesh Taunk: Sir my last question was about the second half revenue growth, which you are guiding nearly 21% over the last year and we have not grown in such a fast pace historically. So, is it and also we are in the process of hiving off some of the business also. So, what is going to drive the second half revenue so fast?

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Bharat Vageria: Whatever I'm talking to you, I'm not considering today because still business is in our hand, so whenever the dilution will come out, that will give the effect how much impact will come that only after completing the transaction, I'm talking about apple to apple compare, as far as this year is concerned, in the first half we achieved revenue growth of 18% and definitely the second half will achieve more than 20% considering that composite like CNG product, which we are estimating revenue of over and around 130 to 150 crores which in the first half we did 60 crore, because just we have completed the one line in the last quarter. So, that will give me the supply of my additional components, this CNG gasket. So, when after my expansion I mentioned to you next year, definitely we can project composite business both put together maybe around more than 500 crores together CNG and LPG, because by the time we will complete our expansion of the, I will be able to use my at least four to five months of the expansion product also in CNG in next year in 23-24. But I'm quite sure as against the last year turnover of 3652 crores we are expecting over 4000 crore business and that is visibility is there considering the order book and the demand which is ongoing. Because we have seen my overseas business is not affected much. We are growing here over 20% and that is continue we will grow.

Hitesh Taunk: Okay. Just for the sake of clarification, for the first half of FY23 you have recorded around 144 crore revenue from the composite cylinder.

Bharat Vageria: Yes.

Hitesh Taunk: And what kind of visibility do you have for the full year sir for this year?

Bharat Vageria: Full year in around 340 to 350 crores.

Hitesh Taunk: And for FY24 sir?

Bharat Vageria: 24, it's too early to say but I definitely you can see the growth of more than 20%. I'm not considering any LPG expansion currently because I know that because currently we can't do the expansion based on only one Indian customer when the other two gas distribution company like BPCL, HPCL will come we can definitely plan for expansion and still that has not yet on thing yes we are talking based on the Indian

Oil getting the response Indian Oil Corporation

wherever they have supplied the cylinder. The good demand is coming up from the user side, because considering the advantage of using the LPG cylinder.

Hitesh Taunk: I am sorry sir, I missed the growth guidance for FY 24, could you repeat that please.

Bharat Vageria: In 23 for composite cylinder LPG and CNG together as I mentioned to you I am expecting business of 350 crores, LPG and CNG both. In the next year definitely, we can expect more than 500 crores conservatively you note down 500 crores next year.

Moderator: Thank you. We have the next question from the line of Harsh Beria, an Investor. Please go ahead.

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Harsh Beria: Congrats for the good set of results sir, very good to see the growth.

Bharat Vageria: As a customer you are telling right I appreciate your concern, but as a promoter I am not happy because my EBITDA is down by 1%. But these are beyond our control so, we could not but we will try to achieve that. Thank you for appreciating again.

Harsh Beria: But also with all the raw material price increase, you have maintained EBITDA margins, which is not at all bad so, congrats to that.

Bharat Vageria: Yes.

Harsh Beria: My question is towards the LPG cylinder capacity expansion; our competitors Supreme Industries has recently announced that they will be doubling the LPG cylinder capacity in the LPG composite cylinder capacity by December 2022. So, are we seeing different trends in demands, if we have pulled out our expansion plans on hold?

Bharat Vageria: My partner, Mr. Raghupathy will answer this query.

Raghupathy Thyagarajan: We have a capacity of almost 1.4-million-cylinder capacity. And of course, I would say that when you hear about the capacity expansion of the other player, you can also check up their

capacity that the first phase of their installed capacity was much lower. If I can recollect, it was about 500,000 cylinders or so. So, even if they increase it, though this is not the platform for me to comment on it, but then they have to go for an expansion basically, because the current install capacity of 500,000 is inadequate to meet the required demand right now. So, we are carry on that expansion part of it. But even after that expansion, my installed capacity will still be higher than what they will have post their expansion.

Harsh Beria: Okay, that makes sense. So, our installed capacity is 1.4 million but you have mentioned in the past that the actual realizable capacity, due to different product sizes is about 1 million ?

Raghupathy Thyagarajan : Yes, you are right.

Raghupathy Thyagarajan : Yes, there are multiple sizes of cylinders. And when you are catering to different markets, obviously the product requirements are in different, different sizes and that is why it cuts down utilization. But now with the bigger orders like Indian Oil Corporate, et cetera coming which is limited to one size and that to be a million. So, obviously we are in a position to then better utilization of the capacity as well so that probably you can see some differences.

Harsh Beria: Perfect. Thanks for that clarification. I saw in our presentation this time we mentioned that we are targeting or we are looking for aftermarket sales for our CNG onboard applications. Can you talk about like the current state of development in that segment?

Raghupathy Thyagarajan Yes, that's a huge market, because at the moment what we are currently doing the CNG capacity that we have is only filling up the supply chain part of it where in the CNG is required

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to be transferred from the mother station to the daughter station in the form of casket. These gases that are appended at the daughter stations or other retail outlets will have to find their way into the au

tomotive vehicles. Not all the automotive vehicles today in India are all using steel cylinders, and which are obviously very heavy in weight. The shift from steel cylinder to type four cylinder will bring about an 80% reduction in the weight of the cylinder. So, it's a project which is being carried out by us, we are working with some OEMs already and it's a little long gone process in terms of an OEM approval. But when it comes to aftermarket they are more eager and ready to switch over which we will do it when we have the expanded capacity available to us. And then we are also focusing on not only for the gaskets but also for the aftermarket which will mean a different size for automotive vehicles as well. So, that will be a little different size and a little different internal technology as well and that will also be rolled out as we come up with expansion.

Moderator: Thank you. We have the next question from the line of Khushal Jain from Khushal Jain & Company. Please go ahead.

Khushal Jain: I want to know what is our sales consideration market value up overseas as such?

Bharat Vageria : We can't comment on the market value. Because we can't comment before completion of these transactions in sensitivity is concerned but we will do the best we have appointed the global best valuer JP Morgan and E&Y and their suggest we will accept it and because we may sell in the part or full that is depending on how the price we are getting it and we are not selling the entire business of the countries, we will do some majority tech sell and the balance we will continue. So, you will come to know very shortly there is not much time is there.

Khushal Jain: How much time it will take now for getting with this transaction?

Bharat Vageria : This transaction as I mentioned you were on call or not earlier but I mentioned very clearly this financial year itself it will be completed.

Khushal Jain: Okay, sir. My second question is that sir, it's a technical question. Composite cylinder of LPG, this Indian weather is supporting that product, gas settles at the bottom doesn't come up.

Bharat Vageria : No, there is some problem in the metal cylinder. My partner will tell you in more technical details.

Raghupathy Thyagarajan : The cylinder is tested in 70 degree so what will be the effect on it on higher temperature we check that and on that basis we do its manufacturing.

Khushal Jain: If the cylinder is of 20 kg and when gas will be 1 then 20 kg will be one or will it have 15 kg or 16kg will be in it?

Raghupathy Thyagarajan : You will get complete gas, as you are getting in steel cylinder you will get in this as well so there is no problem.

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Khushal Jain: Okay. And I want to know the CNG, CNG is a very wonderful product because I have run the CNG plant in Bhopal so I have faced so many problem for getting the CNG gasket so we used to get it done locally but that is not good. So, what is the availability at your end current?

Raghupathy Thyagarajan : What you are seeing is for different, the cylinder for car is being developed, currently after the

expansion of capacity we will have that size and technology to use it in the car and we will have that capacity available. Currently the one which is going is only to gas companies so that they can distribute the CNG gas.

Khushal Jain: Okay, currently you are not making for vehicle.

Raghupathy Thyagarajan : It will be available in next year.

Bharat Vageria : Khushal you might have seen that currently for CNG you would have to get in queue of the pumps which are selling petrol and diesel, now all over India we have new 8000 filling stations. Now we have Mahanagar Gas, Virat gas and all they are opening their own gas stations so government has given them licenses and we are making the equipment's which they required to bring the gas from their

mother station to their filling station which is called CNG

cascade, in one cascade we have 60 cylinders and it's mounted directly. And it's kept at the gas filling station and from there it's filled in the vehicles. In today's time the market value is 18,000 crore in coming years. We have 8000 pumps opening and at one petrol pump we require two cascade so it's 16,000 cascade and on a cascade of steel is of 35 lakhs and higher is of 70 lakhs.

Bharat Vageria : By this you will come to know the market is huge and that's why we are expanding it and you will get the return in the coming two years.

Khushal Jain: Okay. Sir my last question is, what is the full year revenue and what is the full year PAT?

Bharat Vageria : Full year revenue, you are talking about the consolidation level?

Khushal Jain: Yes.

Bharat Vageria : So, as we were telling Mr. Hitesh, his question was that we have done 1900 crore revenue in the first half so in the balance half we will have a growth of 18% to 20% and it will be close to 4100 crore.

Khushal Jain: Wonderful. What will be the PAT?

Bharat Vageria : Last year PAT was 188 crore we hope there is volatility so this time it will cross at least 200 crores.

Moderator: Thank you. We have the next question from the line of Bhagyesh Kagalkar from HDFC Mutual Fund. Please go ahead.

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Bhagyesh Kagalkar: The composite cylinder with the IOC and others for the submission of Government of India the gas mission essentially that we are selling very important cascades for the whole system's essentially, off late there have been concerning report that CNG may witness a slowdown, CNG prices themselves have gone up because of the overseas issues basically. The company can be well agnostic which it is, if you say automotive components we are already making rain flaps, interior tanks, et cetera. Some of the OEs whom we are talking are doing something on the EV front also, be it two wheeler or four wheeler essentially. So, what is the thought process that also some products are being made battery cover or something like that essentially?

Raghupathy Thyagarajan : Yes, there are a couple of products in addition to what we have already put on the public domain which are under development, and they are all related to some of the new technology that is available with us. Commercial vehicle, which is also growing very is witnessing a healthy robust growth. We are also working with leading commercial vehicle manufacturers for replacing a lot of their metal parts to plastic and composite. I'm not at liberty to disclose this, the details but then I can assure you these are also changes that are continuing to happen to take care of good part of the demand generation that we will witness so that is going to be there for sure. I agree the concern with regard to the CNG prices being increasing that is of course looks at the face of it, in situation but we need to understand that when we look at CNG and diesel, or for the matter even petrol, even when you have the same prices on a liter to liter basis, which currently is under the influence situations as well. Even then CNG has a 40% additional mileage that is available. So, at any point of time, even if the prices of the fuel CNG is on par with diesel which is status today, the buyer or the user of the CNG can still witness 40% extra mileage and that is a reason as to why it is the driving force from a user's perspective. And of course, the government has given all the necessary initiatives to ensure that there's a wider availability of CNG because we all know that the CNG is a less polluting fuels. And they all are kind of committed to the Paris protocol earlier one and now it's COP 27 being held in Egypt. So, we're all going in that direction, we as a company are prepared to take care of the emerging situation and situation that will

come in, we are ready with the current

fuel of today that is CNG and our investment that we are also doing, we will also take care of the fact that we will be prepared for tomorrow with our cylinders for hydrogen. So, we are taking care of every component of demand that we can envisage today.

Moderator: Thank you. Ladies and gentlemen our next question comes from the line of Anchal Kansal

from Green Portfolio. Please go ahead .

Anchal Kansal: Sir, in the previous quarter you told that your subsidiary in NLP received orders from Tesla worth Rs.100 crores . Sir, what is the timeline of the supply and since Tesla is a big name are we in talks with any other players as well?

Bharat Vageria : You are talking about the energy storage devices right , Tesla Power USA, who has placed the order to one of the subsidiary company Net Energy right?

Anchal Kansal: Yes.

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Bharat Vageria : As given the order for 100 crores which is to be supplied in a year time. So, the supply is already started and serve because that involve various types of batteries , which we are developed from him out of our existing product portfolio. And you must have seen the various advertisement given by Tesla Power also in the paper , they are working like a model , they are they would like to buy the batteries from us and they will be on the rentals to the end users on the full battery charge with them. So, there 's a good business we are expecting and the same order we are continuing and execution is on already .

Anchal Kansal: And sir are we in talks with any major players , other than the peers?

Bharat Vageria : Other major players in the battery segment ?

Anchal Kansal: Yes, sir.

Bharat Vageria : So, battery segment you know very well that as my NED energy we are in the battery segment of the telecom tower, solar , railway signals , inverter and industrial batteries we do manufacture , we are not in the automotive sector batteries and automotive sector batteries are other Exide, Amara Raja they are there in auto, they are in these other batteries also they are producing

Anchal Kansal: Sir, also in the composite cylinder segment, when can we expect orders from H PCL and BPCL. So, the next question is whenever they release a tender are they prepared for the same in terms of the capacities .

Bharat Vageria: Yes, mostly there would be the similar capacities in terms of the size of the cylinder. Because today, most of these oil companies whatever we have seen in the diesel cylinder perspective also everywhere they market the 14.2 kilo cylinder, so they will also adopt the same size.

Moderator: Thank you. Ladies and gentlemen , that was the last question for today. I now hand the conference over to the management for closing comments.

Bharat Vageria : Thank you very much to my all existing and prospective valued investors. And as I mentioned in my call, we are definitely going to add better than the present what we achieved because it 's good as India is a country where we are expecting the good volume growth , looking at the growth where we have our own contribution . Once again, thank you to my all valued investors and participant in this call.

Moderator: Thank you. On behalf of PhillipCapital (India) Private Limited, that concludes the conference call. Thank you for joining us, and now you may disconnect your lines .

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"Time Technoplast Q3FY23 Earnings Conference Call "

February 15, 2023

MANAGEMENT : MR. BHARAT KUMAR VAGERIA – MANAGING
DIRECTOR , TIME TECHNOPLAST LIMITED
MR. RAGHUPATHY THYAGARAJAN – WHOLE -TIME
DIRECTOR , TIME TECHNOPLAST LIMITED
MR. SANDIP MODI – SENIOR VICE PRESIDENT ,
ACCOUNTS & CORPORATE PLANNING , TIME
TECHNOPLAST LIMITED
MR. HEMANT SONI – VICE PRESIDENT , LEGAL &
CORPORATE AFFAIRS , TIME TECHNOPLAST LIMITED
MODERATOR : MR. ABHIJEET PUROHIT – PHILLIP CAPITAL (INDIA)
PRIVATE LIMITED

Time Technoplast Limited
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Moderator: Ladies and gentlemen, good day and welcome to the Time Technoplast Q3 FY'23 Earnings Conference Call, hosted by PhillipCapital (India) Private Limited .

This Conference Call may include "forward -looking statements", These forward -looking statements involve a number of risks, uncertainties and other factors that could cause actual results to differ materially from those suggested by the forward -looking stat ements. These risks and uncertainties include but are not limited to our ability to successfully implement our strategy, our growth and expansion plans, obtain regulatory approvals, our provisioning policies, technological changes, investment and business income, cash flow projections, our exposure to market risks as well as other risks. The Company does not undertake any obligation to update forward -looking statements to reflect events or circumstances after the date thereof.

As a reminder all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes.

Should you need assistance during the conference call, please signal an operator by pressing "*" then "0" on your touch tone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Abhijeet Purohit from PhillipCapital (India) Private Limited . Thank you and over to you sir.

Abhijeet Purohit : Thank you. Good evening, everyone. On behalf of PhillipCapital (India) Private Limited , I welcome you all to Q3 and Nine Months FY'23 Earnings Conference Call of Time Technoplast Limited.

From the Management we have with us, Mr. Bharat Kumar Vageria -- Managing Director; Mr. Raghupathy Thyagarajan – Whole -time Director ; Mr. Sandip Modi – Senior VP (Accounts & Corporate Planning); Mr. Hemant Soni – VP (Legal & Corporate Affairs).

I now hand over the call to Mr. Bharat Kumar Vageria for his Opening Remarks. Over to you, sir.

Bharat K. Vageria : Thank you, Abhijeet for introducing all of our management . You all know that it has been a year since now as we lost Mr. Anil Jain – Co-Founder & Managing Director of the Company on 6th of February . But his vision will continue to remain strong , with his values, we will continue to work towards his dream of growing the Company .

The Company continue to strengthen its market position in the industrial packaging segment

despite challenging global economic conditions. We are pleased to announce a strong performance during the nine months with the year revenue growth of 19%. The value-added product segment grew by 29% year-on-year driven by good demand of the IBC composite cylinder.

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Good order book position for CNG cylinders coupled with the stable core industrial packaging businesses, increasing popularity of type-IV LPG composite cylinders, which help us to achieve our targets set for the years.

The Results are already announced, but I just walk you through some of the key financial and operational highlights. The key numbers are on a consolidated basis in Q3 FY'23, revenue grew by 20% as compared to the corresponding quarter last year Q3 FY'22 and 10% as compared to previous quarter Q2 FY'23. During Q3 FY'23, on a consolidated basis, net sales stood at Rs. 1,131 crores as against Rs.943 crores from the previous year. EBITDA was Rs. 153 crores as against Rs.137 crores. Profit after tax was Rs. 61 crores as against Rs.54 crores. It means, net sales increased by 20%.

I'm pleased to tell you where the India is 11%, overseas is 42%, quite good growth in the overseas market. Volume increased by 16%, India 8%, overseas 37% because the Company is getting good volumes in the new part of the geography like USA when the expansion was there, the result has come out in the previous year. E

BITDA has increased by 14%. EBITDA margin was

13.5% as against 14.5% decreased by 100 basis points, margin was slightly impacted owing to challenges in macro economic environment that we all are aware, too much volatility in the last quarter in the exchanges and the polymer prices which took some time in passing to the customer.

Now, for the nine months FY'23, on a consolidated basis, sales stood at Rs. 3,100 crores. And the previous year, the same nine months was Rs.2,612 crores. EBITDA achieved Rs. 411 crores as against Rs.369 crores. PAT is Rs.155 crores as against Rs.155 crores as against a previous year of Rs. 133 crores.

Now, key highlights for nine months. Net sales increased by 19%, India 14%, overseas 29%. Volume 13%, overall, India 9%, overseas 23%. EBITDA increased by 12%. PAT increased by 17%. As the volume has increased, PAT is affected in that way, PAT also got same percentage increase. In nine months, FY'23, EBITDA margin was 13.3% as against 14.1%, 80 basis points is lower.

To share the business, value-added products grew by 29% in nine months of FY '23 as compared to nine months of FY '22. While established products grew by 16%, the share of the value-added products is 24% of the total sales in FY '23 as against 22% in FY '22. Now, because of that, overseas has grown in terms of the percentage. Therefore, the share of the India and overseas business revenue in nine months in terms of the percentage is 64% and 36% as against 68% and 32% of the previous year.

Debt almost remained the same, stood in around Rs.800 crores, and as of 31st March also, it was on the same range in spite of business increased by 20% maintained by the Company

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The CAPEX incurred by the Company is Rs.169 crores which includes Rs.53 crores towards the capacity expansion, reengineering and automation. But mainly CAPEX incurred this current year is on account of the value-added products, which is CNG cylinders and IBC. And in this reference, I think you will see the Company has sent intimation to the NSE, BSE reference to the CNG, one largest order received by the Company and intimated to the exchanges minutes before the market closing because we just got the orders in the night, it is a large order Company has received. In terms of the value, I can say now, it's Rs.134 crores value of the order received by the Company and is the single largest order.

Now, the consolidation of restructuring, yes, I would like to update, because we all are aware that the board and shareholders agreed the approval, but you know that in this process Company has a presence in 10 overseas countries and it took some time in the due diligence process, so that have been completed. But again, it was earlier based on the 2021 financial results. But now as we have completed 2022 calendar year, because in overseas we follow the calendar year, so matter is under discussion with the prospective buyers and with our advisors, and the results which will come out in the period ahead shortly. So, the Company still continues and focusing on doing some kind of disinvestment to overseas business. And further, as you heard my messages recently that overseas business has grown more than 23%, definitely we reserve our right to enhance that value of the sales investment, which we have lost the period of the last

three, four months. So, very soon, management will update you time-to-time in each of the meetings.

Now, I would like to open the floor to the specific questions in this call.

Moderator: Ladies and gentlemen, we will now begin with a question-and-answer session. The first question is from the line of Hitesh Taunk from ICICI Direct. Please go ahead.

Hitesh Taunk: Though the number was impressive on a YoY basis, but my question on EBITDA on a three-year CAGR basis. O

On a three-year basis, revenue CAGR is still in a single digit. So, I just wanted to understand which business segment according to you is underperforming or below our expectations, segment wise, if you can throw some light on the performance front, please?

Bharat K. Vageria: You know very well, overall, the Company has grown by 20%, especially composite products is giving more in terms of the percentage and the packaging business overseas has done very well. But, India packaging business has grown in the range of around 7% to 8% in terms of the percentage. But if you tell me the overall sale of the product wise, as far as nine months of this FY'23 is concerned, the regular product, the packaging, excluding the IBC, because that comes under the value-added product, lifestyle, auto batteries, all segment is in the range of around Rs.2,200 crores of revenue we got it as against nine months of the same Rs.1,895 crores, so, it's all grew by 16.5%. But, yes, I agree that the PE pipe business grew only 6%, because in the first half, very, very less orders were there, too much of price volatility was there, and thereafter, government has also initiated, releases some money to the EPC contractor, and the second half these businesses started picking up. So, in Q3 and Q4, the Company has a good booking as far as Time Technoplast Limited

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as pipe models are concerned. Especially you are asking me, which business. It's the pipe business which grew hardly in the single digit 6%. All other businesses are more. In value-added products you will find the sale for the nine months is Rs.740 crores as against Rs.573 crores which grew by 29%. We got good growth in the IBC, composite cylinder, has more than 50% growth, because the base was very small in composite product which includes LPG and CNG put together. And at least in the next two to three years, you will see more than 100% growth in the composite cylinder business, because base is very small and market demand is more and Company is also doing substantial expansion in the composite cylinder for CNG application. Another is MOX film also which grew hardly 8%. So, these two products where the business growth is in single digit, therefore the average growth is 19% which we have seen in the first nine months.

Hitesh Taunk: Sir, so going forward, for the Q4, how the demand recovery you're seeing on the ground level for those products which are not performing? And if you can give some kind of future guidance on the other segments also as far as revenue growth is concerned, that will be very helpful?

Bharat K. Vageria: Yes, I noted your point. Normally, we don't provide guidance, this current quarter already two months is passed. But as far as the Q3, business we did Rs.1,131 crores, definitely Q4 will be higher. And you see the past track record always, in the first half, we do 45%, Q3 we do 27% to 28%, but Q4 always we used to do around 30% business. So, definitely year closing, we are expecting for more than Rs.4,200 crores business. So, definitely this quarter we will have more than Rs.1,200 crores business and especially Q4 we have a good order book of the composite products, good order for the pipe, all will be executed. And in the packaging business, we are sure, we are taking a growth in the range of 10% to 12% only. But definitely overall in the year we can say 20% to 23% we should grow, in terms of the volume 15% and value terms also will be around 16% to 17% is our projections currently. But, certainly, if you ask me the next year, definitely, looking at the growth, looking at the product in hand, looking at the expansion plan of the composite products in the Company, because another two, three products we have developed in composites, which has a good demand we are expecting. So, overall, I can say at least for '23-24 also w

hatever market condition may be, but we are definitely going to grow around 15%.

Hitesh Taunk: My next question is on the gross margin front. Though you have given some input saying that there was volatility in the raw material prices, but sir, I just want to understand when our value-added product categories have grown so sharply on a YoY basis for the quarter also and for nine months also, there was a pressure on the gross margin, the gross margin is still much below than our pre-COVID level. I understand there have been a delay on passing of the prices and all. But, just wanted to understand, is there any kind of structural issue or say, this is the margin you're happy with or the gross margin you see, will improve going forward? I just want to understand which kind of gross margin should be looked going forward from the current level, especially when your raw material prices again moving up.

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Bharat K. Vageria: It's a good question as asked by you, but one thing I'm just clarifying in the two way. You have asked me the COVID period and the later on. In COVID period, many restrictions were there, initially in 2021 all production was not allowed, only the essential products were there, packaging products. And at the time, because of the COVID restriction and limited supply of the raw material products availability, we have increased the prices also. So, if you see the overall product margin as we have always suggested will be in the range of 14% to 15% Yes, in COVID period, there were certain COVID additional expenses were there, therefore, we had asked for increase in the prices. But, now as far as '22-23 is concerned, everything is stabilized, revenue percentage of the business was also stabilized. And I agree that business of the composite product is increasing; 22% to 24%. Therefore, we have seen that there is a substantial improvement if you see the last quarter of September where the EBITDA percentage was 13.1% which has now increased to 13.5%. Further, for the whole of the year I'm looking that it should be near to 14%. But yes, if you ask me the next year '23-24 is concerned, definitely, we will surpass 14%, because value-added products are going to increase. In other words, I tell you, the polymer price increase or decrease, we have a system of passing on, because 92% business we do B2B directly. All educated customers, when price increase is there, we pass on to them. If price decreases, we pass it on to them. Only the two businesses are there, like composite products, where we have order booking, we always keep the reasonable and good margin, looking to the contingency and then the price picks for the yearly contracts, we always keep that much in hand on account of the contingency. Further PE pipe business is there, where we also take the order very cautiously looking to the market trends. But we know that EBITDA margin in that product is in the range of 11% to 12%. So, we have to work within that for existing capacity utilization in that business. As I mentioned in my last call also, that we are not going to expand in pipe business, because it's the low EBITDA margin business. We will do our focus on the value-added products and the composite products. But yes, if you ask me the future, Company is focusing and management is focused on increasing the operating margin, and it will be in the range of between 14% to 15.5%, 1.5% I am keeping the range on account of the pass on of the price increase or decrease, certainly, 14% is our target. Because everything is linked with the improvement of the ROC part because when the margin will improve, we have not changed any focus on the ROC, definitely by '25-26, we are targeting to achieve ROC over 19% by changing the combination of established products and the value-added products.

Hitesh Taunk: My last question is about the LPG cylinder what we are delivering to one of the oil & gas pumps in the IOC. So, how much volume and value we have generated in Q3 by supplying that?

Bharat K. Vageria: You know that for LPG cylinders, we got the approval for more than 48 countries and I'm glad to tell you, every quarter, we add one or two countries and my supply is increasing in that region. Before the IOCL order, even Company was adding a good order book and supplying to various countries. Now, I'm glad to tell you, your Company cylinder is now approved in Korea, approved in Taiwan, approved in Sudan, all government representatives have visited our clients. So, regular orders are coming from those things also. So, now, as far as you're asking me, as for the quarter is concerned, around 288,000 cylinders in this quarter, but you asked me the nine months, we crossed 7 lakhs LPG cylinders are concerned.

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Hitesh Taunk: Sir, I'm asking particularly for the domestic LPG player, I mean IOCL Company, on volume terms and value terms how much have you delivered?

Bharat K. Vageria: Data is not available, but that supply is on, and services is on to the IOCL customer.

Hitesh Taunk: Have you received any kind of further indication of repeated order or anything else?

Bharat K. Vageria: I had mentioned in my previous call also, one year already extension is there in the order itself without changing the price terms, they can extend the same and they have extended also that next year also the same quantity, same price will continue.

Hitesh Taunk: So, sir, in the previous call, you have also mentioned that on overall composite cylinder category, you have given revenue guidance of Rs.300 crores for FY '23 or about Rs.500 crores by '24. So, obviously, with the new order in the hand in the cascades category, you want to revise that guidance upward or -?

Bharat K. Vageria: I have one restriction you know very well. If you go through my recent just one hour back, I've given my intimation to the BSE and NSE exchanges, that is my capacity 100% booked as far as CNG cascades category is concerned, because I'm completing the expansion of phase-I. Now, phase-II expansion is going to be completed in January '24. As far as the guidance part is concerned, for the composite product, LPG and CNG put together in the range of around Rs.500 crores, maybe plus or minus 5% maximum I'm taking for '23-24, not much, because I don't have an available capacity.

Moderator: The next question is from the line of Mahendra Jain from Way2Wealth. Please go ahead.

Mahendra Jain: Sir, my question was regarding only this divestment process or a strategic partnership and all these things. We are like discussing last so many quarters. So, if there is any hurdle or any progress which you can share with us on the direction like, because of this being a packaging business and not having more value-added business, that's why we are suffering some issues or something like that or can you just put some highlight what is right now the process is going on, in which direction?

Bharat K. Vageria: Mahendra ji, I know your concern and you are right, our talk is ongoing for last three quarters, because initially, you know that we're talking last year '22-23 and it is delayed by three months because of the demise of our Hon'ble Managing Director, subsequently, the remaining promoters took back this process on. You know that overseas business has presence in the 10 countries and all are in different geographies; one is the USA, in Southeast Asia plus East Asia, Taiwan and Middle East. So, it took time. In fact, we were estimating that we will be able to complete in the six to eight months' time, but considering the due diligence process, it took more time. So, now, as we complete the due diligence

process, it will be the year of the 2022-end. So, as I mentioned in my first remark also, we have not hold up this any process, it is on, but at the same time, we have seen growth also, more than 30% business has grown overseas. So, as far as this business is concerned, good business is there, but again, as a promoter, as an investor, we also would like

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to have good value for overseas part is concerned. So, we are talking with them, and now, we are talking overseas as a whole also and the part that open is for discussion. Another thing, based on the '22, that decision will come out, and I'm not asking you much time, but yes, in the next 90-days some results will come out. In overseas, we do packaging business and nothing to worry, packaging business has grown and further we are expecting growth in '23 also for more than 12%.

Mahendra Jain: Sir, on this domestic packaging business, are you planning any restructuring or can you put some highlight on that segment?

Bharat K. Vageria: Not now, you know very well, because it's a very cumbersome process. At many locations, I do packaging product, I do composite product. For a packaging product I use the blow molding and injection molding process. For my composite product also, I use blow molding and I use the injection molding, then we use some kind of other composite product. So, these are crisscrossing of the process. Because then in India, we have 16 manufacturing locations, and composite products we are manufacturing at four plus two, six locations. So, it is a time-taking process. And I can't comment right now, but yes, my first objective is disinvestment of the majority stake for the overseas business in whole or in part, then second stage, we will take the India restructuring also, not now. When the business is growing, and the good growth is there ... and again, I repeat that, we are not compromising our business of the value-added product, because we have a leverage of the good balance sheet, we have a capacity of the borrowing capacity. So, CNG expansion, as the demand is increasing, yes, we are doing the expansion and we are not compromising any value-added product business based on my disinvestment, we have not planned that way. That was one of the objectives. By disinvesting, it will benefit, I will do the expansion in CND, it will benefit the shareholders and repayment of the debt. These are the three objectives of the disinvestment. Still there. As that will materialize, we will do but not at the cost of the expansion of the composite products. That will carry on whether disinvestment happens or not happens.

Mahendra Jain: That is the biggest advantage that if it happens then we can take care of working capital, long-term loan and all these things?

Bharat K. Vageria: Yes, I agree, Mahendra ji, you are right. We are worried because cost of the fund has also increased, and second thing, working capital cycle time -to-time it is improving, and you know that in COVID period when reached back to the 130 -days, now reduced. We are targeting to less than 100 -days in the next six months' time because value-added products sales is increasing, which is currently 24%, and I'm targeting by '25-26 our value-added products shall be 40% and others shall be 60%, by the time definitely working capital cycle time will be in the near to 80 -to-85 days.

Mahendra Jain: Anything you would like to share regarding the hydrogen cylinder progress, very long term?

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Bharat K. Vageria: I give it to Mr. Raghupathy, because last time he has clarified what is hydrogen cylinder and when we will be there, because my function line is also covering some kind of the development part, my colleague, Raghupathy will explain to you.

R. Thyaga

Thyagarajan : Good afternoon . We have been working on the composite cylinders as far as has been informing you, we've been progressing very well as far as the high-pressure cylinders with CNG application is concerned . Hydrogen theoretically comes in as the next step of this development process, wherein the working pressure for CNG is about 250 bar , so, hydrogen would be 350 bar and 500 bar and 700 bar. So , these are the steps at which the local PESO will also give their approvals . So, our expansion is that we are also planning for the composite cylinders has been incorporated to ensure that we are in a position to use a part of our capacity for hydrogen cylinder manufacture as well. We are in discussions with quite a number of potential users also . We recently participated in this "India Energy Week ," which was inaugurated by Hon' ble Prime Minister Modi as well, where there's a lot of emphasis on CNG natural gas as well as for hydrogen . There has been a fantastic response that has been received . There are people who are in the pipeline wanting us to really develop , because we are for a long time the only Company in the country who would be able to offer the hydrogen cylinders as well. So, we are working very vigorously as the new equipments are also in take. By the year -end, we should be in a position to announcement -

Moderator: Your audio is breaking up .

R. Thyagarajan : I do not know where it broke . I just would summarize once again; we are working definitely towards the development of hydrogen cylinders . Theoretically, it's one step over the development of the CNG cylinders. There are enough enquiries that are there in the pipeline for hydrogen cylinders also . We have recently participated in the "India Energy Week ," where there has been a recognition or Time Technoplast has as a good manufacture of high-pressure cylinders. So, there is very clearly a pipeline requirement . We are planned to manufacture , coinciding with the investment that we are doing for expansion of this composite cylinder project , and by this year-end we should be in a position to have this announcement also of indigenous manufacture of hydrogen cylinder as well.

Moderator: The next question is from the line of Umang Shah from India bridge Capital . Please go ahead.

Umang Shah : Sir, the first question was, can you tell me the difference between the working capital requirements for the value -added products and for the base business?

Bharat K. Vageria: If you ask me , two things are different. The value -added products, which includes IBC , then is the MOX film and especially composite products. Composite products , I tell you is the voluminous business , because when anybody gives us the order , they give us in certain volumes . I have to produce that , then the inspection will be carrying out , I have to carry out the inventory , because in composite products, most of the items are imported , inputs are there, which is a long delivery process times , so I have to get the inventory looking to the contingencies of the shipping Time Technoplast Limited

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line, condition delivery time . But in nutshell , I can say , the difference between the working capital cycle time of the established product and the value-added products, if established products need a working capital cycle time of around ... in normal I'm telling you , 110 days, but in case of a value -added product, it will be 70 -days

Umang Shah: Sir, the reason I'm asking this question is , if I look at long-term fundamentals of the Company on a ROC and ROE front, the Company has not been able to breach the 14%, 15 % in last 10 -to-15 years. So, on return front , how do you think about the business overall -- do we think that because of less utilization of the capacities or do you think it's because of higher investments in working capital ?

Bharat K. Vageria: In fact,

I tell you, apart from this COVID period, where the working capital cycle was increased substantially in last two years, '19-20, '20-21 and '22, two and a half years something during COVID period. Prior to that , my working capital cycle time was 85 -to-90 days. So, we are coming back on that period , the target is there. In fact, by the end of this '23, we are keeping target of less than 100 -days. But definitely, I'm keeping my internal target of 85 to 90 -days in the period of '23-24. And as I mentioned to you, value -added products, when the sale will be 40% and this sale will be 60% , by '25-26 definitely , net working capital cycle time will be in the range of 75 -days.

Umang Shah: What would be the impact –

Bharat K. Vageria: Again, I just add it further. Another thing , ROC part is concerned , currently, which is in the range of 13% , in the next three years' time by '25-26, we are targeting ROC over 19% and we achieve it by improving the working capital cycle time , by improving the EBITDA margins currently , PAT margins, all put together, there will be an improvement in the ROC .

Umang Shah: You had a massive CAPEX program from 2010 to 2014, where you almost doubled the gross block from Rs.800 crores to almost Rs.1,500 crores. After that in last five, six years , the CAPRX has been more or less to the extent of maintaining CAPEX, broadly near there. So, first question

is, the machinery that you have installed in the first CAPEX cycle from 2010 to 2014, how long can it further go for, and do you have any major maintenance CAPEX coming up?

Bharat K. Vageria: I explain into ways. You are right. As you know that Company did the CAPEX as you are talking about 2010-11 onwards, first five, six years Company has expanded in overseas and which as I mentioned, when you were on the call, that the fruits are coming, and that fruits will come when the Company management will take the decision of the disinvestment. And I tell you, definitely, the investment which we received the return in the period ahead and further, as the CAPEX which we are currently incurring is the value-added products measure and that is where the EBITDA margins are also higher compared to regular products, where the EBITDA margin is in the range of 11% to 14%, but value-added products in the range of around 16% to 20% is the margin. So, Company is making more investment, thus working of the cycle time. So, these are the return we planned, and three years as I mentioned to you, the cycle time will also be reduced.

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Umang Shah: What is the update on machinery? Machinery would have an age of 15 to 20 years, but the new machinery might make the current –?

Bharat K. Vageria: I have done in this way. Because in the processing industry, there is an investment with the molding machines, maybe injection extrusion low whatever maybe there. In addition to that, we have a blow molds, where depends on the cycle time, depends on how many products we have made from that. But normally, we consider the life of the machines is around the 15-years. Life of the mold we consider 10 years as per the policy. Because we are more than 25-years old Company, so from manufacturing side, normally, the automation, repairs and maintenance cost we consider 50% to 60% of our depreciation amount we consider required on account to maintain the capacity which we were having at the time to maintain those machines. Then, mold replacements take, based on the customer requirement, based on the customization of the product and based on how many products you have produced from that molds. You are right, in fact, I tell you, my capacity in the last three, four years is in the range of 150 to 200 crores, except in the COVID period it was less, but now, as we have seen the product which is CNG product, major focus

is on the value-added product Company is incurring. And another thing also I would like to tell you, yes, this year CAPEX will be in the range of around Rs.225 crores, considering the major expansion for CNG product, where the order booking is more, and the demand is more, and we have less capacity. But yes, next year onwards, definitely, CAPEX will be less than Rs.200 crores net of this thing, because Company has put some kind of the assets which are not in use, some kind of the assets which have been to be disposed off, so, that's considering the net of the CAPEX for next year will be less than Rs.150 crores, because the Company will dispose of the assets which have been held for the sale.

Moderator: The next question is from the line of Ankur, an individual investor. Please go ahead.

Ankur: My question is regarding the disinvestment of the foreign business. Sir, are we talking to a single buyer or we have different buyers for different countries for the foreign business?

R. Thyagarajan: We have talks ongoing with the strategic investors, two of them are financial investors, there are multiple people who are interested. Talks are in an advanced stage with one of the strategic investors where the diligence process is already almost completed. So, that's where the process is. There are other people also in standby wanting to be expressing their interest especially after the '22 results have also been announced. So, there are options that are being considered by the Company.

Ankur: As far as the revenue share is concerned, it is about 34% for the foreign business. And if in case I see the book value of the Company per share is about 95%. What would be the share of the book value of the foreign business as compared to the India business?

R. Thyagarajan: We have not worked out, but I will work it out and then we will answer your query... because I've not worked out in that way, that tickets are not available to me right now.

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Ankur: Because I was interested, when you disinvest, what would be the balance book value of the Company after this disinvestment, that was my query?

Bharat K. Vageria: I think overseas turnover is in the range of around Rs.1,200 crores. As we are estimating Rs.4,200 crores of overall business, out of that Rs.1,200 crores business we are estimating from the overseas, balance Rs.3,000 crores business is in India. And as I have told last time also, whatever business we will lose from the overseas of disinvestment, that will be created by way of a value-added product in the next three years' time in India.

Ankur: Yes, sir, I'm very hopeful of that. But will the book value be affected after this disinvestment of the Company, that will not depend on the revenue share, but –

Bharat K. Vageria: You can share your number with my investor relationship manager and we'll provide you that working.

Ankur: One last question is regarding the oxygen cylinders that you talked about that you're working on. Is there any development on that regard?

R. Thyagarajan: Yes, I'm very pleased to inform you that the development of the oxygen cylinder has been completed, the in-house testing results have been positive, we've been able to surpass the requirements, we have applied to the PESO for approval for three different sizes, it's just a matter of time and we should get the formal approval. The capacities for the manufacture are also being put in place. We should be able to launch it probably by April of this year.

Moderator: The next question is from the line of Sureshwaran, individual investor. Please go ahead.

Sureshwaran: Sir, we have been discussing about onboard CNG cylinder actually for more than one year. Have we got any order for this one?

R. Thyagarajan: Admittedly, as far as onboard cylinders are concerned, we would

be launching it only coinciding

with the new manufacturing program which is coming onboard by the end of this year, because whatever current capacities are available, they are all being utilized for the cascades part of the requirement. And, even as per the chain of requirement goes, the cylinders are normally put into the supply part of it wherein the cascades are put into use and subsequently as these gas moved down to the retail station, then they will further find the way to among the retail users. So, these cylinders for onboard applications will also be developed by this year and as we have some surplus capacity available.

Sureshwaran: And my next question is regarding the MOX film. I see many players are offering the two-year warranty for pond liner and tank covers. What is our advantage to crack this market?

R. Thyagarajan: Yes, as far as the MOX film is concerned, it is a process of manufacture which keeps us distinctly apart from the others, because here the process is technologically oriented, a little more advanced in terms of how we are in a position to manufacture a cross-laminated or MOX film. We are able

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to give better style strength as compared to any other film, and we are able to get the price to grammage advantage for sure. All the other people, I would put it, seven out of 10 in the market today, would claim to be a cross-laminated film, half of them are not even there as a cross-laminated film. They are deceptively similar; I would say that. It's a matter of time when these films also start performing differently and the consumer will be in a position to find the advantage. So, we are sticking very securely to the process that we have adopted and will continue to deliver the superior product that we offer.

Sureshwaran: My question is regarding our another hi-tech product, DEF urea tanks. So, what is the reception sir in the market now... any orders for this one?

R. Thyagarajan: As you're aware that urea tank is used for the urea applications which goes along with the diesel as per the BS-VI norms are concerned. These have been put into place. We have already developed three different sizes of urea tanks which we are supplying the OEMs. The tank is doing exceptionally well. There are additional sizes that have also been ordered, which should see further growth in the business. So, we are working with OEMs, this is a sticky OEM product, the product is manufactured using the technological advantage that we have, and we are able to successfully exploit it. I think there are very few successful players offering these urea tanks in the country today.

Sureshwaran: Are we working for foreign order also from other countries for this OEM tank?

R. Thyagarajan: Admittedly, potential would exist in terms of quality, but then obviously, when we're looking at the tank, it is a hollow product, you would end up exporting air. So, there would be preference by the OEMs develop local players. They don't normally want to develop a player or depend on a player who is abroad. In fact, they not only want it within the country, but they want it in their own district and region. So, OEM products normally are, you can develop the business if you're there in the neighborhood.

Sureshwaran: And my next question is, now a lot of big players are coming for green hydrogen. They have deep pockets, they can manufacture hydrogen cylinder also, because it's a small part of their business as a backward integration. What do you think sir... so, in that sense, how can we compete?

R. Thyagarajan: Well, admittedly, the process of manufacturing hydrogen cylinders is not very, very easy. If people who would want to do that, will require a lot of CAPEX to be done. When you are in the business of making hydrogen globally, we are yet to experience any single hydrogen

manufacturer today in the world who has been able to develop a hydrogen cylinder successfully.

We are very clear about it. We will develop the hydrogen cylinder, there will not be one, but there will be 20 manufacturers of hydrogen, because it is a heavily decentralized process of manufacture of hydrogen. So, over a period of time, you will find that hydrogen process of

manufacture will start almost in every nook and corner, because at the end of the day, you electrolyze water and you get hydrogen. And if you're in a position to provide green power to it, Time Technoplast Limited
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then you get green hydrogen. So, wherever the hydrogen is manufactured, the biggest challenge will be how this lightweight gas would be able to be captured in a cylinder and what pressure you can do so that the cost of carrying the cylinder will be as optimum as possible. So, we are able to foresee that whatever the business, the strategy that we have adopted, should be able to see us very successful in the years ahead. We are not really bothered about such possibilities.

Sureshwaran: Still, are we looking for disinvestment of our battery division?

Bharat K. Vageria: I think yes, we are open, but not that it is a distressed asset, because the battery division is a self-sustained Company, a self-product Company, and yes, I know that ROC from that business hardly is 7% to 8%. But yes, that Company is also developing electrical batteries, lithium ion batteries, developing its own. We have produced some kind of the samples, submitted to some authorities for the approvals especially for two wheelers and three wheelers. But yes, we are open. If good value we are getting along with our retailers, we can discuss with them and do it.

Moderator: The next question is from the line of Hiten Boricha from Joindre Capital. Please go ahead.

Hiten Boricha: I have only one or two questions. So, first is on the guidance, you have given 15% growth for FY'23 as well as FY'24. Would you like to give the breakup of value and volume?

Bharat K. Vageria: Different products are there. In each of the segments, that is a different volume I tell you. The guidance I am giving is over 20%. If you ask me, the established products and the value-added products, I can tell you. Value-added products, we are expecting growth of more than 25%. In established product, we are projecting growth of 12%. So, combined growth –

Hiten Boricha: Sorry sir, but your voice is breaking. Your total value-added product growth is 25% and established is, I missed that number.

Bharat K. Vageria: Established products is in the range of 10% to 12%, and for value-added products is around more than 25% you can take or 30% because the CNG products, cascades products which we have expanded, is going to get as against current year projections of business of around Rs.350 crores, the next year, we are looking around Rs.550 crores. So, the growth is more than 40% in CNG products. But if you take the entire value-added products growth, it will be over 25%. We will achieve the revenue of over 15% for volume and value both.

Hiten Boricha: 15% for this year and any number for FY'24 sir?

Bharat K. Vageria: Rs.3100 crores revenue is already achieved in the nine months. So, we are projecting this year considering this Q4 quarter in the range of around Rs.4,200 crores, it will take 15% on Rs.4,200 crores which works out to around Rs.4,800 crores, but we will do our best if possible, if prices also remain on the higher side, we can get Rs.5,000 crores also, but you know the revenue is dependent on the polymer prices. But yes, we are sure as far as the margin is concerned, we will be able to achieve the EBITDA margin in the range of 14%.

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Hiten Boricha: Just a last question on the divestment side.

Would you like to give any ballpark number, what kind of inflow we are expecting from this divestment assuming we are selling the whole business?

Bharat K. Vageria: The sale can happen in the part, can happen in the full. The disinvestment may be in the range of 70% to 80%, percentages are different. So, exactly figure of the inflow cannot be given, but I tell you, initially we have kept target, if for example, I get Rs.1,000 crores, then 50% will be used for the repayment of the debt, balance benefit to the shareholders, because I am also one of the shareholders and the balance will be used for an expansion of CNG project which already we have talked and you will see my communication which is sent one and a half hour back to the exchanges also. That expansion is already committed and we are going to get it done.

Hiten Boricha: Around Rs.1,000 crores, right?

Bharat K. Vageria: I give you the example of Rs.1,000 crores, 100% value, then what will be the percentage? 80% then I will get it and then depending on how percentage this investment depending on, because, we have seen in the overseas practicing, nobody says 100%, always continue, because wherever we have also got some businesses in the last 10-years, we bought initially 70%, then later on, we bought the balance equities also and become today 100%.

Hiten Boricha: But, this Rs.1,000 crores is pre-tax number, right, sir?

Bharat K. Vageria: Each of the country's tax rules are different, each of the regions, because we are holding this through our holding companies in overseas countries and different regions. So, you know the overseas taxation is in the range of 20%. Pre and post-tax, we will see depending on each of the country liabilities, because if I have a holding Company in Singapore, there is no tax on the

capital gains tax, but now I just heard in Middle East , there are some taxation rules come out recently in 2023. So , we will work out when the absolute transactions will take place . Because most of the companies are overseas, but the Company which are holding through the India, India , you know the tax liability is in the range of 25% . The exact amount of the taxes will be worked out when we have the near future transactions . You can take it , there is a pre -tax working which I have given you an example.

Moderator: Ladies and gentlemen, that was the last question. I now hand the conference over to the management for the closing comments.

Bharat K. Vageria: Yes, I would like to convey thanks to all the participants who heard carefully about the Q 3 and nine month s results of the Company . And definitely as I promised, we will try our best in looking at the present scenario and to achieve the targeted revenue of the Company . And as I mentioned in the beginning remarks to fulfill and to complete the dreams of our Hon'ble Shri Anil Jain with our best. Thank you very much.

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Moderator: Thank you, members of the management team . Ladies and gentlemen, on behalf of PhillipCapital (India) Private Limited , that concludes this conference call. We thank you for joining us and you may now disconnect your lines.

Call: May 2023

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"Time Technoplast Q4 & FY23 Earnings Conference Call"

May 30, 2023

MANAGEMENT : MR. BHARAT KUMAR VAGERIA – MANAGING DIRECTOR , TIME TECHNOPLAST LIMITED
MR. RAGHUPATHY THYAGARAJAN – WHOLE -TIME DIRECTOR , TIME TECHNOPLAST LIMITED
MR. SANDIP MODI – SENIOR VICE PRESIDENT (ACCOUNTS & CORPORATE PLANNING), TIME TECHNOPLAST LIMITED
MR. HEMANT SONI – VICE PRESIDENT (LEGAL & CORPORATE AFFAIRS), TIME TECHNOPLAST LIMITED
MODERATOR : MR. VIKRAM SURYAVANSHI – PHILLIP CAPITAL (INDIA) PRIVATE LIMITED

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Moderator : Ladies and gentlemen, good day, and welcome to the Time Technoplast Limited 4Q and FY '23 results call hosted by PhillipCapital (India) Private Limited . This call may contain forward - looking statements about the Company , which are based on beliefs, opinions and expectations of the Company as on the date of this call. These statements are not guarantees of future performance and involve risks and uncertainties that are difficult to predict.

As a reminder, all participant lines will be in the listen -only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing "*" then "0" on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Vikram Suryavanshi from PhillipCapital (India) Private Limited . Thank you, and over to you, sir.

Vikram Suryavanshi : Thank you, Yusuf . Good afternoon and a very warm welcome to everyone. Thank you for being on the call of Time Technoplast Limited. We are happy to have the management with us here today for a question -and-answer session with the investment community.

Management is represented by Mr. Bharat Vageria – Managing Director; Mr. Raghupathy Thyagarajan – Whole -Time Director; Mr. Sandip Modi, Senior Vice President (Accounts & Corporate Planning); Mr. Hemant Soni – Vice President (Legal & Corporate Affairs).

Before we start with the question -and-answer session, we will have opening comments from the management. Now I hand our call to Mr. Bharat Vageria, Managing Director, on their opening comments. Over to you, sir.

Bharat Vageria : Thank you, Vikram, for introducing the Management Team. And welcome to all the participants to hear about the Q4 and Earning Presentation for Financial Year 2022 -23. We are here especially talk about the Q4 and full year ended March '23 and outlook for the next year. We generally don't give any guidance, but just ballpark we can say what is the growth expectation there considering the present product or segment of business where our Company exists.

So, the Company has closed the financial year on a strong note with a revenue growth of 18%. I'm also proud to announce that the Company has achieved its highest ever turnover, EBITDA and the PAT in FY '23. Means it has already surpassed the COVID level, pre -COVID period also.

Good demand for the industrial packaging products, overwhelming response for our composite products are the major factors behind the strong performance within a short span of time. Our Type -IV composite cylinders for CNG Cascades have established a good market position, which is visible in the strong order book position of Rs. 260 crores approximately. Strong demand from the industrial packaging products from chemical industry driven by migration of chemical companies out of China and increasing the chemical export coupled with a good demand for CNG Cascades, we expect to continue our growth trajectory.

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I'm also pleased to inform that one of our promoter companies has fully repaid the term loan outstanding to its lender, where the shares of the Time Technoplast were pledged as a collateral security. The placed shares are now released and subsequent 100% of the promoter's equities holding of the Time Technoplast are now free from the pledge. And it is available that promoters are holding around 51.4% equity of the Company.

Now the key numbers are during Q4 FY '23, I will provide you the previous year same quarter figure also. The net sales for this Q4 FY '23 is Rs. 1,193 crores as against Rs. 1,040 crores. EBITDA, Rs. 170 crores as against Rs. 140 crores, PAT Rs. 64 crores as against Rs. 56 crores. Cash profit Rs. 111 crores as against Rs. 97 crores.

In terms of the pe

centage, I can say the nets have increased by 15%, which includes I'm glad to tell you, India 10%; overseas, 26%. And the volume increased by 12%, India, 8%; overseas, 22%. EBITDA increased by 21%, PAT increased by 15%. EBITDA and PAT margin stood at around 14.2% and 5.3% as against 13.5% and 5.3%, respectively.

During the year ended 31st March 2023, corresponding previous year number also, I will provide you on a consolidation basis. Net sales crossed Rs. 4,000 crores, and we achieved Rs. 4,293 crores as against Rs. 3,653 crores of the previous year. EBITDA stood Rs. 581 crores as against Rs. 509 crores, PAT Rs. 219 crores as against Rs. 188 crores and cash profit of Rs. 395 crores as against Rs. 350 crores.

Compared with the previous year, net sales increased by 18%, India 13%; overseas 28%. Volume increased by 13%; India 10%; overseas 22%. EBITDA increased by 14%, PAT increased by 17%.

Now this improvement in the EBITDA margin and the net margin and the revenue, you will see that shares of the established product and value-added product has increased by 29% in FY '23 as compared to FY '22, while the established product grew 15%. The share of the value-added product is 23% of the total sales in FY '23 as against 21% in FY '22. And one thing when I'm talking about value added product, this is going to be continued. Sale of the value-added product is going to be increased because base is low and high growth areas where we exist.

Share of the India and overseas business is 66% India business, 34% overseas business, which earlier was 68% and 32%. Because we have seen that overseas business has grown more than 26% in the previous year, therefore the percentage revenue has changed. In spite of increase in the business and growth of the 17%, Company able to maintain the debt level below the previous year, even it is reduced by Rs. 15 crores, and after considering the expansion undertaken, which has a large potential.

The Company during the year has enhanced the annual CNG Cascades manufacturing capacity by 300 cascade, 18,000 number of the cylinders under Phase -1, which is already completed and is now available for the production. With this expansion, the total annual cascade manufacturing

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capacity increased to 480 cascades. In terms of the cylinder roughly, we can say 29,000 cylinders.

Due to overwhelming response and good order book and existing enhanced capacity sold out completely looking with orders in hand, Company has undertaken Phase -2 expansion plan for increasing the manufacturing capacity of the cylinders and cascades by 600 numbers per annum. So, further under the Phase -2 expansion, the Company has utilized the facility to manufacture both CNG and green hydrogen. I think everybody is now talking about green hydrogen, which we are also working on the project Phase -2.

Now over one of the subsidiary companies has also performed very good. That is called Tpl Plastech, 75% subsidiary of Time Technoplast Limited, who are in the packaging product business has completed a greenfield unit in Dahej, Gujarat for manufacturing the Intermediate Bulk Containers (IBC) along with other industrial packaging products drums and jerrycans with the capacity outflow of around Rs. 25 crores.

I'm also pleased to inform you that both of the directors have recommended a dividend of 125%, Rs. 1.25 per equity share as against the previous year, 100%, Rs. 1 dividend for Rs. 1 share, subject to approval of the shareholders.

The Company has received the PESO approvals, Petroleum and Explosives Safety Organization for manufacturing of the carbon fiber reinforced composite cylinder Type -III for medical oxygen breathing air that is called oxygen cylinder. The cylinders are used by firefighters, mountain climbers, portable homes, oxygen bottles and mobile ambulance and the hospitals, different sectors and for underwater activities,

which has a vast potential in this sector.

Now I also would like to update you about the consolidation from restructuring of the overseas businesses, which is ongoing. In fact, we had in the last call also mentioned that the process is on. Initially, we were talking that on the 2021 financials, but as we have already closed 2022, so our advisers are in touch with the potential buyer. And we at our last conference call said something will come out definitely by September of this first half of this current financial year.

So, yes, there is not any change in the object of this consideration, which is going to receive from the consolidation from restructuring of the overseas businesses by divesting of the majority stake. That was the 3 areas was identified, repayment of the debt, CAPEX for the composite cylinder and the core business in India to make the meet market demand, and also be used to benefit to the shareholders. So, objectives are the same, there is no any change.

Yes, only one thing, CAPEX for cylinder is already finalized. Process is on. We are not waiting for disinvestment of this business because we would like to capture the huge market demand in the CNG and hydrogen businesses.

Now I would like to open the floor to answer any specific questions in reference to FY 2022, '23 in the quarter, which has been announced.

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Moderator : We will now begin the question-and-answer session. The first question is from the line of Rahil Shah from Crown Capital. Please go ahead.

Rahil Shah : In the last call, if I'm not wrong, you mentioned your ROCE target by FY25-'26, 19% or over. Are we still on the same guidance? And if you can also give your outlook on the ROCE target for this year, FY '24? That's my first question.

Bharat Vageria : Based on these financials of 2023, because every year we revise based on the audited financials. So, still we are on the target only because as far as '22-'23, we achieved ROCE of 13.5%. It's an improvement of 1.3% in the current financial year. As far as ROCE target is still there to achieve over 19% in 2024, '25. If you ask me next 3 years, it will be over 20%, that by 2025, '26. If you ask especially this year, definitely, the ROCE will be over 16%, improvement of 2.5% being the investment, which is done in the CNG, we'll give the revenue in the current financial year. And overall, some improvement in the margin will also be seen.

And as last time also I said, ROCE improvement is possible by way of increasing the margin, increasing the working capital, reducing the working of the cycle time and the sale of the more of the value-added products. These are the 3 things. So, as the management is working and focusing on the same to improve the ROCE. So, we are not changing any of our target, which we have set in the next years' time over 20%.

Rahil Shah : You mentioned you're also looking improvement in top line and EBITDA margins. But if you could guide, if possible, in what range are you seeing business growth and in which areas particularly?

Bharat Vageria : We don't give the guidance, but I just can give you the idea. You have seen in '22-'23, we have achieved a growth of revenue from 17.5%. So, I can say the management is also targeting to grow in the more than 2% figure. So, we can say around 15% targeting. And the EBITDA margin, we have seen range, last current EBITDA is in the range of 13.5%, we are of the targeting improvement by 20 to 30 basis points every year. And the range, I can say, 13.5% to 15% range we are keeping for the previous time line.

Moderator : The next question is from the line of Keshav from RakSan Investors. Please go ahead.

Keshav Kumar : Sir, the cascade capacity expansion to 1,080, what year do we expect it to be fully utilized?

Bharat Vageria : I think this year we have a capacity of 480 numbers cascade. 600 expansion will come by end

of

this calendar year. So, we will be able to utilize from the next financial year. But I can just give you the guidance by around 480 cascade, we can achieve the revenue of around Rs. 300 crores or so somewhere.

Utilization, normally, we consider 90% of the CAPEX utilization because already the orders are in hand. But if you ask me that after the expansion, definitely, we can do the business of around Rs. 800 crores from the cascade of 1,080 numbers.

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Keshav Kumar : And sir, the current CNG order book, we maintained it on higher execution. But could this order book have been more if we weren't capacity constrained?

Bharat Vageria : Not so, because you see that as the CNG Cascade launch measure in the 2021 -'22 where we did the business, first year was Rs. 55 crores. Last year, we did Rs. 155 crores. And this year, we are projecting around Rs. 300 crores. But this is the first time in India Type -IV cylinders, but as the people are utilizing and getting the benefit of recurring benefit in cost savings, now the new demands are coming up. But we are sure the present capacity, which we have already order book in hand. So, definitely, whenever we take orders from the supplier, they give us the execution time for 6 to 8 months. And based on that, we also plan accordingly.

Now with respect to specifically CNG, I request my colleague, Director, Mr. Raghupathy will give you more details about this.

Raghupathy Thyagarajan : Particularly answering your question, Keshav, with regard to whether the constraint in capacity is actually causing some loss of business, et cetera. Whatever capacity that we have had, we've been focusing on the cascade business, that is basically large -scale mobile transportation of gas, et cetera. There's a good potential for the CNG cylinders, which will ultimately unfold as we have the expansion of capacity that is particularly limiting to automotive usage. So, that's an area which we will open up as soon as we have the additional expansion that's coming up because that's the one where we will start then working with OEMs and also the retrofitment market. So, that's an area which we have not tapped yet.

Keshav Kumar : Sir, lastly, so the 16%, 19% and 20% plus ROCE target sequentially, is it contingent on the disinvestment following through or even our current base business can reach that level without this?

Bharat Vageria : So, can you repeat your question, actually?

Keshav Kumar : So, we are targeting 16%, 19% and (+20%) ROCE sequentially. So, is that contingent on the overseas disinvestment that we are planning?

Bharat Vageria : No. It's an ongoing business basis. I've not considered and factored that thing. To give further improvement, that can be later on. If it goes through, then we will let you know. Then the 20% achievement can be earlier also possible.

Moderator : Next question is from the line of Nilesh Shah from Arrow Investments. Please go ahead.

Nilesh Shah : Just 1 query, 1 question. We have already enhanced our capacity to 18,000 cylinders 300 cascades. So, with the new capacity that is 1,080 cascades, if you can just guide on what is the total CAPEX that will be incurred in the year? Because you said it will be live by the end of the year. So, within the next 6 months or 9 months, the total CAPEX only towards this expansion, if you can just say. Are we going to increase our debt levels?

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Bharat Vageria : No, I'm just answering your last question first. There is not going to be an increase in any debt level. It will be from internal resources only and all the repayments will be continued. And as you are asking me, especially, I have given NSE and BSE information that my expansion cost for the CNG first year, 600 cascade is working out around Rs. 125 crores. And out of that, Rs. 5 crores have already been incurred. So, if you ask me

the total expenses of 1,000 liters because already some was incurred in 2021 -22, then again, we have incurred in '22-23. So, all my composite investment will be in the range of around Rs. 200 crores, which is already for CNG cascade and cylinder manufacturing capacity. You asked me on other CAPEX. So, CAPEX will be overall CAPEX also, we are putting ourselves in the range of around Rs. 200 crores, that is not going to increase that, including these expansions on the CNG. And the Company is expecting growth of over 15%.

Moderator : The next question is from the line of Parag Khare from Investor. Please go ahead.

Parag Khare : The first 2 quarters were a little difficult because of raw material inflation. But I think overall year you closed on the high note, so well done. Thumbs up to you and your team. Just a quick question on the divestment which we are making for our overseas subsidiary. Any progress, any update do you want to share on that?

Bharat Vageria : In fact, in the last conference call, we had shared that process is on because as in my starting comments also I mentioned, initially, we were talking for disinvestments based on the 2021 calendar year basis. Now we are talking about because we have found the substantial improvement in 2022. You heard my communication or conversation that we achieved a growth of 24% in my overseas businesses. So, we are trying our best to get the better valuation. So, we are now renegotiating and talking, my advisers are talking to get the valuation based on 2022. One another addition, what we are doing, earlier we were talking to the prospective buyers about the overseas business as a whole. But now you know that we have our overseas business in 3 continents, like MENA region, we have a presence in I can say Middle East, Dubai, we have a presence in Bahrain, then we have in Saudi and Egypt. And another MENA region we have in Thailand, Malaysia, Indonesia, Vietnam and Taiwan. Then our large presence again in U.S.A. So, we have divided now in 3 continents, and we are trying to enhance the value of our consideration based on the 3 continents separately and talking to the separate parties who are strong in each of the regions separately, right?

Parag Khare : So, is it fair to say, sir, that even after announcing this transaction or this divestment, it will be subject to regulatory approvals from respective countries and then the proceeds of the divestment will happen probably later in the year or sometime early next year because we are already halfway in this year. So, the proceeds will be immediate or it will take time?

Bharat Vageria : No, Parag, I tell you what happened, that was not difficult in overseas businesses because in each of the countries we are not required to take on the approvals, one thing, because we are holding these businesses through our holding companies. So, this will be transfer of the Time Technoplast Limited
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ownership, which is workable as in India, normally, people use to. Not much regulatory. Approval already is in place right? So, only this is a portion of our in-principle agreement and closure of the deal, which we are estimating as we have mentioned in the last call also, in the first half of the current financial year should happen. We are focusing on that.

Parag Khare : And sir, where do you see our traditional business, the packaging business going forward? I mean I know it's a proxy to the manufacturing and chemical businesses as manufacturing and chemical grows, packaging also follows this. What's your growth estimation for the traditional business for the packaging for this FY '24?

Bharat Vageria : Our traditional business, as we have also seen, as you also must be watching the data of the polymer industry, which is growing in the range of 10% to 12%. And the chemical industry is also growing in the same range. So, as far as the packaging business is concerned, we

are estimating growth in the range of around 12%.

Parag Khare : Both India and overseas?

Bharat Vageria : Yes. Overseas maybe a little higher, the China Plus advantage are deterring the nearby countries.

Parag Khare : But sir, considering this, especially the growing nature of the businesses, manufacturing and chemical companies, especially in Asia, do you think it makes sense for us to continue with those businesses instead of divesting and then divest maybe the U.S. business and the Middle East business? Just thought on the table.

Bharat Vageria : No, it's right. You are right from your point of view. At the same time, as growing business is there, but there are so many other things, opportunity available in India. We are thinking for a better, means Make in India products where green hydrogen, especially we are working out whose market in India will be there, okay? So, we are not divesting 100% business overseas. We will continue with our minimum marginal holding with existing prospective buyer.

Parag Khare : Minority stake.

Bharat Vageria : Yes, we will continue. And we will grow together because we cannot be specialized for each of the areas in each of the countries. So, we thought we should have a focus, because every overseas companies are coming to India and making the investments. So, we thought why we ourselves should not do. That is the objective.

Parag Khare : And sir, considering the growing demand for the cascade or for LC, I mean especially CNG Cascades, because Tata Motors said 1 of the 3 cars would be sold either it would be electric or CNG. When do you think we would be able to have the ample capacity to meet the growing demand by FY '24 or by FY '25, when do you see that replenishes the demand?

Bharat Vageria : In fact, Parag, I have worked out in fact, this industry is very big as far as CNG industries and composite product uses are concerned. We have data available, total market size is Rs. 22,000

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crores for the CNG composite product used for the entire product. Now that product will be divided Type -I, Type -II and Type -III and Type-IV . Type -I is how old these metal parts. And Type -IV is the latest technology. We are estimating a business of around Rs. 2,000 crores in the next 5 years' time for this composite product itself, where we are considering 30% to 40% business conversion from the metal to the composite products. So, if you ask me today business, which is we are currently we are estimating Rs. 300 crores, if you ask me 5 years down, this business can be more than Rs. 2,500 crores business. And the better fusion because as the people become familiar, as their recurring costs visibility is there, they are making and they are demanding Type -IV cylinders only. And as my colleague Raghupathy has told you, the automotive sector, we have not yet picked up. That will come from next year after our expansion capacity. And you know that CNG, which is available, but CNG is available, but the distribution channel was so very big. Now the government has taken itself initiative after 15 years based on 2020 policy, you know that how many filling station is coming, 8,000 new filling stations are coming. Every day, you must be seeing on the road new gas stations are coming because they want this, infrastructure should be increased.

And as far as this EV vehicles are concerned, everybody is talking 2030, 2040, by that time only the infrastructure will be made available because today, there is challenges for the availability of the quality batteries. At least I can say 10, 15 years, there is not any fear about that CNG

Cascades business and use in the automotive sectors.

Parag Khare : Okay. And one last question, sir. I was going through the government's data. I think around 100 new CNG stations were added in probably the last 6 to 9 months across the country. I was just wondering, I mean, our

capacity is full, we have supply side constraints. So, just wondering who else is there in the market who's supplying the Cascades to these various gas stations. I know for LPG, we have a competitor with Supreme Industries for LPG Cascades. But CNG Cascades, I think we have a fairly good monopoly, we have fairly good market share. Just wondering from where these guys are getting CNG Cascades. Are they importing from outside India?

Raghupathy Thyagarajan : Yes. This is an established business overseas, and there are people who are importing these cylinders from Europe and other countries, and they are getting it assembled here. So, that is the immediate competition that we are facing right now. But then obviously, getting an empty cylinder imported and paying the duty also has its own challenges. But yes, we are the first and the only company to make these type of cylinders in India and contributing towards the Make in India policy as well.

Parag Khare : So, any thoughts on the table or any discussion at the senior management level, maybe when the funds are available, if we try to acquire one of these foreign companies or maybe try to see if you can expand the business through inorganic ways? Any thoughts on the table?

Bharat Vageria : Manufacturing, Make in India and we have to be manufacturing in India only because there's expansion needs to do, which in any case, we are doing it. And another challenge for the cylinder, Time Technoplast Limited

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not only the capacity, we have to make and tie up and contract for the carbon fiber, which is also the challenging as an input. Quality carbon fiber supplies are very few. And we have already tied up a contract for requirements at least the next 2 years' time.

Moderator : Next question is from the line of Pranav Goel from Investor. Please go ahead.

Pranav Goel : First of all, congratulations on a very good set of numbers. I'm an individual investor. And one of the things that I worry more about is the stock price of the Company, right? Now when I see the stock price, nifty small cap is doing really, really well. But in spite of so many good news in Time Technoplast, shareholders are not having a lot of confidence. So, I don't understand what is the reason why shareholders are not having a lot of confidence in spite of so many good news? That is one.

Second question is on restructuring. We were talking about the end of this year, let's say, end of financial year 2023. And now we are talking about the end of H1 2024, which means a delay of 6 months. Have you already received some kind of indication of what your business or, let's say, overseas business is being valued at because I'm sure your advisers must have had a lot of discussions with strategic partners and investors. So, what kind of bids or, let's say, what kind of valuation have you received when you discuss with the strategic partners? And is it because you're not happy with these decisions that you have decided to wait for some more time, use the 2022 financials and then rediscuss all these things. So, what is happening over there?

Bharat Vageria : I agree, Pranav. In fact, when we were talking last year, by the time when we were talking, September was there, then we told already 9 months is over of the calendar year. So, it's better to wait for the next 3 months, and we should talk for 2022 data only, best than that. Now as far as till now is concerned, no figure is finalized, nothing because you know that 10 countries involvement, due diligence process also takes a long time. And so, nothing as far as you have asked us the figure. But certainly, I can say we should get good value, considering the growth of 24% achieved in the calendar year 2022. And further good prospects are there. So, we will come and we will give the exact what is happening because initially, we had received an expression of interest, I can say the nonbinding people, 15,

16 people signed, and some were stocks, some had started due diligence. But considering the due diligence process itself, and you know that there was too much disturbance was ongoing in some of the countries, nearby countries like because of Ukraine and Russia war is affecting everywhere, some of the people were not able to travel here and there. But finally, I can say, yes, we have asked you to that something will come out and in the first half of the calendar year, considering the process involved, initially as I mentioned in my last call to Mr. Parag also, that initially we were talking for the entire business as a whole of the overseas business. Now we are talking separately, our merchant bank or both, E&Y and JPMorgan, the 3 continents separately, and trying our best.

And another thing we heard just previous person has told me, is there any compulsion to sell the business of this? We have said very clearly, no compulsion, but at the same time to have a business opportunity available in India. And continuing our minority stake, we will continue in

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the overseas, and we also would like to take much of the bigger and value-added product in India. So, therefore, I think we'll have to wait for another 3 to 4 month s' time. Then we'll be able to tell you the confident decision about this consolidation of the overseas businesses.

Pranav Goel : Sir, 2 follow-up questions on this. One, now you're saying September, so let's say, I hope that it happens that your numbers are really good for '23 versus '22 for the overall business. And certainly, we don't want to hear as a shareholder now that only 3 months are remaining, we are thinking to use the 2023 numbers to value our business even more, right? This is the fear that any shareholders will have in their mind.

Bharat Vageria : I agree. That's a never ending process that a 13% EBITDA Company which is growing more than 15%, definitely. Whenever we get the valuation, it will be upside. But again, it's a good opportunity if any strategic or financial partner take part in that, so we will not come for them and again, and we will not wait. If it is going to happen this year, it is going to happen. Otherwise, we will continue with our existing listing.

Pranav Goel : And second follow-up thing on this is that some of the countries like Germany has already gone into recession on papers. There is a big fear that U.S. or other countries might follow the similar way. So, do you think or are we really being too aggressive in our approach that we will receive a good valuation or it can actually come completely opposite on us that because now there is a recession, a lot of companies are not putting money into new structuring. They are not ready to give the valuation that is supposed to be there. So, this is a second relevant concern. So, do you really think it is really wise to wait that long and get what we are looking for?

Raghupathy Thyagarajan : Good part of our overseas business is that we are not present in Europe, and I agree with you that that's probably one of the areas which has been badly hit. So, the area that we are present, whether it is in Asia, whether it's in the Middle East, whether it's in the U.S., the markets are holding strong, I must say that, you must have also corroborated. And simultaneously, when there are investors who have multinational interest, they will also be watching the fact that in Europe, they must have lost some ground. To make up, they are aggressively looking at investments in some of those emerging and growing areas. And by far, some of these areas that we are present is definitely identified a very strong area of growth. So, I'm actually expecting these tables to turn the other way and not really go down.

Pranav Goel : One final question on this. Do you have a target in your mind about the proceeds that you're going to receive? Because I'm

sure you will have a target that, okay, we need to be at least this much in order to make sure this is valued at a right number?

Raghupathy Thyagarajan : We have got 2 big advisers to the subject, and they will guide us on this. They are constantly evaluating the different offers that are coming back. Based upon that, we will take an appropriate decision.

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Pranav Goel : And do you have a bifurcation in your mind on how much you're going to actually use, like in percentage terms on repayment of debt, on CAPEX or on our shareholders?

Raghupathy Thyagarajan : Yes, of course, there are multiple options that are being worked out. We are not at liberty to share it at the moment. But for surely, there will be good news coming.

Pranav Goel : Sir, just one last thing. If you can please update on this from time to time because as an individual investor, we really get worried that nothing is being mentioned apart from, obviously, the quarterly calls, if you can please make sure like every 2 months or every 1.5 months, you can at least circulate some update on this, that will be really helpful.

Moderator : Next question is from the line of Mehul Savla from RW Equities. Please go ahead.

Mehul Savla : Sir, my question is actually relating to the subsidiary Tpl Plastech, where again, the performance has been good, and there was a statement in the press release that the new Dahej facility has also got commissioned in April. So, I just wanted to know how much is the capacity expansion based on this new facility? What was the existing capacity and what is the new capacity addition?

Bharat Vageria : Mehul, this Tpl has plant for the packaging product which include IBC, which was not earlier there. And the Company Time Technoplast is already manufacturing the IBC and supplying in all the 4 regions of India, East, West, North, South, and overseas also manufacturing, these tried and tested products. But Tpl has some surrounding customers available, and Tpl also should add the product line for their expansion growth of their Company plan. So, this product will have a manufacturing capacity. I can say that they can manufacture IBC around, I can say 1.20 lakh IBC they can manufacture at the Dahej plant. In addition to that, they will have a capacity for manufacturing with the large-size containers also. In terms of the value, I can say, the potential new unit, which is coming out at 90% capacity, that unit should give the revenue of around Rs. 75 crores.

Mehul Savla : Sir, what is the existing capacity utilization of the Tpl?

Bharat Vageria : Tpl, you know that Tpl has a presence in the pipe location, they have a presence in Silvassa, they have a presence in Vizag, they have a presence in this Bhuj, and then Ratlam. And this is Dahej

they are putting up. So, capacity utilization currently, I can say, we have seen the business which they did around Rs. 270 crores FY '23. But they are also expecting the similar around more than looking to the expansion program, maybe a growth of 25% to 30% this year. They have declared a dividend also 30%, Rs. 0.60 because the share was split from Rs. 10 to last year. They've increased the dividend percentage also.

Bharat Vageria : Yes. No, I think it is great. I think both companies are doing really well. And I think it's a matter of time before markets start recognizing and valuing it. So, all the best to you, sir.

Moderator : Next question is from the line of A N Boda from Sanmati Consultancy Private Limited. Please go ahead.

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A N Boda : The Company has made a cash profit of Rs. 400 crores this year. Depreciation, net plus depreciation approximately Rs. 400 crores profit. But sir, your inventory and debts, so they never come down. They all go on increasing, increasing, increasing. Today, there is already Rs. 940 crores, then inventory is Rs. 995 crores. And

on another day it will be Rs. 1,200 crores. Why is

Company not taking initiative to reduce the debtors and the inventory?

Bharat Vageria : I think you have rightly pointed out. You see that corona effect is now going back now. During the corona period, the working capital cycle time was increased 120 days above, which is now reduced and reduced to 110 days and Company internally in the 2 years further down the line, keeping target of 100 days. So, you have seen the business growth of 17% is already there as far as the current financial year is concerned. So, again, in the next 2 years' time, we will have a reduction. Therefore, we are keeping a target of increasing the ROCE from 14% to 19% in the next 3 years' time. And that is possible by increasing the margin, reducing the working capital cycle days, right? So, as I mentioned, I tell you the Company has done the expansion, good potential for the business in the period ahead. And I tell you on the same debt level, Company will be able to achieve and surpass the business with the 15% to 20% growth, means we can do the current investment, we can do the business of Rs. 5,000 crores.

We are working on that. Otherwise, ROCE will not be improved. I know that last year because of the certain important items are there. And inventory, we are targeting ourselves to come back. The inventory has reduced. Inventory has reduced from 112 to 70 days, 83 days. So, now what happened, we have a certain component. I'll tell you how it is improved. Because currently, our products which we manufacture certainly, we need to do the import item, okay, which is not available in India. But as many companies, local producer, ONGC, OPaL, HEM, are coming out with the local production of the raw material which we need. Because currently, almost 60% product inputs we are importing, which is not locally available. So, when that will be made available in India, which certain local manufacturers are promising us to have a manufacturing here in India in the next 2, 3 years' time, then definitely our inventory level will go down.

And another thing if I have to give the debtors an increase, so the same way we are working out, the creditor level also should be increased. And I'm getting more credit, I will give you the credit. So, that way balancing out net working capital days, we are focusing on improvement.

A N Boda : Sir, the second question is regarding restructuring. Restructuring is going on since 2 years. First restructuring was intimated in 2021. Now it is 2023, almost 2 years are over, sir, restructuring. Actually, there should be a time line, because you said based on the '21 balance sheet, then '22 balance sheet. Then you will say there is '23 balance sheet. So, there is no end to this. Growth will come, but we have to take the decision at any point of time.

Bharat Vageria : Decision will be there. I mentioned in the last call also that now it is a 1-year-old only because last 22 April only the AGM shareholders was there, and it was in the last shareholders it is approved because a special extraordinary general meeting was called. It was approved in the 9 April '22, which matter went there. So, now it is not 2 years old, it is 1 year old. We are in May

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now, 12 months old only. And what we are asking in the next 4 months' time, the results will come out.

A N Boda : Initially, the stock exchanges were intimated in 2021, sir. The board decided to restructure the business in 2021 May, June something.

Bharat Vageria : Yes. But the process started based on 2021. After the 2021 calendar end only the process started, Nobody will start the process till you close the year and provide them a provisional figures like that. Nobody will start that. You know that 2021 was the COVID 2 wave was there. Finally, activity started from January 2022 only. You know that 10 countries involvement is there, different

regions. So, it takes time. It's not the 1 country or 1 business.

Raghupathy Thyagarajan : Even for carrying the due diligence, traveling across different countries, there was a lot of

limitations during the COVID.

Moderator : The next question is from the line of Naitik Mohata from Sequent Invest. Please go ahead.

Naitik Mohata : Just a couple of questions from my side regarding the overseas business. So, sir, we were planning to sell the entire overseas business together and now we are planning to sell it in parts depending on the geographical locations. So, sir, if you could guide any split between the 3 locations and what kind of revenue do we make, I understand 33% of revenues comes from the overseas business on a consolidated level. So, what percentage of those level comes from America, Middle East and South Asia separately?

Bharat Vageria : 50% is Asian countries plus Taiwan, 50%; 34% Middle East and U.S. is 16%.

Naitik Mohata : Okay, sir. And it would be fair to assume that all these locations are EBITDA positive?

Bharat Vageria : Of course. I'm glad to tell you, not a single Company, I mean all companies are profit-making and are EBITDA positive, even PAT is positive.

Naitik Mohata : That's great to hear, sir. And sir, regarding the debt levels of the Company, the consolidated debt of the Company is around Rs. 890 crores. So, out of that, is there some debt that can be associated to these overseas entities?

Bharat Vageria : So, can you repeat your question?

Naitik Mohata : So, my question is out of the consolidated debt of Rs. 890 crores, can some part of debt be associated with these overseas entities that we are planning to sell?

Bharat Vageria : No, what happened, we have some gaps in the Indian companies also because we have onward lent to overseas Company because we have not taken the borrowing needs of the holding companies. If you ask me the overseas holding Company part, around the 25% to 30% is the overseas businesses. I recall my conference call previously; we have asked many times. Once
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we disinvest overseas businesses, even though the majority stake, maybe just 75%, 20%, we would like to have a debt free Company.

Naitik Mohata : Right. Also, as you're planning that by H1, you will sell off these overseas businesses. So, exit of these businesses, can you give a guidance for Time Technoplast for FY '24?

Bharat Vageria : You mean to say present guidelines, which I have said to you that over 15% growth we are estimating. And I mentioned that '23, we achieved business in the range of around Rs. 4,300 crores revenue with an EBITDA of 13.5%, okay? So, as I mentioned, means, I'm not considering present business as ongoing and continue with me only. Then definitely, we will have more than 15% growth and EBITDA level will reach to the 14% as far as current financials is concerned, that is with the present projections.

Moderator : The next question is from the line of Ganesh, Individual Investor. Please go ahead.

Ganesh : Sir, looking at the last 2, 3 years LPG cylinder revenue, it's around Rs. 180 crores, Rs. 190 crores. And they have not done any CAPEX in the last 2 years or so. So, I mean, is there any reason for it? Do we not foresee any additional revenue for LPG or we are prioritizing CNG Cascades better now?

Bharat Vageria : So, Ganesh, you have done right question. But I tell you, as we have made a substantial investment in LPG, where we have a capacity of 1 million saleable cylinder we can do of the different sizes. 1.4 million is the installed capacity. Saleable, we can manufacture 1 million of the different sizes we do. But as you know, the first gas distribution Company, oil distribution companies have given us the order for 2 years' time, which is ongoing already. In fact, our existing capacity utilization in the range of around 85% to 90% is already there. We do exports

also to various countries. But we are not talking about the expansion currently because we are just watching the response from the other oil distribution companies, government distribution and private distribution companies. And further, we will watch for the repeat orders for the quantity and for the further period ahead. So, based on the 1 or 2-year orders, we cannot plan for the expansion. Let us first see the business level and the interest of the other, which is already discussion is on with other gas distribution Company because the first order which we have received for 2 years supply from IOCL, which is ongoing, and they are getting the good response. And based on that response, other oil distribution companies also now started talking to us. So, when we get that business, then we can talk about the expansion. But certainly, not this year because this year, we have tied up and we have a plan for the CNG expansion, which is already good order book is in hand, looking to the demand of the CNG cylinders and further development of the green hydrogen. So, I think we can see next year as the demand will come, we'll do the expansion.

Ganesh : Just a couple of more questions. Post-divestment, how do we see our legacy value-add revenue split? So, today, as a whole Company, it's around 68% legacy and 32% value add. So, post divestment, do you have any rough percentages in mind?

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Bharat Vageria : You mean to say after the disinvestments of the overseas business you are asking me?

Ganesh : Yes, sir.

Bharat Vageria : I will answer your 2 questions. On consolidated way, today , our value -added products sales is 23%, which I'm projecting will go up to 25% this current year. But if you ask me 3 years down the line, definitely, we will have a 30% value added product and 70% this other product sale. If you ask me the 5 years down the line, then we will have a 35% value added sale and 65% of the products sale. And value -added products very well includes IBC, MOX Film and CNG Cascades. These are involved in the value -added products. Composite products will come under the value -added product, LPG, CNG, all others.

Ganesh : Sir, so those are the only producers of CNG Cascades in India, our EBITDA is still around 14%, 15% per CNG Cascade. Is there a way we can raise the EBITDA there? Or is that the proper pricing premium that's possible in the market?

Bharat Vageria : So, definitely, some margin improvement will be there. We have seen that the current year EBITDA level is 13.5%. And I have replied in the previous some query was there. My range EBITDA is 13.5% to 15%. So, if you ask me when my value -added product sale will be 35%, and the other product will be 65%, then definitely the EBITDA margin will surpass the 15%, and it will be in the range of 15.5% to 16%, because when the volume of the work will increase and the base expenditure will be low.

Ganesh : Just 1 last question, sir. What is the interest cost on our debt today?

Bharat Vageria : I have that working also because you know that current year, 37%, 38% rate increased by all the banks. But they have increased the rate quarter -on-quarter differently. So, average, they have rated is increased is 1.5%, but my rate of interest combined overseas and here put together is around 9.25%.

Ganesh : It's so difficult running a Company that too an MNC. And kudos to you for running it for nearly 40 years.

Bharat Vageria : I could not hear your question what you mean to say.

Ganesh : It was not a question, sir. I was thanking you for the opportunity, and it is just saying that it is very difficult to run a Company in India, that too an MNC.

Bharat Vageria : Thank you for appreciating.

Moderator : Thank you. Next question is from the line of Manish Umer from Manish Investments. Please go ahead.

Manish Umer: I congratulate you on a good set of numbers and completing the pledging of shares.

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Bharat Vageria : I think this stage was there for the last 15 years. So, as you are happy, we are also glad to tell you as the promoters also as we are selling our cost because that.....

Manish Umer: My question is you did a buyback recently. So, do you have plans to do further buybacks ahead?

Bharat Vageria : This is not a buyback . I can't comment. Your point is right. I remember 3 years back, our MD told, when there will be sell consideration, share pledge will be done, if we have any surplus, then we will buy shares. This is not buyback, this is promoters will buy, these are 2 things. One is the Company will buyback, and the other is promoters will buyback. Promoters, you know that we are holding 51.4%. So, definitely, as somebody mentioned the Company is undervalued. Yes, promoter will also think on that and that will be the right time to take the entry by the promoters because they have surplus funds available because of this the pledged shares have been paid. So, that's decided by the promoters together. But I think if it comes out, we will inform/update immediately to our valued investor. And again, I mentioned, again, repeat that we have mentioned in our agenda a consideration, how will be utilized as far as I'm talking to the Company . Time Technoplast consideration will come. That will be used for the repayment of the debt, investment, expansion in the value -added products; and number 3, benefit to the investors and the shareholders who will be there at that time .

Moderator : Ladies and gentlemen, due to time constraint, this was the last question. I now hand the conference over to the management for the closing comments.

Bharat Vageria : Thank you very much. But I, again, would like the person who left and have some any query, we have provided your number to the investor relationship manager. They can have a call to him and they can get their satisfaction, whatever clarification they need. Once again, I'm thankful to Vikram and his team and PhillipCapital, who are providing this platform to give our phone call on the presentation and earnings of the Company . Thank you. See you again and all the best for the future ahead for the Company and you all the people to grow with the Company . Thank you.

Moderator : Thank you very much. On behalf of PhillipCapital (India) Private Limited , that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

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Conference Call "

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MANAGEMENT : MR. BHARAT KUMAR VAGERIA – MANAGING
DIRECTOR , TIME TECHNOPLAST LIMITED
MR. RAGHUPATHY THYAGARAJAN – WHOLE TIME
DIRECTOR , TIME TECHNOPLAST LIMITED .
MR. SANDIP MODI – SENIOR VICE PRESIDENT
(ACCOUNTS AND CORPORATE PLANNING), TIME
TECHNOPLAST LIMITED .
MR. HEMANT SONI – VICE PRESIDENT (LEGAL AND
CORPORATE AFFAIRS), TIME TECHNOPLAST LIMITED .

MODERATOR : MR. VIKRAM SURYAVANSHI – PHILLIP CAPITAL
(INDIA) PRIVATE LIMITED .

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Moderator : Ladies and gentlemen , good day and welcome to the Q1 FY'24 Earnings Conference Call of
Time Technoplast Limited hosted by PhillipCapital (India) Private Limited.

This conference call may contain forward -looking statements about the Company which are
based on the belief, opinions and expectations of the Company as on the date of this call. These
statements are not the guarantees of future performance and involve risks and uncertainties that
are difficult to predict.

As a reminder, all participant lines will be in the listen -only mode and there will be an
opportunity for you to ask questions after the presentation concludes. Should you need assistance
during the conference call, please signal an operator by pressing '*' then '0' on your touchtone
phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Vikram Suryavanshi from PhillipCapital (India) Private
Limited. Thank you , and over to you, Mr. Suryavanshi .

Vikram Suryavanshi : Thank you Michelle . Good afternoon and a very warm welcome to everyone. Thank you for
being on the call of Time Technoplast Limited. We are happy to have the management with us
here today for question -and-answer session with Investment Community.

Management is represented by Mr. Bharat Kumar Vageria – Managing Director; Mr.
Raghupathy Thyagarajan – Whole Time Director; Mr. Sandip Modi – Senior Vice President
(Accounts & Corporate Planning); Mr. Hemant Soni – Vice President (Legal & Corporate
Affairs).

Before we start with the question -and-answer session we will have opening comments from the
management. Now I hand over the call to Mr. Bharat Sir for opening comments. Over to you,
sir.

Bharat Kumar Vageria : Thank you. Good afternoon to all of you. We are here essentially to talk about our results for the
Q1 FY2024 and our outlook for the rest of the year.

We are pleased to begin the year on an encouraging note with good year-on-year volume growth
of 18% and revenue growth of 14% driven by demand in the industrial packaging and the robust
growth in CNG composite cylinder business which is 83%.

Profit After Tax for Q1 also increased by 26% year -on-year lead by higher utilization of
capacities, demand for Type -IV composite cylinder for CNG cascades continue to be robust with

an order book positions of around Rs. 2 45 crore.

With the strong growth in sales of value -added products, composite cylinder LPG and CNG along with the stable core industrial packaging business, we are highly optimistic of a strong performance for the full year.

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Coming to the "Financial Number":

The results are already announced, but I will just walk you through some of the key financial and operational highlights that start during the Q1 FY'24, previous year figure also I will read for comparison on a consolidated basis.

Net sales stood at Rs. 1,080 crore. I am glad to tell you in the first Q1 in our history of the Company the highest business is Rs. 1,080 crore and last year it was Rs. 945 crore. EBITDA Rs. 148 crore as against Rs. 124 crore. Profit After Tax PAT is Rs. 56 crore as against Rs. 44 crore. Cash profit Rs. 103 crore as against Rs. 86 crore. Compared with the previous corresponding quarter, in terms of the percentage, Net sales increased by 14%, volume increased by 18%, EBITDA increased by 19%, PAT increased by 26%.

India and overseas business is 15%, overseas 13% as far as revenue part is concerned. Volume increase is concerned India is 19%, overseas is 17%. The EBITDA margin stood at 13.7% as against 13.1% an improvement of 60 basis points, due to the higher share of the value -added products and increase in the capacity utilization.

Now share of the business, established product versus value -added products. Value-added

ded

product grew by 24% in Q1 FY'24 as compared to Q1 FY'23. While established products grew by 12%, the share of value -added products has been 24% of total sales in Q1 FY'24 as against 22% in Q1 FY'23. Share of India and overseas revenue share is 63% and 37%. EBITDA margin in India and overseas are 13.9% and 13.4% respectively.

Net cash from the operating activity generated in Q1, Rs. 74 crore and I am glad to inform you that gap is reduced by Rs. 32 crore in Q1. The total CAPEX is also within the budget in the Q1 incurred Rs. 43 crore which includes towards the capacity expansion, reengineering, automation, considering the cost of the labor cost is increasing. And Rs. 26 crore for the value -added products that is IBC and composite products.

Furthermore, as informed during last call, Company has undertaken Phase -II expansion plan for increasing the manufacturing capacity of CNG cascade 600 in numbers cascade per annum.

Moreover, under the Phase -II expansion the Company can utilize the capacity to manufacture cylinder both CNG and green hydrogen.

Now I know that all my valued participant in this call would like to know about consolidation cum restructuring of the overseas business. I am happy to inform you that discussion with the prospective buyers are at an advance stage in two different geographies that is, as we know that overseas we have a presence in 10 countries, two geographies we are talking that is in Southeast Asia and the U.S. region. We are confident of bringing a positive closure shortly.

The Company's strategy of shifting the valuation based on the year 2022 calendar year results and splitting the geography to facilitate discussion with the different perspective buyers has worked well.

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As informed earlier the profit will be used for the repayment of the debt; CAPEX for the composite cylinder, LPG, CNG and hydrogen in core businesses in India to make huge market demand and will also be used to benefit to the shareholders.

Now I would like to open the floor to answer specific questions --. Thank you.

Moderator: Thank you very much, sir. We will now begin the Question -and-Answer session.

Participant: Last year with 180 cascade capacity in CNG we made around Rs. 150 crore now we have capacity around two and half times of that, so shouldn't our revenue capability be around Rs. 350 crore or something like that?

You also mentioned in the slide that's about the composite cylinder for oxygen and breathing gas just want to understand what will be the addressable market size for that in terms of revenue?

Third thing is with the demand in India among the LPG distribution companies also capped with our order with IOCL, it looks the international demand is also capped because we are not thinking of our expansion in capacity on LPG side at all these days. So, is that the case or we see any international demand also.

Bharat Kumar Vageria: I will answer your first question, that we had a capacity available up to the March 2022 was 180 number cascade and for which have been expanded to 480 number cascades. So, you want to understand 480 number cascade what is the maximum revenue can be generated, that's I think

Rs. 325 crore at 85% to 90% capacity utilization is possible. And this we are targeting and taken under our consideration of the current year.

#2 Composite market size you are telling, if you have gone through a presentation there we have mentioned what are the composite product overall market size. Yes, there may be the combination of using that composite cylinder, metal cylinders, other cylinders, the market size looking into government new policy which was announced in 2022 and the gas station allotting to the various participant, you will find total market size is around for entire type of the cylinder is Rs. 22,000 crore business potentially there.

But if we have taken the application for each of the cylinder may be the CNG cascade, then compressed biogas and maybe the automotive sector industry, we can estimate business of around Rs. 2,500 crore in the three to four years' time for these composite products out of the total market requirement, because total market as I mentioned for CNG cascade, mobile repairing unit, compressed biogas, gas generator for telecom, CNG for intracity bus, business size is around Rs. 29,000 crore.

It is different years for the policy, for example CNG cascade policy for eight years, MOX policy for four years all are there. So, estimated per annum business is Rs. 6,200 crore. Out of that the composite product based on the advantage of the composite products which we are manufacturing business can be of Rs. 2,500 crore in the next three to four years' time.

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#3 The third question was regarding the LPG. You are right, LPG we have a capacity for 1.4 million cylinder when we produce one size, but we manufacture different sizes. So, we consider around one million cylinder as a utilization capacity. Yes, our utilization is almost around 85% to 90% because IOCL order is there, is one of the gas distribution companies. Other two gas distribution companies are also under pipeline they have also started using this composite cylinder. And our export is also more than 48 countries it is continue.

In the last call also we have said very clearly expansion we will think next year when the other gas distribution Company will also come out. Then we will also have results from the IOCL which the distribution is ongoing since last 18 months and further it is going to be continue. So, we are not talking LPG expansion as far as this is concerned because they are already in our hand for the CNG and hydrogen cylinder expansion work is in very well it is progressing and all.

Moderator : Thank you. We will take the next question from the line of Jatin Damania from Kotak. Please go ahead.

Jatin Damania : First on the CNG composite where you have said that our current order book is 225 and looking at the government prospect next three to four years looks good. But have we seen any tender getting opened or what will be our bidding pipelines for the next year or two year and when that tender is likely to get awarded?

Second question on the overseas I mean definitely I mean now if you look at the overseas business its 50 bps less margin as compared to what India is. But since you have already mentioned that you are in the discussion stage with the prospective buyers and shifting the valuation base from Financial Year '21 to '22 or '23 so I mean on broad basis what is the valuation one should work on, I mean when you are letting of the asset, I mean broad based numbers if you can highlight and the effect on the overall performance of the business?

Bharat Kumar Vageria : Now I think question #1, you are asking about the order book is a continuous process. Already orders is continuous, whoever customers are giving order for the CNG cascade they give us their schedule, because they are also ordering parallelly they need the vehicles to carrying that cascade so it's a continuous process. But we have mentioned as far as the order book is concerned, Rs. 245 crore is order seen in hand already as on date, further tenders already some submitted, some discussions is on, so time to time, quarter-on-quarter we will update about the order in hand, right.

Raghupathy Thyagarajan: I must clarify to you as well the companies are realizing the advantages of the high-pressure cylinders of composites that have been manufactured by our Company Time Technoplast. So, the tenders are also getting modified accordingly. I am very pleased to inform you that being the only manufacturer of such large size cascade, high pressure cylinders in

India we almost have

a track record of almost about 100% on most of the tenders that are coming through. So, I think that should really bode well for the future as well.

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Bharat Kumar Vageria : Then your question regarding the overseas business I mentioned to you, yes it is in the advanced stage of talking, valuation part is concerned yes our valuer, our advisors are in contact with them. So, at present I can't give you any exact figure or valuation part, but definitely we will update you as and when we will finalize that. We have mentioned already you know that as the objective also we have mentioned very clearly, repayment of the debt, CAPEX for LPG, CNG and hydrogen and core businesses in India and definitely it will cover all of that in this our valuation part.

Jatin Damania : One more question I would like to understand on the industrial packaging. Now globally we are seeing a downturn in terms of the chemicals industry. And definitely our export market as far as the industrial packaging is concerned is looking good. So, have we seen any pressures from in terms of the demand in the industrial packaging or in terms of the margin compression or on the industrial packaging ? And lastly if you can update on the operation business on the MOX films?

Bharat Kumar Vageria : You want to understand about the packaging business overseas. We have seen that except the U.S. part other two geographies we have not seen any kind of the pressure. Yes, we have seen the U.S. market is a little down by 20%. But our overall geographical distribution of the revenue in U.S. for overseas revenue out of that entire 100% overseas revenue, out of that 20% we get from USA, 50% from Southeast Asia plus Taiwan, and 30% from Middle East.

So, U.S. is down, we have seen around 15% to 20% but that will not affect in overall growth estimation of the Company because we have a good seeing demand of China Plus advantage in the other Asian countries which is Indonesia, Thailand, Malaysia like that. And Middle East is also doing very well. So, overall growth in overseas market which we are estimating in packaging will be about 12% to 13% that is online, we have not seen any kind of pressure from the margin of the businesses, even margins is going to be expand by 10, 20 basis point, it is going to improve.

MOX film is a very small in percentage the overall revenue, but you want to understand the season is ongoing, it's a good business. You know that in MOX film maximum business we can do around Rs. 150 crore to Rs. 160 crore based on our current capacity. We are not expanding in that particular product, because we had seen this business in the COVID period it was affected, this business. But yes it is going to be continued, there is not any much margin pressures also because we sell our product based on the quality of the product. So, not affecting any much about that, in fact you take the revenue of Rs. 120 to Rs. 140 crore revenue out of approximately around Rs. 5,000 crore revenue is hardly 2.5% of my total business.

Moderator : Thank you. We will take the next question from the line of Madhur Rathi from Counter Cyclical Investments. Please go ahead.

Madhur Rathi : I just wanted to understand our EBITDA margins like two, three years back we had highlighted that our value-added products EBITDA margin would be around 20% and 14% for the composite Time Technoplast Limited.

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products. So, I just wanted to understand this decline in margin, is it purely from raw material price increases or is there any different factor behind that.

And the second thing was, I wanted to understand about the industry, about how much market like as you mentioned Rs. 2,500 crore market in three to four years' time. So, how much can we get out of that ?

And what kind of shift are you seeing from steel to composite

site materials in the CNG and LPG and how exponential that can be?

Bharat Kumar Vageria : I got Madhur your point, I think you want to understand the EBITDA margin is not affected.

You see except the corona period where the EBITDA margin was in the range of 11% to 13% that is because certain products were not allowed to manufacture during the COVID period. If you keep apart the COVID period then after our all this history is there, EBITDA margin was in the range of 13% to 15%. And we are in that line afterwards because after the first COVID full year, last year we achieved an EBITDA margin of 14% in all of the year.

And further I have already mentioned in my call also, value-added product EBITDA margin is continuing in the range of around 18% to 22% so average maybe around 20% in the value-added products margins are there, and that is going to be continue, because whatever we have a 92% businesses is B2B business where we pass on our increase or decrease to our customer. So, we are not affected by what kind of volatility prices in the commodity product or polymer products they have, but we have a system of passing to the customer.

So, we will definitely as our value-added product is going to be expand, and expanding already, so EBITDA margin 20, 30 basis points is going to improve year-on-year. And you want to understand the growth plan, definitely Company management looking at the product in hand, estimating over 15% growth around the whole of the year across the products.

Madhur Rathi : So, 20 to 30 bps EBITDA margin increase for every percent increase in value-added products, so is that correct?

Bharat Kumar Vageria : Yes, of course as the capacity is increasing, expansion and utilization is increasing, yes all of the year EBITDA margin definitely we will see the improvement which currently in terms of the percentage we have seen the EBITDA margin currently EBITDA margin was 13.7%. So, you were asking 13.7% EBITDA margin as against last year 13.1%. And we have seen the whole of the year FY'23, EBITDA margin was 13.5% . So, certainly you will see improvement in the margin maybe 30, 50 basis point as the utilization and quarter -to-quarter the revenue will increase.

Moderator : Thank you. We will take the next question from the line of Karan Premchand Gupta from CAVI Capital. Please go ahead.

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Karan Premchand Gupta : Just wanted to check in again on the sale of the overseas business now. In your opening comments you mentioned that you are in talks with two of the 10 geographies. So, is that all that it's limited to or are we looking to divest all 10 geographies or if you could just tell us a little bit more about that?

Bharat Kumar Vageria : In any fact, I will tell you that's two geographies we have taken in hand, third is also in talks but we will take after completion of these --

Raghupathy Thyagarajan : Two out of ten geographies.

Bharat Kumar Vageria : No, I tell you just I am clarifying you, we have plant in the 10 overseas countries. Now I mentioned to you, 10 countries business in three geographies. For example, a few geographies we are in discussion.

Karan Premchand Gupta : I mean you would appreciate that we have been very patient shareholders .

Bharat Kumar Vageria : I know very well and as we are also having a patience and we are also talking since last I can say after results last six months also we are talking based on 2022 results. So, three geographies as I mentioned to you Middle East is the one part, four countries we have presence; Southeast Asia, five countries we have presence and USA is a one part. So, this we consider the three geographies, out of that two geographies we are talking and as I mentioned to you in my beginning statement that we are on the advanced stage.

Karan Premchand Gupta : And on the domestic business, we have a number of plants that

are spread throughout the

country. Are there any plans for any kind of consolidation or do you think this is the most efficient structure for our activities, currently?

Bharat Kumar Vageria : Karan you are right, consolidation you are talking in India it's a routine process always we will do based on the logistic advantage. So, India we have a presence in 16 locations. So, definitely process is on and wherever we need minimum size of the business that management has decided to continue in that location, if that location is not getting the required revenue then that will be consolidated to the nearby locations. So, that's a routine and continuous process.

Raghupathy Thyagarajan: At the same time there are newer geographies also.

Bharat Kumar Vageria : New geographies will be added if and when the requirement is coming more.

Karan Premchand Gupta : So, what I am trying to get was actually you know also on our return on capital, so we had some target that we discussed about a year, year and a half ago, so I just wanted to understand your trajectory towards achieving those --

Bharat Kumar Vageria : You are right, your point of view I have mentioned in my last call also and in many meetings also, we are consolidating not only in the overseas business by disinvestments but yes in India product consolidation also we are doing, as I mentioned last time also, certain products which

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has the revenue of less than Rs. 40 crore say a year, we have closed down that business like molded furniture we have closed down, healthcare products, small products were there, we have also closed down. So, certainly management has decided now to continue and do the product where the revenue is more.

And yes, this process is going to be continued. So, you are right, I mentioned and you know that target of the ROCE which is currently 13.5% around is going to be 19% in the next year that is the target and we are on that achievement of that target for that work is already on and there quarter -on-quarter you will see the progress because the only repayment of the debt is not the target of the increasing the ROCE, but yes product, value additions that will increase, EBITDA margin will expand, reduction in the working capital also is on radar . So, all combination of various efforts will enable us to increase this ROCE to 19% in three years' time.

Karan Premchand Gupta : Do you have any shorter -term targets so instead of saying three years out maybe by the end of fiscal '24, do you have any shorter -term target that you are internally working with for returns and capital?

Bharat Kumar Vageria : Yes, you can take as I mentioned to you currently 13.5% and I want to achieve 19%, 19 minus

13.5 the difference is 5.25%. Around 1.5% to 1.75% annualized increase you will be able to see that.

Moderator : Thank you. We will take the next question from the line of Deepa Agarwal from Niveshaay. Please go ahead.

Deepa Agarwal : What is the capacity utilization of the Dahej plant which recently commenced?

Bharat Kumar Vageria : Well, it's one of my subsidiary Company like TPL Plastech who has just completed Greenfield manufacturing fully automatic plant in Dahej for manufacturing of the packaged products. And that is for plastic drums, jerry cans and IBC, it's just begun because you know that in the first quarter always whenever new plants, all vendors need to approvals, supporting, testing, internal standard, approvals testing required. So, already plant has started. But at the end of the year, we are estimating utilization in the first year itself to reach around 50% to 60% in all of the year.

Deepa Agarwal : My next question is, could you please explain the segment of urea tanks like how is it panning out? What are the revenues, what are the customers and order booking in urea tank?

Raghupathy Thyagarajan : On the

urea tank we have already developed two models in consultation with the OEM companies and we have also started the business for urea tanks. It involves very recognized OEMs as well. So, these are one of the two fast moving models that are there. There are another three, four models which are also there in the pipeline, as we are in a position to see the Euro 6 which is being enforced. The development of the urea tanks have taken larger momentum and especially with commercial vehicles I think we have been more or less we should be in a position to complete this requirement in the next one or two years or so.

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Deepa Agarwal : Any expected revenue guideline from the same segment?

Bharat Kumar Vageria : No Madam, in fact I will tell you it is one of the no molded product, urea tank is developed, it's a product depending on their models also. We don't give any kind of product-wise revenue specific to Euro, but I can tell you automotive segment revenue, where we get around 3% to 4% of our total revenue there we are also estimating growth of around 10% to 15% in our overall projections.

Deepa Agarwal : My last question is regarding the oxygen cylinder. Are we manufacturing and have some order booking positions with respect to oxygen cylinder?

Raghupathy Thyagarajan : We have developed these oxygen cylinders in two sizes very specifically to begin with, these are mostly used for people who are in the higher altitude or diving or even firefighting incidents and etc. order bookings are already there, already been booked the product has been also got the PESO approvals. We should be launching this product probably anytime soon, probably in the next one month or so we should be in a position to launch that product.

Bharat Kumar Vageria : It is part of the composite products only.

Deepa Agarwal : I want to know like the CNG cascade in what vehicles are we currently supplying the CNG cascade like we have huge order book as well. So, I would like to have knowledge of that.

Raghupathy Thyagarajan : You would appreciate, the CNG cascade is nothing but a bank of cylinders which are kind of connected together to enable the carrying of the CNG gas from one mother station to the retail outlets. So, basically these are kind of mobile storage tank which are used by the CGD companies or the gas distribution companies to transport the CNG from their mother station to the distribution. So, that's the places where the cascade is used. Whatever capacity, little capacity that we have, we have to more or less utilized for that kind of application.

The next set of expansion that we have planned for CNG is also taking into account the cylinder designs and these respective sizes for use in the automotive sector and that is when you will find these cylinders also being used among the trucks and the passenger vehicles also. So, some of those applications with the high pressure, light weight cylinders will come into being as we roll out the expansion projects. So, right now our cylinder business is focused on CNG cascade where we have fully utilizing the capacity.

Moderator : Thank you. We will take the next question from the line of Dolly Choudhary from Niveshaay Investment Advisors. Please go ahead.

Dolly Choudhary : So, it has been mentioned previously that few players are into the manufacturing of these CNG composite cylinders, they are more into the assembly of them. So, I wanted to understand the price differential between the products and what is the competitive scenario currently?

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Raghupathy Thyagarajan : It's admittedly we continued to be the only manufacturer for the latest technological innovation that is called the Type -IV composite cylinders. There are other players of CNG cylinders in manufacture in India that is the Type -I that is ma

de of conventional steel cylinders. So, to a very large extent these types of composite cylinders go in the replacement of the steel cylinders. And there the weight reduction is almost to the extent of about 80% or so. Price difference notwithstanding, these advantages of huge weight reductions brings about a lot of convenience to the people who use these CNG cylinders because they are able to carry more gas and probably drive the vehicle lighter, give you a better mileage. So, these are the reasons as to why these composite cylinders are a runaway success in any geography that they have been put to use. So, I am in a position -- that also developing in this market as well.

Dolly Choudhary : So, I was talking about other place in Type -IV cylinder like you previously said that they are more into assembly of these cylinders, not into manufacturing? It has been like you mentioned previously.

Bharat Kumar Vageria : So, Madam, just I want to explain you, in fact I think CNG we talked about the CNG cylinder. Now the CNG cylinders cascade we talk, it's a complete system. CNG cascade mean that is the one complete system where the cylinder will be mounted and that cascade will be loaded on the truck and that would be used as a mother station to the filling station because new gas stations are coming.

Now the automotive sector is different, where the automotive OEM manufacturers may buy the cylinder, no need cascade from them. So, they will buy those CNG cylinders from us for different sizes, based on their capacity of each of the vehicles. As my partner has mentioned to you, we will see that use of the automobile chapter next year only when we are ready with our expansion plant. So, presently my order book is healthy for the CNG cascade itself. So, as an individual cylinder we are not selling it currently.

Dolly Choudhary : My other question is regarding Indoruss synergy this Company also into the same thing and they are manufacturing some modular mobile unit station, so I wanted to understand what is that.

And is Company planning to cater into this segment?

Raghupathy Thyagarajan : No the mobile stations that you are talking about is the one which is basically used for carrying the CNG gas cascade from one end to the other #1 application. #2 Application is the gases that are being generated out of the CBG stations or the biogas stations that are there so they also require high pressure storages etc., so those are the applications level. So, wherever you have high pressure requirement for these gases to be stored these cylinders will go in as a bank to be stored either on a stationary basis or probably on a mobile basis.

Dolly Choudhary : And my last question is regarding the restructuring. So, I wanted to know that if this restructuring that we are planning happens this year soon so what will be the revenue loss from that? And till what the Company is planning to recover from the domestic business.

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Bharat Kumar Vageria : Good question you asked, because one thing as overseas revenue it is in the range of around Rs. 1,400 crore business. And that business we are internally estimating to recap in the next three years' time or two years' time because considering the growth of, for example last year we did business of Rs. 4,293 crore if you reduce out of Rs. 1,300 crore the balance is Rs. 2900 crore. So, it will come back to the original level of the turnover maybe around Rs. 4,000 crores or over and above that in the next two years' time. But one thing again I mention, we are not diluting the 100% equity. We will continue with the minority investment, we will continue.

Dolly Choudhary : So, that Company currently focuses on value-added segment so I wanted on the outlook for industrial packaging and what share can we achieve with the current capacity in this year or two or three

years in industrial packaging?

Bharat Kumar Vageria : And I mentioned to you our overall growth estimate we are making over 15% maybe around 17%, packaging business we are estimating as the chemical industry is growing, volume growth is there, we are looking to the export and China Plus advantage. Around I can say 12% to 13% growth we are estimating, for certain other products we are estimating growth more, composite products we are estimating more than 35% growth. In PE pipe business we are estimating growth of around 13%, because last year business was lack in the PE pipe business. So, overall, 17%, more than 13% we are estimating growth. The packaging business is specially asking, maybe in the range of around 12%.

Moderator : Thank you. We will take the next question from the line of Ganesh from GK Advisors. Please go ahead.

Ganesh : So, how much of our composite or value-added revenue is coming from the overseas bucket?

Bharat Kumar Vageria : So, I will just clarify you, overseas location we manufacture only the packaging product that is plastic drum, jerry cans, conical pails and IBC. We don't have any composite product overseas.

Ganesh : So, just one clarifying question from my previous --. So, we have this specific section of oxygen and breathing air applications for composite cylinders. I am keen to know what is the revenue potential just for those applications.

Raghupathy Thyagarajan : I think we have already given you guidance on the overall composite cylinder business. So, it's difficult for us to give you a breakup on each individual type of cylinders. I think overall my

colleague Bharat Vageria has already given you indications also on the projected revenue for the composite cylinders.

Bharat Kumar Vageria : It will be overall composite revenue we are estimating around more than R s. 500 crore this year as against Rs. 350 crore we did last year, LPG and CNG together.

Moderator : Thank you. We will take the next question from the line of Deepak Poddar from Sapphire Capital. Please go ahead.

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Deepak Poddar : So, first of all I just wanted to understand more on the opportunity on the hydrogen sector basically. So, what sort of opportunity we are seeing. And I think we were working on developing the hydrogen cylinder technology right, so where we are in that particular segment?

Raghupathy Thyagarajan : Well this is one of the most promising development segment that we are into post the CNG potential that is already getting captured. The development on the hydrogen cylinder has been very positive because we have been able to develop very successfully the hydrogen cylinder in-house and meet the test requirements as has been prescribed by the international standards that are there. We will be moving the application to PESO for their approval next year.

The development of the hydrogen cylinders has also been encapsulated in our expansion plans. So, the new capacity plan that is being setup next year should also be in the position to be able to successfully commercially exploit the hydrogen cylinder potential to begin with. Some part of the capacity is year marked for that application as well.

As far as the potential for hydrogen cylinders are concerned you know it is a huge global opportunity that is really coming up, every geography, every country that you hear about they are looking at hydrogen as an opportunity to decarbonize it. India is also has set very ambitious targets for it. So, based upon our successful models on the composite cylinder for LPG, CNG, we are very positively poised towards exploiting that potential as well.

Deepak Poddar : So, what I understand is that the development of hydrogen cylinder, I mean it's on the positive side right. And we will be moving for approval to PESO maybe next year for our product.

Raghupathy Thyagarajan : That's right.

Deepak

Poddar : Next year means, I mean 2024, right.

Raghupathy Thyagarajan : That's right.

Bharat Kumar Vageria : By this time as currently we are in the month of August, so next year by this time we will come to know good news about the hydrogen cylinder development.

Deepak Poddar : August 24.

Bharat Kumar Vageria : Yes.

Deepak Poddar : And what sort of the capacity would be, we would be looking to create in this particular segment, hydrogen cylinder?

Bharat Kumar Vageria : I mentioned to you, you see my last conversation where I mentioned that currently expansion is coming only for the CNG cylinder, is the 600 cascade. But we are buying certain equipments so that certain we can do the seed marketing for hydrogen cylinders, but major capacity expansion we will see in 2025 /2026 when the hydrogen gas will be made available. So, we will keep

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ourselves ready to do that. And expansion we know any expansion first we are already experienced so we will take around six to eight months times only.

Deepak Poddar : So, currently we are focusing more on the oxygen cylinders and the CNG cascade ?

Bharat Kumar Vageria : Essentially CNG, oxygen and development of hydrogen that's the --

Deepak Poddar : And just I wanted to understand I mean our capacity utilization is almost I think optimum level at 85%, 90% right. And we are still talking about maybe about 15% growth for this year. So, what will drive that growth will it be a value-added product?

Bharat Kumar Vageria : Listen Deepak, I am talking across the product growth is around 15% to 17% which you will see, I have mentioned in just recently one gentleman has asked me the question, packaging business we are estimating growth of 12%, but composite product growth is estimating over 30% and that is going to be continue because next year the composite product expansion will also be completed. So, overall growth we are talking around 15% to 17%. But yes, composite products which have the value-added product, which has a margins are also reasonable and good so that will continue and that will give the improvement in the ROCE, working cycle time, across the benefit we will get to reach our target of the ROCE.

Deepak Poddar : 19% over three years.

Bharat Kumar Vageria : Yes.

Deepak Poddar : And among this growth our value-added product can grow higher, right I mean --?

Bharat Kumar Vageria : Of course, no doubt.

Deepak Poddar : And my last question is on seasonality, do we have any kind of seasonality in our business?

Bharat Kumar Vageria : I don't think so except the PE pipe business which is normally one or two months. But that also now you know that India, the rainy season is also very different, now you will find in the current season also in Rajasthan, no rains are there, in south rains are there, in western part rains are there, so I think it is not affected. And finally, I can say most of the products are seasonal, nothing is seasonal business.

Moderator : We will move on to the next question which is from the line of Madhur Rathi from Cyclical Investments. Please go ahead.

Madhur Rathi : What kind of IRR or ROCE do we expect before making any new investments, because when you say that 19% ROCE in the next three years I want to understand what will be our capacity utilization in value-added product. And all the new CAPEX that we are doing in value-added hydrogen, oxygen, so what kind of IRR do we expect from this?

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Bharat Kumar Vageria : I will tell you the IRR which is 19% projected for next three years is based on the current products which are in hand and considering growth potential which is in the existence and which is visibility is there. We are not considering hydrogen part in this ROCE because we have not considered any kind of fresh investment also from that.

In t

he present three-year projections, we are considering business will grow over 15%, further the CAPEX plan in the next three years also will be around Rs. 200 crore which is inclusive of the maintenance CAPEX, automation, re-engineering and to maintain the capacity and capture the growth so that will be adequate for us. For next three years I can say the Rs. 600 crore CAPEX expansion is adequate to get that growth of over 15% and to achieve the ROCE of 19%, because certain ROCE improvement will come from the improvement in the working capital cycle time also.

Madhur Rathi : What is their capacity utilization in the composite product business?

Bharat Kumar Vageria : I mentioned I think last time also, capacity utilization in the composite products we have a two LPG and CNG, if you ask me almost around 85% to 90%. Therefore, I had mentioned to you we are not launching our CNG cylinder in the automotive sector currently, because we have a healthy order book for the CNG cascade supplier, CNG cascade application so we are continuously focusing on that.

Madhur Rathi : So, how fast can we produce our products from the time we receive orders?

Bharat Kumar Vageria : I will tell you, normally big kind of the orders like cascade orders normally person give us the schedule. They give us the orders. They give schedule as per their requirement on month, but we have a quiet, I can say the supplier base has been increased for CNG cascade applications as we have experienced this product is just, I can say in '22, '23 and half of the year was there, almost two years back the CNG cascade have been launched. So, the user base is increasing and every users are giving us the time for execution of six to eight months' time.

And second, spot orders also come that we execute because we have a capacity available. And our other customer accommodate in that rescheduling. So, as I mentioned to you, utilization 85% to 90%, yes order execution times, customers always give us some time, because as they give me the orders parallelly they give also orders for the new vehicles on which they would like to install their cascade on the trucks.

Madhur Rathi : And how fast can we ramp up our capacity, so like you said --?

Bharat Kumar Vageria : I will tell you as the person has experience, you know very well once first time always takes time. Any capacity expansion certainly whatever at our end we can do it, but normally it is six to eight months' time.

Madhur Rathi : So, what kind of improvement are we going to see on the working capital side that will help us increase our ROCE?

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Bharat Kumar Vageria : I will tell you working capital days we are expecting to improve around five to seven days on the yearly basis, but it will go in the range of 85 to 90 days, I am keeping myself target for the working capital cycle time which is currently in the range of around 105 days. I am keeping the target for improvement by six to seven days on a yearly basis.

Moderator : Thank you. Ladies and gentlemen, that was the last question for today. I would now like to hand the conference over to Mr. Vikram Suryavanshi for closing comments over to you, Mr.

Suryavanshi.

Vikram Suryavanshi : We thank the management of Time Technoplast Limited for giving us an opportunity to host the call and taking time out for interaction with the stakeholders. Thank you all for being on the call.

Bharat Kumar Vageria : Thank you very much to all my valued participants to hear patiently. And thank you once again.

Moderator : Thank you members of the management. Ladies and gentlemen, on behalf of PhillipCapital (India) Private Limited that concludes this conference. We thank you for joining us and you may now disconnect your lines. Thank you.

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Moderator: Ladies and gentlemen, good day, and welcome to Time Technoplast Limited Q2 FY '24 Results Conference Call, hosted by PhillipCapital India Private Limited. This conference call may contain forward -looking statements about the company, which are based on the beliefs, opinions, and expectations of the company as on the date of this call. These statements are not guarantees of the future performance and involve risks and uncertainties that are difficult to predict.

As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the brief highlights on the financials from the management. Should you need any assistance during the conference call, please signal an operator by pressing star and then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Vikram Suryavanshi from PhillipCapital India Private Limited. Thank you, and over to you, sir.

Vikram Suryavanshi : Thank you, Rohit. Good afternoon, and very warm welcome to everyone. Thank you for being on the call of Time Technoplast Limited. We are happy to have management with us here today for question -and-answer session with investment community. Management is re presented by Mr. Bharat Kumar Vageria, Managing Director; Mr. Raghupathy Thyagarajan, Whole -Time Director; Mr. Sandip Modi, Senior Vice President, Accounts and Corporate Planning; Mr. Hemant Soni, Vice President, Legal and Corporate Aff airs. Before we start with question -and-answer session, we'll have opening comments from the management.

Now I hand over call to Mr. Bharat Vageria for opening comments. Over to you, sir.

Bharat Vageria : Thank you, Vikram, for the introduction. I'll just take one more person who is also available in the conference call, that is Mr. Vishal Jain, who is now taken in the Board of the Time Technoplast last year itself, and he now become the active member in Ti me Technoplast, so he is also would like to participate in this.

Now good afternoon to all of you. And on behalf of management, I would like to tell you belated Happy Diwali and New Year, and our best wishes for to do such type of earnings calls in the period ahead together with a lot of happiness and cheeriness.

Now we are here essentially to talk about results for the Q2 and half yearly 1 for FY 2024 and

outlook for the rest of the year. We are pleased to report healthy growth in top line and margin in HY FY '24, driven by good demand in the first half of the fiscal 2024. On a year-on-year basis, volume grew by 18%, which is again above our estimates. And further, revenue grew by 16%. This has been driven by good demand from the intermediate of bulk containers. Robust growth in CNG composite business is 111% compared to same period the previous year. EBITDA and PAT also witnessed a significant growth of 22% and 34%, respectively, driven by increased the share of value-added products. And this is going to be continue because the value-added product share business is going to be faster as the growth is also attributing over 40%. We continue to focus on increasing revenue shares of value-added products, which is now 25% of the total revenue, as compared to 23% in the corresponding period last year.

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While strong growth in our value-added products, we are highly optimistic of a strong performance for the full year. Please note whatever current revenue is value-added 25%, we are estimating to reach it 35% in the next 3 years' time because the growth will be faster and the good growth will be the value-added product. Other products, which will go around 10% to 12%. Now coming to the financial numbers. The results have already announced, but I will just walk you through some of the key

financial and operational highlights. During Q2 FY '24 on a consolidation basis, you will find INR1,195 crores as against INR1,024 crores last year. EBITDA INR167 crores as against INR134 crores last year. PAT INR70 crores as against INR50 crores.

In terms of the percentage, you will find the 17% increase in sales revenue, which is the 18% over the 13%. India, some percentage is higher because of the value-added product sale, composite is higher growth is there. EBITDA increased by 25%, PAT increased by 41%, which has seen from INR50 crores to INR70 crores. EBITDA margin was 14% as against 13.1%. That is up 13.1% it is improvement of 90 basis points compared to previous year. And again, it is further improvement in the even last quarter also June quarter.

During the HY '24 on a consolidation basis, half yearly basis, sales is INR2,275 crores as against INR1,969 crores. EBITDA, INR315 crores as against INR258 crores last year, profit after tax is INR127 crores as against INR94 crores.

Key highlights for the first half compared with the corresponding period previous year. Net sales increased by 16%, India 17%, overseas 13%, volume increased 18%, India, 19%, overseas 15%. EBITDA increased by 22% and PAT increased by 34%. In the HY 2024, EBITDA margin was 13.9%, revenue 13.1%, increased 80 basis points. Again, I would like to share one thing with my all investor. In the first Q1 always we do business of 22%. Q2, we do 24%. In first half, normally, we do witness in the range of 45% to 46%. In the balance up always, we do business of 55%, so that will give the EBITDA margin expansion every quarter and quarter-on-quarter also.

Then share of business, established products versus value-added products. Value-added products grew by 28% in HY FY '24 as compared to HY FY '23. While established product grew by 12%, the share of the value-added product is 25% in total sale of HY FY '24 as against 23%. And this percent is going to be continued, as I mentioned to you.

India and overseas business in the same range, I think, 65% to 35% and the previous year, it was 64% to 36% because India value-added products are more and in overseas, we do value-added products. EBITDA margin in India and overseas, yes, India margin, EBITDA margin continues at 14.1% and overseas is around 13.4%. Debt stood INR766 crores as against INR811 crores, a reduction of INR34 crores, and that is also going to continue as the company's earnings, operating profits are there, which is going to be packed back in the company. So repayment quarter-on-quarter is going to be continuing. Yes, one additional thing I would like to update about the improvement in the ROCE. Overall ROCE, even though the half yearly ROCE is not comparable, but even though we have worked out. ROCE in the first half is 14.1% as against the last year same period was 11.8%. Full year ROCE at the end of the year, we are

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targeting 15.5% and at all as we have also estimated our revenue for the next 3 years overall objective in the company to reach the ROCE around 20%.

So every year, we are estimating to increase by 1.5%. And that is, by the way, of a combination of the various things, which we have discussed in the various calls also, improvement in working capital, improvement in margins, improvement in the sale of value-added products. So these all combination of all will give the increase in the ROCE.

Yes, capex in the first half, we have seen INR99 crores we have incurred, which includes

expansion for value-added products, CNG, IBC put together is around INR59 crores. And for normal capex, automation, reengineering and to maintain the capacity is around INR40 crores. Total capex full year estimated looking to the current ongoing process in the range of INR175 crores to INR190 crores.

Further, I know that my valued investors, existing and the prospective

would like to know what

is the status of this sale of the overseas business, which last time also we had mentioned 2 continents, 2 are under 2 geographies are in the advanced discussion, advanced stage, majority stake, this investment will take place.

And the entire transaction also, we are definitely making our best papers to complete in this FY '24 only. And we are also internally targeting to handover process for overseas with the new partner also can be started from the January 2024 beginning of the new year also. So that we are discussing with the joint venture partner, the details of the JV agreements are under discussion and going to be finalized soon.

In respect of these proceeds, we have already discussed many times, and we have not changed any objective. It includes repayment of debt, capex for the LPG, CNG, hydrogen and mid-to -- to meet the market demand and also use to the benefit to the existing and the prospective shareholders.

Now one another thing that I would like to bring a bit because in the last, I can say, quarter or I think in the 6 months, management identified certain additional non-core or non-performing assets which last year, it was in the INR40 crores, out of that, some assets have been disposed off. But some additional assets have been identified, and which is in the range of around INR100 crores, and that management is keeping target to sell off and use these proceeds and internal policy is letting it by March 31, 2025, non-performing assets should be zero. That's the internal target we are keeping it. So the money can be used for the best -- put for the use and the return can be increased.

Now I would like to open the floor to answer the specific questions. Thank you all.

Moderator: Thank you very much. We will now begin the question-and-answer session. The first question is from the line of Aditya Jhawar from AJ Capital.

Aditya Jhawar: Great quarter, I would say. Sir, my question is just now, we have said that for the second half, we are going to hit 15% margin, right, 15% ROCE, right?

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Bharat Vageria: Yes.

Aditya Jhawar: So then the margins currently should go up, right? So currently, we are at 13% margin, 13% to 14% margin, and it will inch up to 15% to 16%?

Bharat Vageria: Okay, you complete your question, I will answer any other question or this is the question only.

Aditya Jhawar: Yes. This is the first question. Can you clarify a bit on this? And the second part is, you said that you are in the advanced stages of the subsidiary or some of the -- we want to generate overseas business. In that, what would be the value addition that a Iso will be going into basically, that also will be reduced, right in the value addition. So could you clarify that detail at how much revenue will be lost or what is the value addition that will be going into that? So these are the two for now.

Bharat Vageria: Yes. Mr. Jhawar, I think one thing is that in the Q1, you have seen my EBITDA margin was 13 -- last year, it was 13.1%. And this year was 13.9%, which is now Q2, you have seen 14%. And overall year, also, we are estimating more than 14% in the EBITDA margin. So you will see the expansion of 20 to 30 basis points every quarter because of value, as I mentioned to you, in first quarter, we do business of 23%, second quarter, 24%, third quarter, 26% and the fourth quarter 28%.

So margin, if I can say, range between 13.5% to 15% range is there as far as this year is concerned. As the management, we are keeping target of around 14% is maybe plus maybe 10 or 20 basis points upper side when we do the end of the year.

Now you're asking me about the valuation part, yes. JV partner is under discussion. So exactly, if you recall in the last time also we had mentioned we have an overseas business, 100% out of that percentage-wise, I can say, U.S.A., we do 20%, 50% b

usiness in Southeast Asia, Taiwan, we

do and 30% business in MENA region. Southeast Asia business, which is existing manufacturing operations in five countries. And those five countries, we are talking in U.S. countries, which we are talking, the two continents we are talking, which we are under discussion with the J V partner terms and conditions.

Value part is concerned, I think it was already last time when we were talking if the valuation worked out approximately valuation exactly we will come out and we will dispose that thing because it is still under discussion. But yes, when we will reach on the definite agreement, JV

agreement, all terms will be finalized together. Roughly, I can say we were estimating for 100% addition is around INR1,000 crores. But as we have mentioned that we are diluting around 80%. So maybe all put together maybe around INR800 crores, then you see the regional -wise continuing geographic wise I have given to you. So we've been 20% will continue for the balance period, and we can exit as per the terms which are under discussion maybe 2 years or 3 years, we can exit 100%. But definitely, that outcome will, as I mentioned to you, is going to be materialized and needs to be completed in the current financial year itself.

Aditya Jhawar: Okay. But how much the contribution is from the value -added in these subsidiaries or these areas?

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Bharat Vageria: I tell you, in value -added products, we do in India only.

Aditya Jhawar: Okay. So it's not in any -- but the IBC capacity, what is our total IBC capacity?

Bharat Vageria: IBC capacity, in fact, every country was the different capacity, in India, we are manufacturing at four locations. And IBC capacity percentwise also, I can tell you. In overseas, we manufactured IBC in seven countries out of the 10 countries. In India, we have a manufacturing plant at -- four manufacturing plant in IBC, capacity wise every plant has a different capacity. But my capacity utilization also if I tell you in the western region, it is around 80% to 90%, in South region, it is around 50%. In other part also, it is around 80%. So IBC is in fact minimum size capacity, we need to put it, right?

Aditya Jhawar: Okay. But when we are selling the joint venture, then this capacity, we will also go to them, right? That is what I'm trying to understand.

Bharat Vageria: Which one?

Aditya Jhawar: So when we are selling our subsidiary or the venture...

Bharat Vageria: No, no, no. You -- as I mentioned to you, we are -- you are talking, for example, IBC business is 10% of my total revenue. Out of that 50%, we do India and 50% there. So if you take the overall size of the revenue, IBC revenue which will go from the value -added product, it is only 5% of the total business. No, not a major, because major maintenance, we have seen on the composite product, which is LPG, CNG, that cycle.

Aditya Jhawar: Sir, last question I have is on the revenue part. If you see that we are in the range of INR1,000 crores to INR1,100 crores, INR1,200 crores, then in order to achieve that ROCE of 15% since the margin also will be stable, that means that in the H2, we'll be doing much better sales that -- so what is the revenue internal target you have for this year?

Bharat Vageria: If you tell me internally, I've given the whole year target across INR5,000 crores.

Aditya Jhawar: In Q2, what is the revenue target you have in the mind, but I would say that commendable job, sir on all the segments. I'm saying that there has been a fruitful improvement in financial statements and the strategy. I think thankful for the management.

Bharat Vageria: No, no, I'm clear with you. We are learning from such type of investors only because whenever we find some problem, they want every explanation, you will find next time we will include that in our presentation. And we try to

include in our earnings call also.

Aditya Jhawar: Yes. So what is our -- this year target, we are internal, but what is achievable? This year, INR5,000 crores is achievable sir, do you think that?

Bharat Vageria: You see I mentioned to you in first half, we do 45% business, second half, 55%, you can calculate. It's very simple. First half I've given to you already.

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Aditya Jhawar: And can you explain the 2 to 3 years, how much revenue we can get here, sir? How much is the TAM for -- where do you see the large growth coming from composite cylinders or how much growth can come year -on-year for 2 to 3 years' perspective? That is my last question.

Bharat Vageria: Of course, you are right, the composite product, which is currently we are estimating over around INR500 crores above. So if you ask, the only composite products next 3 years' time, it will grow over 30%. Other products will grow around 10% to 12%. The combined growth definitely will be more than 15%. That's the internal estimate we are keeping it.

Aditya Jhawar: Okay. So you are saying that composite cylinders this year, we are going to do INR500 crores and it will grow 30%?

Bharat Vageria: Yes, of course, going to be continued.

Aditya Jhawar: Great, sir. Great, sir. Sir, in this composite segment, are we thinking of auto segment also in this year because that is also a bigger market, right? Are we having any strategy there?

Bharat Vageria: Of course, strategy is there. Therefore, the new expansion is coming. Currently, we don't have a capacity. We are not offering to them, and we are not there. But yes, it's a process -- approval process, internal testing process is 8 to 12 months' time. So looking to my expansion next year,

which is already committed, we have definitely started approaching to them. Auto sector is a big sector, very huge market, which is currently is catered, in CNG line is the metal cylinder only.

Aditya Jhawar: So next year, we can expect from the auto segment also should contribute?

Bharat Vageria: Yes. In the second half year.

Moderator: The next question is from the line of Priyank Parekh from Abakkus PMS.

Priyank Parekh: Sir, I wanted to understand how much capacity we are adding in Dahej for IBC?

Bharat Vageria: Dahej, it is already there already. The capacity is already there. It's -- I can say new life pieces, if you ask me 1.8 million -- 180,000 pieces.

Priyank Parekh: 180,000 pieces. Okay. So we would be having some 600,000 IBC capacity overall, right?

Bharat Vageria: You are talking all put together in India?

Priyank Parekh: Yes, yes.

Bharat Vageria: Yes, yes, you are right.

Priyank Parekh: Okay. Got it. And sir, I wanted to understand like what is our competitive edge in IBC business, specifically in India because there is another listed player who is also expanding aggressively in IBC. So what is the sort of competitive advantage we are having?

Raghupathy T: Well, admittedly, IBC is an internationally recognized product. The very fact that GNX as a brand of the IBC is being manufactured in about 11 countries gives you an idea as to what is the Time Technoplast Limited

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kind of global reach that we have. Most of the IBCs that we sell are used to pack the chemicals and export it, get exported. So the recognition of the brand is very good among the importing parties wherever they are. The moment they know that the chemicals are coming in GNX band of IBC, then they are having a huge comfort factor.

The -- any other brand coming in the market will take their own time to grow. So we are taking necessary steps also to counter any such threats also from competition. We are now having presence in about four locations already. We will continue to scan the market and see as to how we need to grow so that a localized presence would also help us gain c

ompetitive edge.

Priyank Parekh: Okay. Got it. So I just don't want to get into specific details, but can you give me the broad idea on what are the sort of things we are doing to keep us ahead of the competition?

Raghupathy T: On the IBC front, I have covered the gist of what we are looking at. The detail in the strategy is not something that I can discuss on the phone, right?

Priyank Parekh: Okay. Okay. Fair enough. Sir, on the LPG cylinder side that we are currently fulfilling the 7.5 lakh cylinder order. So when we are expecting that to complete?

Bharat Vageria: It is -- still we have time, 1 year more time we have, time is extended.

Priyank Parekh: Okay. So I wanted to understand, like apart from that order, are we fulfilling any other order as well for LPG?

Bharat Vageria: Yes. In fact, yes, we are under discussion, and we are expecting some, because you know that present utilization, and we are supplying to IOCL. Another gas distribution companies like BPCL, HPCL, some private gas distribution, people are also there. So we are also talking with other gas distribution companies. And now is very well accepted in the market and good response is getting. So definitely, other government companies are also discussing and they should come out with their requirement. We've already submitted our sample and trial and tested is already finalized with them.

Priyank Parekh: So I wanted to understand the revenue we are seeing in LPG segment. Is it that from the single order that we are talking or it is from multiple orders?

Bharat Vageria: No, no, I tell you. The IOCL has given the order to two parties to us and the Supreme together.

Now that order, we are in the executing already. They have the right to increase the quantity.

That's right, they have capped with them. Further BPCL, HPCL will also come out. But in addition to that, I will tell you that we are supplying to more than 48 countries, this LPG cylinders. Already, we have approvals from those countries and my export is continuing. And we have added certain -- some of the, I think, six, seven countries newly added in this -- recently in the last year and this year together.

Priyank Parekh: Okay. Got it.

Bharat Vageria: Not only the India market, we are looking at export market also.

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Priyank Parekh: Yes. So that I wanted to call that. Sir, for the CNG side, can you give me a specific timeline by which the 600 cascades capacity will be available for use?

Bharat Vageria: I think, I can say it should be made available from Q2 of FY '25.

Priyank Parekh: Okay. Q2 of FY '25. Okay.

Bharat Vageria: For that place is identified, activity started, all approvals, consent, construction activity because

these are going to be consolidated in one place. It is in Gujarat nearby Vapi area only.

Priyank Parekh: Okay. Sir, so the current order book of INR225 crores for the CNG. So what is the sort of volume we are delivering for that order?

Bharat Vageria: It's an ongoing process, every month, we are supplying them because the -- every company give us the time for supplying of the six months to eight months delivery schedule they give us. So my current order book is adequate to supply in the current financial year.

Priyank Parekh: No. So my back of the annual calculation says, it is around 320 caskets, we are going to supply from that order. Is it a right way to understand that thing?

Bharat Vageria: I think you have seen in the first half; we did FY '24, almost around 170, we have done it. And balance also, we are expecting to close all of the year where it -- yes, so around more than 300 will be there. Yes.

Priyank Parekh: Yes. Just a small request, if from next quarter...

Moderator: Sorry to interrupt sir, may we request you to come to the queue for a follow-up question.

Priyank Parekh: Yes. Just last one thing. Just a small request,

sir, if from next quarter onwards, can you separate the LPG and CNG volumes, can you give them separately because the realization for both the parts are quite different.

Bharat Vageria: I'll tell you it is very difficult because casket also different, size of the caskets are small and big casket, cylinders also, you will find LPG cylinder 2 kg, 6 kg, 10 kg, 20 kg. So from the numbers to make and to divide and get the per kg casket or per kg -- per cylinder rate is very difficult.

What we are giving you LPG, yes, we can provide at least LPG, this value and CNG value can be given. Then in any case, that we are providing. Because there is a difference from next year onwards, when I will sell the auto sector only cylinder, then the definition will be different. Today it is a single product we are selling as a casket. Therefore, we are able to provide you this number. But yes, revenue-wise, as we have mentioned to you and in last call also, we said my existing investment in CNG, existing capacity, we can do business around INR325 crores. And as far as LPG is concerned, we can do business in the range of INR220 crores, INR240 crores in terms of the value revenue-wise.

Priyank Parekh: Okay. Got it. Yes. Thank you.

Bharat Vageria: Thank you.

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Moderator: Thank you. The next question is from the line of Jignesh Kamani from GMO. Please go ahead.

Jignesh Kamani: Just to update on the CNG segment. Our order book has declined from around INR245 crores to INR235 crores quarter-on-quarter. Sir, are you seeing the flow of inquiry in the CNG cascade has reduced?

Bharat Vageria: No, it did not reduce. In fact, it still is INR10 crores here and there doesn't make difference because every month, execution is on. And we are also looking to the current capacity, if somebody wants, we don't have a capacity. So it is not -- I mean we should not take now. We should tell them very clearly we'll be able to give you supply in the 2024, '25 itself. But yes, there is INR5 crores and 10 crores here and there. It doesn't make order book because we have a healthy order book.

And if you have seen in the first half as we did business of INR130 crores already, and estimating INR200 crores, INR225 crores order is in hand. So we have covered the entire financial year already. And further, every month also, we used to receive the order. So that is going to be continuing.

Jignesh Kamani: Understood. And second thing on the 600-cascades addition, Earlier, we were expecting by fourth quarter of '24. Is there any delay -- now it's delayed by close to around 6 months. So any reason why there is a delay?

Bharat Vageria: No, no, there is no delay. But what we mentioned, when it comes from the commercialization because you know, I'm telling you a commercializing point of view, it will come in the Q2 of FY '25, process has already started because identification of the premises, identification of the machine to time already funded, but we are keeping two months or three months in hand as a conservative way. But in any case, the project has been finalized, the location has been finalized. So there may be -- this big type of the project where the investment of more than INR125 crores are there.

I think we will really be terms -- we'll be able to tell you about the exact timing in the Q4 of this year. But if you ask me the rough estimate, I told you we should do the commercialization.

Jignesh Kamani: Understood. And...

Bharat Vageria: Because, you know, uncertainty everywhere, everywhere uncertainty globally is there. So we are keeping some contingency in hand.

Jignesh Kamani: Understood. Sure. And last question, if you talk about overseas venture, we should be doing close to INR100 crores of profit this year. So as you said, around INR1,000 crores kind of valuation. So why there is aggression to sell it slightly lower value?

valuation because annually, we will

generate at least INR100 crores -plus cash flow from overseas venture.

Bharat Vageria: Let me check -up. I think you are right. From your point of view, you know very well when the family becomes big. We have to take the new house. We have to take the new partner. We have to take the new premises. I know very well, my overseas business is growing at 10% to 12%,

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good EBITDA margin, 13%, not bad compared to other businesses. But as I mentioned in my last call also, we are replacing business from 13% to 18% or 20% EBITDA level business.

Another thing, we'll have to see our management bandwidth also, and we have also experience to take a local partner in each of the continent, then we can grow faster and our management bandwidth will also be substantial. So every country has a good opportunity wherever we have a presence. You know that we have a presence in Asian countries, present Malaysia, Indonesia, Vietnam, and Taiwan. Every country is growing because the China Plus advantage is coming in that country.

So we have only compulsion. But at the same time, I tell you, as your investors, you are telling why you are selling it? Some investor comes and says why you are not reducing the debt. I have to...

Jignesh Kamani: Sir, I'm not discussing on this why you are selling, I am saying, valuation which we are getting is very low. So rather than selling at low valuation, better we hold on and whenever we get a right value so we can exit at that time, I am saying.

Bharat Vageria: I tell you; we have appointed the best merchant banker; you'll know the JPMorgan name is there. We are not doing that thing. We will take their advice and we are doing it.

Jignesh Kamani: Understood.

Bharat Vageria: An international player.

Moderator: Thank you. The next question is from the line of Siddhant from Omkara Capital. Please go ahead.

Siddhant: Congratulations on a good set of numbers. I just have a few questions. So firstly, on the LPG cylinder side, sir, are we looking to expand this capacity considering we are already running at 85% to 90% utilization in it? And considering the extension of the IOCL orders of 7,50,000 cylinders, so in the next -- like by FY '25 or '26, are we looking to expand the capacity after having multiple talks with gas distribution companies?

Bharat Vageria: You can tell me any other questions or this is your questions only?

Siddhant: Yes. Secondly, I wanted to understand from...

Bharat Vageria: I will give you the answer together.

Siddhant: Yes. So secondly, I wanted to understand on the CNG cylinder bit, like considering they're running at around 85% to 90% capacity again with a healthy order book. So are we having any more orders in queue for the utilization of the 600-casket expansion or the orders will start coming in now? These are the two questions.

Bharat Vageria: Okay, fine. I think we have good questions. But if you have gone through the policy which have been given on our site, that is the government has made out policy, 2020 policy. That is very clear CNG business, and in gas sector, automobile sector is a huge opportunity, total size of the business is around in cylinder itself, INR28,000 crores, which includes metal cylinders,

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composite cylinders, where we are estimating, this eight -year policy is there, where we are estimating this business can be LTV on the CNG business can be more than INR2,500 crores business in the next five years' time. So we are trying to catch up that business.

In looking to expansion, yes, expansion, if you have heard in my last call, we have said expansion is on process already signed up, but it takes time to process because machinery and delivering supplying is a time -taking process. Already we have ordered in the beginning of

this year itself.

So CNG expansion is ongoing.

Now you asked about LPG, I accept that I think we are running currently 80% to 85% capacity.

But I tell you Siddhant, on the basis of the one customer, we cannot take the decision for expansion, let other two other gas distribution company, HPCL or BPCL should come out, then we will talk because we don't want to depend on the one customer itself.

Even though currently, we are supplying export to the other countries. So let us -- we are keeping our eyes open. We are watching regularly. LPG expansion definitely in case two other comes, we can think of the H2 of FY '25, not now. My first priority to do the CNG business expansion, which is order book is healthy. And every month, new inquiries coming because of this allotment has been given for the CNG gas station to various parties.

Siddhant: All right, sir. Thank you. And sir, one more question. Sir, we recently got the approval for type 3 cylinders used for oxygen. So are the manufacturing of that? Is it included in the 600 casket,

which we'll be putting up or in the 480 existing casket capacity?

Raghupathy T: It will be happening from the existing capacity.

Siddhant: All right. And the last question regarding the EBITDA margin for composite cylinders. So could you just give a view on segmental EBITDA margins?

Bharat Vageria: I'll tell you that's the point we are criss-crossing because we have some common infrastructure facility where we do blow moulding, injection moulding, composite all put together. So it is very difficult. But internally, as I mentioned, if you are aware, in composite total EBITDA margin is ranging from 18% to 22%. Exactly EBITDA margin is not possible because at one location, various product mix together then to making the final product, I have to use the different processes, injection moulding, blow moulding execution, all processes are all there.

Siddhant: Right, sir. Sir, and lastly, just on the IBC segment. At what level of growth are we estimating in the -- for FY '25 and '26, could that be somewhere in the range of 17% to 18%?

Bharat Vageria: Over 15%, I can say, roughly, yes. Over 15%.

Siddhant: 15%?

Bharat Vageria: Yes.

Siddhant: So that includes all our manufacturing plants and even overseas?

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Bharat Vageria: No, no. Overseas, I mentioned you separately 10% to 12% growth in packaging because overseas, we do only packaging products which is including the IBC, but I'm talking about the India part is concerned, there the normal packaging product, which we call as the plastic drum, Jerry cans, we can estimate a growth chemical company growing 10% to 12%. We can estimate that only and the chemical volume growth is there.

But definitely, as exports from India is increasing to the other countries. Therefore, we are estimating IBC growth. And as my partner has mentioned, Raghupathy has already, that GNX has created brand is in the 11 countries. Many customers in overseas returning their correspondence us, they want material packed in the GNX brand itself because we have an international -- we are a member of the international collection centres also, that we are estimating over 15% growth.

Siddhant: All right, sir. Sir, thank you for answering all the questions. I wish you all the best for the next half of the year.

Bharat Vageria: Thank you, Siddhant.

Moderator: Thank you. The next question is from the line of Aman from Aman Investments. Please go ahead.

Aman: Sir, my first question was, I just wanted to understand -- first question. On the Tesla order per VLPD, have we supplied in the orders can you just, unable to track that supply as well, if your comment? And second question, I wanted to get your -- sir, am I audible? Hello?

Bharat Vageria: Yes.

Aman: Perfect. On first one, on the supplies of Tesla order VLPD and also your outlook would like

any

further orders or any other further agreements have we had because telecom sector has also applied these batteries in their new towers, which are coming in various places.

And second thing, I wanted to get your outlook on commercial vehicles because due to energy generation, transportation requirements, commercial vehicle is being seen as a good sector, a growth sector, how do we see it because we are supplying fuel tanks, oil tanks and other plastic related products, hard plastic-related products to them. How is this sector turning out to be?

And also, is there any development in irrigation sector, substantial development for our infrastructure products in polymer products categories?

Bharat Vageria: Aman, I think you have mixed up so many things together. And one, one thing I will tell you, you are asking about the battery business, that is a separate subsidiary company business where we do. We are focusing on solar batteries, railway signal batteries, industrial batteries. And yes, we have a capacity to manufacture telecom sector batteries. But if you tell me the theory is that telecom sector business was 80% which is currently reduced. You know the reason; telecom companies were not doing -- they were not maintaining their tower properly. They were not demand. The battery was very down because of their, our revenue was affected.

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So we are now focusing on the solar, railway signal and industrial batteries. And as far as this battery is concerned, it's a small part of our overall revenue, we have discussed last time, and we have mentioned at the right time, we will also have a plan to exit. But yes, as far as company is concerned, the revenue is in the range of INR120 crores to INR150 crores.

But yes, the existing potential with a certain modification revenue can reach to the INR300

crores. But as you heard in our last call also, we have a more focus on the value -added products, so definitely, you asked me two years down the line, we may not continue this as far as battery business is concerned. But yes, if the company self-survival, that matter is concerned.

Now, another thing you asked about the infrastructure development, yes, irrigation, we don't do. But in infrastructure business territory, we do PE pipe, which is a good demand is there. If you see my last earning call, where we had mentioned previous year, we did INR200 crores business. Currently, we are estimating more than INR250 crores business.

At our present capacity utilization, we can do business in the range of INR400 crores. So definitely, this business, we'll see -- we will do the expansion, when we reach the business of INR400 crores. Now the business, which we have talked infrastructure is developmental zone. Have I left anything from your question?

Aman; Yes, sir. Commercial vehicle, I just wanted to understand?

Bharat Vageria: You have taken the right. On the commercial vehicle, we have certain automotive industry relationships. You and we all know very well, this industry is growing more than 15%, but we don't do the -- as I can say, the commodity products for the automotive sector. We do some specialized products for the commodity. And that is continue to development with the close relationship with the OEM directly.

Aman: Okay. Sir, just a follow -up question on the CNG, on the composite cylinder, sir. Just wanted to understand, we do end -to-end production of cylinders and what is our market share in India because we are the first one to start?

Bharat Vageria: So, you are talking about the CNG?

Aman: No, composite cylinders, sir, LPG cylinders?

Bharat Vageria: LPG cylinders. Yes.

Raghupathy T: Yes. We make these cylinders and offer it to the gas marketing companies like Indian Oil, Bharat Petroleum, HPCL. So they are the ones who buy the cylinders. They fill the gas and they market their gas and

diesel, so that's the application point.

Aman: Yes, sir, what is our market share? Because I assume it will be enormous.

Raghupathy T: Well, frankly speaking, when we look at the overall size of the market for LPG cylinder, they are in excess of 40 crores cylinders, right? So our share of business, when we talk about the entire market is minimal. But as you would appreciate the composite cylinders are an emerging option, which is being preferred by the users, and that is growing rapidly. So as on date, my
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market share on the composite side would be in excess of -- in India, it should be in the region of 75% to 80%. And globally, we are trying to reach out, so that's a difficult number to put it.

Aman: Perfect. Sir, just wanted to understand because -- do you think -- is it a transition pace for composite because certain challenges are there in accepting the cylinders, whether it be deposit money or any other local or retail challenges? How are -- how is government supporting to overcome? And is the force from the government side also very much pushing? Or are they in a stage of very complacent manner?

Raghupathy T: Well, the initial experience has been very good people who are handling these cylinders are also appreciating the fact that composite cylinder being light in weight, gives them a lot more convenience and advantage both the people who are involved in the trail and distribution, they are happy.

The customer is happy that he doesn't have to no longer handle the heavy cylinder inside the house. The woman feels very empowered because they don't need a man around when the cylinder is being changed, that's -- all of these are being very well appreciated. The light weightiness of the cylinder is good, the attraction of the cylinder is good. And above all, it's a very safe cylinder. This cylinder does not explode unlike a metal cylinder. So that's the reason as to why the composite cylinders are vastly emerging as a very good option ..

Aman: Sir, this is the last question. Usually, our mix of polymer products and composite polymer products, plastic products on composite has been in the range of 60% to 40%. Going forward, do we see the same mix going forward? Or will there be a change? Or do we presume that to be changed?

Bharat Vageria: As I mentioned to you, as the value -added product, which includes composite product, LPG, CNG and all other composite products, including IBC. Percentage of business, which is currently 25% is going to be increased. I mentioned to you, we are estimating it would be more than 35% in the next three years' time. Even though all other products, will also be growing 12%, this composite growth percentage will grow more than 30%.

Aman: Okay. Thank you, sir. All the best.

Moderator: Thank you. The next question is from the line of Mahindra Jain from Way 2 Wealth. Please go ahead.

Mahindra Jain: So heartily congratulations to all of you and your team. Yes. Sir, my question was, regarding

this, we are having -- holding of 75% into TPL Plastech. So that today's market cap is around INR400 crores of TPL Plastech of INR100 crores company. So, are we -- any planning anything to get benefit for the shareholder of TPL or Time Technoplast in what way we are like in it, how we will resolve this partnership and all?

Bharat Vageria: Why to resolve, I'll tell you, son is earning or father is earning, money is coming to the home at last. He is our son, TPL Plastech is 75% subsidiary. So that company earlier was doing jerry can and drums. Now they have launched IBC also, and Time Technoplast, while created a brand in Time Technoplast Limited

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IBC. So whatever business time is going -- manufacturing that benefit is going to technology, benefit, advantage, experience benefit will go to TPL also.

Mahindra Jain: Okay. But as w

e are restructuring, like in a way...

Bharat Vageria: No, there's nothing to do. Currently, in current status, I can tell you, it is going to be continued business as this is ongoing separately, because TPL Plastech contribute 8% to 10% to my entire consolidated revenue. That is to be continued. We can decide after two years or three years, we will decide to consolidate packaging business, but currently, it is not on the paper or nothing is there.

Nothing is discussed at all. It's going to be continuing. We are going to get the benefit of the experience of the Time Technoplast team for the product expansion. And you have seen TPL presence wherever Time is not there, TPL also put up their plants all over India.

Mahindra Jain: Okay.

Bharat Vageria: The benefits company is getting to continue. So, the business is continued separately.

Mahindra Jain: Okay. Thank you.

Moderator: Thank you. The next question is from the line of Dhiral Shah from PhillipCapital India Private Limited. Please go ahead.

Dhiral Shah: So, this year -- so we were targeting to reduce the debt by INR150 crores. So, in first half, it reduced by INR34 crores. So, are we on track to reduce the overall debt by INR150 crores in respective, let's say, international business sale or not sale?

Bharat Vageria: You're right. When we will learn what we do. We have to repayment debt first only. Yes. It's going to be a continuous process.

Dhiral Shah: So, this year, sir, almost try to reduce by INR150 crores?

Bharat Vageria: At the end of the year, my answer is, yes.

Dhiral Shah: Okay. And sir, in your opening remark, you talked about the value -added product contribution will go from 25% to 35% over the next three years. So, presuming after three years, let's say, value -added contribution grow up to 35% and that at that point of time, what the EBITDA margin look like?

Bharat Vageria: I might -- ask me even though it is not visible but something we can worked out on the paper, maybe over 15%, maybe in the range of 15% to 16%.

Dhiral Shah: Okay. And sir, what is the value of the overseas assets on the balance sheet right now?

Bharat Vageria: So, it is going to be expansion by 30 to 40 basis point, the expansion will be there.

Dhiral Shah: Okay. In the EBITDA margin?

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Raghupathy T: Yes.

Bharat Vageria: So similar effect will come on the price also.

Dhiral Shah: Okay. And sir, lastly, what is the value of the overseas assets on the balance sheet right now?

Bharat Vageria: Exact figure I don't have currently, but I think what you're asking me?

Dhiral Shah: Overall, the value of the overseas assets?

Bharat Vageria: The value of the overseas assets may be in the range of INR700 crores -INR800 crores around.

Dhiral Shah: Okay. Thank you so much, sir.

Moderator: Thank you. The next question is from the line of Mehul from Nuvama Wealth. Please go ahead.

Mehul: Good evening team. Thanks for opportunity and congratulations on great set of numbers. My question is, sir, you have guided for working capital like reducing targets you have given for like the next three years, like you should be reducing. So is it that we have exited target or like we should be in the similar fashion like in going forward? Because there have been like...

Bharat Vageria: I mentioned, I think -- you met me also, and I've told you the last time also, every year, you will find the improvement in the working capital cycle time. Internally, I can say next three years' time, I'm keeping a target of net working capital cycle time 90 days, which is currently in the range of around 105 to 107 days is there. And we have seen quarterly also, we have quarter -on-quarter is improving as the sale of the valuable appropriate time are increasing, this benefit is going to be continued.

Mehul: Yes. So my question, sir, I got it. Like what I am asking

is in first half, there has been significant reduction in terms of like a working capital cycle, so is it that we should be exceeding that reducing even further to 90 days over three years? Or again, it should be like a meeting that, like?

Bharat Vageria: No, it is going -- I think you will find an improvement of -- you will find the improvement of three to four days every quarter or every year here at least because you have seen when you are growing more than 16%, then also some working capital management will be there, but in a number of the days, it is, I think, only in the first half working capital days, 107. Yes. So my -- at the end of the year, you will see, I'm keeping target of 100 days. So you will find the further improvement in the next half.

Mehul: Okay. So 90 days like we should be meeting like in the not exiting, but like...

Bharat Vageria: Yes. I'm quite hopeful. I'm quite hopeful. If you see this year maybe 100 - or 102 -days next year, you will find 95 days then after we will see that. Every year, we will find improvement as the value gets added is increasing, and we are ourselves some discipline we are maintaining. We are arranging some kind of the products; we are talking to our customers also to giving certain benefits and give us our money on time. At the same time, we are talking to creditors to give the more credit, because now that every year globally also now market is open for that. So many,

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many opportunities are available. You can negotiate good companies are coming, new many manufacturers are coming. So you will negotiate the better terms.

Mehul: Sure. And sir, in terms of this value -added products wherein IBC is part of it. So I believe like 1/3 business is in domestic and like 2/3 business comes from overseas, if I'm not wrong of IBC?

Bharat Vageria: In IBC not exactly that, but you will find the 45% which we are in India and 55% overseas from IBC part is concerned.

Mehul: Okay. And how are EBITDA margin over there? Is it similar or like somewhat...

Bharat Vageria: I tell you; EBITDA margin may be different countries different. So overall, we are considering EBITDA margin in the range of 13% for overseas. But India, yes, maybe, as I mentioned, the value -added product, 3 products are there at different margins. So maybe in the range of, I guess, say, 14% to 16% EBITDA range.

Moderator: The next question is from the line of Ganesh from GK Advisors.

Ganesh: A couple of questions. First thing is, I mean, we are doing well on the CNG expansion and taking matured steps but looks like most of our revenue and profitability growth, at least on the value -added side is coming through CNG. Is there a risk of kind of putting all our eggs in one basket?

That is my first question.

Bharat Vageria: No, I think your question is not clear. We are not putting any one basket at the business what we are talking about, the CNG?

Ganesh: Yes.

Bharat Vageria: CNG, you see the size of the balance is CNG, what we are doing. CNG my total existing price expansion were put together maybe in the range of around INR200 crores investment and where we are estimating revenue by INR800 crores in the next 2 years side and INR800 crores revenue, if you ask you the 2 years turnaround, then my total revenue will be in the range of around INR5,000 crores, excluding the overseas business. And it is hardly 15% of my total revenue .. I don't think we are -- not have. You know that even we have delisted our business product wise. We have a packaging business 17%, we have a infrastructure business, which is always 7% to 8%. We have a battery business . So segmental wise, we are quite -- even country wise also, we have been. We have present in 11 countries among the business.

Ganesh: Among the value -added business, so LPG has kind of hit a feeling because of various reasons, okay, because

not much offtake from the OMCs and all that. So most of our growth on the value -added side is coming to some extent in IBCs plus the largest extent in CNG. So I am just thinking -- asking that if -- there is a risk of CNG also becoming like the LPG situation or there is a bigger enough market that CNG can grow well for last more years.

Bharat Vageria: I tell you; I don't consider this. It's a good opportunity for the composite product impact. My partner Raghupathy will explain to you.

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Raghupathy T: CNG business is here to stay for at least for the next 7 to 8 years, as you would read the government policy itself, they are very, very clearly advocating the use of natural gas in the -- as an option to petrol and diesel. So that drive is there. And accordingly, they have formed their

policies, the allocations have been made for distributing the CNG business among the different CNG companies. And that they are firmly in place.

So if the opportunity comes our way, we would like to grab it with both hands. There is no doubt. The other end of the piece of the cake is also the fact that these businesses with growth to encompass the automotive application additionally, that will also come in when my expansion has been in place, and we are also getting ready for -- to partake in the hydrogen demand that will also come up in the -- another next 2 to 3 years, right?

So we are making sure that we are readying ourselves in terms of technology upgradation, whatever is required to capture these emerging opportunities that are there. So from a risk point of view, I think there is a minimal risk to participate the demand that is coming our way is a very natural way to grow the business.

Ganesh: Got it. Got it, sir. Just one more question, sir. Most of our raw materials for at least our value-added products, I am assuming they are all imported. So is there an opportunity available that they may be available at least, if not now, in the subsequent years available locally. And that's make our raw material costs lower.

Bharat Vageria: I think your question is right, genuine, but I tell you the development of the CNG cylinder took place almost 4 to 5 years. Now the inputs, we don't change frequently because trial and testing procedure involves crores of rupees for talent testing. If you see the world over also, we are also following the international company's practices who are talented products available.

If you ask me today, if you ask me the composite products availability of the raw material in India, I am not only visibility at least for the next 2 to 3 years. But yes, for my requirement, we have made an advanced contract. We have made our tie-up. So there should not be when my order book is there, I should not have a shortage in the raw material. And that is also like the reasonable price terms agreed with them, and therefore, we have made a contract with them. So we don't currently see availability in India in -- after 2 or 3 years, we can't say anything, because some of the specialized inputs are there.

Ganesh: Got it. Got it. And I'm assuming the capability is not there yet for the required quality also.

Bharat Vageria: Yes, yes.

Ganesh: Got it. That's all from my side.

Moderator: The next question is from the line of Rupen from RN Associates..

Rupen: Sir, I have one question. See, currently, we are at an advanced stage of monetizing the Southeast Asia region and U.S. So Middle East MENA region, so would it be fair to assume that in FY '24, '25, we would be monetizing the Middle East as well as certain noncore assets as you alluded in your opening remarks?

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Bharat Vageria: I agree. All will run parallelly. You are right, as the 2 continents we are talking on this means that the terms are under discussion, agreements are

under discussion. But as you are talking and

I have given the conservative timeline of March '24, yes, I'm quite helpful at least I can say the 90%, I'm hopeful, even Middle East will also be complete because process has started already 2 months back. So talk is ongoing. We have already signed the NDA, but I'm waiting for the next process from the potential buyer.

Rupen: Okay. So by March '24, you mean to say that total international business, we will be able to offload down 80% stack by March '24 itself, including the Middle East?

Bharat Vageria: I'm keeping hope. If you ask me 2, yes, if you ask me [carbon] also, I'm keeping myself ready for that.

Rupen: Okay. Okay. Okay. And the other noncore assets, I think that you alluded in FY '25, you were hopeful of monetizing it. So...

Bharat Vageria: We have made a list, now the process has begun. I've already discussed in formally in my board meetings also. I've identified -- I'm keeping the responsibilities of the individual team. And definitely, we ourselves has kept the target by March 2025, we should have 0 nonperforming assets, whether it is in the form of the machine, foot in use, whether it's a form of the land or building or whatever may be.

Rupen: Okay. Okay. And this particular, I guess, these noncore assets would be other than battery business, right?

Bharat Vageria: Yes. Yes, you are right. I mentioned that business is definitely separate because where the Time has invested INR55 crores in that business, that I'm not yet taken into account.

Rupen: Okay. Yes. That's it from my side. And all the very best for future business as well as the monetization of international business, yes.

Moderator: Ladies and gentlemen, we take that as a last question for today. I now hand the conference over to the management for closing comments.

Bharat Vageria: Okay. Thank you very much to all for hearing the earning presentation. We'll come back. I think it will come back after this December result, no, it's one in the February. Yes, yes, yes. We'll

come back in the February again in the good number and we need you your blessings of all my new valued investors to support as it is ongoing. And we do our best effort to fulfil the promises and guidance, which is providing. Thank you once again.

Moderator: On behalf of PhillipCapital India Capital Private Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

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"Time Technoplast Q3FY24 Earnings Conference Call "

February 13, 2024

MANAGEMENT : MR. BHARAT KUMAR VAGERIA – MANAGING
DIRECTOR , TIME TECHNOPLAST LIMITED
MR. RAGHUPATHY THYAGARAJAN – WHOLE -TIME
DIRECTOR , TIME TECHNOPLAST LIMITED
MR. SANDIP MODI – SENIOR VICE PRESIDENT
(ACCOUNTS & CORPORATE PLANNING), TIME
TECHNOPLAST LIMITED
MR. HEMANT SONI – VICE PRESIDENT (LEGAL &
CORPORATE AFFAIRS), TIME TECHNOPLAST LIMITED
MODERATOR : MR. VIKRAM SURYAVANSHI – PHILLIP CAPITAL (INDIA)
PRIVATE LIMITED

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Moderator: Ladies and gentlemen, good day and welcome to the Time Technoplast Limited Q3 FY'24 Earnings Conference Call, hosted by PhillipCapital (India) Private Limited .

This Conference Call may contain forward -looking statements about the Company , which are based on the beliefs, opinions and expectations of the company as on the date of this call. These statements are not guarantees of future performance and involve risk and uncertainties that are difficult to predict.

As a reminder all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes.

Should you need assistance during the conference call, please signal an operator by pressing "*" then "0" on your touch tone phone . Please note that this conference is being recorded.

I now hand the conference over to Mr. Vikram Suryavanshi from PhillipCapital (India) Private Limited . Thank you and over to you sir.

Vikram Suryavanshi: Thank you, Man uja. Good afternoon and a very warm welcome to everyone. Thank you for being on the call of Time Technoplast Limited.

We are happy to have the management with us here today for a question -and-answer session with investment community.

Management is represented by Mr. Bharat Kumar Vageria, Managing Director; Mr. Raghupathy Thyagarajan – Whole -Time Director; Mr. Sandip Modi – Senior Vice President (Accounts & Corporate Planning); Mr. Hemant Soni – Vice President (Legal & Corporate Affairs).

Before we start with the question -and-answer session, we will have "Opening Comments from the Management." Now, I hand over the call to Mr. Bharat Vageria sir, for Opening Comments. Over to you, sir.

Bharat Kumar Vageria: Thank you for the introduction, Vikram. Good afternoon to all of you. We are here to talk about our Results for the Q3 and Nine Months FY'2024 and Outlook for the rest of the Year.

We are pleased to announce a robust performance for Q3 FY'2024 with a YoY volume growth of 20%, revenue growth of 17%, value -added products segment witnessed a growth of 25% YoY , driven by good demand of intermediate bulk containers and the composite cylinder. While the established product grew by 15%, backed by improved performance of polyethylene pipe businesses.

EBITDA and PAT margins also witnessed a significant growth of 26% and 50% YoY respectively, driven by increased share of value -added products with the good order book positions for CNG products and PE Pipe coupled with the stable demand for core industrial packaging business, including IBC, we are confident to achieving our target set for the full year.
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Coming to the "Financial Number":

The Results are already announced. I would just walk you through some of the Key Financial and Operational Highlights. On a consolidated basis, Q3 FY'24 revenue grew by 17% as compared to the corresponding quarter last year. Q3 FY'23 was even 11% up as compared to the previous quarter of Q2 FY'24. During Q3 FY'24 on a consolidated basis, net sales is 1,327 crores as against 1,131 crores last year. EBITDA was 192 crores as against 153 crores last year. Profit after tax was 92 crores against 61 crores last year, which I have mentioned to you 50% up compared to last year.

The highlights for the quarter compared with the corresponding period, net sales increased by 17%, India 19%, overseas 14% volume increased by 20%, India 22%, overseas 16%, EBITDA increased by 26% and PAT increased by 50%. EBITDA margin was 100 basis points higher, which we got was 14.5% as against 13.5%, increase by 100 basis points margin improvement due to increase in revenue shares of the value -added products, cost control and increase in the capacity utilization.

During nine months FY'24, on a consolidated basis, we achieved turnover o

f 3,601 crores as

against 3,100 crores last year. EBITDA was 508 crores as against 411 crores last year.

And I am pleased to tell you that profit after tax is 218 crores as against 155 crores last year. I am pleased to inform you that last year our whole year profit was 219 crores which is achieved in the first nine months itself. So, the remaining three months is the bonus for this current financial year.

Key highlights for the nine months compared with the corresponding period previous year. Net sales increased by 16%, India 18%, overseas 13% volume increased by 18%, India 20%, overseas 15%, EBITDA increased by 24% and in the nine months also consolidated basis PAT has increased by 40%. In nine months, the EBITDA margin was 14.1% as against 13.3% during the corresponding period last year.

Now, "Share of the Business":

Value added products grew by 27% in the nine months as compared to nine months of the previous year, while established products grew 13%. The results of the value -added products is 26% of the total sales as against 24%.

As you have seen because of the increase in the percentage of value -added products EBITDA and EBITDA margin both are improving.

Share of the India and Overseas business which is 65%, 35% as against previous year also it was in 66%, 34%, little percentage wise India has increased because India growth is higher compared with the overseas.

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Then total debt is reduced in the nine months, which stood at 745 crores as against 810 crores of net debt as on 31st March 2023. So, nine months debt reduced by 65 crores and as initially planned it will be reduced by more than 100 crores before the end of this current financial year.

The same targets will continue in the further period also.

But another thing, I'm pleased to inform you that ROC is because when your margin has increased, rate has increased. ROC will increase by 1.5% to 2% every year. So, as against last year ROC, which was 13.5%, in nine months 15.6% there's a 2% increase in the ROC. So, compared to last year, it has increased 13.5%, in the nine months it is 15.6%, it's a 2% increase over the previous year.

CAPEX for the nine months, was 144 crores which includes Rs.63 crores toward the capacity expansion, reengineering, automation for the established products which are always required on account of the maintenance, cost reductions and to maintain the capacity, and Rs.81 crores towards the value -added product expansion mainly for composite products and the IBC. Total CAPEX for the full year will be in the range of... I am just reducing the target for the CAPEX full year will be in the range of 175 crores as against the original target of 200 crores.

Continuous focus on improving working in the cycle time and targeting to reach 90 -days in the next six months' time is as against 112 days was in 2023.

"Consolidation of the Overseas Business":

The board has approved and authorized subject to due diligence for the acceptance of the

disinvestment of the 50% business in Middle East on and cash free basis for an evaluation of around USD25 million. I think you people can calculate; 100% valuation is USD50 million. The geographical agreed for the disinvestment contributes only 7.5% to the consolidated revenue. We estimate to complete this disinvestment transaction within a period of 90 -days, including the due diligence period. The process as per the direction of the board and already shareholders approvals that are there, for use of Debt reduction and benefit the shareholders. The company has adequate resources available for expansion of value -added products from the internal accruals.

Now, in the last quarter, I have reported that management has identified certain non -core assets for valuation of Rs.125 crores which we are keeping ourselves target to become zero by March 2025. And therefore, to initiate

that first transaction of 26.5 crores have been agreed and the transaction will be completed, and for sale of the land and building is the reason and completed in the 90 -days' time with the compliance of the local authorities. And profit from this sale of the entire assets will be used for the debt reduction.

Our product is under development towards the green energy for use in the city gas distribution, compressed biogas (CBG) and the automotive industry. Products from the development towards the green energy include composite hydrogen cylinder for larger capacity of 250 and 350 liters

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to make product more complicating and other composite products also under development for use in the automotive industries like composite air tanks, hydraulic fuel tanks, etc.,

I would now like to open the floor to answer specific questions. Thank you to all.

Moderator: We will now begin the question -and-answer session. The first question is from the line of Jatin Damania from Swan Investment. Please go ahead.

Jatin Damania: So, just wanted to understand sir, this 7% contribution to overall revenue, is it fair to assume that margin in the middle is in the range of 13%, 14% or is it lower, because to understand the overall valuation on the EBITDA number?

Bharat Kumar Vageria: Yes, yes, you are right. I think the margin is in the range of 13% to 14% EBITDA right. I think you want to understand at what valuation it is done. It is very clear that it is in the range of 13% and 14%. And I mentioned to you earlier also my overseas revenue distributed in the USA, we do 20%, Southeast Asia is around 50% and Middle East is around 30%, MENA region, where the Middle East is around 23%, 7% is North America. We have a one plant in Egypt also. So, we are talking about the consideration, which is now only for the Middle East, that is in units in Dubai, units in Bahrain, and units in Saudi, Egypt has been kept apart. That's the valuation considered is 7.5% of the total consolidated revenue means 5,000 crores revenue if you take it all through the year, so 350 crores approximate revenue. But please note that we are agreeing for only 50%, so balance 50% our management will continue.

Jatin Damania: The company will be operated as a joint venture and we will be managing the entire operation, right?

Bharat Kumar Vageria: Operating will be done because it's in the initial stage. Yes, definitely, whatever way, joint venture agreement will be there in that country and accordingly, the operation of three countries will be looked after, that would be done as per the advice of the bankers.

Jatin Damania: Now, since 300 crores goes off the system and for FY'24, we will be achieving a target of 5,000 crores which we have guided with an improvement in the margin. But if I want to look from the FY'25, FY'26 perspective excluding the Middle East, so what is the revenue growth which we are anticipating and the growth that we can see in value -added product as well?

Bharat Kumar Vageria: Jatin, you know very well, I think we are growing around 15%, so our target is 5,000 crores, out of that, if we reduce only Rs.175 crores, because the 50%, so 5,000 crores -175 crores that is working out to 4,125 crores. So, again next year also, we achieve more than that. 15% growth is there.

Jatin Damania: And the overall contribution from these value -added products?

Bharat Kumar Vageria: That will be a very marginal factor. Value added products is going to continue as it is increasing. The value -added products is 26%. So, that percentage is going to be continued because that has

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a very marginal impact. 7.5% divided by 3.75% minus in the revenue will not affect much in the 100%.

Jatin Damania: But just wanted to understand the overall increase in the percentage of the value -added

in the

overall basket for the improvement in the margin that we can see in the coming years?

Bharat Kumar Vageria: Coming year target will be achieved and that's what we are estimating 50% growth across the revenue, EBITDA and PAT will continue, and even some basis point improvement in the net margin will be there. As we have seen whole of the last year the EBITDA margin was 13.5%, which currently we are targeting to reach across the 14% and we may estimate yearly internally we are estimating 14%, but I think we crossed that also.

Jatin Damania: In the last con call we were discussing that we will be targeting the auto segment from the composite. So, any update on the same?

Bharat Kumar Vageria: It will be, but I'll tell you as current capacity we will catch up the automotive industry when the expansion plan will be completed. Currently, I have already order book at least for the next six months is in hand. So, when next expansion which are expecting to do it in 2024 -25, from that expansion, we will supply to the automotive industry. But as far as other composite small products like tank, that is going to continue.

Jatin Damania: On the update on the LPG orders excluding IOCL?

Bharat Kumar Vageria: Last order will continue and still some tenders are on the pipeline, so we'll also participate in the new tenders which we are expecting before March. So, that will take care of the next year business.

Moderator: The next question is from the line of Saurabh from Scientific Investing. Please go ahead.

Saurabh: My question is around the second part. And if we look the initiative you have taken so that we can go to balance sheet in terms of debt -free, we can invest that capital into high growth, high margin businesses. My question is, if we look at the return on capital, if we look at the free cash flow, once we finish this exercise, how do you see the free cash flows growing, at what rate free cash flow will grow? Also, I understand our assets are little higher depreciating assets because I believe we spend a lot of money on the maintenance CAPEX. So, freeing up those assets, will it lead to improvement in our depreciation leading to better free cash flow, that means leading to better reinvestment at a higher ROE, ROC, what is your view how it will look like next two years, three years down the line?

Bharat Kumar Vageria: I think in the last two con calls also we were talking; the ROC was 14%, which ourselves kept the target to reach 20% in the next three years' time. So, you have seen as I mentioned in my call also that ROC which was 14% has increased to 16%. So, we ourselves targeting to increase ROC by 2% every year and that is possible by way of increase in the margins, reduction in the working of the cycle time and increase the productivity. Now, you are talking about the maintenance

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CAPEX. You know that CAPEX for the last 5 -6 years even more than seven years in the range of 200 crores which have been reduced, and now I am targeting almost around 60 to 70 crores CAPEX goes for the maintenance because we are a more than 35 -years old company. So, to maintain the cost under control, to get the productivity, we have to upgrade the equipment, automation, reengineering, it's time -to-time required because otherwise labor cost will go up. The depreciation amount which earlier was around I think 160 crores which is now a reducing trend you will see in the period ahead because most of the equipments which are expiring within the period of the life of the assets, so we are replacing by the new assets if required. Otherwise out of the depreciation, you see my maintenance expense is 50% of the depreciation amount only, and the balance is for the value -added expansion, which in the last two calls also I mentioned for the expansion, major CAPEX will go in the value -added products, which includes the CNG

and the hydrogen, where the value addition margins are high, and the cycle time is less.

So, we will be able to increase our ROCE, this is our main target and focus. In addition to that, we are focusing continuously improving margins, at the same time, we would like also to have a debt-free company and that's our internal target in the next two and a half to three years.

Saurabh: For this 15% growth rate like what are the things which can go wrong if we talk in terms of risk like, if it can go wrong for one or two big reasons what it could be?

Bharat Kumar Vageria: If you ask me, percentage wise I will give the nine out of ten, chances are very 10% less because the product which is selection is a high productivity and government also have to meet their target because we are following the government policy, and all are very well aware that this BJP sarkar is going to come in May and that policy for the next five years going to continue. We are doing our expenditure for the investments as per the market size. You know that composite product market itself is a 28,000 crores. Hydrogen regional market is yet to take under our working which we have not yet considered because it is in the development stage. And now other products, packaging which are there, we are considering growth in the range of 10% to 12% only. But we are expecting more growth in the product where the government initiative is also there in the green energy.

Moderator: The next question is from the line of Varun Arora from Safe Enterprise. Please go ahead.

Varun Arora: So, my questions are around the CNG type -4 cylinders. So, if you could let us know your expectation of growth from CNG type -4 cylinders next year given the capacity expansion that

we are undertaking?

Bharat Kumar Vageria: I think I have mentioned in my CNG composites, we are incurring the CAPEX of 125 crores to increase the capacity from 480 to 1,080 where we can generate revenue in the range of 850 crores. As per this current year is concerned, CY'23 -24, we will be achieving Rs.350 crores. We have a current capacity limitation. So, composite product, LPG change to put together, we are achieving this year in the range of around Rs.500 crores. But definitely next year it's around 800 crores we are projecting because we will get some contributions from the expansion of the activity in these cascades business and by way of expansion at the new locations. But if you ask

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me two years down the line, definitely composite products which is currently Rs.300 crores, we are targeting in the next three years' time which will reach to 1,500 crores.

Varun Arora: In the composite cascade opportunity, are we seeing competitive intensity picking up? We have noticed that there has been entry of some new players. So, if you could give some color if you are seeing competitive intensity picking up whether in the order where you're bidding, are you still kind of winning 100% of orders where you're actually bidding? So, if you can comment on the competitive intensity? And in that light, sir, does the competitive intensity will pick up? Do we expect to keep our margins which are around 20% in this business?

Raghupathy Thyagarajan : Thank you, Arun, for your question. Admittedly, I must tell you that the level of technology that we are into on composite cascade has been on the type -IV technology which has been the latest that is available globally. Whatever we have seen a little amount of competition has been on the basis of some imported cylinders which have been one run lower that is on type -III. The local manufacture is mostly around the type -I, which is about fourth generation behind as far as the technology is concerned. So, whatever competition is building up, is mostly in the type -I cascade where they are fighting for the steel cylinder part of the pipe. When it comes to the type -IV

ca
scade, they are far, far more economical in terms of the model, in terms of the application, they are far more rigorous, in terms of the pressure applications they are at a different level. So, we are in a position to justify these investments and be head and shoulders above the rest of the players in the field.

Varun Arora: Sir, is it fair to say that wherever you are bidding, you are winning 100% of those tenders?

Raghupathy Thyagarajan : I would say to a large extent you're right, but in some cases maybe there is a split that takes place between us and these small, imported components might be, but that is very, very small. We are in a position to say that we are able to garner a good share.

Varun Arora: In the previous calls, you have spoken about the addressable market for type -IV CNG cylinders.

And in those calculations, you have assumed that whatever would be the incremental CNG cylinders cascades, 50% incremental share would be for type -IV . So, this 50% number assumption that we have, have we seen that in the last six months? So, for example like, I mean whatever CNG cascade requirement that could have come in the last six months, would type -IV cylinders be kind of meeting 50% of that demand?

Raghupathy Thyagarajan : Yes, I think we are more or less in that time gap because slowly and steadily, the influence of the type -IV cylinders is also improving, and especially with the new expansions that are coming up with the CGD players, mostly they are settling for the higher level of technology and that gives us a better share as well.

Moderator: The next question is from the line of Ankur Savaria from Savaria Foods. Please go ahead.

Ankur Savaria: My question is regarding the disinvestment. I'm still not clear. In the last con call, you said that out of three regions, two of the regions are in advanced phase of disinvestment and that should

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be done by the month of January and third, you were hopeful that it will take place in the month of March. But what you have said right now is that 50% is being disinvested from the MENA region. So, what is the complete picture out of the disinvestment that we were looking out for, sir?

Bharat Kumar Vageria: Ankur, you are right from your view. I mentioned that we have three continents; US where we do 20% business, Southeast Asia, we do 50% business, Middle East we have 30%, that is also in two -part, Middle East 27% and South Africa 7%, Egypt 30% in this region. But now what happens with the grace of the God, third happen first. So, balance three, we are not closing, but as per the guidance of the management if we get our price, we get our expected this thing valuation, we will think on that, and we will take the approval from the board. You know the international and global situation whatever is going on and disturbance is there all over cost of the funds have increased in the US market and everything. But I am pleased to tell you all the units is earnings. There is no any compulsion for me. You have also seen for the debt reduction,

which is again management target is there. So, we have identified Rs.125 crores value of the assets which disposal positions have already been started and we are completing that also in the next financial year. So, at the right opportunity if we get our valuation, we will consider that. Otherwise, we do not have any desperation for setting up any of the business, but this we got it, a good partner. With the 50% only you see, we were talking about 80% but we are now agreeing for 50%.

Ankur Savaria: I am also on the point of view that it is not necessary that since we are doing so great, it shouldn't be a desperation for us to sell the business at a lower –

Bharat Kumar Vageria: No, Ankur, we are not going to do it. We know very well what the valuation I'm getting here and what is the valuation I'm going to get from overseas

because of the six months or 12 months or

18 months incident and geopolitical situation arising in the country, we are not able to sell our business desperately or any kind of this thing. We will see our right price, then only we will see, because as the promoter we have also 51.6% partner.

Ankur Savaria: So, as of now, the thing is that we are right now selling 50% of the Middle East business and rest of us, we are still in the advanced stage as you said earlier, right?

Bharat Kumar Vageria: Don't take as this is the advantage stage because we have already closed calendar year '23. We will again talk on the new chapter. Old chapter is closed. We will take the new chapter based on our earning estimation of 2024 because when we are going 10% to 12% and we do not sell for the '21 or '22 EBITDA basis. The new chapter will open now. Syllabus have been changed. In exams, new papers.

Ankur Savaria: The second question is regarding one of the company's name is Confidence Petroleum. They have recently said that they have also ventured into type -4 cylinders. So, the technology something privy to us or anyone can open the same business that we are in, sir?

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Raghupathy Thyagarajan : With due respects to the company's name that you mentioned, the technology for type -4 cylinders is not available very easily. You know the background that we've been in type -4 cylinders for almost more than about 15 to 20 years now, since the time we acquired the company for manufacturing LPG cylinders, we've been doing this business for that long. Over a period of time we have kind of graduated from LPG cylinders to CNG and then we are looking at hydrogen very confidently. We've been able to tie up a lot of technology partners as well. I am personally of the opinion it's not that easy, but anybody who wants to attempt it, we do not wish any ill will.

Ankur Savaria: My last question is regarding the oxygen cylinders. Have we able to get any concrete say from defense or any other company in India?

Bharat Kumar Vageria: Ankur, you are talking about the oxygen cylinder, right?

Ankur Savaria: Yes, sir.

Bharat Kumar Vageria: I think in last call also I mentioned order book for the LPG cylinder itself is full. I have used the oxygen cylinder supply when I have a capacity remaining is there. So, we have got the approval looking into the future but in fact we have started our registering process with the army and navy authorities, the process is on. We have appointed consultant who is completing the formalities. Any government authorities, the formality of the vendor registration itself is six to 12 months and the approvals takes time.

Ankur Savaria: Last week I saw the LPG cylinder manufactured by Time Technoplast in Lucknow and I was really, really happy to see it, sir, as if it was from my company.

Bharat Kumar Vageria: Nowadays, the wide distribution channel IOC is also now encouraging and giving a good understanding, good education to the every society. So, use of that composite cylinder, lightweight cylinder increases, uses will increase.

Moderator: The next question is from the line of Deepak Poddar from Sapphire Capital. Please go ahead.

Deepak Poddar: So, first up, I think you mentioned this overseas entity of disinvestment, revenue is Rs.350 crores at 13%, 14% margin, right?

Bharat Kumar Vageria: Yes.

Deepak Poddar: And when we say we're looking at 15% CAGR in terms of topline, so how much growth we have factored in that in terms of value-added and how much growth we have factored in established product?

Bharat Kumar Vageria: In composite product, value-based products, we are considering growth projection 30% CAGR especially in composite products more and the established product we are taking into consideration 10% to 12% growth. But in that also in established product, if you ask me the packaging product

s, it's around I can say 10% to 11%. But especially PE pipe product

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government initiative in infra businesses , so we are considering growth of 25% in our PE pipe business because you know very well last year, the pipe business was hardly Rs. 200 crores because the COVID effect was there. But now this year we are taking on the projection of Rs. 260 crores. And definitely at least for next two years we will grow around 25%.

Deepak Poddar: So, 25%-30% CAA growth in your value -added product and 10 %-12% growth in your established product .

Bharat Kumar Vageria: Yes. Combination you can take it around, it will be around 15 %-17%.

Deepak Poddar: So, coming at 15 %-17% CA GR that one can assume for next 2 -3 years, right?

Bharat Kumar Vageria: Visibility is there only. As per the order book positions, government initiative, and everybody is hoping that the same government will continue at least for next 5 years.

Deepak Poddar: And given our value -added product has much higher margins as compared to your established product , so it's share which is currently at 27% , so ideally it per year based on what you are saying per year it should increase by 3 %-4% per year for next 2 -3 years . Like it can go from 27% right now to 35 %-36%.

Bharat Kumar Vageria: You are right . If you ask me the 3 years down the line it will be around 64% established product and 36% valued products.

Deepak Poddar: 36% valued, that is also coming as per my understanding.

Bharat Kumar Vageria: And that will give the substantial EBITDA margin increase which is currently 14% to 16% going up.

Deepak Poddar: So, 14% to 16% EBITDA margin in next three years, right?

Bharat Kumar Vageria: Yes, you're right.

Deepak Poddar: That is by FY27 we are targeting?

Bharat Kumar Vageria: Yes.

Deepak Poddar: 14% to 16% EBITDA margin.

Bharat Kumar Vageria: Yes. You will see this year also there is a EBITDA expansion of around 70 basis point.

Deepak Poddar: This year you are talking about which year?

Bharat Kumar Vageria: FY24 .

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Deepak Poddar: Yes of course. We are already seeing a better margin expansion of 70 basis.

Bharat Kumar Vageria: Yes, the same thing will continue as the percentage of value of this product will increase, it will come.

Deepak Poddar: And now coming on to the debt side, when we say that we are going to receive this \$25 million , so that is that value we are saying for the 50% we are disinvesting, right?

Bharat Kumar Vageria: Yes. 50%, \$25 million, it is roughly we can say around Rs. 200 crores and maybe the net of this everything tax rate and everything may be around Rs. 175 crores, but that entire thing will be used for the as I mentioned to you for the debt reduction and benefit to the shareholders that we will decide on receipt of the consideration. And otherwise, the expansion of value -added product is ongoing as the company has adequate internal accruals available to take the expansion which is already finalized.

Deepak Poddar: So, this Rs. 175 crores net on a net basis and plus Rs. 125 crores also you expect to realize over the next six months on non -core assets?

Bharat Kumar Vageria: No, it will take , I can say because it just identified the last quarter only. Out of that, one transaction is already agreed. Balance internally we are keeping target to make it zero by March '25.

Deepak Poddar: So, by March '25 , what should be our debt target?

Bharat Kumar Vageria: If you ask me, we don't do anything disinvestment further. And I will do the realization of this plant for this thing. At least we can reduce from 800 crores to around 450 crores.

Deepak Poddar: So, that's a significant debt improvement.

Bharat Kumar Vageria: Of course, of course. That will give the benefit of the interest cost which is in the range of Rs.

100 crores will go down to around Rs. 50 crores - Rs. 60 crores.

Deepak Poddar: That's what I was trying to understand.

Bharat Kumar Vageria: Yes, you are right.

Deepak Poddar: We can expect Rs. 50 crores - Rs. 60 crores interest cost for F Y 25 as a whole?

Bharat Kumar Vageria: I don't say the interest cost because it's inclusive of the non -fund facility cost also because we are in the government tendering business, especially in composite products and multinational companies where we need to provide these performance guarantees for a certain period of 2-3-5 years. So, we considered around \$15 to \$20 crores expenses on the accounts of the import, export documentation, and the bank guarantee commissions, LC commission, et c. So, even when

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we were debt free, at least Rs 25 crores to Rs. 30 crores expenses will continue considering the size of the revenue of the companies.

Deepak Poddar: So, Rs. 50 crores , Rs. 60 crores plus Rs. 20 crores. So, ideally Rs. 70 crores to Rs. 80 crores .

Bharat Kumar Vageria: Overall I told you if it's Rs. 800 crores debt, the cost of the funds around Rs. 100 crores are there. Rs. 100 crores will go down to 50 or 45 something. So, around Rs. 60 crores - Rs. 70 crores cost we can expect for next year.

Moderator: Thank you. The next question is from the line of Rikesh Parikh from Rockst ud Capital LLP.

Please go ahead.

Rikesh Parikh: Sir, first question is with respect to the divestment of this 50% stake. So, does the contract entail that in 18 months or 24 months we will be selling the residual 50% by any chance?

Bharat Kumar Vageria: No. It is at least because the investor has come out, at least we will see because it is a 50% we are selling, balance 50%, the management will continue. We'll see in the next at least we will continue to run at least for three years. We don't require at all because you know very well India and the Middle East relationship is increasing. You see how many times Narendra Modi has seen the Saudi and Middle East countries where the good expansion opportunity is there. We are taking the partners locally because we can grow faster. Even presently we are growing 10 to 12 percent, but we want to grow faster, 18 %-20% percent. That is possible to do the faster expansion in the Saudi especially, where the good demands are coming, new chemical companies are coming.

Rikesh Parikh: And just an extension to that. So, our current revenue mix between established and value -added is 73 :27. So, this traditionally being an established product , so it will change to that 70 -30 kind of a thing if I exclude the Saudi 50% stake assets. Is that understanding right?

Bharat Kumar Vageria: It's a very small, I tell you. As a Rs. 350 crores revenue for three countries, which almost is a 50% selling point means 3.5% of the total revenue. 3.5% of total revenue is Rs. 200 crores only. It's very negligible in terms of the overall total turnover of the company. So, it is not giving the much effect in the revenue part is concerned , the profit part is concerned . But I again tell you, I think in the last call, somebody has asked me about this regarding the value of the products and the established product business. I mentioned in the previous time, we are estimating 64% establishment business , establishment product and 36% value -added product in the next three years ' time.

Rikesh Parikh: Definitely. Secondly, just wanted to understand that we have a multiple registration or regarding the you answered a part about the oxygen cylinder for CNG we were doing in a time when we are working with some auto company. So, any progress on that whether it is approved or some change?

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Bharat Kumar Vageria: I think approval is already there as far as the automotive industry is concerned.

Currently we are

not capturing because we have already some value -added products been available which is the cylinder plus entire set. So, we are selling currently as a complete casket . Definitely, automotive industry, a lot of things we have to be done, because presently, the entire industry is using the metal cylinder for the CNG applications. So, we have approached. Our process is on, because process and approval time, approval is already there for 60 -liter cylinders. We have a capacity limitation. Therefore, we are not capturing that market currently. But definitely, after the completion of this expansion, which is going to be completed this financial year itself, will definitely explore the possibility and we get the business from automobile industry.

Rikesh Parikh: And sir my last question, so we were exploring some negotiation in MENA region, so right now we are not dropped, is the understanding right?

Bharat Kumar Vageria: No, MENA region is in the Middle Eastern South Africa, so in fact ...

Rikesh Parikh: Sorry, Southeast Asia

Bharat Kumar Vageria: As I mentioned to you now, the syllabus has been changed because we have already closed Calendar Year 2023 with the good result. So, we will see, we will talk again. if we get our expected price, we are not desperate to sell that business.

Moderator: The next question is from the line of Dolly Choudhary from Niveshaay Investment Advisors.

Please go ahead.

Dolly Choudhary: I had a question specifically regarding the I BC segment. So, I just wanted to know after the whole restructuring happens, what will be our capacity by that time? Because I believe that some part of I BC also do overseas. So, what will be the capacity after restructuring?

Bharat Kumar Vageria: Restructuring means what? It is not negligible. Because currently if you ask me, I have a complete IBC and IBC bottle manufacturing. I have a capacity all put together 1.9 million pieces, which includes overseas 1.4 million, India 0.5 million. Overseas 1.5 million which we are talking in the Middle East, we are manufacturing in the Middle East only. And that is a very negligible 50%. Capacity is 100,000. So, it is affecting hardly 50,000 IBC. Which that is also not affecting.

I'm telling you; we are selling only 50%. It will come 100% revenue. And 50% we will include in our revenue. So, it is negligible because the major business of IBC in US and the South Asian countries where their business are continuing.

Dolly Choudhary: So, this is like 0.5 million is in domestic business.

Bharat Kumar Vageria: Instead of 1.9 million, it will be 1.85. Nothing, negligible impact. 500,000 only.

Dolly Choudhary: And are we planning to expand in some two, three years the IPC business?

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Bharat Kumar Vageria: Yes, that's of course there. Already we have expanded. My subsidiary company, TPL Plastic, last quarter, they have completed one expansion project for 1.5 million 180,000 manufacturing capacity increased in Dahej. Another also expansion plan is there, looking to the requirement of the regions.

Dolly Choudhary: How much growth are we projecting for the coming 2-3 years let say?

Bharat Kumar Vageria: In fact, IBC projections we are taking in the range of around 15% we are taking being the export from India is increasing and bulk packaging is increasing compared to the... because it is very clear IBC is replacing some kind of the metal drum business and the plastic drum business.

Because instead of 5 drums they can handle the one IBC. One drum 200 liters, 5 drums 1 tonne is equal to the one IBC. It's a 1 tonne material. So, if you ask me, packaging plastic drums and jerry cans are growing 8%-10%, but if you ask me with IBC, it is growing around 15%.

Dolly Choudhary: And India we have majority of market share, right?

Bharat Kumar Vageria: Of course.. Even wherever we are

manufacturing IBC, out of 10 countries in 7 we are leader.

US we are not leader because very big manufacturers are there in the US.

Moderator: Thank you. The next question is from the line of Jayesh Gandhi from Harsha d H. Gandhi Securities. Please go ahead.

Jayesh Gandhi: So, I heard you talking about your intention to take ROCE to 20% in next three years.

Bharat Kumar Vageria: Yes.

Jayesh Gandhi: And then that one of the parameters which you said is reducing the working capital cycle. So, if I was just looking at your last five, seven years of data, it looks to me like we were closer to 100 or below 100 in the working cycle. Currently we are closer to 140 or something. Are we thinking of moving down to 100 or we will not be able to do that?

Bharat Kumar Vageria: No, it is there. In fact, I think you were there or not when I have given my brief about the presentation, I have mentioned very clearly, the working capital cycle time which was in 2023, last year it was 112 days, which I am targeting to 90 days. If you ask me, even though I do not require nine months, but if you ask me for the quarter, it is in the range of around 102 days, even though it is reducing more. But again, ROCE is not only increased by way of working with the cycle time. ROCE will increase by increasing the percentage in total business of the value-added products and increase in the overall EBITDA margin percentage basis. That only will increase the ROCE.

Jayesh Gandhi: Since I am new to the company, I actually wanted to understand the opportunity size in composite cylinders, LPG, CMG and oxygen if you can spare 2 minutes on that?

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Bharat Kumar Vageria: I think if you want to understand more, you are welcome to my office. But in short, I can say we are in composite products. We have LPG cylinder capacity 1.4 million, saleable capacity 1 million cylinder where my utilization is around 90% is ongoing and we are doing export as well as local supply with the company. Now as far as CMG is concerned, we have a current capacity of 480 casket manufacturing. I'm considering 60 cylinders in one casket. If you ask me the number of the cylinders, that is around 30,000 cylinders. Now my expansion for 680 caskets with around 40,000, another cylinder is going to come this year itself, so my casket business will be expanded in terms of the casket would 1080 where we can generate the revenue of around Rs. 800 crores around. So, Rs. 800 crores plus Rs. 200 crores, Rs. 250 crores from LPG, thousand crores from composite product we can do now the oxygen cylinder. There is no any separate capacity. It is within the capacity of LPG we have manufactured and developed these products and we got the approvals but other process for the army navy Government process is on. So, whenever in the future we got ourselves ready, if the future demands come from the oxygen cylinder, we can supply that. I think somebody has asked me previously why we are not expanding in the LPG. Because currently we are supplying to the government and some private gas distribution company. You must have seen the ad nowadays, GoGas, this is the confidential petroleum company. They are putting the edge, GoGas is the lightweight, explosion proof cylinders that is coming on every day. I have also watched the same TV. You must have seen the red color cylinder that is manufactured by us, we are supplying to team, supplying to them,

as in demand comes. Now the LPG, some private gas distribution companies are using, in government company, IOC is using. Now we are expecting some kind of the good business from the other gas distribution company, that is BPC and NSPCL. Then only we will think about the expansion plan. But currently in our expansion plan, we have CNG for the gas distribution industry plus CNG cylinders for the automotive industries. And another thing,

for the CNG

cylinders for the automotive industry, which is a very large market currently, as the infrastructure of the new gas stations are developing and expansion is there, then the availability of the gas will be easy. Then the further sale, you must have seen, sale of CNG gas cylinders is increasing day-by-day and every gas-using company is increasing the gas station. If you go through the policy of October 2020, the business potential is around Rs. 12,000 crores for 8,000 new gas stations allotted by the government.

Jayesh Gandhi: And one last question is, can you define our market share in LPG or CNG currently?

Bharat Kumar Vageria: You ask me LPG, if you ask me market share, who are the suppliers? We are the suppliers and other part of supreme industries where we are the two only in the LPG. But I just give you the data. LPG cylinder for number of the years, you and we are all aware that the metal cylinders are in popular. 40 crore cylinders are in population 40 crores. Average considering the life of the 15 years, every year Rs. 2 crore cylinders are required by the government companies and private gas distribution companies. Against that, ours and Supreme capacity is hardly, we can say, 2 million cylinders, which is 10% of total capacity. So, the market is very big. Only dust replacement takes place. I tell you our experience in polymer drums, if you go back to 30 years back or 35 years back, 100% metal drums in population. Today 60% drums convert from metal to polymer drums. It took 30 years. Similarly, whenever this, yes, apart, we are considering apart

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from gas line, government is also planning to give the gas connections, but it is gas connection pipeline is possible economically in the high-rise building. It is not economical in the villages.

It is not economical in the small towns because cost of the laying is very high.

Jayesh Gandhi: And how about CNG?

Bharat Kumar Vageria: So, CNG, still I am trying to collect the data. How many metal caskets are already in the market that I could not get. I am asking every company who is getting it online. But just I have seen some of the paper cuttings where somebody is telling, we will grow by CNG caskets by 15%. Because every automotive sector is growing by 15% because we tried ourselves to collect the data, how many CNG caskets of the metals are available in the present market in the condition we could not get it. If anybody is hearing on the call, if he has, it will be a good use for us. They can share with us because you must be attending call of many companies.

Moderator: Thank you. The next question is from the line of Priyank Parekh from Abakus Asset Managers LLP. Please go ahead.

Priyank Parekh: During this quarter, we have seen very good growth in the packaging product and the IBC business. So, my question is around like due to the geopolitical issues and dumping of Chinese product in India, the chemical sector is facing a headwind. So, in that context just wanted to know how we are able to grow this well during this quarter?

Raghupathy Thyagarajan: Sir, as we know that China is facing headwinds, we are also in a position to experience a good amount of buoyancy overall. Multiple reasons can be attributed. Overall, we are also in a position to see that there are enough people who are looking at options to China in terms of an optional buyer. And that is where the chemical industry is also be in a position to really experience that kind of shifting of the demand that could really be seen. Secondly, overall, the growth in the Indian industry is also for everybody to experience. As the infrastructure industry is also growing very fast, there are lots of other couple of industries also which are investing and growing. The overall growth for the packaging industry also is keeping pace with these. So, we are also in

a

position to experience this buoyancy not only in India but in even the geographies that we are in whether it is the MENA region or whether it is the East Asian region both these geographies are also doing extremely well.

Priyank Parekh: Okay, so rather than the headwinds, it is tailwind for us. That's what you are trying to convey.

Raghupathy Thyagarajan: Yes, that's right.

Priyank Parekh: So, on the CAPEX side, you said that initially we were targeting some Rs. 200 Cr of CAPEX during the year, but now that has been revised to 175 for this year. So, just wanted, are we postponing some CAPEX to next year or is this we can achieve the targeted capacity with a lower amount of CAPEX? So, how would I interpret it?

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Bharat Kumar Vageria: I think you can consider yearly CAPEX because once this year it is estimated more because of the value-added product expansion of CNG and hydrogen was ongoing, which in fact we had anticipated it will come in this current year itself. But looking in the progress of the machine and progress of the equipment, we expect it will go to the next year. But it does not mean that next year it will increase to Rs. 200 crores. We ourselves, I think, as I mentioned to you, we can take around the Rs. 70 crores to Rs. 75 crores on account of the maintenance, automation, re-engineering to maintain the capacity, to maintain the cost under controls for molds and everything. And balance expenditure, we'll see time to time, value-added products. If you ask me the next year, if net of the CAPEX will be I think less than Rs. 100 crores because we will get the sale of the assets also which is there around Rs. 125 crores, Rs. 25 crores already completed, Rs. 100 crores which our self-keeping the target for next year. So, net asset increase will be less than 100 crores.

Priyank Parekh: Net of the receipt we are going to get.

Bharat Kumar Vageria: Yes.

Priyank Parekh: And so on the conservative side, I got your guidance about 15% to 17% increase for next 2 to 3 years. But if everything goes right, are we aspiring for higher amount of growth considering the good growth in this quarter?

Bharat Kumar Vageria: No, I think growth 17% and 18% we got it. As I mentioned, you are aware that we got first quarter 22% business, second quarter 24%, third quarter 26%, fourth quarter 28%. This is our business normal scenario for the last 10, 15 years. Like that, everybody has to target, and government companies, Indian companies, like that we achieve that business. Especially this year, quarter-on-quarter is also high. But as I mentioned to you, overall growth, combination of the composite products and other products, if you have heard in my last, somebody has asked me about the growth plan, I told very clearly, packaging product and other products we are considering growth in the range of 10% to 12%. Composite products we are considering growth of around 30%. So, combined growth, at least 15% to 20%, we can take, looking at the current scenario, at least for the next three years. Thereafter hydrogen cylinder, which we have not considered, only the trial testing approval part we have taken for the expenses part is concerned. But we will estimate the demand only on the after approval of the products, and after we will come back when we do the revision in the next year, the growth plan, then we will be able to tell you. At least visibility currently, for the next two years is there.

Priyank Parekh: And sir if I can squeeze in, I missed the IBC bifurcation between the domestic and the outside of India side. So, can you just repeat it once sir?

Bharat Kumar Vageria: The IBC means intermediate bulk containers, complete IBC. Then there is the second, third part, IBC completes when we have an intermediate bulk containers bottle that is called the bottle IBC which is required the part

of the product. So, we considered the first product is the IBC bottle manufacturing capacity. We have a 1.9 million, means 19 lakh capacity is there, in India and Time Technoplast Limited
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overseas combined. In which overseas capacity is 14 lakh and 5 lakh in India. If you ask utilization, I am telling you, still lot of rooms are available, my utilization overseas across the geographies I take together, it's around 60%. Still there is too much cap is available to achieve the target. And in India, it is around 75%.

Priyank Parekh: So, in terms of the sales amount, that also holds true for the same amount as well. Is it correct to assume, sir?

Bharat Kumar Vageria: Yes, sales will also grow, because I tell you, IBC is the various components from there.

Priyank Parekh: The bi-percussion part, sir. So, we are doing some 566 in the last 12 months in the IBC business. So, the business coming from the outside India part and India part is the same proportion that you mentioned for the volume, right sir?

Bharat Kumar Vageria: No, retail percentage of the overseas is more because capacity is more there. If you ask me the realization point of view it is 60% or 40%. 60% overseas IBC business, 40% in India.

Moderator: Thank you. Ladies and gentlemen, that was the last question for today. I would now like to hand the conference over to the management for closing comments. Over to you, sir.

Bharat Kumar Vageria: First of all, thank you very much to all for listening carefully and understanding and asking about the Company. In fact, we get more strength from you when you ask people so many questions. We keep ourselves ready and we always valued our investor because you meet so many people and we are looking after our business in the surrounding area. Thank you very much once again. Thank you.

Moderator: Thank you, members of the management. Ladies and gentlemen, on behalf of Philip Capital India Private Limited, that concludes this conference. We thank you for joining us and you may now disconnect your lines. Thank you.

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Q4 FY '24 Results Conference Call "
May 24, 2024

MANAGEMENT : MR. BHARAT KUMAR VAGERIA – MANAGING
DIRECTOR – TIME TECHNOPLAST LIMITED
MR. RAGHUPATHY THYAGARAJAN – WHOLE -TIME
DIRECTOR – TIME TECHNOPLAST LIMITED
MR. SANJEEV SHARMA – WHOLE -TIME DIRECTOR –
TIME TECHNOPLAST LIMITED
MR. VISHAL JAIN – NON-EXECUTIVE DIRECTOR –
TIME TECHNOPLAST LIMITED

MODERATOR : MR. VIKRAM SURYAVANSHI – PHILLIP CAPITAL (INDIA)
PRIVATE LIMITED

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Moderator: Ladies and gentlemen, good day, and welcome to Time Technoplast Q4 and FY '24 Earnings Conference Call hosted by PhillipCapital (India) Private Limited.

This conference call may contain forward -looking statements about the company, which are based on beliefs, opinions and expectations of the company as on the date of this call. These statements are not the guarantees of future performance and involve risks and uncertainties that are difficult to predict.

As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Vikram Suryavanshi from PhillipCapital (India) Private Limited. Thank you, and over to you, sir.

Vikram Suryavanshi: Thank you, Sir. Good afternoon, and very warm welcome to everyone. Thank you for being on the call of Time Technoplast Limited. We are happy to have the management with us here today for question -and-answer session with the investment community. The management is represented by Mr. Bharat Kumar Vageria, Managing Director; Mr. Raghupathy Thyagarajan, Whole -Time Director; Mr. Sanjeev Sharma, Whole -Time Director; and Mr. Vishal Jain, Non -Executive Director.

Before we start with the question -and-answer session, we'll have opening comments from the management. Now I hand over the call to Mr. Bharat Vageria sir for opening comments. Thank you. Over to you, sir.

Bharat Vageria: Thank you, Vikram, to you for introduction of the entire management team, including the Board members. And good afternoon to all of you, my existing and valued and prospective investor. We are here to talk about our results of Q4 and full financial year ended 31st March 2024 and our outlook for the next year.

In fiscal 2024, our revenue grew by 17%, driven by increased volume and strong demand for our value -added products. Our established product lines such as drums, jerry cans, PE pipe, et cetera, experienced a stable 12% growth. Meanwhile, our value -added products, including IBC, composite cylinder, LPG, CNG and the MOX film saw an impressive 32% growth, now constituting 26% of our product mix. Our operating margin remained stable at around 14%, thanks to our ability to pass on raw material cost fluctuation and the actual fluctuation to our customers.

Looking ahead, we anticipate that continue this growth momentum at least for 2 years and targeting around 15%, fueled by steady growth in our core packaging business, expansion of our composite cylinder segment, which includes LPG, CNG, oxygen, I'm not, again, clarifying hydrogen cylinder, it is under process of development and approval. That is not projected because commercialization will take place after March 2025.

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So our core market in FMCG, specialty chemicals, construction chemicals, paints, pharmaceutical, continue to exhibit the strong demand prospect, positioning us well in future growth. At last call also, I have said that India and other Asian countries where we have existence, we are getting the advantage of China plus -- shifting the business from China to other Asian countries.

At the onset, I would like to inform you that the Board of Directors recommend a dividend of 200%, INR2 per share. Previous year, it was INR125%, INR1.25 per equity shares, and face value of INR1 for the March '24 subject to approval of the shareholders, resulting in a significant increase by 60% in the dividend outflow. You recall my call last time, as the company's earnings are increasing, company would like to improve the payout ratio and on that direction,

management is working. Therefore, we've increased the dividend from 125% to 200%.

Coming to the financial numbers, the results are already announced. I will just walk you through some of the key financial numbers and I will shed light. You recall my last conversation call where I said full year profit, which was for March 2023, company has achieved in 9 months. So this quarter 4 is a bonus for this year compared to last year.

You will see that net sales stood in this quarter 4 is INR1,405 crores, which is the highest in the quarter in the life of the company as against INR1,193 crores last year. EBITDA of INR197 crores as against INR170 crores last year. PAT, INR92 crores as against INR64 crores. In terms of the percentage, you see the net sales increased 18% with contribution from India 19%; overseas also 16%. Volume increased 19%; India, 20%; overseas 18%. So India and overseas is running in the same pace around with a gap of 1% or 2% here and there.

EBITDA increased 16%. But you will find because of the utilization of the asset efficiency, because of the use of the funds very effectively, the PAT has increased by 45%. EBITDA, impact excluded margin, 14%; and PAT margin 6.6%, where you will find a substantial increase as against 14.2% and 5.3%. A straight 1.3% gain in the PAT is on account of the depreciation and the interest rate.

Increase in the freight cost due to the geopolitical issue in the Middle East region and due to high business in the PV pipe division having -- especially wide, that is also 10 or 20 basis points in the last quarter. It's not material because in the particular PV pipe order, we take on the fixed price basis, but there maybe a fluctuation in taking the time gap between the passing of this to the customer.

But you see the half yearly results or something, you will have a doubt. There's no any major difference in the profitability part is concerned because company is having B2 B business directly where the price increase is also passed on to the customer and price decrease also we pass on to the customer.

During the year ended 31st March 2024 on the consolidation basis, revenue first time we crossed INR5,000 crores -- INR5,007 crores as against INR4,293 crores last year. EBITDA, as promised, crossed INR700 crores, INR705 crores it was this thing and guidelines was for INR700 crores around, as against last year was INR581 crores. PAT, INR311 crores. Guideline was there for Time Technoplast Limited

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around INR300 crores. So everything is surpassed from the guidelines. As against last year, INR219 crores.

In terms of the percentage, net sales increased by 17%, volume 19%, EBITDA 21%, but PAT increased by 42%. Share of the business, as we have seen in the above results, the value-added products grew by 32% in FY '24 as compared to FY '23, while established products grew 12%. The share of the value-added product is 26% of the total sales in FY '24 as against 23% in FY '23.

In the last conference call, I stated that in the next few years time, we will see in spite of growth in each of the products, value-added products share will 35% of our total revenue because the value-added products and composite products will grow 30%. Other legacy products, established products, in line of the other industrial base, it will grow 10% to 12%.

Now share of the India and overseas business, which earlier, it was 70% India, 30% overseas but now, I'm glad to tell you is 67% India and 33% overseas business as against 66% -- previously 66% and 34%. EBITDA margin and India and overseas is 14.4% in India, 13.4% in overseas. But because of the average taxation rate is low in overseas, the net PAT margins is more in overseas market compared to Indian market in terms of the percentage.

Now I'm glad to tell you that company is focused on the debt reduction. So you will see that net debt, net of the cash, as on 31st

March stood at INR591 crores, total debt at INR745 crores as against INR709 crores previous year and total debt INR810 crores as on 31st March '23, a reduction of INR118 crores.

I would also like to bring your attention, we all are aware that in the current financial year ended

31st March '24, there was a three continuous holiday at the end of the year. That is 29, 30 and 31st. In spite of that, company able to manage their resources very certainly but it would have much better if company would have got three working days continuously. The management continue to focus on the further reduction in the debt and aim to become debt -free in the next 2, 3 years' time.

The capex incurred during the FY '20 is well within the budget, INR181 crores only, which includes INR77 crores towards the brownfield capacity expansion, reengineering, automation, establishing the product, etcetera, and INR104 crores towards the value -added products, mainly for CNG cylinders and IBC.

The total capex in the future is estimated in the range of -- as I mentioned in the last call also, it will be less than INR150 crores, which includes automation, reengineering because cost of the - to maintain the cost, the company need to replace the machines mold, etcetera.

Return on capital, I'm pleased to inform that it has improved to 16.4%. In fact, I recall my confidence, I said we would achieve 16%, but it is now 16.4% and as company promised in the 2 years' time to reach 20%. So we are on that guidelines only. And to achieve this, company is implementing strategies such as increase in productivity through automation, reengineering, cost reduction, implementing power saving plans, enhancing capacity, brownfield expansion, increasing the revenue shares of high -margin value-added products, etcetera.

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During the year, management has identified certain noncore assets, I have given that information in the month of December. And on that onwards, efforts are continue. At the time, the assets were INR125 crores, which is now reduced to INR90 crores. And as company is estimating to liquidate the entire noncore assets or utilize that prior to 31st March 2025, that also fund will be utilized part of the capex, part of the debt reduction and part of the increase the business of the company.

I would also like to inform you everyone that one of our subsidiary company, NED Energy Limited, they are working towards the development of technology advanced TBS or Transparent Container Batteries and E -Rickshaw batteries in lead acid and lithium at the existing manufacturing facility.

This development will happen in the current financial year so that benefit can be occurred in the period ahead when the e -vehicle rickshaw volume will increase, is a good potential, very big market is there. So development is undertaken. Transparent Container Batteries is a type of the lead acid batteries commonly used in power segment for backup power system and in other applications requiring reliable and long -lasting energy storage.

Coming to the consolidation from restructuring overseas business in the Middle East, which we have announced and already agreed to sell 50% of that business in USD 25 million. The process is on. We're aware this call is for the audited financial results. We can now hand over our audited accounts to the overseas businesses to their nominated agency for due diligence. So we are expecting this transaction is to be completed in June.

And that process already we announced, it will be used for the debt reduction and benefit to the shareholders as per the Board decision. In the quarter, the company received approval from Petroleum and Explosives Safety Organisation (PESO) for manufacturing high pressure Type 4 composite cylinder prototype for hydrogen. We are first here in India to have received this manufacturing approval.

I think I

'm going to give -- we are going to give this good news, instead of 6 months, we will going to hear this in the next 2 months' time, because most of the process is -- time process is on, and we should get approval for manufacturing also in the next 2 months' time.

Now I would like to open the floor to answer specific questions, if any, which is not covered in my speech.

Moderator: Thank you. Ladies and gentlemen we will now begin the question -and-answer session. The first question is from the line of Amit Sarin from K16 Advisors. Please go ahead.

Amit Sarin: Good evening, management team, Vageria sir, congratulations on a very good performance once again. In the last couple of years, you have completely transformed the company. So many congratulations for that.

Bharat Vageria: Thank you.

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Amit Sarin: Yes. I just wanted to know, normally in your presentation, you give the breakup between -- during the -- between the composite, you give the sub breakup that how much is CNG revenue, how much is LPG revenue. This time, it has not been given. So maybe it is oversight or

something if you can share? That was my first question. Second question, if you want, or you can answer and I'll ask the second question.

Bharat Vageria: Yes. No, you can get into the next question, so I can give you answer of both. Meantime, I will ask my people to give me that information.

Amit Sarin: Sure, sure. I'll ask. Now also, the -- when one looks at the segment number, segment capital employed, the capital employed in composites has gone up quite sharply. It is now INR853 crores. And even the previous year figure, which used to be INR477 crores is now restated to INR802 crores. This is a significant change. So if you can throw some light on what is the correct picture and how we should look at it? That was the second question.

And the third was that there is a sharp increase in other income during the fourth quarter results. So if you can also elaborate on that? So these were the 3 questions.

Bharat Vageria: Yes. Okay, fine. I think, first, you asked about CNG and LPG separate figure, due to oversight because yesterday, long meeting was there because new directors also inducted from the banking sector. So I think in -- so every result was out, so we thought timely, we should give the accompanying presentation. In case of especially CNG and LPG, which was projected and we did achieve in case of LPG, INR210 crores and CNG, INR308 crores. So total is INR518 crores.

Amit Sarin: So INR210 crores, I'm sorry, what...

Bharat Vageria: INR210 crores for LPG, and INR308 crores for CNG cascade.

Amit Sarin: Okay. This is for the full year, this is for the full year?

Bharat Vageria: Yes, for the full year. You are asking the composite cylinder will be investment up because you know that our expansion plan announced last year, which is in process for which the company needs to do the investment of INR125 crores, okay? So order advance already given and that expansion is going to come this year, almost around, I think, INR70 crores to INR80 crores in capex already done on account of composite cylinder, which mainly for LPG and some of the equipments for development of the hydrogen cylinder. Revenue of this will come in the period ahead, half of the period can come this year also. So mainly increase on that.

Another thing, the composites, which includes the IBC also. We have seen the company -- one of the subsidiary company, that is TPL Plastech has completed the project in Dahej area for manufacturing the IBC, where they can generate annual revenue of almost around INR90 crores. That revenue has come only part of the previous 5 months of the financial year '23 -'24.

Therefore, the capital to revenue is not showing.

But if you exclude this investment of CNG expansion plus equipment of hydrogen plus Dahej investment of the sub

sidary, including land, building, plant and machine, all put together,

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roughly, I can say around INR125 crores you have to exclude which revenue will come in the period ahead, then it will be comparable, right?

You asked me about the Q4 other income. Yes, you see my declaration and information provided earlier. The company has realizable value noncore assets, INR125 crores identified, okay? Out of that, 2 decisions were taken, one in southern region, one is the western region, that also I have updated to NSE, BSE.

Now one transaction, which was free land and buildings were available, that has been completed. And that location has given the profit of around INR10 crores on account of additional compared to book value. So this other income is including INR10 crores on account of the nonrecurring income, right?

Amit Sarin: Okay. So I had just one clarification. The last year, capital employed was INR477 crores in composite. So that restatement, I did not understand.

Bharat Vageria: Okay. I think what I can do is, Amit, I'll ask my people to work out the details. And if you can provide details to my IR Manager, Mr. Digvijay, they will provide you quite literally working and I'll give the details because exactly details I don't have available, the investment composite, what they have taken in composite.

Because composite product, which we cover IBC product, which covers the steel drums, then we cover the LPG, CNG and auto segment, okay? That's all covered under the composite products. So as far as capital investment is concerned, to which I remember very well, therefore, I'll explain to you. But remaining, they will find out, they will recheck and confirm to you.

Amit Sarin: All right. Just one thing, if I may. One more question, if I may.

Bharat Vageria: Yes, go ahead.

Amit Sarin: You are doing a great job on the gas station front, the composite. Every year, you increase quite sharply and that is visible for everybody to see. When are you going to get into vehicle gas cylinders because both Maruti as well as Tata Motors have big plans. So I was just wondering, does it -- I mean are you economical enough? Is there any cost analysis done which makes you suitable for those vehicles, passenger vehicles?

Raghupathy Thyagarajan: No, it is suitable. Amit, it is suitable, it is approved by PESO authority. Now I had mentioned

last time also, when my expansion of the cylinder manufacturing capacity will complete, then we will go to the automotive industry where they can replace. And a dvantage, there's whole advantage of using the composite cylinder in the state of present metal cylinder because that becomes lighter, okay?

And then they can carry more gas, the bar pressure, which is our cylinder, composite cylinder bar pressure is very higher side. So that all will give the benefit. But that we will approach. In fact, approach already done, but some groundwork, detailed discussion, that all is ongoing because we know that automotive sectors approval itself takes 8 to 12 months' time. So we have initiated talk with them, design taking everything.

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Approval is already there. My 56-meter cylinder is already approved by PESO authority. But one thing I'll just clarify you, in case of selling cylinder plus cascade, I'm doing some value addition. So I'm adding the margin on cylinder plus complete cascade there, so we are getting the margin on that. Therefore, with the value-added products we are selling currently, first target is to supply to the gas stations from mother stations to the filling stations.

And you know very well how big is the market, INR28,000 crores market is there as far as CNG cylinder itself. Now every day, we are also and you also most hearing that so many CBG plants are also coming and Reliance, Adani, many people are working on CBG plant, they will need

our type of the cylinder, CNG cylinder. And another, CNG also a lot of things to be done in the

increase in the capacity to storage of the more gas in one cylinder with the same type of the volume. That will come. You will see, I think by next year, you will be able to see that.

Moderator: Thank you. The next question is from the line of Ashish Khurana from Emkay Capital. Please go ahead.

Ashish Khurana: Again, from my side as well, big congrats to the management for walking your talk and not only meeting, but in at least the operating metrics, surpassing the guidance. Congratulations. So sir, I was going through some of the previous calls, and I think Bharat ji or Raghu ji also mentioned a few seconds back. I just wanted one clarification on this opportunity that we talk about in the CNG cascade business. So the opportunity size mentioned is around say INR20,000 crores. So the clarification I wanted was that is this INR20,000 crores specifically for type 4? Or is it combined Type 1, Type 2, Type 3, Type 4 that you're talking about?

Raghupathy Thyagarajan: Yes, it is the entire family of applications for CNG, which will include the cascade as well as the automotive applications, plus, of course, the type 1. When you talk about INR20,000 crores, it will be the current demand that is happening.

Ashish Khurana: So this is across all the types. And we are hoping that 50% of it would at least be Type 4, which would -- which probably we'll have a big chunk of it from that.

Raghupathy Thyagarajan: That's right.

Bharat Vageria: But Ashish, well, again, I'm clarifying you, it's for the new market. I'm not considering the replacement market. You know that CNG cascade of metal cylinders are available for more than 25 years in India, okay? So we are not considering. This is only based on the government guidelines and government policy of October 2020 where they have -- stations have been allotted 8,100 stations. And we are considering to cascade 1 station, which itself is a market of INR12,000 crores.

Then there is MRU, mobile refuelling unit is there, compressed biogas is there, then automotive industries are there. So INR28,000 crores to INR30,000 crores total market share, each of the segments we are considering, at least 30%, 40% conversion will take place because of the advantage of using the composite cylinder.

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So as a company, as I have mentioned in my last call also, the composite cylinder business, which is currently in the '23-'24 around INR300 crores, which we are projecting in the next 5 years' time, it can be INR2,500 crores or INR3,000 crores our company's own business.

Ashish Khurana: Got it. Sir, this makes it very clear. Secondly, sir, so I think we have previously mentioned that the competition here is either players who don't have that technology in terms of, say, the bar pressure levels that a Type 4 cylinder can sustain or they import. And I know in the previous call, you have said that you have been trying to get a sense on the market size of, say, the previous FY.

So what I wanted to understand was that even if we do not have the exact market size, given the competition and what we have spoken about it, is it fair to say that, say, in the previous financial year, we had, say, over 50% share of the Type 4 CNG cascades that were sold, especially Type 4 that was sold in India?

Raghupathy Thyagarajan: In fact, when it comes to Type 4, we are the only manufacturer here in India. So I would say we are definitely doing -- we are leading the pack, first thing. There are very few people who have managed to import the Type 4 cylinder from Korea or Russia, but those are petered out, given the fact that we are now making it here and have a considerable advantage. Same is the case with Type 3 also, we are in the position to get that advantage and we will

soon also be in a position

to overtake them in terms of our presence.

Ashish Khurana: Got it. Now sir, coming to the LPG cylinder side. So we have an effective capacity of, say, around 1 million, if I'm not wrong.

Raghupathy Thyagarajan: We have 1.4 million.

Bharat Vageria: 1.4 million, but he's right because 1 million is for manufacturing capacity...

Ashish Khurana: Manufacturing, because of various sizes that you have to like...

Bharat Vageria: I agree fully with you. Yes, where we can generate revenue of around INR230 crores to INR240 crores.

Ashish Khurana: Yes. And in the last call, it was mentioned that 90% of it is utilized, but we are not actively looking to add to it because the opportunity might not be that lucrative, is it?

Bharat Vageria: No, no. As you know that I had clarified last time, as far as these LPG cylinders, government, main companies are IOCL, BPCL, HPCL. You know that last 2 years only the business has taken place, right? So in the last 2 years, government, other companies, I tell them, there are better companies also like BPCL, HPCL, there also small quantity we have supplied. And in the last 2 years, we and other producers in India, both have supplied around 1.5 million cylinders in the market.

And in addition to that, I mentioned that we have a capacity of 1 million sellable capacity.

Almost 48 countries, our cylinders are approved. And we are exporting 30% to 40% of our capacity export market also. Last year also, we have added 5, 6 countries more, and this year

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also, we are projecting to add more countries because we don't want to depend only on the India. The business was set up because we know this product and we are in this product since more than 10 years in India. But Indian government did not take 2 years back and this has just happened 2 years back only.

But we are sure once -- and that also you see as the India geographical presence, and these 1.5 million cylinders in 29 states, so very small quantity reach now. You won't see any cylinder in Mumbai region, because out of the total Maharashtra only 15,000 cylinder allocation last 2 years, how I'm able to see that.

But yes, the people, those who have started using, they are getting good response because of the advantage, lightweight, easy handling, gas visibility, no explosion in the cylinder. So that advantage and a lot of now the education to the people is to be carried out, education to the distributor is done. So we are closely working with these government companies, how this message can go to the each user of the LPG cylinders.

So I think you will see in next period that therefore, we have not taken the expansion. We have seen that let us -- even though we are 90% utilization, but we have seen that and we have also -- unless the BPCL, HPCL start the buying quantity in the large, you know that how many cylinder population today, it's 500 million, 50 crores cylinders are in population.

And every year, government need how much? They need almost 5 crores cylinders. And against that, what is the capacity of us and Supreme, less than 5% even I can say. What is this capacity? Nothing. So it is going to happen. I remember very well. You go back. We are in the polymer drums, right? You go back to 25 years back, the entire market -- 30 years back, the entire market was controlled by the steel drums and leader was the Balmer Lawrie, when we had this government company.

You see now 30 years, 60% conversion has taken place now, 60%. So it is going to be happen slowly, slowly. And we are going to see at least sustainability when the BPCL, HPCL, IOCL and some of the private gas distribution company also take the interest and use these LPG cylinder. And then we will talk about the expansion. We are not considering in our revenue growth of 15% this LPG cylinder any expansion. Yes, we are happy with 90

% utilization.

Let us first people started using and recurring customers should come back because it's a onetime and use one again. Two years back, the price difference between the metal cylinder and composite cylinder was more than 30%. Today, it is reduced to almost around 15%. As the volume will increase, we can also offer you very, very competitive prices of this. Yes.

Ashish Khurana: Got it, sir. One final bookkeeping question. So in the last call, you had given a guidance of FY '25 interest cost to be around INR70 crores, and that is how we see it right now, right?

Bharat Vageria: I think you are right because we revised also after audited results yesterday night, we were all -

- we were here only. And after the audited results, we revisit our revenue of 2025 and interest working. You are on that line only. I think the right figure you asked.

Moderator: The next question is from the line of Abhijeet Purohit from Kaviraj Securities Pvt Ltd.

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Abhijeet Purohit: Firstly, congratulations on really strong set of numbers. I just have one major question. The approval that we received from PESO for manufacturing, high -pressure Type -IV composite cylinders and this is for the prototype hydrogen side. So I just wanted to understand and just wanted to know how much revenue potential -- incremental revenue potential we have from this approval? And can you just throw some light and explain?

Raghupathy Thyagarajan: Abhijeet, it is too early to say about that. I mentioned to you, hydrogen cylinder requirement is depending on the hydrogen gas plant, which is again as you know that currently, CNG using in the vehicle, future you will see hydrogen using because the capacity will be more. But yes, we are the first company who got the approval. And as you mentioned, the approval, this is a prototype approval. We made some samples which is in the approval. Now, we will do the lot - lot of the production capacity. There are many -- as I understand from my technical team, almost 30, 40 tests are required. So almost 75% test has been completed, balance is in process. It's a time taking process. So we'll come to know final approval in the next 2 months' time.

Then we will find out, we will meet to the company's requirement. But yes, everywhere, green energy, you are hearing every company is working on green energy, every company is working on the hydrogen. So we have an advantage definitely, but commercialization, estimated revenue which you mentioned to Mr. Rashid just I have told him, is revenue guidance of '25 we have not factored anything. Just we are keeping ourselves ready to take -- to capture the market and the first mover advantage. That is our objective.

Abhijeet Purohit: All right, sir. Just wanted to understand, in Q4, we saw a slight dip in our EBITDA margins of established products. So is there any specific reason or it's just a momentary thing?

Bharat Vageria: I think I have also worked out because some other person has also asked me yesterday night.

But you know that last quarter, always, you will find some kind of the annual provision and certain kind of, I can say, the voluntary retirement settlements, we have done from the labour at the units. So there is hardly -- the employee cost is incremental of INR3 crores to INR4 crores. Otherwise, there is no normal. There is a 10, 20 basis points is there. Other things we have seen that INR11 crores nonrecurring profit is also there.

But as I mentioned always in my call, the variance in the EBITDA margin will be up to 50 basis points because whenever price increase, actual fluctuation, it takes time to pass on with the gap of 25 to 30 days. You will not find any much variance into the period end. Yes, we, however, try to keeping target EBITDA margin in the range of 13.5% to 15.5%, we are keeping the range depending on the established product mix and

the value -added product mix.

Especially in the last quarter, you were asking me, with PE, pipe business, which is, again, we supplied to the PC contract or certain government guidelines, completions of projects, etcetera where the EBITDA margin is in the range of 10% to 11%, above 5%. So volume is more there. Therefore, it may affect 10 to 20 basis points. Otherwise, there is no any other reason or downside in the EBITDA. Utilization is okay, supply is okay and all product our segment is okay.

Moderator: The next question is from the line of Rahul Dhruv from Pegasus Growth.

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Rahul Dhruv: Congratulations on great numbers. Just wanted to check on a couple of things. One is on the LPG cylinder contract that we have currently. When does it end? And how much of that revenue is -- let's assume if you don't have any further contracts from HPCL and BPCL? What would be the impact on revenue?

Bharat Vageria: I tell you, you know that elections are ongoing there. The previous contract is over now. We and other partners have supplied that. New contract is already in process. Everything is finalized but we will -- I will be able to -- being a listed company -- and quantity, I will be able to let you know in the next 15 or 20 days' time because already finalized and I will announce when I will get order in hand. But yes, process is on, because of government election process and these are government companies, so it may take 10, 15 days more. But yes my effort will continue. Supply is...

Raghupathy Thyagarajan: In order to maintain continuity, the oil company have also extended the last tender so that the supply does not get disrupted.

Rahul Dhruv: In ballpark, how much was the number in FY '24, it's around INR200 crores, right?

Raghupathy Thyagarajan: Both put together, I think the last tender was about 1.5 million cylinders, right?

Rahul Dhruv: Right. But I am talking about revenue for last year.

Bharat Vageria: Yes, revenue last year, I mentioned that in the LPG cylinder, revenue was INR210 crores.

Rahul Dhruv: Right. Okay. If there is no continuation, that is an impact that we can potentially have?

Bharat Vageria: No, there will not be any impact because what happens certain times, we are -- because the government, you know their supply. Always, there is a -- if you don't supply them on time, they charge a delay charges in anything. So what we do is we do the timely supply and wherever the available capacity is there, we take the export order also and taking care of the other countries. We balance both ways, depending on the time lease, depending on the schedule of each of the customer. We know that nowadays, because of the Red Sea problem, transit period is increased for export to the other countries. So we are keeping that in mind. And accordingly, we are exporting to the overseas customers.

Rahul Dhruv: Okay. Great. And sir, my next question was on the development of TBS Transparent Container Batteries and E-Rickshaw batteries. Can you tell me exactly what NED Energy is doing? I mean, are they just making the containers? What are they really trying to -- what is their product that is finally going to coming out?

Bharat Vageria: I'll just give you the history. If you know -- I don't know because how many calls you've attended on that, NED Energy is a subsidiary, 97% subsidiary of Time Technoplast Limited, where company has invested INR65 crores and both the companies put together revenue in the range of INR125 crores potential to go up to INR250 crores.

One point of time, this company was manufacturing only telecom sector batteries, but COVID period along and we also developed so many other batteries, which include solar batteries, Time Technoplast Limited

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railway signal batteries, industrial batteries and the telecom sector batteries now hardly 25% to 30%

of business. But yes, we have the technology available. So we thought we are not going to the electrical battery completely.

But yes, we think, knowhow available, we are in process of E-Rickshaw battery especially because market is very big and this battery is very well accepted. It's a low-cost battery compared to full size of the batteries, which is lithium-ion based batteries, electrical batteries that is very high cost because I know that recently, I bought one electrical vehicle where the battery cost itself is INR1,20,000.

We know there is a very high cost. So we want to develop E-Rickshaw batteries with the low cost and low maintenance batteries. So our scientist are very clear they are developing, and within 6 months, they will be ready. Now -- not withstanding that, you know very well that we have said in various calls, companies net investment is INR65 crores and we are more focusing on the composite products. And -- as we get the good returns on electricals business, this vehicle battery business, we will definitely, in the 3 years explore the possibility of the existing home based business because our focus is very clear on the composite product where the EBITDA margins are higher and a good potential in the period ahead.

And transparent battery, where it is used, I'm just telling you, it is used in power transmission, power distribution, telecom sites, offshore platforms and captive power users. Market size is about INR200 crores. Very big. And you and we know very well, power sector is going to be main in the next 5 years when India government is forecasting the growth of 8% to 10% and further. And this, especially this segment, the power sector is growing 20%. So we thought why we should not develop these batteries. So whenever an opportunity arises, company can get that advantage and that value can be captured, when we decide to exit from this business.

Rahul Dhruv: Okay. Sir, I had one last question, if I'm okay?

Bharat Vageria: Yes.

Rahul Dhruv: Okay. So on the -- I looked at your EBIT margins, which basically are almost at whatever, 20 quarters high, whatever 11% plus, except for the last quarter. So that if you compare with your gross margins, gross margins are actually around 250 basis points, lower from the previous peak, while your EBITDA is, of course, a function of scaling up as a business in the economy of scale. So I'm just wondering what happens to gross margin. Can we go back to the 30% -plus level eventually?

Bharat Vageria: You are talking specifically Q4?

Rahul Dhruv: No, I'm talking about overall -- quarterly, if you look at the quarterly gross margins, they used to be in the 30% to 31% range at one point in time, now they are at between 28% and -- 27% and 28%. So I am just saying, is that something which can potentially change over a period of time?

Bharat Vageria: Yes. Just a minute. In the quarter, you will see the material cost is 71.7%, as against 71.9%.

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Material cost, I just give you some kind of information to you. The material which is locally available, some material, I have to import it, imports available. Material cost is composition of import duties and the import price, etcetera. So that all depends on the demand-supply gap. Material percentage, self-realizations, everything has gone down because we pass on to the customer when prices are down. So always we talk about the volume growth. We have seen volume growth is 19%, but the revenue growth is a round 15% somewhere. So that differences on account of the prices ups and down.

We -- material costs, you know that if, for example, today, I'm selling a product at INR100 and I'm making a 15% EBITDA, that is INR15. Then in terms of the percentage, it comes 15%, but if tomorrow, INR10 down, raw material price is INR90, again, I will make INR15, then the percentage will go to the 16.5%. So, in

absolute figures, you will have to see if EBITDA margin is maintained.

Rahul Dhruv: I fully agree with that. That's not really what I was talking about. What I was talking about...

Bharat Vageria: And another percentage wise, I tell you, as the percentage, we have a variety of the products includes, you have seen that battery products, steel drums, IBC, composite products. In composite products, you will say the raw material inputs are less, but other expenditures are very high. In polymer drums, maybe the raw material cost to 75%, maybe the other cost is less. So, the combined put together is the range is 71% to 72%.

Moderator: The next question is from the line of Priyank Parekh from Abakkus Asset Managers.

Priyank Parekh: Sir, I have only one question on the IBC business. So, in this quarter...

Moderator: Mr. Parekh, sir, your audio is not clear. We request you to use the handset mode while speaking and not the speaker phone.

Priyank Parekh: Yes. So, I have only one question on our IBC business. So sir, in this quarter, the IBC volume has surged quite substantially. So, any reason for the same?

Bharat Vageria: Let me see that. What is your question, IBC? Yes, yes. It is okay. I think you were on that, I think before two person when somebody has asked me about the composites product business. I mentioned very frankly one of my subsidiaries has put up IBC plant, which has started in the part of the year in October only.

So, you will see in the second half, there is a substantial improvement in the IBC. And in each of the call, I have mentioned very clearly, packaging products where Jerry Cans and drums will grow in the range of 20%, but IBC definitely will grow between 15 % to 20%. Because much of the exports are taking place in IBC because of the bulk handling, easy in handling, mechanical equipment's are available. So that's the reason, yes, because of the new expansion has taken place, and that pace will continue.

Priyank Parekh: Okay. Got it. So...

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Bharat Vageria: You go through my -- I think another subsidiary company result, TPL Plastic, you will come to know, because every clarification has been given back in subsidiary.

Priyank Parekh: Yes. Understood, sir. Yes. So, on the continuation of that, so if we see the fourth quarter of FY '22, fourth quarter of FY '23 and the fourth quarter of this year. So, we see a sudden drop in the realization of the IBC. So, any specific reason for the same?

Raghupathy Thyagarajan: No, it's again. The margin is maintained, of course it will be maintained with the cost of the price as well and product mix. But especially, you are talking of IBC, of course, prices has gone down.

Polymer prices has gone down. So, we have to pass on, the same are the industrial products.

Priyank Parekh: Sorry to interrupt, sir. So, in -- so in last -- if I say, in this year, except this quarter, the IBC realization is around 8,200 per unit. Now that has substantially come down to 6,800.

Bharat Vageria: No, Again, one thing I have not clarified. I tell you. You see in my presentation, we have mentioned very clearly IBC, if you go through my earnings presentation, I have mentioned clerically certain countries where I sell as a complete IBC, okay, number one, which price range from 7,500 to 9,000 country-wise different. But in certain countries, I sell only containers also because in the world over, in India, not yet taken in popularized, but the world over there is a -- we supply the inner container only, not a complete IBC.

Therefore, the per IBC rate, you can't find from this work on the re-bottlers, we provide them.

And we have retained IBC, including inner containers because some customers -- IBC is the 3-part component. One is the inner container, then the cage and the lower side is the pallets, 3 variants are there differentially.

So, you can't get the price.

This is a rough estimate have been given that these are the total IBC

numbers bottles because blow-moulded items, then one is the complete IBC, then the inner container, that is very difficult to provide country-wise in separation. Yeah, so I think you cannot

get that rate directly linked to the numbers and divided by revenue.

Priyank Parekh: Okay. Okay. Got it. Got it. Yes. And sir, if I may ask the last question on that front only. The IBC volume we are seeing, so how much is coming from the domestic sale and how much is from export sales?

Bharat Vageria: Almost, you will find 45% in India and 55% overseas.

Moderator: The next question is from the line of Akhil Gulecha from [Pekaday Family Office 51.10]

Akhil Gulecha: Mr. Bharat. First of all, congratulations on such a great turnaround that you've accomplished in the last few years. I'll quickly go through a couple of questions that I have. So first, I wanted to understand the pricing difference in CNG cascades between the cascades that you make versus the cascades that are imported? And you see -- because you've grown at 100% year -on-year for the past couple of years. So why is nobody else putting up a plant in India? Is it quite expensive to put up a plant? Are you seeing any challenges going ahead in the -- are you seeing any competition in CNG cascade at all in India?

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Raghupathy Thyagarajan: Yes. Let me just answer you this query that you have. First, when it comes to the price difference, the price difference between the cascades that we offer in the market, and the one that is being offered by importing these cylinders and then assembling them here, they are in the region of somewhere between 15% to 18%. So, we are in a position to provide that advantage to the buyers, and being a domestic Class 1 supplier as they call it in the government terms, there is an automatic preference coming to us. That's number one.

Number two, while we are doing reasonably well in this business, as you would -- as an automotive consumer realize that the use of the fuel for any vehicle today is still getting rationalized quarter -on-quarter or year -over-year. People are still not very clear as to whether the diesel will get substituted by CNG or whether you will have electrical vehicles or whether there will be a compressed biogas or whether they'll be ethanol.

So that the distribution of the gases are getting fractured mandates. But then for sure, over a long period of time with the policies the governments have rolled out, we are in a position to see very clearly that the CNG will find its rightful place in the entire segment of business.

So, we are very confident. It might take others to realize it. But even when they realize it, access to this technology is very difficult. There are very few people who manufacture these products globally. We fortunately have been in the composite business for the last 20 years. So, we had the good experience of manufacturing these cylinders and we are able to graduate much faster.

Akhil Gulecha: Okay, understood So, what you are saying is that as of now, you don't see any domestic competition in India and you are fairly confident of great growth in the next few years at least?

Raghupathy Thyagarajan: Very true. No doubt about it.

Akhil Gulecha: Okay. And the second question is, I know you talked about this earlier as well, but can you just explain your volume growth is 18%, but your revenue growth is quite lower than that. So how are your contracts structured to your customers? How does that work like, ideally, you would expect volume growth plus some inflation price increase?

Bharat Vageria: No, no. As I mentioned in my last call, 19% volume growth and revenue growth is 16%; 2%, 3% difference is on account of pricing difference, because the duty structure, exchange rate, it means, I'm very clear. Normal

When we talk about the growth, we talk 15% growth in terms of the volume because price is again, depending on the demand supply. And when we talk about the EBITDA margin between the range from 13.5% to 15.5%, so we talk in terms of the absolute figure only.

So pricing is, again, as you know, that polymer prices are depending on the demand supply, not only the oil prices directly linked because some producer are making gas based oil or something and we have a different product mix also. But as far as fixed order price is concerned, we have only 2 products or 2 or 3 products where we have order book

That also like, for example, CNG cascade, LPG, that's all on the fixed price, but we take contingency part in our hand, contingency we keep always when we do the pricing based on our

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experience of the last 2 years. And then we do the projections also. Based on the last year's realization on the costing, we take the projections for the next year.

In HDPE pipe business, normally, we have seen -- we take the fixed price contract almost 50%, 60%, 30% price variation we allow them. And at the same time, we also book our materials accordingly either from imports or locally, so that we can manage that price level between the range.

There's no, you won't find much of the variance, especially when the -- because Indian provision are also parallelly changing, correcting their prices based on the import prices of each of the country is different. So you won't find any of the much difference. But always when I -- we tell you see the volume growth is there.

Price ups and downs, it is depending on the product. You have seen the 70% raw material cost. This may go up or down. But you know that 92% of our business is directly B2C end user business, where we have a practice to pass on the price increase or decreases to the customer. Therefore, we are able to maintain our EBITDA margin within the accepted range.

Akhil Gulecha: So what you're saying is that you target 15% volume growth or revenue maybe slightly up and down, but it will largely remain within the range. So is it also possible that with 15% volume growth, you end up with 18% revenue growth?

Bharat Vageria: Yes, of course, it is possible. We suppose tomorrow exchange rate become INR88 or INR86, price will go up. I will pass on to them.

Akhil Gulecha: Thank you so much. And all the best.

Moderator: Thank you. The next question is from the line of Ankur Saawariya from Equity Investments. Please go ahead.

Ankur Saawariya: I really congratulate you for a very good set of numbers and you are walking the talk for the last 3 years, 4 years from the time I have been associated with the company. Sir, before the disinvestment talks were there. You had given a guidance of sales of about 4,200 thereabouts in 2 years to 3 years down the line. But now since we are not disinvesting the foreign business, what would be your target for FY'25 and FY'26 for the revenue?

Bharat Vageria: You have seen that in the last call also, one, I think disinvestment process is on part of the year, which is hardly 7.5% of our revenue, which is in terms of the -- if I consider a INR5,000 crores revenue, in terms of 5%, we have INR350 crores. And INR350 crores also, if you divide 50%, trading is INR175 crores, which is negligible in terms of the disinvestment part.

But yes, as I mentioned in last call also that disinvestment proceeds will be used for the evaluated expansion and the repayment of the debt. But yes, you are asking, is the growth parties concerned. I can -- as I mentioned to the last person also too, Ankur, you can consider revenue growth of 15% around as we have achieved INR5,000 crores this year, exactly, you can take the 15% volume than it works out around INR5,700 crores around.

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And similarly, there

will be some EBITDA expansion margin also, you will see 20 to 30 basis point improvement because of the product mix change, and we are considering composite product growth of at least 30% composite products growth, which includes all value-added products are there.

And other products, we are considering growth of 10% to 12%, with the packaging products mainly and other products. As the chemical industry data is also available, that everybody is estimating in the range of 10% to 12% chemical volume growth is accepting. So we are also continuing the same way.

Ankur Saawariya: And also, sir, since our capex will be almost over in this financial year. And given the size of our order book, the government policies regarding the natural gases in CNG. Doesn't it make sense that since our capex is already covered with the cash in hand and the money that we are going to get from the disinvestment?

Doesn't it make sense to take a leap of faith and really ramp up our capex for next phase for the Type-IV cylinders because you have some demand that you're not being able to fulfil. So why wait for someone else to enter the market -- would it not be better that we really gear for the next phase of capex and capture the entire market both for the car manufacturers and the CNG business?

Bharat Vageria: Mr. Ankur, I'll tell you, you are saying right, but I think something which is not in my hand because you know that the equipment's, most of the equipment's are imported, these are time taking process and delivery itself is 8 months, 10 months' time. We have already placed the order, okay?

So now if demand is there, that's right.

But again, that the new unit put up, approvals process in India, how timings are required. We have already taken this -- triggered last year only we took the expansion that we will complete this year. Now we knew very well in my capacity itself it is not repaid. That when the person wants to buy a cascade and install the new cascade, he should be ready with the new CNG station, he should be ready with the supply of the trailers, which he is placing the order in automotive industry.

That automotive industry is growing 10% to 12%. There's a delivery time in each of the vehicles, maybe trailers system. There is a vehicle timings, delivery schedule itself is the 6 to 10 months' time. So they place in the order, then month-to-month, they give the delivery schedule based on the completion of gas stations, based on the availabilities of the traders because these are new

stations they are putting up.

So it is not linked to direct my expansion. We can do -- we have admitted -- as you see, my debt-to-equity is very low. I can go at 9%. I could that do that expansion. But as a management, we have decided to go slowly but take the market opportunity. We don't want to keep the assets idle as we have experienced in LPG cylinders.

We have invested 10 years back, but government took interest and started buying since last 2 years, 3 years only. So it is better to go slowly. But yes, always, we will be the first mover advantage. As we are keeping ourselves ready, I tell you hydrogen cylinder, we are developing

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it. We will be the first advantaged. We will have a first mover advantage. But we know that requirement of hydrogen cylinder is going to come after the -- at the end of the '25, '26 only, not now, but we're keeping ourselves ready. We are doing investment for that.

Ankur Saawariya: Got it, sir. And it makes sense too.

Bharat Vageria: We can roll, whenever we want because that LPG cylinder, if you want to expand it, we have experience. So we can do completely in the 6 months' time. But now CNG, it is the time-taking process.

Management: Absolutely. And this is the -- as Mr. Anand used to say that you have to paint your picture and find the best product. And as of now, I feel for our company,

CNG cylinders are the best product

that is given this future growth and we see a lot of demand also, so that is only reason...

Bharat Vageria: Last year, there was the shortage of the carbon fibres. Nobody approves. Vendor was there. But last 2 years, we work hard. Now we keep ourselves ready. We have signed a contract with overseas suppliers for at least next 2 years' time. So including my expansion requirement also, we have given them an advance. So if I have everything ready but if I don't have a carbon fibres or raw material, then what we can do it?

We have some kind of the local companies, government companies, we are working for polymer development also for the CNG cylinders. We have joined hands together. I cannot name that company without their approval, but we have joined hands. We are very focused. The product should be Make in India. And that government companies and the government always is focusing on the Indian manufacturers. Have we predicted any time that Apple 4 will be made in India? Now you see that 30% market India government is capturing and exporting from India. Have we heard any time which has happened in the last 1 year?

Ankur Saawariya: And sir, how is the demand through when we are saying that for the LPG cylinders, we are only -- in India, we are only dependent upon the gas companies but you're marketing it through this

Go Gas, through a different company in Maharashtra. So is that not picking up?

Raghupathy Thyagarajan: I have a very miniscule share of business, you would appreciate if the good amount of LPG distribution today in India is controlled only through the OMCs.

Bharat Vageria: These are the private company. They are my one of the customers in the private gas transmission company. But the large -- if currently INR5 crores, INR50 crores cylinders are in population requirement is there, most of these comes from the government companies only, because they have a direct link to supply to the -- and the user to consumer.

Ankur Saawariya: Thanks a lot for answering my questions sir and all the best for your future endeavours.

Moderator: Thank you. Ladies and gentlemen, we take that as the last question. I now hand the conference over to Mr. Vikram Suryavanshi, for the closing comments.

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Vikram Suryavanshi: We thank the management of Time Technoplast for giving us an opportunity to host the call, and taking time out for interaction with the stakeholders. Any closing comments you want to give, sir?

Bharat Vageria: Yes, thank you very much. To have a patience and listen to us. As I have again confirmed at least next 2 years, we know very well, we are going to grow on the CAGR of 15%, no doubt about this, considering the product of the companies. And we will deliver whatever guidance has been given and commitment we have given to reach the ROC 20% by March '26 and debt-free company by March '26. That's the 3 things to be remembered. Thank you.

Vikram Suryavanshi: Thank you all for being on the call.

Bharat Vageria: Thank you.

Moderator: Thank you, members for the management. Ladies and gentlemen, on behalf of the PhillipCapital India Private Limited, that concludes this conference call. We thank you for joining us, and you may now disconnect your lines. Thank you.

Call: Aug 2024

"Time Technoplast Limited
Q1 FY '2

MANAGEMENT : MR. B
DIRECTOR
M R. R
DIRECTOR
M R. S
ACCOUNTS
TECHNOPLAST
MR. H
CORPORATE

MODERATOR : MR. A
SECURITIES

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Time Technoplast Limited
FY '25 Results Conference Call
August 13, 2024

BHARAT KUMAR VAGERIA – MANAGING
IRECTOR – TIME TECHNOPLAST LIMITED
RAGHUPATHY THYAGARAJAN – WHOLE
IRECTOR – TIME TECHNOPLAST LIMITED
SANDIP MODI – SENIOR VICE PRESIDENT
CCOUNTS AND CORPORATE PLANNING
ECHNOPLAST LIMITED
HEMANT SONI – VICE PRESIDENT , L
ORPORATE AFFAIRS – TIME TECHNOPLAST
ABHIJIT MUKESH PUROHIT – KAVIRAJ
ECURITIES PRIVATE LIMITED
Conference Call ”

ANAGING
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RESIDENT ,
LANNING – TIME
LEGAL AND
ECHNOPLAST LIMITED
AVIRAJ

Time Technoplast Limited
August 13, 2024
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Moderator: Ladies and gentlemen, good day, and welcome to Time Technoplast Q1 FY '25 Earnings Conference Call hosted by Kaviraj Securities Private Limited. This conference call may contain forward-looking statements about the company, which are based on beliefs, opinions and expectations of the company as on the date of this call. These statements are not the guarantees of future performance and involves risks and uncertainties that are difficult to predict.

As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on a

touch-tone phone. Please note that this conference call is recorded.

I now hand the conference over to Mr. Abhijit Mukesh Purohit from Kaviraj Securities Private Limited. Thank you, and over to you, sir.

Abhijeet Purohit: Thank you, Manav. Good evening, ladies and gentlemen, Kaviraj Securities Private Limited, welcomes you all for Q1 FY '25 Earnings Conference Call of Time Technoplast Limited.

Today, from the management team, we have with us Mr. Bharat Kumar Vageria, Managing Director; Mr. Raghupathy Thyagarajan, Whole-Time Director; Mr. Sandip Modi, Senior VP, Accounts and Corporate Planning; and Mr. Hemant Soni, VP, Legal and Corporate Affairs.

Now without any further delays, I hand the call over to Mr. Bharat Kumar Vageria for his opening remarks, post which we will open the floor for Q&A session. Thank you, and over to you, sir.

Bharat Vageria: Yes. Thank you for introducing us, Mr. Abhijeet. A very good afternoon to everybody. We are here today to discuss our results for Q1 of FY '25 and to give you our outlook for the remaining of the year. We are excited to start the year on a positive note with a year-on-year volume growth of 16% and revenue increase of 14%. This growth is primarily driven by the strong demand in the Industrial packaging and a notable 32% rise in our CNG Composite Cylinder business.

Additionally, our profit after tax for Q1 has been a remarkable surge of 41% year-on-year, thanks to improved capacity utilization and reduce the finance and depreciation costs. The demand for Type IV Composite Cylinder for CNG cascade remains strong with an order book of approximately INR175 crores.

With a significant growth in sales of the value added product, including Composite Cylinder for LPG and CNG and a stable core industrial packaging business, which is 76%. We are optimistic about our performance for the rest of the year.

Now turning to the financial results that have already been announced, let's review some of the key financials and operational highlights together. During the Q1 FY '25, on a consolidated basis, company got the net sales is to date INR1,231 crores as against the previous year, same period was INR1,080 crores. EBITDA of INR175 crores as against INR148 crores previous year same quarter. Profit after tax INR79 crores as against INR56 crores.

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In terms of the percentage, net sales increased by 14%, and you know that we have manufacturing presence in the other 10 countries, overseas countries. So where we got India revenue 14%, overseas revenue 13% growth is there in revenue. Volume growth, 16% overall, which includes India 16%, almost same in overseas also -- overseas around 15%.

We have seen the 2% gap between the volume growth and revenue growth that is because of the price variance and exchange rates variance that is there. And you know that almost 93% business came by B2B there is slight increase or decrease we have a system of passing to the customer.

The EBITDA increase, you have seen 18% and the PAT increase 41%, which is reflecting in the INR79 crores and INR56 crores. EBITDA margin sto

od at 14.2% as against last year same

period 13.7%, improvement of 50 basis points due to the higher share value of the value added products and improvement of the capex utilization. And this also, you remember, I have also said last time that with the improvement of 20 to 30 basis points every year-on-year because there is value added products there is going to be increase and EBITDA margin will be relaxed and will give the increase.

Our share of the business established products versus value-added products. In Q1 FY '25, the value added products grew by 19% as compared to Q1 FY '24, while the established product grew by 12%. The share of the value added product has been 25% of the total sales in FY '25 as against 24% in Q1 FY '24.

Share of the India and overseas business is the same as corresponding quarter previous year, 63%, 37%. EBITDA margin in India is 14.4% and overseas 13.9%. I want to give one clarification in India we manufacture all value added products and the established products, but overseas, we do only the packaging products. Therefore, we have seen the EBITDA percentage margin is higher in India.

Net cash from operating activity in the quarter more than INR67 crores. Yes, as company's focus in reduction of the debt will continue, in Q1 also debt is reduced by INR38 crores compared to end of the March '24.

Capex over the year, estimation I have given in the beginning itself, which is around INR175 crores, but capex incurred in the quarter 1 was INR39 crores which includes INR18 crores regular maintenance capex, which is towards the capacity brownfield expansion, the engineering and automation for established products and balance INR21 crores towards the value added products, mainly IBC and the Composite products.

Now considering from restructuring, I know that everybody would like to listen about what is the status of that Middle East business, which we have agreed to disinvest which is 50% of the Middle East business. I'm pleased to tell you that -- the due diligence part has been completed and as the balance, we are estimating a transaction, including the realization of money should come in the next 45 to 60 days time because both the parties have appointed the legal counsel to complete the transactions. Now I would like to open the floor to answer the specific questions. Thank you.

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Moderator: Thank you very much. The first question is from the line of Ganesh, a shareholder. Please go ahead.

Ganesh: Congratulations for the excellent performance. A couple of questions, sir. Going by last year's growth, what would be the possible revenue for CNG cascade this year? And at full capacity utilization, what is the CNG cascade revenue possibly?

Bharat Vageria: What we can do is you can give me all the questions, I will answer to you all the questions at a time instead of one by one. So your first question is about the CNG business, right?

Ganesh: Correct, sir. And next question is we have achieved a really good 13.1% EBITDA with established products this quarter. How repeatable is it? That is one. Third is any plan for next cascade expansion? Because last time, I think we had a lead time of maybe 1 year between planning and completion. And my last question is, what is our power cost as a percentage of our revenue?

Bharat Vageria: Power cost?

Ganesh: Yes, sir.

Bharat Vageria: Okay. So first question, you asked about the CNG business, particular about this quarter only.

If you've gone through earnings presentation, we have given separately figure. But again, I will give to you. This quarter as far as CNG. You know that in FY '24, we did the business around INR310 crores or INR308 crores exactly from the CNG businesses, right? And this year is concerned, CNG, this quarter is concerned, we got the value of around INR73 crores. Last year, same period was INR55 crores.

But then your CNG business as

INR308 crores we did last year. Then there is LPG Composite products also business is there around INR200 crores, both put together around INR510 crores was there. So, we are estimating as far as this current year is concerned, is full year Composite, (CNG and LPG together). CNG, we are estimating around INR450 crores business this year.

Ganesh: Is that at full utilization or part utilization, sir?

Bharat Vageria: Pardon please. Utilization I can tell you because of sometimes some disturbance come in that area because full utilization. I have a full utilization. I can say the optimum utilization, which is we considered as 90% to 95%.

But when we are talking to the thing, you know that we have expansion line in progress, which we are expecting to be completed. The project has been identified as the expansion in the Western zone only, and which you will see the completion will be there in -- I can say, by end of the Q3, something I'm getting the building ready.

So in Q1, my expansion plan also will be ready, which I have told there's some delay happened this year because of the election delay and continuation of some Russia, Ukraine war which is delaying for delivery of my equipment. And in addition to that, we're all aware that Hamas

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Israel problem has also been created. So because resulting there is a delay of 4 to 5 months in this project.

But anyway, we have in the line, my team are regularly contacting the supplier. And initially, we wanted to take -- add all the items together, but one by one items my team is going and taking the trial of the items, certain items which are locally to be purchased that, already order has been placed. I think we will be ready in Q4 of this FY '25, we'll be ready with the expansion. So next year, we will get full potential of the CNG expansion completely.

Ganesh: So I asked about EBITDA. How sustainable it is for the FY '25?

Bharat Vageria: In fact, I tell you, as far as especially EBITDA about CNG, LPG, but I talk always EBITDA on the composite basis because we have a very composite products are there, and that's all depends on the cost of the equipment. But normally, we worked out the pricing in such a way the overall contribution, including all the things in the range of around 18%.

Ganesh: Got it, sir. Sir, my last question was regarding the power cost.

Bharat Vageria: Power cost, right? Power cost in terms of the percentage to revenue is around the 3% of the revenue. But you know that in India, all the states have a different unit rate something, if each

of the state is getting down, like Daman Silvassa rate different, now other states rate are different. But now we are also working out very closely how the power cost can be -- reduction can be made because government good policy has worked out now for the -- in this budget itself and government is also focusing to use of the solar power.

Our company focus is also there how we can reduce the power cost because in our processing industry, you will find the power cost, unit consumption is in the range of around 0.8, 0.9 per kg unit is there. So definitely, we are trying ourselves to reduce, currently 10% power by using the green energy we have already done in the solar.

But overall, we are targeting to achieve the rate of 30% by the year-end, and that's we are working on that. So definitely power cost -- because in our kind of a business, power costs -- main power costs and the raw material. These are the 3 main components.

Moderator: The next question is from the line of Rishi Kothari from Pi Square Investments.

Rishi Kothari: Congratulations on good set of numbers. Ok sir, I have a couple of questions. First thing on the top line side, any projected growth that we expect for, let's say, 2-3 years down the line for the company, any targets that we have for them?

Bharat Vageria: I got it. You told me a couple of questions. Y

ou can give me all the questions. I'll answer. You want to know top line for at least next 3 years visibility, right?

Rishi Kothari: Yes. And my second question is, you have on the slide 9, you have given some highlights of the E-Rickshaw battery containers. So can you just throw some light on it? And my third question would be on the margin front. We are expecting the same or more or less increase in margin or eventually 2, 3 years down the line at the same time.

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Bharat Vageria: Margins, yes.

Rishi Kothari: So these are the 3 questions.

Bharat Vageria: I think I will give first answer. Do you know that whenever I talk, we would like to have a CAGR of 15% in our revenue. And because you know that we are in the various kinds of the packaging product, established product. We have packaging, which is almost 76% of our revenue.

Then we have other products like composite product, where we have seen the growth in the last 2 years also over 30%. Packaging business, we are estimating growth of around 10% to 12%. So I can say the combined growth we are estimating around 15% or above that. That's only we can satisfy by getting this growth. And this growth, we are going to get in India and overseas business both put together.

We have seen that our business between India and overseas is almost -- overseas, we do 37%, India, 63%. So combined both put together a 15% in terms of the revenue you're asking me.

Last year revenue we did around INR5,000 crores. So definitely, three years we would like to have. I can say the revenue around INR7,500 crores. Will try our best to do that.

Another thing, you asked about the margins, yes. You have seen the EBITDA margin, when the value added product sales is increasing. Currently, which is contributing value added sales is around 25% in 3 years down the lines. We are projecting it will be 35% because the packaging products, we are estimating growth of 12%, composite product we are estimating growth of over 30%. So combined when the value added products sales is increasing, then the margins are reasonably good.

So EBITDA margin, definitely, you will see the expanded between the range. I can say the current has achieved 40.2%. We can definitely achieve the 3 years down the line, maybe 50.5% from there or even above that.

Hence along with the margin, I think another point you asked about the E-Rickshaw batteries.

In last, this is batteries impact directly Time Techno company not doing, but we have one subsidiary called NED Energy Limited, who has a plant in Hyderabad. So our team has taken R&D to develop this battery of the advanced TBS, Transparent Container Batteries, which is, again, requirement of the railway department. And another E-Rickshaw batteries, which is not -- we are in the battery impact.

So if the low cost batteries and low maintenance battery. So this development, we have asked to -- it will be developed in a 6 months' time process. I think prototype is already completed, submitted for sample. And in the next 3 to 4 months' time, this product will be ready.

In fact, this business, I just give you the brief because -- in the battery business, Time Technoplast Limited had invested INR55 crores and having this product in a separate company, is called NED Energy Power Build and that company -- both the companies are revenue in the range of INR125 crores.

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Okay. And they may be supplying batteries or the inverter batteries, railway signal batteries, solar batteries and that kind of the products they have. So these additional development we are doing with the investment-wise also with the small investment is estimated, which I can tell you, in the range of INR5 crores to INR7 crores we are investing, but the potential of the business maybe around INR100 crores for both the batteries which is taken under th

e

development in the near 2 years' time.

Rishi Kothari: Right. Okay. Okay. So right now, we are projecting that this is a contribution of near around INR100 in 3 years.

Bharat Vageria: Yes, yes. Definitely, it is workable looking in the market demand and this kind of the batteries, which we are developing.

Rishi Kothari: Sir, right now it is contributing how much?

Bharat Vageria: No, no, right now it's in a development phase. This company, existing other batteries are already there, with the solar batteries are there, inverter batteries are there. Industrial batteries are there. Telecom sector batteries are there. They are contributing INR125 crores, but potential development -- after development of this battery in the 2 years' time, this batteries -- these 2 batteries can give the business of -- additional business of around INR50 crores to INR75 crores. And company estimating business in the next 3 years' time, which is currently INR125 crores, maybe INR250 crores in the 3 years' time.

Rishi Kothari: Okay. Okay. Got it. And also one more additional question. On capex front, what are we targeting for FY '25 as a whole and where will be doing the investment for capex?

Bharat Vageria: As I mentioned and always I've been clarifying you. As far as whole year capex when I talk is consolidated basis capex I talk. And it's around INR175 crores, which we have projected for this FY '24-25, which is inclusive of some kind of the automation and re-engineering to maintain the capacity, brownfield expansion where we do around INR75 crores to INR80 crores and INR100 crores on account of the value added product expansion, which includes product for the packaging food of IBC, especially and composite product, the CNG.

These are the 2 major products, which is under the Composite products. And some other development is always ongoing development of the LPG, some kind of the new model, some kind of the development in the existing mode that is going to be continued.

So total INR175 crores projecting. One another, I would like to give addition from my side. If you were on the last conference call, were our company management has identified disposable of the non-core assets of INR90 crores repeat, which is targeting to keep -- to get the realization value.

And the INR90 crores, I'm pleased to tell you that already one transaction has been completed, something is in process, which is going to be completed this quarter where I'm estimating we will get around INR30 crores and balance INR60 crores also will be targeting to the next 9 months' time because is INR90-crores non-core assets, which is identified on account of land and building and some kind of a small, small projects, which company has took the R&D and Time Technoplast Limited

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the products are ready, which the size -- looking the size of our company, we don't want to go into that project.

Therefore, we will give to other parties who would like to go in that business. So all discussions are on. So I'm targeting at least out of INR90 crores at least INR50 crores, INR60 crores should be recovered in the current year. If you see the net of the capex after non-core assets disposable will be around INR125 crores.

Rishi Kothari: We are trying to diversify around -- consolidate the non-core assets out of the business and focusing on the core assets to increase the ROE and ROCE for the company.

Bharat Vageria: You got it Rishi. Because ROCE you know that I have kept our target to achieve 18% by March '25, and 20% by March '26. That is possible. All factors are there, increased EBITDA margins, reduce working capital cycle time, which is around 100 days and other things, improve the margin value added product sale will increase and the use of the assets for these, so turnover can be more.

Rishi Kothari: Okay. Got it, sir. And just the last question. What are the competitive landscape you are looking in the

industry right now compared to our company? So what do you think would be the competitors that are more or less can hinder this as a crude product or is there something different we are looking at?

Bharat Vageria: No, Rishi. I could not get your question. I'll let my colleague, Raghupathy will answer this.

Raghupathy Thyagarajan: Admittedly, competitive landscape would get segregated business-wise, Rishi, because we are as you would know, that we are in different segments of business that are there. When we look

at the industrial packaging, we are, of course, the leading player in this country and with our presence in about 11 countries globally. We are there in the top 3 even on a global front as well.

So when we look at competitive landscape globally, we are there doing very well. There are -- the industry leaders are there along with us, and we are shoulder to shoulder carrying out these businesses as well. Respectively, in the other business also, we are better related to infrastructure pipes or composites, we are definitely in the podium position itself.

Composites, of course, we are #1 with very broad presence in terms of Composite Cylinders in LPG, CNG and even entering hydrogen business. So we are there leading the challenge in terms of development and being able to capitalize on the new opportunities that are coming by. So we are able to see that we are having podium positions in most of the businesses that we are there and leading the growth through development in the emerging business areas.

Moderator: We have our next question from the line of Jatin Damania from Swan Investments.

Jatin Damania: Sir, just wanted to understand now if you look at our balance sheet, which we reported last -- on March '24, we were having a net debt of INR676 crores. Just wanted to know the -- how shall we look at the payout of this debt or the reduction over the next 2 to 3 years?

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Bharat Vageria: I think you've given me too much time. I'll tell you, as you remember, I told you in the next 2.5 years, I would like to have a debt free, looking to do my plan -- business plan of the company, and definitely, we are working on that direction.

Jatin Damania: And sir, the deal that we have the Middle East that you closed. I mean when are we likely to get the money from that deal?

Bharat Vageria: I've clearly mentioned here. I've clearly mentioned on this, you see the Page Number -- I've. I just explained that 45 to 60 days, we are going to realize that money of the sales process.

Jatin Damania: So by end of September, you will see our debt coming back that approximately...

Bharat Vageria: We are keeping the fingers crossed.

Jatin Damania: And looking at the current profitability and the current revenue growth that we are doing it. So for FY '25, definitely, you guided for INR175 crores of capex. But if I want to look for another 4 years, 5 years down the line, how shall we look at the capex cycle or the future growth prospects for the company?

Bharat Vageria: Jatin, I'm very frank with you, 3-year visibility is there. I can't comment for the 5 years. But one thing I'm sure, as I have mentioned to you, 15% CAGR for the next 3 years' time. In 3 -- not 3 years, it will take 2 years now to become debt-free. Now as far as business plannings are concerned, currently products which we have, we have to do a lot of things in CNG product, especially CNG and hydrogen.

Hydrogen, we have business not yet projected, but we know very -- whose opportunity is there. But realistic level, we were able to work out in when we will around the '25 and we've been able to work out hydrogen cylinder requirement in market and then we will decide about the capex plan.

Currently, if you ask me for next 3 years capex plan, which improves 75 to 80 years on account of the maintenance capex, regular capex to maintain my existing capacity and maintaining my exist

ing cost of the manufacturing on a per kg basis. And looking to the my present expansion plan of the Composite Cylinders and LPG brownfield development, whatever required. I'm not expecting any capex increase more than INR150 crores at least for next 3 years average.

Jatin Damania: Okay. So altogether, INR450 crores of capex.

Bharat Vageria: Yes, INR450 crores, you can definitely count it. Out of that, around INR50 crores, INR90 crores, we will get from the non-core assets also. And I have included in my expansion in the overseas locations, also brownfield expansion will continue because at certain location always my capacity utilization is in the range of 90%-95% in some of the countries. So there will be the brownfield expansion.

And that is quite -- we have internal accruals available. So we'll do the source of the financing with that only. I'm increasing whatever we are talking, debt free and everything, I'm

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considering the increase in the payout ratio also, which is currently at a 15% payout ratio is there at the Time Techno, which ourselves, we are targeting to increase time by time 2% to 3% every year, we are targeting to increase.

Moderator: Next participant is from the line of Tushar Vasuja from Yogya Capital.

Tushar Vasuja: So my first question is that what was the domestic volume growth for IBC and HDPE drums?

Bharat Vageria: Okay. It's a good question. As I think we are projecting is come under the packaging product. If you ask me the IBC and this packaging product, the growth in the range of around 12% to 14%. And the chemical industry is growing, we are also estimating sales growth, and we have also achieved a same level of growth in the Q1 also.

Tushar Vasuja: I'm asking what is the domestic volume growth for this quarter year-on-year?

Bharat Vageria: Year-on-year growth is there I think I mentioned to you, it is in packaging business -- volume growth, if you ask me in India, revenue growth 14%, India volume growth is 16%, and in overseas, same revenue growth 13%, overseas 15%.

Tushar Vasuja: Okay, sir. So my next question is that, how has the increase of freight costs affected exports in general and your company too because you are affected by the amount of exports from the country. So how is the freight cost and container unavailability affected you?

Bharat Vageria: One thing I'm telling you. We are in the business -- major businesses is in India where we got 63% in India and 37% overseas business. One thing I'm clarifying you, overseas business means, we don't export from India. That local manufacturing that all 10 countries, they are manufacturing their own or supplying their country.

So very, very negligible effect as far as freight container are concerned. It affects us only when we do the imports and import always we talked with the supplier on the CIF basis contract. So they look out whether the freight is increased or what because we have a certain pricing formula for the imports attending to the international prices, and we buy that material.

And we have also almost in the import side, I will tell you, as far as India is concerned, we have the raw material cost, which is almost around 67%-68% of our product cost. Out of that also, we do around 60% to import and 40% we are buying locally. And the import is also coming from nearby countries, that is Middle East. Therefore that was not affected in terms of the freight type or anything because Red Sea problem was not there in the Middle East countries.

Red Sea problem was coming when the consignment is coming from U.S.A., Europe and Southeast Asia. So we have a very, very in terms of the very minor imports from that regions. And as far as export is concerned, as we do export of only or this Composite product LPG cylinders, which we are supplying to various 48 countries. But that always on the negotiation that is when freight increase, we a

sk to the customer and always we worked out in a pricing

such a way that we should get our minimum earning margin what we have decided. And then Time Technoplast Limited

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we add certain customers buy on the delivery at this port Nhava Sheva port, then they take their own shipping normally. If they want to me, we will negotiate and give them.

But in terms of the value export is very, very negligible. When my -- our composite business it shall be, I can say 10% out of that 10%, 8%, which we are doing in India. If you ask in the overall value of the business, around 2% we are exporting, very negligible. So freight effect will not be much in that.

Tushar Vasuja: I'm sorry, sir, maybe I wasn't clear enough. I am asking this question because I think a few days back, one of our peers did a called and they said that the export -- the volume export from chemical and specialty chemicals from India have decreased. And that's why their packaging revision has not done that well. So I'm asking you, how have you been affected by the freight cost because your customers have been exporting less?

Bharat Vageria: You see directly, yes, I tell you, Raghupathy will explain to you. But I tell you, we provide the packaging product to the customer to take their chemical and they do the export.

Raghupathy Thyagarajan: Admittedly, we are dependent on our customers' potential to be able to export. You're right, some part of the businesses does get affected because of the increases in the freight because of the Hamas fallout that has happened. There is reschedule of shipments that have taken place.

The shipments that are going, especially to the U.S. and Europe have got affected.

But there is a delay that is being experienced. People have negotiated better freight realization from the customer. But overall, we have not been able to really see any cancellations or reduction in terms of the volume. The consignments are getting rescheduled and we are in a position to make sure our fulfilment of the requirements are happening very regularly.

Tushar Vasuja: And sir, my next question is that you mentioned the potential market for Type IV CNG cylinders. I want to ask why was there no mention of commercial vehicles or passenger vehicles in that?

Raghupathy Thyagarajan: Yes. That's the product in development. The current approval that has been obtained is for mobility or transportation of gas on a bulk basis. The application for commercialization normally takes -- has a development period of anywhere between 2 to 3 years. We are in the stage of initial part of the development at the cylinders will get ready when the new projects come in, there are different multiple sizes that will be requirement because there are different trucks that will be using these cylinders. There are different sizes that will be applicable.

We are shortlisting those variables with the OEM manufacturers as well. And as we start developing these products, et cetera, there is a development cycle of anywhere between 2 to 3 years minimum with this OEM for new product development. So in the next 2 to 3 years, we are not really able to see that happening, but it will definitely be there on the anvil.

Tushar Vasuja: And would it be fair to assume that you will focus more on commercial vehicles more than passenger vehicles?

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Raghupathy Thyagarajan: Of course, that is how the composite cylinder growth happens globally. It is the commercial vehicles, which are the first one to pounce on the benefit because high-pressure cylinders, composite being lightweight as they are. They will give you the benefits of longer range and being able to save on the fuel and being able to go nonstop.

So all these benefits will be the first to be pounced by the commercial vehicle manufacturers. And that would -- we would be able to see even when it comes to the pas

senger vehicles, we

will see the commercial part of the passenger vehicles who are the first ones to take it. The next range would be the ones which will come on the passenger vehicle will be the domestic users or so-called the individual customers there. That is the call that will be taken by the OEMs.

Tushar Vasuja: That's helpful, sir. And I have one last question. But you mentioned in a previous call about selling of the NED division. So, what are your thoughts on it? Would you sell it off or do you see potential over there and you want to keep the business?

Bharat Vageria: Yes. I have mentioned to you that as the business -- some of the development is ongoing, if you heard my last conversation with somebody has asked me about the development of E-Rickshaw batteries and that's ongoing, but yes you are right because we have a lot of things to do on the Composite products in Time Technoplast Limited. Yes, in fact, what I mentioned last time also that currently, we have appointed a new CEO last year and he is looking up the business. He has given his estimations for the next 3 years' time he will give the revenue of around INR250 crores to INR300 crores which we are targeting as a company. We have invested around INR65 crores, it will get 3x of our investment definitely we did. But to get that revenue, we'll have to do certain developments looking at the market requirement. And we are open for discussion of that. So definitely, if you ask me 3 years down the line. So either we can go all along in this business of the batteries or because we are not as it looking to the size of our revenue of when 3 years down the line, we are talking INR7,500 crores and to continue a business of INR250 crores in a separate company is not justifiable. Definitely, we will look for the disinvestment in the next 3 years' time as far as battery business is concerned. And for that, we are keeping our eyes open.

Moderator: The next question is from the line of Suvas Naik from Kridha Capital.

Suvas Naik: First, my first question is about your value-added product portfolio. Now you're targeting a higher value-added component going forward. And you must be evaluating your business based on per kg margin if I'm not wrong. In that case, how you see this per kg margin behaving over the next 3 years from current levels? Any guidance on that?

Bharat Vageria: I tell you value-added product is a combination of IBC, Composite products, LPG, CNG, hydrogen, most of the products are included. We don't sell on the kg basis I tell, it is not workable. When it is the product costing, we know we should have a reasonable margin considering the involvement of the capital, considering the R&D cost which we incurred every year on the development of product.

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So only -- it is not a composite product. It's not a polymer product, which easily you can convert into kg in terms of something items. For example if you will ask me today battery products. How you will sell the battery in kg because batteries goes into different cable. Even IBC, we don't sell on the kg basis. It is performance basis what is ultimately usable and every product has a different variant available, so easily cannot be converted directly everything in the kg.

Suvas Naik: So do you use return on capital as a benchmark for pricing the products?

Bharat Vageria: You got it right. You got it in fact. I do -- I am very clear in fact. If you ask me, ROCE, which is 2 years back, it was 14%, which I am keeping target of 20% in the next 2 years' time. Two years' time means March '24, we have the last year only I had given a target by '24, we should have 15% by '25, we should have 18% and we should have 20% by March '26. I am very clear 3 things we have kept in our mind. We would like to have 3 years' time until we should be debt-free, ROCE should be 20% next year time. And my value-added product

sales, which is

currently 25%, in 3 years' time, I'm targeting to increase to 35%.

And again I'm adding working capital cycle time, which one point of time was 115 days, which is reduced to around 100 days. But if you ask me the 3 years down the line, my working capital cycle time networking segment averages 85 to 90 days. So these all contribution with increased ROCE.

Suvas Naik: Correct. Great. One general question, sir, I wanted to know. Most of your products must be reusable -- so are they reusable, first of all?

Bharat Vageria: No, I think my colleague director will answer you this question.

Raghupathy Thyagarajan: Yes, when it comes to Industrial Packaging, they are reusable, and we thank they are reusable. I mean, basically because many components are plastics, and it is necessary from an environment point of view that these packages are reusable. So once the customer utilizes the material for filling in goods and sends it to the user, they are in a position to use the chemicals inside and then these containers go for a recycle wherein they get washed and then they go to the secondary market.

So it is -- this chemical industry will probably use it about 3 to 4 times at least before they get into a cycle where they will probably cut it, grind it and use a recycled product for making some other -- that the form and shape is changed. But overall Industrial Packaging normally go for a recycling requirement where their service lives are very good.

In some of the products like IBCs, et cetera, we ourselves have invested into models where we are able to enhance the service life of these IBCs wherein we change the offer to the customers who change the inner containers time and again so that their service life can increase. So the reusability is definitely a desirable aspect of the businesses that we are in.

Suvas Naik: Okay. So this 16% volume growth is over and above the recycled ones which are used by the industry.

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Raghupathy Thyagarajan: That's right, exactly.

Moderator: We have our next question from the line of Vinit Thanvi from Deutsche Bank.

Vinit Thanvi: So I have a couple of questions over here. The first one is, with respect, like, as you said, we have a robust order book in PE pipes. Could you elaborate about the geographic distribution of these, like the orders which you have and the types of projects we have and also the time frame for this, if you can provide some light on this.

Bharat Vageria: We manufacture pipe from 100 mm to 1,200 mm dia. Pipe we manufacture in 3 regions, I can say. We do manufacturing in Silvassa, that is western region. We do manufacturing in South region. We have 2 plants, one in Hyderabad and second one is Gummidipoondi. And Eastern region, we are manufacturing in Kolkata. So these are the 4 plant manufacturing.

Now each of the plant is serving in that regions only. So as far as overall certain times when the one client is over cap is rolled out, then we take the manufacturing in other locations and serve to that customers. Forward-looking, which we are taking and in fact, we do business if you know about some part of this business, this business is always being with the EPC contractor. We don't do directly business with the government authorities.

We have our 10, 15 EPC contractors, large contractor like L&T, Indian Home Pipe Voltas, JSW, there are like many companies out there who is EPC contractors. So they are my customer, they take the contract with the government, and we supply from them. This is -- I have 3 products where we have order booking, you will see. Otherwise, most of the products is a recurring order every month to month. We have an order book system in the LPG cylinders, everywhere system in the CNG, then be the pipe business. Because in this business, people place the order and give the delivery schedule as per their progress on their site.

Vinit Th

anvi: Okay. The next one is like for the CNG cylinder. Is it possible for you to provide some light on the strategic initiatives and operational measures, like what you intend to implement in order to achieve the projected conversion rates?

Bharat Vageria: No, no. I'll tell you. I think as far as CNG cylinder is concerned, it's a different kind of the various products combining put together, it's a Composite product CNG, which is mainly maybe as polymers where you have glass fibers, carbon fibers, various other chemicals all put together, we make it.

But as I mentioned to you, we have -- we do manufacturing cylinder, we prepare the complete -- we manufacture complete cascade and supply to the gas distribution company. And gas distribution companies are the government gas distribution companies and private gas distribution. If you have gone through the policy of the government which was in October 2020, you will find who will be my customer or government companies, private gas distribution companies who have allocated the gas station, they are opening the new gas stations, like Mahanagar Gas Limited opening, Maharashtra Natural Gas, Adani Gas, they are opening the new gas stations and there they use this cascade -- CNG Cylinder Type IV cascade

for bringing from other station to filling stations, they use that.

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Moderator: We have our next question from the line of Rupen Masalia from RN Associates.

Rupen Masalia: Yes. And congratulations for consistent performance. My question is currently, companies is in the process of developing composite heaters or geysers. So can you throw some more light on this particular product? And would company be venturing into a B2C segment because the product itself is a consumer product?

Bharat Vageria: I agree, Rupesh. I think you have done good. Thank you very much for your comments on this business. I'll tell you one thing. Our objective is very clear. We are in polymer and composite products. And this both of using this technology, we use induction, blue extrusion and the composite technology we have.

And we do development of the product to replace the maintenance to the polymer or composite to give it high shelf life, low shelf life and another thing we have seen the product to which we are talking as far as this composite fire extinguisher and the composite water heater, which we are talking.

This is a newer product, which company has taken R&D. You know that we have a R&D team, 30 people working on this R&D and they develop the products. Now why we've chosen these products because these are very huge potential is there, and we are getting good inquiry. So I'm not restricting composite product development to restrict to the cylinders. We do some kind of the composite product for automotive sector also, we are already doing it which means going to the automotive sector, like air-received tank, EV vehicles we are doing, many other products we are doing it. We are working with the automotive industry.

So our object is very clear, Composite means does not restrict to only cylinder, many other products, wherever the possible to become the product to lighter weight and long shelf life. So we found now the business is concerned, you know that we have a 92% business in B2B, 8% business in B2C, we are doing it already.

In this business also, we are not going to sell directly. We will appoint when the product, some kind of the export opportunities also we are aiming for the composite fire extinguisher. We are getting some inquiry. But yes, we know that any R&D product will take 6 to 12 months time for developing the products. So these are the products we thought market is very big and good usage.

You and we know very well. If anything happens today, the metal fire extinguisher is very -- not very easy to carry and people don't mind to pay the price for that when it be

come lighter,

everybody can handle it and they can use wherever required when the fire incident, anything happened.

So looking to the products, looking to the market size -- and we thought it's a good product, which we can reduce the weight almost, I tell you the 30% to 35% will be the weight compared with the metal today, whatever product is there. So therefore, we took the product, we don't see whether it's a consumer product or industrial product. But again, you know that now Composite water heater, it's industrial product also. Many residential complexes and many offices which are coming, they're putting the water heater in their site. So it can be the

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commercial households also that we people use it. But we are not going to -- we are going to sell with the wholesale distributors when the product going to be finalized one.

Rupen Masalia: Right. So it could be sort of a custom manufacturing sort of arrangements with certain OEs. I mean that also cannot be ruled out at a later day?

Bharat Vageria: Of course, it cannot be ruled out. I mentioned because we know that our team took the items. I'm talking about CNG cylinder. Development was ongoing since last 5 years, but commercial has taken place in the last 2.5 years.

Moderator: We have our next question from the line of Rishi Kothari from PI Square Investments.

Rishi Kothari: Actually, I got a question in the middle of the conversation that you are just asking right now. I just want to understand our international business, how does it operate? As you said that we generally don't supply anything to that original general to realized revenue from the export market. So how exactly is the setup of the small foreign business that you are operating?

Bharat Vageria: I will tell you this. As you know, that our expansion our overseas revenue is around 37% of our total revenue, we are getting in on the consolidation basis. Now overseas do manufacture the packaging products, which is mainly IBC, plastic drums, Jerry cans and pails. These are the 4 products we count as the packaging product, which is 76% of our total revenue.

Now in overseas, I will tell you we have divided 3 continents. Number one is the Middle East

or MENA region. We have a manufacturing plant in Sharjah, Bahrain, Saudi and Egypt. This we call as a MENA region, where we get around 30% of our total revenue we get from there out of the overseas revenue.

Then in Southeast Asia, we have a manufacturing location in Thailand, Malaysia, Indonesia, Vietnam and Taiwan. These are the 5 manufacturing locations we have in that country. And every country is manufacturing and supplying to the local customers only.

Third one is a U.S.A. part. Here, we had 3 -- 4 manufacturing locations, Chicago, Austin, Iowa, we are doing in the U.S. part where we get around 20% revenue. So if I count INR100 crores revenue, I'm getting from overseas, I'll get 30% from MENA region, 50% from Southeast Asia and 20% from U.S. part. These are the revenue contributions.

We are not doing any export from India to these countries because every country is manufacturing and supplying to the local customer. And we've gone there because if you go through my presentation, you have seen some of the multinational customers who have a presence in India, they have a manufacturing presence in our overseas countries also. Some customers are the common customers in India and overseas. But yes, pricing is different. Like I can give you some of the names like Dow Chemical, Cradant these are some common customers. We have some common customers. And another thing, if you've gone to my presentation, I tell you, we are the market leader in 9 countries out of the 10 countries overseas where we are present. We are not leader in U.S.A. because there are some other players are Time Technoplast Limited

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there, but other co

untries, most of the countries, we are leading and more than 55% to 60% market business we have.

Rishi Kothari: Okay. Okay. Got it.

Bharat Vageria: Another thing you see in my earnings presentation. The overseas business have also grown in the range of 15%, and the EBITDA margin is in the range of 13.9% somewhere.

Rishi Kothari: Yes. That helps. And also these are all 100% subsidiary of the company?

Bharat Vageria: Again, I'm clarifying you, if you heard that. These are the 100% subsidiary set down subsidiary of Time Technoplast only in India, around 100%. And you heard then somebody has asked me and I was lowering my -- this statement in the beginning remarks that company is early to sell 50%, 50% of the revenue of the Middle East part, which in terms of the revenue point, I can say, INR175 crores business.

Total business is INR350 crores in that region and 50% revenue around INR175 crores, which we have agreed to disinvest 50% with the local partner in that region. That transaction somebody has asked me Mr. Jatin I remember the Jatin Damania has asked me, so I told it, it is going to be completed in the next 45 to 60 days time because transaction is ongoing, due diligence is ongoing since last 4, 5 months. Now it is consummation will be over, and this September or somewhere.

Rishi Kothari: And apart from that Middle East investment, everything else is 100%?

Bharat Vageria: Of course, it will continue. It will continue. Majority we are doing because we thought some other opportunities for composite products will also be there in the Middle East region considering the cylinders business and local. So we thought okay, we will have local partners and will grow faster in that region and the other products also we will launch there. That is our main objective.

Rishi Kothari: Okay. And apart from this, any other strategic plan that we are planning for this investment or more investment in the foreign market? So let's say this batteries investment of 50% disinvestment was on some core information that we decided to take out. So any other thing that we're planning?

Bharat Vageria: No, not now. Nothing on the table, and we don't want because we ourselves decided to grow 15% CAGR in the next 2 to 3 years' time. And let us have debt-free with future we can't say that's the opportunity come, we will do the valuation assessment, and we'll -- at that time, we will see and we will update to all the investors. But as on today, or near future as 6 months, nothing is under development.

Moderator: We have our next question from the line of Tushar Vasuja from Yogya Capital.

Tushar Vasuja: I have a couple of questions. Can you provide your realization in EBITDA per unit for IBC?

Bharat Vageria: Especially separate IBC EBITDA is not workable in fact I tell you because each and every item of IBC product we manufacture in-house. We don't depend on the outsider. And usual

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IBC is a mixture of the inner container, then the combined horizontal and vertical pipes and so many other plastic articles.

But as I mentioned to you, EBITDA working normally do in the packaging product in the range of 12% to 14% we do. So these items come on the building products, so little higher is there because most of the items we do manufacturing around. And again, IBC between India, IBC overseas also put together. If you ask me the combined EBITDA margin, may be in the range of -- in the range of 12% to 15%.

Tushar Vasuja: Okay, sir. And I know you don't give segmented margins, but again, can you -- what sort of margins do you get from your metal segment?

Bharat Vageria: In the business only, we have a very small business, why we have kept it you know that certain times, we have seen the grocery and general store. Everybody keeps the bread and butter. They hardly earn 2% to 3%, 4%, but they have to keep it because they want to sell the other products, then on

ly the customers will buy.

So this metal product why we have kept in is a strategical investment we did and where the Time Techno is a 49% partner, 51% is the international company. Mauser owns that company, if you ask me very frankly, we have kept that product because -- we ourselves, you know that we do polymer products, replacement that take place in the last 30 years, 60% replacement has taken place from metal drum to polymer drum.

But we would like to continue the metal drum because any customer comes to a shop, he has a certain product which they cannot use the polymer drum 10%, 15% product chemical and certain products which they need the steel drums. So we used to supply them. We don't allow to our customers go to the other shops. There we are continuing the steel drum. But you asked me EBITDA margin in the range of 5% to 6%. But I tell you steel drum, the gearing is high.

Gearing is high. If you invest INR1, the gearing is INR5.

Tushar Vasuja: Okay, sir. And sir, my next question is, you mentioned quite a bit that you're doing the capex for your CNG plant. But have you been doing any capex for your LPG?

Bharat Vageria: I can say if you -- today, some small capex which already included in our regular maintenance of brownfield expansion because I have a highest range. We are the only company in the world who have 2 kg cylinder to 2 liters to 26 liters cylinders we have. Even 47 liters, we do, right? Yes.

So various highest range we have. So based on our customer requirements, country requirement, we do certain development, but all costs is included in my maintenance capex of INR75 crores to INR80 crores a year. Specific if you ask me question for expansion in LPG, as far as FY '25 is concerned, answer is no. But if you ask me next year, definitely looking to the demand, looking to the response which we are getting in LPG cylinder, my answer is yes. Because we have a good -- this year, we are keeping our sales target to create awareness -- that awareness. You know that we are supplying cylinders to Indian Oil Corporation, IOCL India, the huge supply is going in the various states of the India. So they are also getting good Time Technoplast Limited

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response. So we have joined together, create the initiative, create the awareness between the people that this type of the composite cylinders are available in the market, available with the distributors, is at a light weight and they can see the gas exposure proof. These are the major advantage. People don't mind to pay the higher value for the sake of the life. Therefore, you know the product's name is itself is a Lite Safe is the name of the product.

Tushar Vasuja: Okay. So sir, what's your operational capacity right now after all the brownfield and minor expansion?

Bharat Vageria: Are you asking me LPG?

Tushar Vasuja: Yes. LPG.

Bharat Vageria: I'm full utilization. Almost I'm being 90%- 95% utilization is there. I don't have spare capacity available.

Tushar Vasuja: Sir, I'm asking about your operational capacity, how much total capacity do you guys have?

Bharat Vageria: We are the manufacturing. If I do the different size -- one size of cylinder, we can manufacture 1.4 million, 14 lakhs cylinder in a year. For the single size, but you know that every country has different requirements. Like in India, we are supplying 10 kg. Certain countries, they are supplying 47 kg. Certain countries 2 kg, 5 kg. So all put together maximum, we can do the 1.1 million or 1.2 million cylinder because we have to change the model and moulding capacity. So in terms of the revenue, it is easy to understand. We can do the revenue of around INR230 crores to INR240 crores from this LPG cylinder business. Another thing I had mentioned last time also, same LPG line, we have developed -- we have products available for me this oxygen cylinder also, we have developed of 6.8 liters we have already developed in o

xygen cylinder.

Tushar Vasuja: Sir, I have a follow-up on this, and please correct me if I'm wrong, but you have mentioned the same capacity quite a few times in previous calls also. So what is the brownfield expansion

that you're talking about actually doing over here? Because operational and actual capacity is staying the same.

Bharat Vageria: I tell you. Brownfield expansion means, I explained you other way. For example, I have one plant in Daman where my utilization is almost existing machine capacity 90% and I have to increase one more machine there for the packaging product that is called the brownfield expansion, not a new location or something.

Another thing, as I mentioned, the automation and re-engineering you know that every time labor cost is increasing. So I have to maintain my labor cost. I have to maintain my EBITDA margin. So some kind of automation and re-engineering with the machine to increase the productivity, to reduce the labor cost and main power cost we need to do, therefore, and you know that almost now we are 30-years-old company.

So looking at that time, certain life of every product, machines we have the maximum part, we can do the packaging machines, grow moulding machines 15 year, 20 years then I have to

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replace or I have to replace some of the key components of the machine. Similarly, in the moulds also certain times, like every mold cycle times, you can take 1 million pieces, 2 million pieces. If we don't change the tool, then the cycle time will increase and cost of the manufacturer increase.

So that I mentioned to you looking at the size of the company, looking to the fixed assets we have, maintenance capex of INR75 crores to INR80 crores every year will be there. You know my depreciation amount, I explain in other ways. 50% of the depreciation amount will be required to maintain the capacity to maintain the cost of the per KG packaging for product packaging for that.

Tushar Vasuja: Okay. I'm sorry to take more of your time. I have one last question.

Bharat Vageria: Okay. If you want to understand, I'm very happy to explain you.

Tushar Vasuja: Sir, I have just one last question. What is the execution time line for the CNG order book?

Bharat Vageria: I'll tell you again. Every person who gives order because he has been alerted the site for the filling station new, then they come out with the tender. They give the order, they finalize L1, L2 whatever they finalize. Then after 6 to 8 months they give the time for the execution, depending on their vehicle delivery, depending on their completion size, et cetera. But normally 6 to 8 months people give.

Tushar Vasuja: Okay. So the order book that you have will be executed in 6 to 8 months.

Bharat Vageria: Of course. Yes.

Moderator: Ladies and gentlemen, we will have a last question from the line of Vinay Nadkarni from Hathway Investments.

Vinay Nadkarni: Congratulations on the good set of numbers. Yes. I'm saying sometime 2 years back, you had a Tesla power order for the LED battery energy systems. Any repeat order from them after that?

Bharat Vageria: No, no, no. You are right. I think you're asking 2 years back something. You know that Hathway has a good plant in India. Hathway in fact, sorry, Hathway is your company name.

Tesla, there was some confusion. Elon Musk, Tesla, which is in automotive sector. This Tesla another one in battery segment, where there is a large plant in India to I think initially the lease out the batteries to the people.

But in the last 2 years, there are so many changes and the parent company from U.S.A., considering the situation in global situation that we grow their investment plan and we have already business whatever we did business we've done, we've got that money, and then after we have not received any order. But then also, we are also what focusing in the last, I can say, 2, 3 years, we are devel

oping mainly in the solar batteries, which is a good demand, where the seasonal batteries good demand is there, then other industrial batteries.

And as you heard in the last question that E-Rickshaw batteries low-maintenance batteries, we are developing it. So as for investment, I think the parent company itself is a withdraw their

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investment plan. They have a large initial plan, but we give the lead on batteries. But looking the new companies are coming, new models are coming, they have also withdrawn their plan.

Vinay Nadkarni: Okay. Question is on this -- the oxygen filling that got approval for last March. Any development on that? Have you got some more...

Bharat Vageria: Yes, I think Raghu will explain to you because we have a limited capacity of LPG cylinders, so we are not supplying. I think we have now -- in principle, we have decided some of the orders are in hand, and we are going to execute this year. But again, whether I make LPG cylinder or make the oxygen cylinder the same, but as customer demand is there. So we are

going to manufacture and we are going to supply some quantity in the next I can say 2 to 3 months' time to the customer. We have order. We have approval. That is not in problem at all.

Vinay Nadkarni: And is the LPG cylinder, CNG cylinder -- LPG cylinder and oxygen cylinder margins different or they are the same?

Bharat Vageria: No, no. As I mentioned, I can say we have mentioned composite products we work margin, we should get our reasonable margin, reasonable margin and sale I mentioned to you or other product margin in the range 14% composite products where the technology involvement is there were so many capex are there. Therefore, we consider reasonable margin, which is around 18%.

Moderator: Thank you. Ladies and gentlemen, that would be the last question for today and I now hand the conference over to the management for closing comments.

Bharat Vageria: So Abhijeet, thank you very much and thank you to all my valued investors, existing and prospective to listening to management conversation. If anybody has left any query there, we have an investor line existing, IR agencies numbers we have provided back of our earning presentation. So they can contact and they can get their clarification. Once again, thank you very much. And thank you.

Moderator: Thank you. On behalf of Kaviraj Securities Private Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

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"Time Technoplast Q2 & H1 FY25 Earnings
Conference Call"

November 12, 2024

MANAGEMENT : MR. BHARAT KUMAR VAGERIA - MANAGING
DIRECTOR, TIME TECHNOPLAST
MR. RAGHUPATHY THYAGARAJAN - WHOLE-TIME
DIRECTOR, TIME TECHNOPLAST
MR. SANDIP MODI - SENIOR VP (ACCOUNTS &
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MR. HEMANT SONI - VP (LEGAL & CORPORATE
AFFAIRS), TIME TECHNOPLAST
MODERATOR : MR. ABHIJIT MUKESH PUROHIT - KAVIRAJ
SECURITIES PRIVATE LIMITED

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Moderator: Good evening to one and all present here with us. We welcome you to the Time Technoplast Q2 & H1 FY25 Earnings Conference Call hosted by Kaviraj Private Limited.

This conference may contain forward looking statements about the company which are based on beliefs, opinions, and expectations of the company as on the date of this call. These statements are not the guarantee of future performances and involve risk and uncertainties that are difficult to predict.

As a reminder, all participants' lines will be in the listen-only mode and there will be an opportunity for you to ask question after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing "*" then "0" on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Abhijit Mukesh Purohit from Kaviraj Securities Private Limited. Thank you and over to you, sir.

Abhijit Mukesh Purohit: Thank you. Good evening, ladies and gentlemen. Kaviraj Securities Private Limited welcomes you all for Q2 H1FY25 Earnings Conference Call of Time Technoplast Limited.

Today, on the call we have with us the Management Team which is represented by Mr. Bharat Kumar Vageria – Managing Director; Mr. Raghupathy Thyagarajan – Whole-Time Director; Mr. Sandip Modi – Senior VP (Accounts & Corporate Planning) and Mr. Hemant Soni – VP (Legal and Corporate Affairs).

Now without any further delays, I hand over the call to Mr. Bharat Kumar Vageria for his "Opening Remarks" post which we will open the floor for Q&A session.

Thank you and over to you sir.

Bharat Kumar Vageria: Yes, good afternoon to all the participants and my colleagues. And thank you, Mr. Abhijit, for the introduction to Management. It's our pleasure to convene today to present and discuss the result for Q2 & H1 of FY2025, as well as to provide our outlook for the remainder of the fiscal year, FY25.

We are pleased to report a continued, strengthened Q2 FY25 with a year-on-year growth of 17% in volume and corresponding 15% in the revenue. There's a difference of 2% because of the prices seen in the downward trend and as the company policy to transfer the prices to the customer. This performance has been earned underpinned by robust demand in our industrial packaging segment alongside an exceptional 36% surge in our CNG composite cascade business.

Additionally, our profit after tax for the Q2 has demonstrated an impressive year-on-year increase of 40%. And I remember the similar increase in the Q1 also reflecting the benefit of optimized capacity utilizations, as well as the reduction in the finance and the depreciation cost.

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The demand for Type-4 Composite Cylinders for CNG cascades remains particularly strong with our current order book standing at approximately Rs. 185 crores. This momentum is complemented by substantial growth in the sale of our value-added product, including Composite Cylinders for both LPG, CNG while our core industrial packaging business continues to perform with stability. Given these favorable trends and the solid foundations we have established across our key businesses segments, we remain confident in our prospect for the remainder of the year. As in the beginning itself we have said, we'll grow around 15% and thus, we hope it will continue. In spite of, we all are aware that there were challenges quarter this year especially because rain seasons were increased substantially. And last in the month of October also rain was there. But looking to that, I think the remaining five months looks very good as far as India part is concerned.

With that, I would like to turn our attention to the detailed "Financial" and "Operational" highlights which have been communicated before in our Results:

Let us take a moment to "Review" the k

ey takeaways together:

During Q2 FY25, I will provide you the Q2 FY24 figure also on a consolidation basis. Net sale achieved Rs. 1,372 crores as against the previous year same period was Rs. 1,195 crores. So, there is a revenue growth of 15%. EBITDA is increased Rs. 197 crores from Rs. 167 crores. Profit after tax is increased to Rs. 98 crores as against Rs. 70 crores. We are just two runs away from the century. So, we hope we should get it in the next quarter. Compared with the corresponding quarter previous year, the net sales increased 15% and almost in India 14%, overseas little more achievement is 16%, volume increased 16%, India overseas 18%, EBITDA increased overall 18% and PAT increased by 40%.

On consolidation basis, normally, I have clarified in my past this conference call also, normally in the first half we achieve 45% of our revenue, in first quarter 22% and second quarter 24%. And balance 55% we achieve in the second and third quarter, which is 26% and around 28%. So, during the H1 FY25, net sale stood Rs. 2,602 crores as against Rs. 2,275 crores. EBITDA Rs. 372 crores as against Rs. 315 crores last year. Profit after tax 178 is against 127. So, in terms of the percentage sales increased by 14%. Almost India and overseas are same. Volume is also Indian overseas same 16%. EBITDA increased by 18%. PAT increased by 40%. H1 FY25 EBITDA margin, there is an increase in the EBITDA margins also by 40 basis point. It achieved 14.3% as against 13.9% the previous year same half, first half.

Our share of the business, yes, when we have seen the EBITDA margin improvement is there, it means percentage of the established versus value-added products is increased. Value-added products grew by 21% in H1 FY25 as compared to H1FY24. While established product grew by 13%, the share of the value-added product is now 27% of the total sale in FY25 as against 25% in FY24. And I again, when talking about the value-added products, company is also taking target of achieving 35% value-added product sales in the next 2 to 3 years' time. So, we are on that direction only.

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Now share of the India and overseas business remain constant, continue as 65% India, 35% overseas. And the EBITDA margin at the both India and overseas surpassed the 14% range. Net cash from operating activities continuously increasing and company's H1 FY25 is stood at Rs. 138 crores. Company focus on debt reduction is continue and the first half reduced by Rs. 52 crores. Total CAPEX incurred during H1 FY25 was Rs. 94 crores, which is included to be Rs. 39 crores to the regular maintenance CAPEX. Capacity expansion, re-engineering, automation, etc., and 55 crores towards value added products, mainly composite products and the other IBC. Now, certain major events which has occurred during this quarter, even though I have given in earnings presentation clarification, because some of the people in between have also asked. I thought it is better to give clarifications on the conference call. So, most of the people who are present personally can come to know about that. And these are all the things already informed through the NSE, BSE, stock exchanges as per the required guidelines.

Now, especially as far as the QIP concerned, as the company board has approved QIP, Qualified Institution Placement, of up to Rs. 1,000 crores. And this is an enabling resolution. Object is already mentioned and this resolution is valid for one-year time. Because I have received certain questions from my investor why it is required? I am again clarifying all of you that is the enabling

resolution for the next one-year time. In spite of company has own plan to become a debt free by March 26, but it's thought it is better prior to that then we can become the faster debt free company. And company, the objective is also mentioned in the QIP, major object the debt repayment, expansion plan for brownfield and

new products, value added products mainly CNG, LPG and hydrogen. I have also clarified in my last conference call further that certain Indian government gas distribution companies need the same size of the cylinder that is 14.5 kg cylinders which company is under development. But it is going to take time. And further, in the present scenario, all the distributor mix of the government companies are ongoing so that the company can also understand the market size and took the necessary action to put the capacity in place. So, this is the advance we ourselves are keeping ready for that. Now another company is also focusing, and we are all aware that day by day or month on month, the main power cost especially labor cost is increasing because companies are also focusing on the increase in the labor cost. So, the company is focusing on the automations, reengineering modifications of the existing equipment molds, to maintain the productivity and increase the productivity and reduce the cost in terms of the kg for the main power. And further, even though it is mentioned that funding the organic is okay, inorganic growth in the areas of the operations, yes, I am pleased to tell you, as on date, I don't have any acquisition plan of the company because company has own plan, organic growth and the company's own plan, as mentioned recently. Then working capital requirement because company is growing 15%, as we have decided, the company should be debt free. So, additional working capital requirement, even though companies focusing reducing the working capital cycle days which at one point of time was 120 days, which is now reduced to 100 days. So, focus is on. And first, company will achieve target to achieve the working capital cycle days of 85 to 90 days in the next two years' time.

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Then another thing which I have mentioned regarding the consolidation of the subsidiaries companies, Power Build Batteries and the NED, I will just recap it for you. Company had gone into energy storage devices manufacturing long back in 2007. Presently two companies, same line of the products and manufacturing and two manufacturing places are there. But the company thought it is better to use the resources, available, man power resources, marketing resources, and to the common better efficiency and effective utilization of the resources. Company management has approved, so that overall profitability can be improved. And the overall ROCE from this company, where the company has made an investment of approximately Rs. 69 crores invested by Time Technoplast as a listed company in both the companies together. So, that is the objective for the increased margins. And another you have seen one of my subsidiary TPL Plastech with 75% subsidiary of Time Techno, which is engaged in manufacturing of packaging products only, IBC, drum, jerry cans, conical pails. But mainly that also includes the value added product IBC which Time Techno is also manufacturing. But as this company is also their own expansion plan, Time Technoplast, there's no IBC manufacturing in the Maharashtra region. And the good demand is coming, which is already mentioned, a reason for demand in that Konkan region. And it's a government long-term lease. I've already been allotment letter received. So, in the next 3-4 months' time company will plan the project cost, identify it, and then we'll do this project. It's estimated to complete next year. And just, when I'm talking on the subject, last year, the TPL Plastech subsidiary company has completed expansion project in Dahej. Overwhelming response is there. Capacity utilization is already reached to the 70%. So, looking to that overwhelming response, company thought, which is to logistic cost basis and other cost basis to put up the plant in the Konkan region. So, this can be the first mover advantage.

And another thing everybody would like to hear, because

you know that last 8 to 10 months, somebody was asking, all the people must be asking me, what about the overseas sales? But as I mentioned very clearly, the company had agreed initially by way of an offer letter was received. But that offer letter was received based on the 22 and 23 EBITDA margin. But now as the company has achieved the growth of more than 15% growth in Middle East, further in the last 3-4 months, the company-management has decided to put their own plant in Saudi, which will be around 100% by subsidiary of Time Technoplast Ltd. So, it is better now in uncertainty situations to call off the sale business, because it is very clear when the company is earning more than Rs. 350 crores-Rs. 400 crores in a year and the company was estimating this realization of Rs. 150 crores net of the taxes for sale proceeds of the 50% stake. So, I have been advised by my board member not to sell this business and grow company for overseas businesses which is already evident and growth is there in the Middle East, good growth. Especially in Middle East, I can say the Saudi is good upcoming chemical zone areas. And then Saudi government is

welcoming to expatriate, and they are giving good kind of benefits to the industry people. So, we thought it is better to put our own unit there in Saudi. Currently, we are servicing from our nearby countries, Bahrain and small units available in Saudi also. And this will be the 100% ownership.

Another thing also, I have clarified my notes sale of the non-core assets which efforts are continuing. You remember that I have told in the last October-November there is a targeted of Time Technoplast
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Rs. 125 crores. So, we have fulfilled our promise. And almost 50% already realized around Rs. 65 crores and for the balance Rs. 60 crores efforts are on and estimating in the next 12 months' time. These funds also will be utilized for the CAPEX plan. So, overall CAPEX if I tell you that we have a maximum range of Rs. 200 crores and if out of that we are realizing Rs. 125 crores, the net CAPEX will be very minimum.

Now I have covered most of the things, but if any other things I have left, I am keeping open the floor for the questions, if any, which I have not covered. Thank you.

Moderator: Thank you. We will begin the question and answer session. The first question is from the line of Jatin Damania from Swan Investments. Please go ahead.

Jatin Damania: Just want to understand regarding our business now when we indicated that we are not going ahead with the sale of the UAE or the Middle East plant, how someone look at the overall growth in the Middle East when we have decided in the past that we wanted to sell it. So, when you compare with our past six numbers, how should one look at the fortune of the Middle East operation? And secondly on the non-core assets, in last quarter we have tried to dispose around Rs. 90 crores. Now we have increased it to Rs. 125 crores and as per our press release, we indicated that Rs. 65 crores we have already achieved it or we have received it but as per the cash flow it indicates only Rs. 30 crores which has come to the business. So, is it safe to assume that Rs. 90-95 crores will probably come in the second half? And third, on the capacity utilization across the product mix if you can help us to understand the future of your driver?

Bharat Kumar Vageria: You have four questions. First, you told me about the UAE business. You know that overseas, we do manufacture the packaging product only. That is called Jerry can, IBC, and drum. Now, I have clarified in the past also. Overseas business, if I consider 100% revenue, we normally get 30% revenue in the MENA region, which is inclusive of the four countries, that is Sharja, Bahrain, Saudi and Egypt. I've told Middle East revenue in the terms of the rupees is 350 crores. And the Rs. 350 crores revenue, if I will sell out, that was out of th

e revenue figure was around

Rs. 175 crores. So, we had agreed to sell by getting 50% or 100% valuation was \$50 million and 50% valuation was \$25 million which if I will take my EBITDA of 22 and 23 average, we were selling at the time of the multiplier between 7.5 around. But as this current year is concerned 24, we are already one quarter away from closing of this year. So, we have told very clearly we should get the EBITDA multiplier not 22, but of 23 and 24 average. Yes, and this was agreed in between us. And further, looking to the present growth, we have asked very simple questions because it took eight months' time in continuing this deal. But again, delay is, we are holding our decision about the expansion plan of the Saudi and other expansion plans of Middle East. So, we thought when the company is growing we should not agree because Rs. 150 crores this company is getting, it is equivalent to, I can say, the 4 or 5 months profit of the company as a whole organization. That is the point we considered. And I have been clearly advised by a board member not to sell this business. You grow yourself. When the international business, we have reviewed for next 2-3 years' time and be sustainable, and if the good growth is coming around 15%, so there is no need for sales. That is the guidance given by my board. Accordingly, we have conveyed this message. One thing, again I am clarifying you, as a company site, we have Time Technoplast
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not incurred any, because if the succession-based transaction was there, so as a company, we have not incurred any kind of the expenses for sale of this investment. This was the, whoever agencies were there, also was very clear, if transaction goes through, then only you will get the fee. Otherwise, everything, we are back to the home.

Now second you have asked non-core assets. I think you have heard about the March only. But in the month of last Q3 of 24, around November or December, I have said my non-core assets was Rs. 125 crores. By March Rs. 30 crores was already realized. The balance Rs. 90 crores is shown in the balance sheet for the realizable value for the 24-25. So, out of that Rs 90 crores, again, we have realized around Rs 30 crores. So, it's around Rs. 60 crores is pending. And that's also I mentioned to you. We are focusing that in the next 12 months' time. Third, you have asked about the capacity. The capacity utilization, as the 15% company is growing and company

management decided to do the only brownfield expansion wherever required, looking to each of the product capacity. For example, you have seen we have a shortage of the capacity of CNG expansion. So, definitely the expansion is going on in some kind of the IBC, need-based expansion is doing in India and overseas put together. But I am pleased to tell you, the overall capacity utilization, if you ask me, India and overseas put together, is around 82%. And overseas utilization is more, 87%. And India utilization is around 80%. So, consolidation basis, it is 82%. And that is as the company utilization increasing and the value of the product sales is increasing. Therefore, you have seen the EBITDA is increasing on quarter-on-quarter by 20 to 30 basis point, which is evident from the margins. So, I think I have answered all the 4.

Jatin Damania: Yes sir, thank you for the detailed answer. Just a follow up question on your first answer. When we indicated that we are not going with the middle east, so is it fair to assume that the target growth for the entire overseas is 15% or it is only the middle east?

Bharat Kumar Vageria: You are right. If I am getting 100% revenue from overseas, we have a 3 continents I can say. One is the middle east where we get 30% of revenue. Around 50% revenue we get from the Southeast Asia which covers Thailand, Malaysia, Indonesia, Vietnam, and Taiwan. And another 20% revenue we get from the USA part where we have a presen

ce in three cities. But as company

management decided to expand further in USA, US countries growing. Now, the last two years situation is improving. And further it will strengthen as Trump has recently taken as the President of the USA. So, I think very aggressive. So, considering, I'm very clear from my International Director, International President who look after this business. He is targeting to grow 15% overseas, across the countries, everywhere. So, he can give me consolidation(24:42)growth. India is also, we are quite confident for the 2 to 3 years' time. Because one another thing, I think everybody's evident there. The oil prices have gone down in the range of \$70 to \$75, which at one point of time, it was \$85 to \$90. So, it is good. When the polymer prices are down, companies take the strength and the benefit pass on to the customers. And it gives good conversion from metal to the polymer and composite product take place faster. That is the better advantage of conversion and this thing. And another thing, it is seen that in the last one year or next one year also, one or two years good new capacities of polymers are also coming. I am glad to tell you, anybody in the processing process industry, next three years, good for the polymer processing and composite product company, because the capacity and there is a demand gap between the Time Technoplast

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demand and the supply. So, it means the buyers' market, you can ask your discounts, whatever things you want, and the faster conversion will be there.

Moderator: Thank you. The next question is from the line of Anushka Rai from Trade Brains. Please go ahead.

Anushka Rai: Sir, I wanted to ask you about the value added product. In the presentation I read that the company is focusing on increasing the share from its value added product in terms of revenue and margin. So, I just wanted to understand what are the plans for expansion in the pipeline and also I also read that in the QIP that it is mentioned that the company is going to allocate some amount for this. So, what percentage of the QIP can be expected to be put in this segment?

Bharat Kumar Vageria: In fact, if you go to the objective of the QIP, I will tell you if the company is going to incur Rs.

100 for the expansion, I think you can consider almost 50% for value-added product, because then only that percentage can be the higher and leads to the 35% of the total revenue. And as I mentioned previously also, company will also do the brownfield expansion for existing products. But the major expansion in India and overseas put together in the value-added product, as value-added product which covered, you have seen in my earning presentation slide. What are the products covered under the value-added products, It's clearly mentioned, value-added products are the Composite, LPG, Oxygen, CNG, and the Mox film, and the IBC. One other product we have not read here, but very huge potential, that is hydrogen cylinders. And that is the futures will be in the hydrogen cylinders after the CNG. So, company is focusing on business also. Company has already got the approval for hydrogen cylinders. And further, I'm glad to tell you, another application is also coming up, which government is also focusing on the application of cylinder in the drone. The government is focusing on using more drone by the agriculture use also, and for surveillance. So, currently, what I understand, most of the drone companies, I think 20-25 companies are in India, who just is engaged in manufacturing of the drone. And as I understand drone value, per drone value, ranging from Rs. 5,00,000 to Rs. 30,000,00. And many agriculturists now started using for the fertilizer, seed growing, the drone they are using. And currently they use the batteries. So, when they will use this cylinder, then they can go the fly on the high and further they can fly the more hours, four times capac

ity more than the present

batteries they use it. So, the new application is coming and very soon you will hear application

for the drone application of our products. I will update as we get the final approval for this very huge opportunity in that line of the business. Because internationally I understand it's a \$40 billion business as far as drones are concerned globally. But India has a good opportunity. So, we'll see how we'll grab that opportunity available. So, company, you are right. If I will incur Rs. 100, 50% will go for value-added product and 50% for the brownfield expansion of the existing because value-added product, we are estimating growth of 30% year-on-year for at least next three years' time. And the value-added existing products, the packaging, we are considering growth of 10% to 12%. So, combined of both is averaging around 15% growth we are projecting. Anushka Rai: And sir I also wanted to ask you one more thing which is about your CAPEX. So, what is the CAPEX plan for the H2 and FY26 and also what kind of growth are you expecting in terms of volume and value in this period?

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Bharat Kumar Vageria: In fact, I can tell you the volume growth because value you have seen recently as I mentioned the 16% volume growth and revenue growth is 14% because of the price differences, revenue. But when we estimate our business, when I'm telling you the 15% growth, that is the volume growth. But the volume growth is depending on the pricing of each of the product, composite products, and the polymer prices, which is linked with the demand supply. Now, you are asking me, CAPEX. You have seen in the last track record of the 5 or 7 years, the company was doing expenditure in the range of around 180 crores to 200 crores. This year, including the value-added product sales, we had projected around Rs. 180 crores to 200 crores. And in the first half, around Rs. 95 crores incurred. And in the balance of overall estimation in the beginning of the year we had given, it will be around Rs. 175 crores – Rs. 180 crores. And if you ask me the net CAPEX after the reduction of the non-core assets, it will be in the range of around Rs. 125 crores to Rs. 130 crores. That already in the beginning of the year, I have given my projections. So, I think looking to the first half, 95 Cr, maximum CAPEX in whole of the year will be in the range of Rs. 180 crores to Rs. 200 crores. And out of that, whatever proceeds will come from the sale of the non-core assets will be netted off from this.

Moderator: Thank you. The next question is from the line of Kush Bafna from Bafna Brothers Finance and Property Agent. Please go ahead.

Kush Bafna: Many congratulations on your excellent performance and also continuous debt reduction. I just had a small question sir from my side about the trade receivables which are being shown in the book. Any estimate as to when that comes little down or this is how the company maintains in general, business conditions?

Bharat Kumar Vageria: No, it's okay. I think it is going to be down as you know that especially normally I talk about the when working capital days I am talking which is 100 days. So, what happened always working capital cycle time as we know the working is the inventory days, then receivable days and the minus the creditors. So, if I'm getting more credit, I'll give more credit to the debtors. But always one principle is very clear over company. If anybody would like to have more credit more than 30 days' time, I'll have to simply add 1% cost of the credit to them. And that is the advantage to the company, because if I'm paying cost of the funding around 9%. So, if I'm taking 12%, so it is benefit to the company. But at the same time, normally average receivables you have seen 73 days. It's the combination of the various products. With some products, we give the credit of 60 days. Some products, we give the 90

days. But maximum credit, we give 90 days. For some of the products, which the industry itself is giving, I have also to follow the industrial norms. But certain products, we give 45 days' credit. So, it's the average working out around 73 days. But if maximum, whatever efforts we'll do, we can go down to 70 days, not less than that, in the combination of that. Because in our nature of the product, we sell that we supply the products, then our customer consider the credit period after receiving the material at their site for acceptance by their site. Because if you take this especially, for example, PE pipe product, we supply the material, customer received after 10 days, then it will be received from their site. Then further from their site, they receive, their inform to their head office. And then their head office will consider the days. If I am giving the credit of 40 days the actual credit period will be 60 days. So, I'm considering 15 days is acceptance and the transit period in receipt of the

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consignments. So, if we do best efforts, it cannot go less than 70 days. I have to consider. But yes, what we can do, as we are keeping our target of 90 days periods, what we can balance out, we can reduce the inventory level by 5 to 7 days further. And that efforts are continued because in the current scenario, our certain products, which we are depending on the imports, but yes, we are developing. We have certain understanding with the local manufacturers to develop this

product in the next two years' time. I don't want to mention the name of the polymer manufacturer because they are the large company and the confidentiality agreement signed between us to develop that product based on the government also like Make in India. But I'm sure in the two years' time, this working capital cycle time 90 days based on the inventory level go down from 70 to 60, debtor from 73 to 70, and the creditors to increase to 50 days. That's where we will be able to maintain 90 days' time. There is still availability of 10 days to improve working business cycle time.

Moderator: Thank you. The next question is from the line of Priyank Parekh from Abakkus Asset Managers LLP. Please go ahead.

Priyank Parekh: Sir, my question is more of a clarificatory in the nature, so, I think we have the CNG cascades capacity of 480 cascades per annum. Is it right sir?

Bharat Kumar Vageria: Yes, you are right. About the cylinder, you can say 30,000 cylinder.

Priyank Parekh: Currently, in this quarter, if I say we have manufactured 135 cascades in terms of volume and if I just do 135×4 , it will give me a number around 540. So, I just wanted to understand when we have capacity of 480 cascades per annum, why this excess production? So, what is my gap in understanding?

Bharat Kumar Vageria: You see that in the first half, how much sales was there? In the first quarter, it was 95 cascades. Second quarter 135. You put both put together is how much? 230. So, number of the cascades I tell you the cascades is the two types of the cascades because number of the cascades have been mentioned it is not relating to 60 cylinder cascades because certain cascades size where we use the 40 cylinder, certain cascades where we use the 60 cylinder depending the capacity of the each cylinder. So, number of the cascades does not multiply directly. The number of the cascades if I will sell the mini cascade and that 60-passenger bus and mini bus and the big bus is the difference. You just don't see the number of the cascades you see the revenue part. So, in terms of the revenue, you can work out very well the maximum revenue from 480 cascades, if 90% utilization considering the holidays, the revenue can be of around Rs. 350 crores revenue can be generated from CNG business whether I sell mini cascades or I sell the large, big cascades. But yes, as the expansion, if you attended my last call

and Sunil Bhai and your Aman know very

well that the capacity of 600 cylinder around FY26 is coming in the Q4, it is complete. So, next year definitely the projections will be the higher.

Priyank Parekh: And that FY26 is coming on which time period you see it?

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Bharat Kumar Vageria: I think Q4 it is coming already. My trial and test is going. It is delayed by 6 months. I mention in my last call also, it is delayed because of the elections, because of the Russia-Ukraine war because of the Red Sea problems, European problems, multiple problems were there. It is otherwise the project would be on the stream line by this time, but it is delayed by almost 4 to 5 months.

Moderator: Thank you. The next question is from the line of Dolly Choudhary from Niveshaay. Please go ahead.

Dolly Choudhary: I had two questions. So, first of all, in our presentation, we have mentioned that in CNG cylinders our per year opportunity size is approximately Rs. 2,200 crores. And I believe in our, this year we can go around Rs. 350 crores to Rs. 400 crores, so I wanted to understand as we are the only player, how's the remaining demand is being fulfilled?

Bharat Kumar Vageria: No, no, I'm telling you, every customer gives us some delivery schedule timing, in fact. You know that, if you go through my presentations, large business potential is there as far as CNG cylinder is concerned. If you have gone through the policy of 2020, that as far as composite product, CNG business, potential is Rs. 28,000 crores for the different application with CNG cascades, mobile refilling units, compressed biogas plants. You must have seen today, Economic Times, which is reliance has declared Rs. 65,000 crore investment in compressed biogas plant in Andhra Pradesh. So, that is also where the cylinder can be used. CNG for Intra-City Bus. But what we are projecting, it's a 8-year policy. So, we are projecting the composite business, cylinder business, can be of Rs. 2,200 crores yearly business it is possible in the next three years' time, looking at the policy of this government. So, in that direction, only we are working. So, we are also targeting, in the next five years' time, this composite product, which is currently Rs. 350 crores can be reached to over Rs. 2,000 crores in the 5 years' time and around Rs. 1,500 crores in the next 3 years' time, we are also projecting in this business. In this business, we have not used the existing cascades, which is metal cascades, because CNG cylinders are available for more than 30 years in India. This policy is for the new stations. You know that Indian government has allocated in 29 district, 8,000 new stations are under construction and allotment have been given to various gas distribution companies, which include government and private gas distribution companies. Very good potential, CNG, and later on future also, it will go on the hydrogen also.

Dolly Choudhary: And next question I had regarding the value added products and the development that we have presented. So, I wanted to understand what can be the, like where are we on this composite fire extinguisher and the hydrogen cylinder? Like what is the update on that and what can be the opportunity size for it going forward?

Bharat Kumar Vageria: In fact, in value terms, opportunity is very huge. We have not yet summarized that all. You know that first thing is the composite fire extinguisher. Current fire extinguishers, you know that metal, everybody has a compulsory. Even now, I have seen many societies are keeping, many government authorities have to keep, every industry has to keep it. But it is just formalities, because everywhere you will see the fire extinguishers made from the metal, which is very heavy

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and it is not very usable friendly. Light fire extinguisher, I tell you, the fire extinguisher which we are

developing the weight will be 20% of the existing weight of the cylinder. Yes, the price will be higher. But you know that in India, people are willing to price, subject to the item can be used. You must have seen today nowadays, the buyers of the Apple phone are more than the other Samsung phone. Similarly, you see the prices are higher, but people are more buyer. So, these items which we are developing is a very high-value items, but yes, it's usable. And it has an advantage. There is my colleague Director, Mr. Raghupathy, who will explain more about the fire extinguisher.

Raghupathy Thyagarajan: See, as Bharat was also explaining, typically the fire extinguishers are made of metal, and they are normally installed at a place and very rarely in use. Though the cylinder is, extinguishers are not used, they undergo a lot of corrosion and deterioration on the cylinder. And when the need comes in, you have to ensure that these cylinders are actually in working condition. On many, many places, they may observe that the cylinders are non-functional and they don't even work because of the fact they continue to corrode. The advantage of the composite cylinders would be that they will not rust or corrode, and that's a big advantage that we'll have. In some of the new trains that have been rolled out by the Government of India, such as the Vande Bharat, etc., if you go through the documents there, in the tender documents, they have mandated the use of composite fire extinguishers in those new age trains. So, it's a clear acknowledgement as well of the technology that is available and we are moving in that direction. The demand is enormous, there is no doubt about it. Likewise, hydrogen, I would put it, the story is very well validated and most of the geographies, most of the countries, any geography, they are all proceeding on this. We are also in a position to see there are enough initiatives being taken both by the government as well as by the private sectors to venture into hydrogen, multiple hydrogen generating plants have already put in place. So, there is a lot of interest that is being generated in the high pressure cylinders that are being manufactured by us. So, we are very hopeful that you know all these new initiatives in this new technology items are going to be a good opportunity for the company to grow.

Dolly Choudhary: Just a follow up question, I want to know if there are other players also in India who are working on this composite fire extinguisher. If it's compulsory in Vande Bharat, maybe there must be other players also who are working on this?

Raghupathy Thyagarajan: Yes, there would be some initiative that will be taken. I mean, since we have taken the lead, we are there much ahead of the others. So, in any industry, you will have some people or the other who will follow us. There is no doubt about it.

Bharat Kumar Vageria: But one thing why we are going under this development, because we are already working on the composite products since last four years. So, one experience what we have. You know that in composite product, initially we started from the LPG cylinder. Then we expanded to the CNG cylinder. Then we have expanded to the oxygen. Now we expanded to hydrogen. So, at least somebody has to pass on the basics, whichever there is, took time in the five years. So, always you know the first-mover advantage and the experience and R&D which we have.

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Moderator: Thank you. The next question is from the line of Heet Vora from Guardian Capital Partners. Please go ahead.

Heet Vora: I had one question on the CNG composite cylinder. So, in the AR, we have written that we've already gotten an approval from Tata Motors while I know that we are going to look at Automated applications only once the new capacity comes in. But any sort of RFQs that we've received from maybe Tata motors for the CNG cylinders?

Bha

rat Kumar Vageria: I'll just clarify you. Today, we have an approval for automobile industry for the size of 60 liters. For the gas industry, 156 liters. Now, as I mentioned, I think if you attended my last call, we have capacity limitations because currently whatever we are producing we are selling as a complete cascades where we use the CNG cylinder and selling then the cascades to the gas distribution company. Now, definitely, because you know the automotive industry, already we have approval. And currently, automotive industry is using the cylinders which is made from the metal only. So, we have started working with them. We know that it's an 8 to 12 months project when working with the automotive line. So, already my team have started working with them, getting the drawings, do the development because every vehicle's capacity is different. Then we need to do the development of the tool for each and every model and each and every manufacturer. So, our team has started talking with them. And when expansion will come in the Q4 of this FY25, thereafter, we will take each of the OEM and supply them. Approval we have already. Approval-wise, there is no problem. We have a current limitation and instead of selling the only cylinder to them, better to use the value-added product and sell as a cascades to the gas distribution company. There is a priority on that.

Heet Vora: Sir, actually my question was, have the plant audit been done by these OEMs?

Bharat Kumar Vageria: Of course OEM, we are the Category-1 supplier. We are having a green channel with all OEMs because certain OEM products we have done, for example, Tata. We are already working diesel fuel tanks. We have worked out. And we are supplying from my Pantnagar factory. You know that Tata Magic and that vehicle, they are using that fuel tank of the gas, this diesel fuel tank. We are supplying. For composite product, air-receiver tank, we have worked for 30 liters with them. Now 20 liters under development. Certain composite products which are not of the commodity nature, especially we have a relationship with Tata, Ashok Leyland. So, we do some of the automatic components, which are not of the commodity, specific customized product, we already deal with them. So, in fact, people have started talking with them. We are in process of getting their design, drawing approvals, then we will do the development, submit them, then the PESO approval will be required. And when you go in automotive industry, then Automotive Research Institute, which is in Pune, their approval will also be required. So, we'll do the right time so that all get the approvals, and we will introduce that in the automotive industries also. But there are many other things, many composite products. By using the same line, we can work out for the automotive industry.

Moderator: Thank you. The next question is from the line of Devam from Adrigo. Please go ahead.

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Devam: Sir, firstly, we have seen typically in the past that there is a propensity that we have higher revenues in H2. So, can we expect that based on the way our current business, order books and everything is placed, that H2 should be higher revenue than H1 for us, given the client mix and their programs and everything?

Bharat Kumar Vageria: It's always happen. As I mentioned you, in Q1 we get business of 22%, Q2 24%, both put together 45%-46%. So, it's the first up, you will see 45%; in last 10 years progress, you can see that. And the second up, always we get 55%. Then again in Q3 26%, and Q4 28%. It's a trend of the industry. Last Q4, always turnover is high. You see the last Q4 turnover, Q3, it is easily comparable.

Devam: Sure, sir, a couple of questions on the expansions. One is TPL Plastech, we have announced an expansion. So, what kind of total CAPEX and asset terms do we expect over there? And also at the overall, that is at the Time Techn

o overall total CAPEX, how much do we expect for entire

FY25 and 26? And in general, what are the guiding rules that you would consider for an expansion in terms of asset turns and margins to consider it in a particular product or technology type?

Bharat Kumar Vageria: You are right, I think you've right question. As far as you asked me, the overall CAPEX as a consolidation basis, India, overseas put together is in the range of Rs. 160 crores to Rs. 180 crores, maximum Rs. 200 crores. Now out of the Rs. 200 crores also you will see around Rs. 70 crores to Rs. 80 crores on account of the maintenance CAPEX automation re-engineering to maintain the capacity and to maintain the capacity and the tool developments. Balance Rs. 120 crores expansion where we will edit the capacity in value added products or the existing product capacity. Now, specifically, this year I mentioned, out of Rs. 180 crores to Rs. 90 crores, we have already non-core assets sale business will be there. So, net of that, the CAPEX will be hardly Rs. 140 crores to Rs. 150 crores. Then 25-26 yes, the same in the range of Rs. 150 crores to Rs. 180 crores, considering the expansion line in India and overseas. And somebody has asked me just in this call itself, how you distribute, I'm very clear. In our business, value added product, when we invest Rs. 1 we get more than three times of our revenue. But when we do the investment in the other existing product line, brownfield expansion, normally we see the three times of the revenue we should get it in the value added product. And the other products we get in the range of 2 to 2.5 times. But we have seen, whenever we do the automation re-engineering

product, we consider the payback period and payback period should be less than four years whether by way of a reduction in the power cost, reducing the labor cost, etc., So, many other areas also I am working. I would like to tell you we are working on power cost reductions also. As you know that the government is also focusing on the use of the solar power. Just a bulk figure, which I remember I would like to tell you. In a year in India, we used 15 crores units of the power. So, you know that certain government's policies come out in Karnataka, Tamil Nadu, Maharashtra, Gujarat. You can buy up to 75% to 80% of your power requirement from the solar manufacturing companies. So, already, we have already signed an agreement. We have done the equity investment. And we are going to save almost Rs. 3 a unit. So, if I just remember, around Rs. 4 crore units which we have a requirement in Gujarat, Maharashtra, Tamil Nadu, and Karnataka we have signed. So, the company will be able to save next year at least Rs. 12 crores

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on account of the power, power cost itself. Because otherwise, my power cost itself is more than Rs. 110 crores something we are paying annually. Now, the similar policy we are expecting in the other states also, like in Telangana, in Uttarakhand, in Himachal, everywhere we are expecting, because one, our team is completely following the government Ministry Department and other local departments, wherever policy is coming, immediately we are tying up and try to save these costs because the major cost as far as power is concerned. In our business, two other major costs other than the raw material, is the power and the main power. So, we work hard on that how we can reduce these costs by increasing the productivity and by increasing doing the automations, so we will be able to get the more productivity and increase the percentage and offer our products competitive pricing to the customer. That is the main objective of the company

Participant: I had also asked regarding the TPL Plastech expansion and what kind of expansion?

Bharat Kumar Vageria: TPL Plastech is just expansion in the Konkan region because Time Technoplast does not manufacture IBC in the Maharashtra Ko

nkan region. Currently, their customers are servicing from the Union Territory area, Daman and Silvassa, and Dahej area. So, too much logistic cost is involved. But especially in this Konkan area, too much chemical bond is coming up in Maharashtra government and many new units are coming up that region, which is already mentioned in note, you must have seen, see the solar, PV chemicals, fruit, juice industry, semiconductor, many new units are coming and because of the near to the Nhava Sheva port and the reason chemical zone is coming up. So, TPL Plastech exact investment will be worked out but roughly I can say it will be in value around Rs. 20 crores to Rs. 25 crores including the cost of the land and buildings and equipment and so that if company will do Rs. 25 crore investment then definitely it can generate the revenue of around Rs. 75 crores to Rs. 80 crores.

Participant: And this would be falling in the category of value-added products only, right?

Bharat Kumar Vageria: Value-added products, yes.

Participant: And sir, a couple of bookkeeping questions. One is your depreciation is lower. What would be the main reason? Would this be related to the non-core asset disposal or why would the depreciation year-on-year be lower from Rs. 46 crores to Rs. 42 crores?

Bharat Kumar Vageria: No. Depreciation is in the range of Rs. 150 crores to Rs. 160 crores and again, it is lower because certain assets which is already depreciated we are 94 company, for almost 30 years have gone, many assets already written off, no need to again write off that depreciation. That may be the difference.

Participant: Okay, I mean because there was a sharp year-on-year drop of almost 10%.

Bharat Kumar Vageria: Yes, because you know that 25 years company some essence already know You know we considered the life of the building, 25 years, life of the plant and machinery is 20 years, life of the mold and machine, life of the molds and tools 10 years So, definitely it is going to be reducing the system.

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Participant: Fair enough and finally sir what will be the current borrowing rates for debt for us and incremental debt, how much would we be borrowing it?

Bharat Kumar Vageria: I can provide you the range because the company is rated and a AA rated company. And so the rate of their interest is in the range of we are considering, if you ask me the range, 8.25% to 9% is the range we are keeping ourselves in India. And similarly in overseas it is in the range of 6% to 7%.

Moderator: Thank you. The last question is from the line of Ankur Savariya, an individual investor. Please go ahead.

Ankur Savariya: Last 1-2 years the market has supported you very well.

Bharat Kumar Vageria: That is right. All we can do is do our work. Don't expect anything in return. I believe in that.

Ankur Savariya: We are trying to sell off this business, now the company policy has changed and now we are not looking forward to selling any business overseas or we are still looking into it?

Bharat Kumar Vageria: No, if I tell you the truth, I will immediately say that I have no interest in anyone. Because when I have my own plan of debt free, my own expansion plan, today I am putting two new units in America, I am putting two units in the middle east, and I am doing over 15% growth of the company, even in this much market uncertainty, I don't need anything. I am not short of financial resource or man power resources. All are available.

Ankur Savariya: So, our revenue target for the next two years, for financial year 26 will be somewhere about Rs. 6,000 crores in that case.

Bharat Kumar Vageria: If you calculate the turnover of Rs. 5000 crores, 15% growth is 30% growth, 30% 5,000 crores growth is 6,500 crores. Arithmetic calculation.

Ankur Savariya: Any update on the LPG orders because last time because last time it was only enhanced for one month because of the elections.

Any enhancement news after that?

Bharat Kumar Vageria: No boss, our product is not linked to the elections. We are not depending on the elections. We have no direct business with the government. And the gas distribution companies, LPG they have a regular business. They don't have anything to do with elections. For example, if IOCL, BPCL, or HPCL they want to buy cylinder, they can't restrict them from tender. It's their business operations. So, it doesn't make any difference from elections.

Ankur Savariya: Last time, if I recollect correctly, our LPG order, after it got finished, there was a slight enhancement.

Bharat Kumar Vageria: I have also updated you in the last quarter that we will continue the 10 kg cylinder but the large volume means 50 lakhs, 60 lakhs cylinder order they have asked us to develop a cylinder of 14.5 kg. I mean, we and Supreme are involved together we are developing a cylinder of 14.5 kg now

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they will develop the tool, the drawing design has been submitted, this is not done immediate, it is a six-month project. The drawing, design will be approved. We'll make the product, submit it, and get the money approved. But during that intervening period, the 10-kilogram project will continue. Secondly, I am glad to tell you that along with IOCL, IOCL has given us permission since March to do distributor meet. All their distributors will go to cities to meet distributors and create awareness. So, already, as of today, it's been done in 14 cities. HPCL, BPCL has also allowed they have to give permission because we are meeting their customers and dealers. And we are creating awareness for their dealers and distributors in this city so that in future demand can be created. So, this awareness happened. On the contrary, we got six months' time. In those six months, all over India, basis of HPCL, BPCL, IOCL distributors will be met and awareness will be created about what are the advantages of Cylinder, because normally, what do people think? And this is a plastic cylinder and a metal cylinder. But the plastic cylinder is light, it is explosion proof, it has light weight, it has easy gas visibility. To explain all this, if we explain to the distributor, then the distributor will tell the dealer, the dealer will tell the consumer, then it will be used in mass media. Then it will be used slowly slowly.

Ankur Savariya: Any update on orders of oxygen cylinder?

Bharat Kumar Vageria: Oxygen cylinder, yes, we have order. We were not executing it because we didn't have a line.

But we have executed something in this quarter. Already I had orders of 5000 oxygen cylinders.

But supply is running. And as I said a while ago, we are going to get cylinder approval for Type-3 drone application on this line which is a very, very huge market. But the hydrogen cylinder is Type-3. You will get news very soon about its approval. And we are going to supply for drone applications also. It's all new, it is like that we are looking out, we are in composite product. In composite product, there is LPG, CNG, hydrogen, drone applications, air receiver tank, and in the automotive sector, there is more. Like there is fireextinguisher. We will use our knowledge of the composite product manufacturing and explore the possibilities in the industries where these items can be used.

Ankur Savariya: Absolutely. It is very useful for a lot of high-rise buildings as well.

Bharat Kumar Vageria: The point is straight. Where the iron needed is 100 kg in an item, if the composite product works in 40 kg, then the weight reduces by 60%. The weight reduces by 60 percent, which increases the efficiency of the item. It becomes easy in handling.

Moderator: Thank you. As there are no further questions, I would now like to hand the conference over to the management for closing comments.

Bharat Kumar Vageria: Yes, thank you very much, all valued existing and

prospective investors to listen peacefully and

I tried my best to provide you clarification. If any person later on comes, any query, clarification, they ask, we have an Investor Relationship Agency that is, Orient Capital is there. We have provided number of the company Investor Relationship Manager, Mr. Himanshu, number is also

mentioned. In addition to that, you can ask Mr. Purohit at Kaviraj Securities, they are also aware
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about the updating time-to-time who are arranging this conference call. So, thank you once again
to all the participants. Thank you.

Moderator: Thank you. On behalf of Kaviraj Securities Private Limited, that concludes this conference.
Thank you for joining us and you may now disconnect your lines.

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"Time Technoplast Limited
Q3 & 9 Months FY '25 Earnings Conference Call"
February 12, 2025

MANAGEMENT : MR. BHARAT KUMAR VAGERIA – MANAGING
DIRECTOR – TIME TECHNOPLAST LIMITED
M R. NAVEEN JAIN – WHOLE-TIME DIRECTOR,
TECHNICAL – TIME TECHNOPLAST LIMITED
M R. SANDIP MODI – SENIOR VICE PRESIDENT ,
ACCOUNTS AND CORPORATE PLANNING – TIME
TECHNOPLAST LIMITED
MR. HEMANT SONI – VICE PRESIDENT , LEGAL AND
CORPORATE AFFAIRS – TIME TECHNOPLAST LIMITED

MODERATOR : MR. ABHIJEET MUKESH PUROHIT – KAVIRAJ
SECURITIES

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Moderator: Good evening, ladies and gentlemen, and welcome to the Q3 and 9 Months FY '25 Earnings Conference Call of Time Technoplast Limited, hosted by Kaviraj Securities Private Limited. Please be advised that this conference call may contain forward-looking statements regarding the company's performance. These statements are based on the company's beliefs, opinions and expectations as on the date of this call.

However, please note that these forward-looking statements are not the guarantees of future performance and are subject to inherent risks and uncertainties. As a reminder, all participant lines will be in the listen-only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call please signal an operator by pressing star then zero on your touchstone phone.

I now hand the conference over to Mr. Abhijeet Mukesh Purohit from Kaviraj Securities for his opening remarks.

Abhijeet Purohit: Thank you. Good evening, everyone. Kaviraj Securities Private Limited welcomes you all for Q3 and 9 months FY '25 earnings conference call of Time Technoplast Limited. Today, we have with us the management team, which is represented by Mr. Bharat Kumar Vageria, Managing Director; Mr. Naveen Jain, Whole-Time Director, Technical; Mr. Sandip Modi, Senior VP, Accounts and Corporate Planning; and Mr. Hemant Soni, VP, Legal and Corporate Affairs. Now without any further delay, I would hand over the call to Mr. Bharat Kumar Vageria for his opening comments, post which we could open the floor for Q&A session. Thank you and over to you Bharat sir.

Bharat Vageria: Yes. Thank you very much, and very good afternoon to all my valued investors and esteemed colleagues. And thank you, Abhijeet, for insightful introduction of all of the management. It is both a privilege and a pleasure to convey today, to present and discuss the results of Q3 and the 9 months of FY 2025 as well as to offer our outlook for the remainder of the fiscal year.

We are delighted to report continued resilience in 9 months FY '25, marked by a commendable year-on-year growth of 14% in volume accompanied by a moderate 11% increase in the revenue.

This reflects strong operational performance. However, due to reduction in the raw material...

Moderator: Ladies and gentlemen, please be patient and stay connected while we reconnect the management. Ladies and gentlemen, thank you for patiently waiting. We have the management back with us.

Over to you, sir.

Bharat Vageria: Yes. So I'm continuing that. It is both privilege and pleasure to convey today to present and discuss the results for Q3 and 9 months of FY '25 as well as to offer our outlook for the remainder of the fiscal '24-'25. We are delighted to report continued resilience in 9 months FY '25, marked by a commendable year-on-year growth of 14% in volume accompanied by a moderate 11% increase in revenue.

This reflect a strong operational performance. However, due to reduction in the raw material cost and the passing of the prices in the -- which are reflecting the sales prices. Therefore, you have seen the difference of 3% to 4% is on account of volume growth and the revenue growth -

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- relatively lower compared to volume growth. This performance has been driven by the remarkable surge in our composite products, which includes CNG and other composite products. Further, despite a slower revenue growth trajectory, our profit after tax of 9 months has witnessed a 28% year-on-year increase, demonstrating the effectiveness of our strategic initiatives, including the optimized capacity utilization and reduction in finance and depreciation costs.

The demand for Type IV composite cylinder for CNG cascades remains exceptionally strong with our current order book standing at

approximately INR175 crores. This positive momentum is further complemented by significant growth in the sales of the value-added products such as composite cylinder for both LPG, CNG, while our core Industrial Packaging business continues to demonstrate stability and resilience.

Additionally, Time has secured a confirmed order worth approximately INR435 crores for the supplies of packaging products, both in India and overseas for the current calendar year, means that will be served in the -- this is order, I can say, the book between the January and the February. So that will be served in the period ahead. Considering the favourable trends and the strong foundation we have built across our key business segment, we remain confident in our outlook for the remainder of the fiscal year.

With that, I would like to now run our focus to detailed financial and operational highlights, which have already been communicated in our results as well as earnings presentation, which is also submitted to the NSE and BSE and it is available on the site. Let us move to the key parameters and the ratio I'm sharing with you.

During the 9 months on a consolidated basis, company has achieved net sales of INR3,992 crores as against INR3,601 crores, EBITDA INR575 crores as against INR508 crores, profit after tax INR278 crores as against INR218 crores. In terms of the percentage, you will find net sales increased by 11%, which reflect in India 10%, overseas performance very well, that is 12%. Volume-wise also, I can say India volume growth 14% and overseas 16%. Overall volume has also increased 14%. EBITDA increased by 13% and PAT is increased by 28%.

In 9 months 2025, EBITDA margin is also increased by 30 basis points, means it has achieved 14.4% as against 14.1%, which is increase of 30 basis points. During the Q3, sales stood INR1,389 crores as against INR1,327 crores which reflects 5% sales increase, which includes India 3%, overseas 9%. In terms of the EBITDA, it's INR202 crores as against INR193 crores, which reflects increased by 5% in EBITDA.

Profit after tax, first time it has crossed INR101 crores. I'm pleased to announce that in the history of the company, this is the first time we achieved a quarterly profit of INR101 crores as against INR92 crores for the previous year same quarter. So PAT is increased by 10%. So this reflects a strong operational performance. However, due to the reduction in raw material prices, as I mentioned to you, reduction in selling prices, you may find that the difference between the growth in the volume and growth in the revenue.

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Now share of the business-wise, I can share with you, established products and value-added products. As value-added products quarter-on-quarter share is increasing, now in 9MFY25 also, value-added products grew by 17% in 9 months as compared to previous year same 9 months. While established products grew 9%, the share of the value-added products is 27% of the total sales in 9 months as against 26% previous year.

Now India and overseas business in the 9 months remain at 65% India business, 35% overseas business. In terms of the EBITDA, I'm pleased to tell you there is a good expansion in the overseas EBITDA margin and India margin. India EBITDA margin 14.5% overseas EBITDA margin 14.2%, combination of both is 14.4%, which we are reflecting in the results. And the net cash from the operating activity in 9 months stood at INR285 crores.

And further, I'm pleased to tell you the total debt in the 9 months reduced by INR92 crores and this focus will be continued for reduction in the debt. As far as capex is concerned, in the 9 months expenditure incurred INR150 crores, which includes INR60 crores towards the regular maintenance capex and INR90 crores towards the value-added product, mainly for IBC and composite cylinders. Now -- but again, as a whole of the year, com

pany has projected capex below INR200 crores.

And further, some of the highlights, which I would like to share with you, that is the QIP. The necessary approval is already on place from the Board and shareholder approval and for raising by way of equity, INR1,000 crores. And this is towards the expansion plus the repayment of the

debt. But till now, company is not requiring any funds.

This validity is there till November 2025. Now the focus of the company has made a strategic decision to consolidate its products and the manufacturing units. This includes brownfield expansion and adding the new units, which will better align with the evolving market demand, while optimizing the operational cost.

And another main highlights important I can tell you, share with you, the green energy.

Conversion of electricity units consumed through solar power. The company is committed to transform 75% of electricity consumption to green energy within the next 2 years' time. This process has already taken in the last 12 months and some of the tie-up is already made. The company will make a tie-up with the solar power generation company in each of the state wherever government policies are coming.

And this transition will not only result in the cost savings, but also contribute to significant reduction in the carbon emissions. As a part of the dedication to sustainability, the company is actively participating in the global efforts to reduce the carbon emission.

Now sale of the non-core assets, which is ongoing since last 18 months as committed in December 2023. Now out of that INR125 crores, the amount is now reduced to INR51 crores, balance amount is realized already. The company has launched -- pleased to inform you that one of our subsidiary company, Power Build has developed high-performance e-rickshaw batteries, which is the low cost, below INR10,000 per battery. And that the brand of the battery is e-START with SELENIUM.

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With advanced lead-acid technology and enhance with the selenium, that batteries offer superior performance, safety and efficiency. The growing demand for e-rickshaw is supported by eco-friendly policies. Our battery solutions meets the OEM standards and ensure reliable power output and quick recharge, contributing to the expansion of the clean mobility in India.

Further, I would like to highlight, as in the last quarter, October to December, the Economic Times in the first 500 company, your company is ranked 380 position as against 400 in the year 2023. And further, the Type-III, as I have already informed, as the quarter highlight I'm providing you, the Type-III hydrogen composite cylinder for drone applications, we are pleased to announce that company has received an approval from the Nodal Agency that is called PESO, High-Pressure Type-III Fully Wrapped Fiber Reinforced Composite Cylinder, 6.8 liter, which will be used in drone applications, which is very, very huge potential in the period ahead.

Further, I would like to share with you, because in most of the -- my investor conference call, you would have seen my colleague Director, Mr. Raghupathy Thyagarajan, but today, he is in energy -- what is this called, India Energy Week in Delhi, which is inaugurated -- the exhibition is inaugurated by Honourable Petroleum Minister, Mr. Hardeep Puri.

So he's there today. So he is not able to attend this call today. So it's a very good week where we have presented our hydrogen Type-III cylinder along with the drone. And our internal trial for the drone application is on with tie-up with some of the local company so that we can give the - - prove the results of the hydrogen Type-III cylinder for the application and use in the drone. Further, we are continuing focus on improvement ROCE, which have been seen in the last 2 years. And we are not reducing any kind of our guidance for the period ahead as targeting t

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growth in the range of volume growth, I'm talking about the volume growth in the range of around 15%. Revenue growth, maybe 5%, 7% here and there depending on the prices of the polymer and composite products. But as we do 92% business with the industry and with directly OEM.

So when price increase, we pass on to them. If price decrease, that also we pass on to them. So we can maintain our in absolute terms EBITDA margin. So I think that's all -- I'm concluding my -- this brief about the management presentation. Now I would like to open the floor to answer specific questions, which I have not covered in my brief presentation.

Moderator: Thank you very much. We have our first question from the line of Gaurav Sharma from KMC Corporation. Please go ahead.

Gaurav Sharma: So as you have mentioned that we are into the composite cylinders. So is it only the Type-IV cylinders?

Bharat Vageria: No. You -- in fact, I tell you, the composite cylinder, we have a -- composite cylinder means, we have the LPG, we have the CNG, we have the oxygen. Now we are talking the hydrogen cylinder for drone application, it's a Type-III. But prior to that also, we have implemented Type-IV cylinder approval also we have for hydrogen application. Yes, we have.

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Gaurav Sharma: But what about the CNG? And oxygen, you have mentioned Type-III. And in CNG, it is only Type-IV?

Bharat Vageria: CNG is Type-IV. Yes, you are correct.

Gaurav Sharma: Okay. And it is mentioned that in value-added products, the EBITDA is 18.6% as a margin, right? So can you say what is the margin in LPG, CNG and oxygen? And how this EBITDA margin can be increased? Like is it going to increase or in the near future if the competition is there, so there is a probability of decrease in price and subsequently decrease in margins?

Bharat Vageria: No. As I mentioned to you, we are quite comfortable as far as EBITDA margin in the range of, I say, 18% to 22%. So I have taken the conservative 18% and that is going to be maintained, because when my volume will increase, I will be able to get my input cost also lower. And if required to pass on, I will be able to pass on.

And you know very well the volume will justify the prices in market. We have the first mover advantage. We are the first company in India. So we have the first mover advantage. So when my volume increase, I will definitely offer competitive prices and we'll be able to maintain our EBITDA margin, which currently we are getting.

Gaurav Sharma: So can you specify the margin for LPG and CNG Type-IV cylinders?

Bharat Vageria: I can give some of the criss-crossing of the assets are used are there. Therefore, it's very difficult to identify separately because technical team, production team, some of the key assets are the common, which is used in the oxygen, LPG and hydrogen. But we are keeping internal policy very clear to keep the EBITDA margin in the range of 18% to 20% we are keeping in the same way, it will range in the same because identification is the 1 premises, we are manufacturing CNG, so it is very difficult to allocate the allocation for each of the products separately.

Gaurav Sharma: Okay. And secondly, as you have mentioned that you are going to raise INR1,000 crores from QIPs. So as you have mentioned in your opening remarks that mostly it is going to use for the repayment of funds, right? So is it only the repayment of funds? Because then why QIPs will come on the table if it is only the repayment of funds? And -- or are you going to use just like increasing the share of value-added products? Because just as of now, it is only 10% revenue share of composite products in the whole-time Technoplast revenue, right?

Bharat Vageria: No, no. Yes, I'm clarifying you. In fact, you are talking about the QIP, which is the not INR1,000 crores is a fixed amount. The maximum amount is INR1,000 crores approval inflows. N

ow as

you know, the debt of the company is less than -- net of the debt is less than INR700 crores. And that is, in any case, plan to repayment in the next 18 months to 2 years' time, company on plan to go debt free.

This QIP, especially because some of the newer products is under development, which have a potential for the high business period. If you attended last call, we have said that currently, in LPG cylinder, we are manufacturing 2 kg, 6 kg, 10 kg, this 26 kg. Currently, we have been asked by the government authorities, oil gas marketing company to develop the cylinder of 14.2 kg, which is equivalent to the metal cylinder, which is presently in population.

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I'm also pleased to provide that currently in market, the 50 crores metal cylinders are populations for 14.2 kg size. And current ongoing active connection is also 32.68 crores active connection are there. The government do not want the differentiation between the metal cylinder and the composite cylinder. So that process is under development. And we are doing that, development is also going to be complete in the next 4 to 5 months' time. By that time, we'll need the expansion, looking to the requirement of the government company.

I'm also pleased to tell you, you remember that in gas distribution company, government companies like Indian Oil, HPCL and BPCL, Bharat Petroleum, Hindustan Petroleum, they are in the gas distribution line. So now we are developing cylinder. We, I'm using the word we, because in India, the LPG cylinder manufacturer in composite products are the 2; we as a Time Techno and second one is the Supreme Industries Limited.

So we, I'm using word we, because we both have been told -- current order, we both are supplying to the Indian Oil Corporation. Our existing supply is continuing. And we are developing together. We are getting the design approval together with all government authorities and development of the tools will take place. So we are keeping ourselves ready and this is the enabling resolution. There is no any hurry to make the QIP at this because ongoing program of the company redevelopment plan will continue.

Gaurav Sharma: Okay. So as you have mentioned, there is a good development going to be increase in the size of LPG cylinders and all. And so similarly, for CNG, you have mentioned that in a cascade as an application, it is going to increase, right? So what about the on board applications like passenger vehicles and commercial vehicles?

Bharat Vageria: Yes, you are right. What happened -- I'm coming back -- the LPG you are talking about, I'm coming on the CNG. The current CNG, our capacity was around 30,000 cylinders, which is

equivalent to 480 number cascades considering the 60 cylinder required for each cascade. So our current order book, looking to the order book, we have booked a plant for the expansion. For our around 36,000 cylinder new expansion is coming, which will add to 600 cascades.

So that is -- I have mentioned in my last call also, that is delayed by 3 to 4 months, the expansion which was to come by now, it will be delayed by 3, 4 months further. And in the Q1 of '26, we'll complete that plant. Already new plant set-up is ongoing. So then the company CNG cylinder capacity will increase from 30,000 to 66,000. If I want to -- if we would like to decide to supply the cascade, then the capacity will be 1,080, but there is a particular size of the cylinder that is 156 liters.

Now as far as automotive sector is concerned, we have already approval. But as in principally, management currently decided to meet the demand of the cascade market, because if I sell the cylinder, then I'm getting a margin on the cylinder only. But if I sell cylinder along with the complete piping systems as a set I'm selling, then we are getting margins on the entire set. When the capacity expansion will come, we have already sta

rted groundwork with the
automotive companies, OEMs directly, what types of the requirement they will have, various
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sizes for them depending on their vehicle sizes they need. So that development is already ongoing, but it is the initial stage of drawing level.

We will develop the tool based on their individual vehicle requirement. But we are sure that currently, wherever they are using the metal cylinder, there it is going to be replaced in the next, I can say, 2 to 3 years' time by way of a CNG composite cylinder plus hydrogen cylinder because hydrogen cylinder is also overseas countries, many countries are using hydrogen cylinder, which in India ahead of that, but we have the first mover advantage.

We already got the hydrogen cylinder developed in India. But yes, as the demand will kick-up, the present expansion will take care of the CNG plus additional equipment for testing of the hydrogen cylinder. But major expansion for hydrogen cylinder will take in 2026 depending on the market conditions and the feedback from the automotive industries and feedback from the other -- this gas distribution company.

Gaurav Sharma: Right. So as you rightly mentioned that...

Moderator: Sorry to interrupt, sir. May we please request you to rejoin the queue as there are several participants waiting for their turn.

Gaurav Sharma: Okay, okay. Can I ask the last question?

Bharat Vageria: Anything left, I can tell you, you have that number. You can call Himanshu. I will be off the line. If you have any query left, we will provide you answer, right?

Gaurav Sharma: Can I ask the last question?

Bharat Vageria: Yes, tell me.

Gaurav Sharma: Yes. So as you have rightly mentioned that all people will shift from steel cylinders to the Type-IV cylinders. And so we can also see Reliance and Jindal coming for their own carbon fiber setting up in India. So then will it help to increase more EBITDA margin for the Time Techno because there is an opportunity to source the raw material from India itself?

Bharat Vageria: It is too early to say, because you know very well, currently also carbon fiber is available in India. If anything, you want to manufacture, you need the carbon fiber. But now what type of the carbon fiber? World over, with the efforts of the 15 years, 20 years, 25 years, the approved company world over, there are the 3 company carbon manufacturers are there. We have already taken the approval from 2.

I also heard the Reliance is coming with the carbon fiber manufacturing in Baroda plant, which they have taken over. But it is too early to say about and comment on that product unless we take trial and testing. And I'm pleased to tell you if any input or anything I change, I need from 0 to final, again, all the approvals from the government authorities. I don't change quite frequently because huge amount of the R&D and the cost involved in the testing of the -- and take on the new inputs.

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When I'm satisfied with the quality, I'm satisfied with the supplier who have been working with them and we are working with them, the prices are competitive and world over there is supply. So this is a very, very hazardous product and we have to take very carefully. And so immediately, we would like to change our any suppliers as far as inputs are concerned, which we are using in LPG, CNG and in the upcoming project of the hydrogen. Later on, let them come out, we will see, R&D will take -- because R&D itself will take minimum 2 years' time. You got your answer?

Gaurav Sharma: Yes. Thank you.

Moderator: Thank you. We have our next question from the line of Saloni Jain from Nirmal Bang Securities. Please go ahead.

Saloni Jain: I have a few questions. The first one is that, this is the first quarter we have seen such a large gap between volume growth and revenue growth,

which is approximately 6% to 7%, right? So

earlier, we have seen this gap around 2%, 3%. So can you comment on if this kind of a gap is, first, temporary? And if we can compensate for this gap going forward in coming quarters? What is your outlook on that?

Bharat Vageria: No, I'm telling you, as you see my previous plan and previous guidelines given, I have said very clearly, now just before I have said I am expecting the growth -- volume growth of around 15%. That is going to be continued. Now the revenue growth is depending on the polymer and the composite product prices. You know that last, I can say, the 4, 5 months, oil prices is going down.

So that reflects because the polymer is made from the majorly 50% or 60% product comes from the oil and gas only. So the prices lower side. So when I am getting my prices lower side, it is in the open market available what are the prices, all the companies declared their prices. And I have a policy to pass on the increase or decrease in prices to the customer.

So what I'm telling you -- again, I'm telling you, 15% volume growth will be there. So my absolute terms margin will be there. EBITDA margins will not be affected in terms of the percentage may ups and down. Sometimes maybe 15%, maybe 16% if prices goes down further. But in terms of the absolute figure, it will be on the higher side only as the volume is going to be sustained in this range.

And as I have said very clearly, my packaging products, we are estimating will grow in the range of 10% to 12%, average, we can take 11%. Composite products and PE pipe products, we're looking to the government policy for the infra development, we are estimating growth of over 13%, which especially this quarter was affected because of the uneven rains during that quarter, especially PE pipe business affected, which I had estimated growth of 30%, but I'm able to get only 10%.

But I know now the government policy is also clear to make the easy to business, to do the infra development, which is mainly because our PE pipe business mainly used for water, sewage, drainage and power duct line and development of the smart city.

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So you must have seen -- if you are from Mumbai, you must have seen in each of the village, ward, everywhere, the construction and road construction is ongoing. They are putting the PE pipes only. So that's happening in everywhere. So revenue, yes, it is not in my hand. But yes, growth -- volume growth, I'm sure we are estimating target and now we are not producing our growth plan also of the 15%, which is for 3 years.

Further, the value-added product, which is currently in the range of around 25% to 27%, in the 3 years' time, in spite of company growth 15%, the value-added products will reach up to 35%, considering the expansion plan undertaken and on the way.

Saloni Jain: Sure, sir. Very clear. Sir, my second question is on the order pipeline for CNG and LPG cylinders and along with the drone application that we have got approval for. What is your outlook as to when can we see a significant contribution from that segment?

Bharat Vageria: I consider composite product as a whole, whether it's a drone application, whether it is the gas distribution, whether it is LPG or whether it is an automotive sector use, because some of the composite products we manufacture for the automotive segment also like air receiver tank. It is used in the electrical vehicle, petrol vehicle, diesel vehicle everywhere. So we consider composite product as one and considering growth of 30%.

Saloni Jain: Alright. Thank you sir, those were my questions.

Moderator: Thank you. The next question is from the line of Deepak Poddar from Sapphire Capital. Please go ahead.

Deepak Poddar: Sir, in terms of value-added product, you mentioned we want to reach 35%, right? So what's the timeline you mentioned? I mean, in how much time?

Bharat Va

geria: 3 years.

Deepak Poddar: In next 3 years?

Bharat Vageria: Yes. Because I have given you the packaging products in the range of 10% to 12%, average you can take 11%; composite product 30%. So 3 years' time, which is 25%, which leads to 35%.

Deepak Poddar: Correct, correct. And what does it mean for EBITDA margin, because ideally, your EBITDA margin in value product is higher at 18% to 20%? So if your percentage reached from 25% to 35%, how do you see EBITDA margin improving, I mean, if I have to see next 2, 3 years?

Bharat Vageria: I have seen in the last 3 quarters, 4 quarters, whenever the value-added product percentage-wise

increasing, you will see the 20 to 30 basis point improvement. And I am estimating that 3 years' time, it should reach -- surpass the 15% EBITDA margin.

Deepak Poddar: Okay. So in 3 years, it should be 15% plus kind of EBITDA margin after considering...

Bharat Vageria: Of course. You must have seen another note also where I mentioned to you green energy, which is we are working 75% of my electricity consumption. I tell you, currently, my electricity consumption in India itself 18 crores units yearly consumption of power. So if I convert 75%,

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which it means what, 13.5 crores units subject to government policy should allow to take -- purchase power from solar manufacturing company. And I'm pleased to tell you, month-on-month, these government policies are coming very clear.

As on today, I can tell you till now, the government has policy clear for Karnataka, Tamil Nadu, Maharashtra, Gujarat, Uttarakhand. These 5 states has cleared, another states are also working out. And they are allowing, we can purchase the power from the solar generation company because we ourselves are not investing in generation of the power. We have expertise. We are in the polymer composite manufacturing company.

We'll continue to focus on that. But the 15 crores units, we will be able to say, for example, the conservative, I can say INR2.50 per unit also. Then also it would be to the substation, it will give the substantial benefit of INR30 crores to INR35 crores in a year. And for that what, the payback period is less than 1 year.

I required to make an investment as an equity investment in the power manufacturing company who will return me without any interest face value of the equity back after 15 years. And that benefit will continue for 15 years. If anything, I have a very clear guidelines from my committee and my Board. If any investment we justify a payback period within less than 3 years, keeping the eye close, we should make the investment.

Deepak Poddar: Understood. And when we are talking about EBITDA margin, we are talking about 20, 30 basis points per annum improvement, right?

Bharat Vageria: Yes, yes, because quarter-on-quarter, I can't say, but there may be -- you know there's too much fluctuation. Now you will see this quarter itself, what is happening. Too much fluctuation. But again, we have to maintain that. We have to cover that risk.

Deepak Poddar: Correct, correct. And what is our key raw material, I mean, the prices of which are depressed right now because of which your ASPs also down?

Bharat Vageria: I'm telling you, the polymer is a different type of the polymer. There's polyethylene products, which may be covered HDPE, LDPE, but major -- you will find my major products are the HDPE products. HDPE is hardly 10%. And the other is the composite products, which includes, again, some of the polymers, plus glass fiber, plus carbon fiber, then certain hardener chemicals.

Deepak Poddar: And any view we can set, I mean, any short-term or next 6 months to 1 year view on the prices can be ascertain?

Bharat Vageria: I'm telling you I have a very, very planned way. I'm telling you, as far as 2025 is concerned, company has already signed contract for the fixed price for supply this. There are no --

any

contingency as far as supply is concerned as far as prices are concerned because we have already signed the contract. Similarly, we have a pricing contract and signing the purchase price contract with some of the local manufacturers of polymer with a certain formula price.

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And I mentioned that 92% business is OEM business directly, B2B business. So where price increase we pass on, price decrease we pass on, import price multiplied by exchange rate. So we have a customer understanding very clear.

Moderator: Thank you. We have our next question from the line of Shivam Dave from Prodigy Investment. Please go ahead.

Shivam Dave: Congrats on the decent win this quarter. So I wanted to understand there was a disclosure right now regarding a fire in one of your plants...

Bharat Vageria: Yes, yes, because you know that I'm delayed by 10 minutes because of that only. And at the same time, I have shared the good news also. Both the news are there. One, I will come with the bad news. Yes, part of the premises, which is in Jambusar Vadodara where we were manufacturing, the fire took place early in the morning.

So still my people are there. And it is under control. All the actions have been taken. It is quite adequately ensured. No any casualty by way of a human casualty or injury and nothing is reported. And the company is in process to take the -- submission the claim and following the process, advice of our consultant -- the insurance consultant.

Another good news also I have shared that because I believe in God. Some bad news come, at

the same time, good news also comes. So I was sharing then immediately I received one order which was ongoing also and we got the order for INR65.85 crores packaging products only from a Gujarat-based government company. And I mentioned in my fire incident also, I have another manufacturing location.

I'm pleased to tell you I have 20 manufacturing locations in India. So I can serve surrounding factory, nearby factory for these packaging products. So there is no any business loss I'm expecting. Yes, for time being, there is a disturbance of manufacturing, but I have a capacity available in another location and we'll continue supply with that customer from the nearby location.

Shivam Dave: Okay. So there is no casualty and at the same time...

Bharat Vageria: Nothing, nothing. Therefore, I told you 5 minutes delay. I have a bad news as well as good news both together.

Shivam Dave: Right. And the order that you've received, I think it's for around INR70 crores, that is executable over?

Bharat Vageria: It will be in the period of 2 years. But again, you know very well, government keeps certain thing in hand. Once you have agreed the price, they have authority, they can increase the quantity. They give 2 years' time, but I have seen in the past experience, they complete in 1 year depending on the requirement. They keep the initial safety period of 2 years.

I'm considering, in fact -- you see my earnings presentation also, I have mentioned some packaging -- India and overseas put together, I have a packaging product INR400 crores

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something already orders in hand because January onwards booking, we do the booking and we get some kind of tender awards in India and overseas. So already some INR435 crores order book already in the last 2 months' time from the packaging products.

And packaging products, it constitutes around 76% of my total packaging business. If you take the previous year revenue, INR5000 crores revenue, 76% is almost around INR3,800 crores revenue. Almost more than 15% order book is there in the just beginning of the 1.5 months.

Moderator: We have our next question from the line of Abhijit Mitra from Aionios Alpha Investment Management.

Abhijit Mitra: So just to understand the results a bit better, s

o if we look at your standalone, there has been a revenue and a PAT dip, whereas the other reported entities, essentially TPL Plastech is showing a very strong revenue as well as profit growth. And consequently, if we derive the other segments, essentially Elan, NED Energy and other subs, they're also showing 20% Y-o-Y top-line growth, 30% Y-o-Y PAT growth?

So if you can highlight any dynamics across these 3 entities. What all you experienced and how are the trends shaping up for both stand-alone TPL Plastech and other subsidiaries combined, which is essentially Elan, which is your Middle East entity and NED Energy and other subsidiaries?

Bharat Vageria: No. In fact, I can tell you, I have in hand my projections for at least 3-year guidance given by my overseas directors also who is looking at the international business and their team, they have given me just presented in the beginning of the year. They are quite confident to achieve 15% growth across the globe, I can say, overseas where we do the manufacturing products.

So they are quite committed volume growth of 15% in the next 3 years' time. They will do some brownfield or new units in each of the locations, but especially U.S. business, they are expanding the 2 more locations. And one thing I'm clarifying you, whatever I'm talking, everything is covered in my capex of INR200 crores because I'm talking the new unit does not mean the capex will be required.

That's all projected and taken. And in INR200 crores for the capex plan, it's INR75- 80 crores for maintenance capex, automation, re-engineering, that all covered. And the balance, I'm taking for the value-added product expansion plus brownfield expansion, India and overseas, both put together.

So you ask, especially Elan, I'm telling you, as I have received, I think India and Middle East relationship is increasing substantially between -- business between both the countries are improving. So yes, if you tell me, as overseas, I mentioned to you 15% growth. I can tell you, yes, 17% to 18% growth roughly we can take in the Middle East to MENA region.

Then I'm considering around 14%, 15% growth here in the U.S. and the Southeast Asia. I'm considering my 8% to 9% growth in the Taiwan. So combined both put together overseas business, which is in the range of 35% of my total revenue in the range of around INR2,000 crores, so exactly it is 15%.

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Now overall, I'm taking 15%, because India, there's too much uncertainties were there. Therefore, I mentioned to you composite 30%, packaging product 10% I'm taking in India considering the exports will be affected from India to the other countries till the entire policy clears by the -- most of the countries where the India is exporting, because you know that last quarter also, packaging business you have seen standalone business has not grown much. And further, you asked me about TPL Plastech. TPL Plastech is growth of over 10% is there. Margin has also increased because TPL Plastech is 75% owned by Time Technoplast Limited and -- which is contributing around 8% to 9% of my total revenue. Now the TPL Plastech has took the entry in the value-added product that is intermediate bulk containers that just last year completed this year.

Last year completed and further expansion has been done in the Dahej area. The plant is completed now, fully automatic plant. Now as you have seen the TPL Plastech press release also, they have been allocated and took the possession of land in the Maharashtra, which is in Raigarh District, place called Lote, entire new chemical journey is coming up very big way. So company is talking to surrounding area requirement and many requests received from the surrounding chemical manufacturers who has a requirement of the packaging products with IBC drums and jerry cans. So this product is -- possession is received and company is estimating to complete this unit in 2025, end of the calendar year so that Q4 of this year will make available for the sale of the product there.

So TPL Plastech will grow separately and definitely continue, because wherever the time is present, the TPL Plastech is not there. And wherever the TPL Plastech is there, time is not there. For example, Ratlam, Time Techno has no plant. The TPL plant is there. For Bhuj, TPL is there. For Vizag, TPL is there.

So this is the company. Except this TPL, if you know the history, it was taken over by Time Technoplast Limited in 2006 prior to the IPO. And this company is -- I am pleased to tell you, when we took over that company, the turnover was INR40 crores. Now it's a 1,000% increase. It is in the range of INR350-400 crores is the revenue.

Abhijit Mitra: Right. And any update that you'd like to share on NED Energy?

Bharat Vageria: NED Energy, yes, I have mentioned in my previous calls also, the merger process of NED Energy and the power building process, because the Time Techno is the owner of NED Energy, NED Energy is the owner of Power Build, which is Bangalore-based manufacturing company. So the process of merger is on.

But yes, companies as in the NED and Power Build is going to be one company subject to the permission from the authorities. We are estimating to get in the next 2 months to 3 months' time. We have all the approvals in hand. And pleased to tell you, NED Energy and Power Build is completely debt-free company.

And it is -- they have recently products which they have developed like e-START with SELENIUM, very high potential. This entire R&D team has developed this battery. Entire Time Technoplast Limited

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battery have been manufactured. Internal trial testing have been taken, maybe huge market potential. But as a company, we are -- what we are targeting, I'm pleased to share some kind of the information which has publicly also available.

Today, the 15 lakhs E-Rickshaws are available in the market as of 2023. And every year, 4 lakhs new rickshaws are coming, E-Rickshaw. And each rickshaw need 4 batteries. And the cost of the battery is less than INR10,000. So in terms of the revenue, I can say the market size, which is 2024 is INR2,500 crores, which is growing every year by INR600 crores, because every year, we will find 4 lakh rickshaws means 16 lakh batteries.

So what we are projecting, we are now very much eager, but we are targeting to have in the 3 years down the line, we would like to have INR100 crores business from E-Rickshaw market. That's what our team is targeting considering the quality of the batteries and the very good performance of the batteries.

So therefore, I have intimated to you. Now we have submitted these batteries. Our R&D were submitted to the authority for the final approval so product can be launched. We have estimated to launch this product at the end of the March. So next year, 2025-'26 with the existing capacity, we are estimating to take the business of INR50 crores from this battery itself.

But at the same time, looking to this, you know the size of my company has become now -- our company has become more than, I can say, INR6,000 crores company. So looking to the business of INR200 crores is very small. We are not keeping our eye closed. We are still open for discussion. We will take it. Let us first develop the 2 products.

One another products also, you have seen the last time that power -- that's called the power segment, one batteries we are developing, that also will be ready in the March. So after development of the 2 new batteries, now your company with NED and Power Build together

have a number of the products more like what solar batteries we have, railway signal batteries we have, power segment batteries, which is we call the OPzS, that is the short name of the batteries -- these E-Rickshaw batteries.
So this company has a capacity of do b

usiness of around INR250 crores to INR300 crores. Then
it is a sizable business, I can say, around 6% to 7% of the revenue. And then when the products are ready, we can see at least from this business. But as I said to you, they have now started giving the good ROCE at one point of time.
The company was giving me the ROCE of 6% to 7%, now it increased to around 11%. But I'm targeting to get ROCE from this company itself in the next 2 years' time around 15%. So they give me the contribution in increasing the ROCE.

Moderator: We have our next question from the line of Niraj Thacker from Profit Tantra Financial Services.
Niraj Thacker: Sir, my question was regarding that E-Rickshaw battery only. What will be the current margin, sir, in this E-Rickshaw battery?

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Bharat Vageria: I think you missed my previous communication. The current market size is INR2,500 crores as per the data of 2024 and which is growing by 4 lakh units, means 16 lakh batteries every year need.

Niraj Thacker: So what is the margin, sir, in this product for us?

Bharat Vageria: It is too early to say. I have just sampled and submitted but yes, any of the product in battery segment we do not less than 12% margin. I'm very clear with you, because volume will give you the margin.

Niraj Thacker: Okay. Thank you for taking my question and sir, it is always pleasure to listen to you because you always answer in so detail to all our questions.

Bharat Vageria: Neeraj, I have seen your company. Your company name is Profit, your company name itself starts with Profit.

Niraj Thacker: All your questions you answer in so much detail and with so much honesty.

Bharat Vageria: I am at the pleasure of all my, because they should know what we are doing it, if any person should not leave the call without satisfaction.

Moderator: We have our next question from the line of Krupa Desai from at Electrum PMS.

Krupa Desai: My question was on the LPG cylinder update of 14.6 kg from BPCL and IOCL. What's the update on that, sir? We have received the approval?

Bharat Vageria: Who was that? Krupa right? Krupa, this is 14.2 kg cylinder not 14.6 kg, 14.2 kg, which is the metal cylinder which comes in the house, you are asking the update on that right?

Krupa Desai: No, sir. In last meeting, you also talked about 14.6 kg cylinders, which you and Supreme are making together.

Bharat Vageria: No, 14.2 kg is the capacity of a cylinder, the range is there. It runs in plus or minus 2%. In today's date, the metal cylinder which was there in all the houses, but now some houses have it and some do not have it. The size of the metal cylinder is 14.2 kg. In which 14.2 kg gas is used and 14.5 kg cylinder is used. So approximately 29 kg cylinder is considered. Now we are supplying to IOCL 10 kg cylinder, we and Supreme both.

Now 14.2 kg now the cylinder which was going was going to IOCL and BPCL which was supplied in the start, IOCL has continuous supply and I am pleased to share with you that in today's date, the government gave us permission, government means IOCL, BPCL, HPCL they have been allowed to us and Supreme to educate the people about the cylinder, what are the advantages, how it is to be used, so in the last 1 year, they are giving us 2 cities every month. I can say, till now, till month of January, 16 cities we have did the distributors and dealers mix and quite successful, resulting the IOCL and BPCL is getting 75% growth for use of the composite cylinder. That is report available with the IOCL reports, internal reports also. Now

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further, I'm pleased to tell you, IOCL has branded a composite cylinder that is called Indane Lite.

They have launched the product in India and they have taken like the Sanjeev Kapoor, who is the chef, he has taken the brand ambassador of Sanjeev Kapoor and now they are doing the

media they are using it. But we have been told to develop the 14.2 kg or 14.5 kg, whatever you heard, that's okay. That development, together we are doing it. We have submitted the drawings. You know that when the 3 companies are involved like IOCL, BPCL and HPCL, it takes time. We both, means we to take the similar Supreme and we have submitted our design. Now lots of

meetings have taken place in the month of January and still it is going on. We estimate to design approval before end of this month. That is our internal estimate, subject to permission, subject to available time with the senior team of these all 3 companies because you know very well the senior management of 3 companies put together and have a meeting it itself is a challenge. But anyway, various meetings have taken place. I'm conservative way, I can say, by March, the approval of the design will be taken place then the 4 months will take the tool development. We estimate in the first half, ready with the tool development and everything. The second half will be available for the supply and commercial supply.

Now we have been given the estimate that may be the requirement of, I can say, the 50 lakh cylinders or 60 lakh cylinders. I mentioned in my call that currently 50 crores cylinders are in population, metal cylinder. Now once 14.2 kg approved, then they will replace. Again, I'm sharing one information with you.

Every year, government buying 6% of the total population cylinder, which is in the range of 2.5 crores to 3 crores cylinders they are buying every year. And again, current capacity of we and Supreme together is less than 2 million cylinder capacity which is very, very high, less than 10% of the total requirement of the yearly requirement.

So I'm linking now, as this product is approved, we have ourselves keep ready for QIP because then the major investment is required, looking to the size of the tender of the each oil marketing -- this oil gas distribution company, HPCL, IOCL. Apart from that, as you know, we have approval for 48 countries where I'm continuing export and good response is coming.

Now when we're talking on the LPG, we have -- like in India, we got the approval, we have taken 4 countries, another under approval. That's called one is in Kuwait, second is in Saudi, third one is Oman and Sudan. That 4 countries, we have submitted our sample of approval and we estimate to get the approval in the next 3 to 4 months' time.

Then whose requirement will come. So we ourselves are keeping ready for the expansion linked with the QIP also. Otherwise, in normal business circumstances, our plan is ongoing for the debt repayment and business expansion normally will go away as per the existing plan.

Moderator: We have our next question from the line of Devam from Ardeko.

Devam: So firstly, I know you elaborated and explained the difference between value...

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Bharat Vageria: I think next, who all people are in queue most of the query have been answered, if they are on the continue call.

Devam: Yes, sir. So I know you have elaborated the difference between volume growth and revenue growth at length. Just wanted to understand that how would the difference -- how should the difference between volume growth and EBITDA growth? Because I can understand that revenue growth would be lesser, but typically, EBITDA growth should match volume growth, right? And this is one quarter wherein EBITDA growth -- absolute EBITDA growth has trailed volume growth. Just wanted to understand reasons for the same?

Bharat Vageria: As simple as I will expand to you. If my sales price is INR100, for example, my sales price is INR100, then my EBITDA margin is 14%, INR14, then it comes in the percentage terms 14%, right? Now if my sales price -- and in this, when the INR14 EBITDA which comes in 14%, for example, my raw material cost is INR17 and another INR16 is overh

ead, percentage of 17% is

the raw material cost, 16% is the overhead cost, put together INR100.

Now if, for example, raw material cost is reduced by 5%. So INR70 will reduce to the INR65, my sales price will reduce to INR95, my INR14 will be there. So I am earning same INR14 or INR95. So in terms of the percentage, it is going to be increased.

Devam: If you are making the same INR14 or INR95, then basically your EBITDA in line with volume should -- basically, EBITDA should go in line with volume. Your pricing is based on EBITDA per kg or it is in percentage?

Bharat Vageria: Mostly what happen, either combination of the product, there may be 5, 10, 20 basis points here and there because I have to do the certain correction on account of the valuation of the inventories also when the price is down, but certain kind of the fixed orders we have, like for example, pipe business, it's a fixed order. Value is down, but our order book size is not required to that -- reduce that prices.

So overall, in terms of the -- when the price is down, some percentage will increase. For example, today something my EBITDA for INR100, I'm earning INR14. For example, tomorrow, the INR10 price increase. So in terms of that my INR10 sales, I will get INR14 only. Then in terms of that my EBITDA percentage will go down.

Devam: That is fair, sir. So you are saying this current quarter there must have been some impact of certain inventory adjustment in some divisions which are mostly on fixed price. And there could -- would there also be some forex adjustments which would have affected the margin in this quarter?

Bharat Vageria: Fall is very little because I tell you, I mean natural hedge is also there. My foreign company is earning, I'm getting my foreign investment...

Devam: No, only in the inventory portion, sir. If the forex adjustment has only affected the inventory portion?

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Bharat Vageria: No, I don't have any liability, I have paid whatever inventory I have, I paid my liability then I have nothing to do as far as foreign exchange part is concerned, my cost is fixed. If I have a foreign currency open, then the foreign currency will affect to me.

Devam: Okay. Sure, sir. I'll probably take this part a little bit offline. Mostly understood, but I'll take it offline. Sir, just last question. What is the reason for the delay in the 600 cascade expansion and what is the opportunity from the fire extinguisher market for us?

Bharat Vageria: One thing I'll explain two ways separately. The delay in reason I've explained to you, so many things have happened in the last 12 months number one. The plant and the building which I finalized with the company like Desai Builders, they have -- last year, the central elections were there which is delayed 4 months. I'm linking because I have my very clear -- when my plant will come to India, when the building will be ready.

So I don't want to warehouse my plant and pay the unnecessary cost. So number one is the delay in getting the approval by the developer because you know that, the CNG expansion when it is coming, we are not building our own building. We have taken on the long-term lease rental, so my rent will start when the building will complete. So that took 4 months delay.

Now you know another reason, the delay in the Europe because most of the equipments are coming from the European countries. You know the situation in European countries first half of the year, power shortage was there. No people were staying there. There was a huge power shortage in European countries because of the Russia-Ukraine war, power was disconnected. Another thing the equipment, the manufacturer, many people from the European manufacturers have left that country. Russia-Ukraine war has delayed, I can say, 2 months to 3 months. Variety of the reasons are there. No any other reason. I'm ready with the funds. I'm ready, b

ut now we

have seen the progress. Even I can tell you my project team is reviewing every week.

My team is already available nearby area because this plant which is coming is 140 kilometres from Vapi, you know the area called Vapi, right? It's a Gujarat area it is coming. So I have already existing units in Daman and Gujarat, this Silvassa area. So I'm sure now as per the current commitment is there.

Now you know that in this year so many activities have taken place, central election, state election. You tell me when our government is free. So every delay that has taken place, resulting there is a delay of the, I can say, the 6-month delay. And now order booking, product, there is no any issue at all. Response is good. Margin is good. It's a delay only, but at the same time, not costing us because we have not made the payment anything.

The payment has done, advanced payment that is continued. So now what we have decided is instead of getting the entire plant, one by one equipments we are getting now. Don't worry, it will come. It will be available for the second half of the year, full operational expansion plan will be ready.

Devam: Okay. Sure. And sir, the opportunity from fire extinguisher market?

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Bharat Vageria: I tell you fire extinguisher is a very good product. And even railway has made compulsory to use of fire extinguisher. Currently, it is not available in India. Some people are importing and selling that. But when it will make in India, one thing I'm telling you there is no any approval required from the PESO authority for manufacturing of the fire extinguisher now because we are going to manufacture the fire extinguisher.

Then this product, we are going to supply to the company who are filling the chemicals and selling their product in the market. So we have developed, we have done the prototype, we have submitted, we have given to the company with whom we have made a tie-up. They are going to get the BIS, which I'm expecting by March. Naveen. My Technical Director, Naveen Jain, also first time is here.

Otherwise, he's always busy in developing of the products. And most of the time he is in the plant. So I think you will hear from him when we will be ready with this product. But again, I don't have capacity. This is the product developed. For that, I'm linking with my -- because it is similar to LPG product and this fire extinguisher we are developing in 2 kg, 4 kg, 6 kg and 9 kg. Initial, we have submitted and we are getting samples submitted for BIS for what?

Naveen Jain: Sir, we are manufacturing these composite cylinders for fire extinguisher and then this will go

to the companies who are filling the chemicals in this and making a complete fire extinguisher supplying in the market. So BIS is required for a complete fire extinguisher not on the cylinder only for the fire extinguisher. So those companies will take the BIS approval on the fire extinguisher and supply in the market.

We have already submitted the samples to these companies, which they have tested and found these cylinders were compatible with their requirement. And now they have submitted the application to BIS, which takes about 3 to 4 months' time for the approval. So once they get the BIS approval, we will start the supplies of these cylinders.

Devam: Okay, sure. That's it from my side.

Management: The market is like this if cylinder 2 kg is made of Metal. Nobody use it because the weight is heavy. 50% weight is there then in every car there will be cylinder. So for light weight it will be made small.

Devam: Sir, what will be the approximate size of this market?

Bharat Vageria: Whatever I say there is no use.

Naveen Jain: It is huge market, sir.

Bharat Vageria: It is in every home and in my home also I have kept, but I have kept fire ball. Fire ball is of less use it gets expired. Cylinder is kept in every car. Today, many inc

idents are of cars. If you make

of small size then it will be in a car, you make of 0.5 kg, 1 kg, 2 kg. It's a very light weight.

According to their capability that much you make and sent. This is to use in my house, in every shop, every railway.

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Naveen Jain: Sir, best part of this is like my -- convention this metal, fire extinguishers, they get corroded very fast in the chemical environment. Now fire extinguishers are used in all the chemical industries as well as on the ships, etcetera.

Bharat Vageria: You can estimate from the mobile market. Each and every individual keeps two mobiles individually. So if they keep fire extinguisher then it is much and in company it is everywhere.

Devam: That is useful to know. Thank you.

Moderator: Thank you. We have our next question from the line of Dhairya from Champion Capital. Please go ahead.

Dhairya: So my question is, as it is mentioned that we are involved in Type-IV hydrogen cylinders, so do you think hydrogen vehicle will be adopted in India and how much will it take to develop a proper market and infrastructure for hydrogen vehicles? And any orders for hydrogen cylinders have you received and secondly do we see any strong competition approaching us? And what are the current expected margins and how much can it differ to that competition?

Bharat Vageria: In today's date hydrogen cylinder order is nil. The first thing the company who has to use hydrogen cylinder, but in foreign hydrogen cylinder is already used, it is used in heavy truck and the difference is what I will tell you. When the vehicle runs with CNG cylinder one time it is fully load in which 350 bar pressure is there so it will run 200 kilometers.

So in that cylinder only hydrogen cylinder that much capacity it will run 400 kilometers. Number two hydrogen you might have heard Adani, Reliance they all are bringing biogas plant of hydrogen cylinder. So you run the news of Reliance 500 biogas plant has to installed, 100 every year. So what they will do with us it is a waste.

So we can use the gas in that. It's a bio product. So in today's estimate that's why I have said somebody asked me carbon fiber what is that Reliance is going to make. If carbon fiber if Reliance is going to make please make they do. They have taken some NCLT company and they are going to make in Baroda. In world over if you can see it is in hydrogen cylinder.

Dhairya: We have to see.

Bharat Vageria: Today is like, this margins will come automatically when the volumes will be there then margins will come slowly and gradually. So we don't have any estimate for the order, but you can understand that if new person do the R&D which we are working from last 4 years and if someone new will come then he will come. It is good. LPG, we and CNG the market has been created and we will talk with the government.

We will talk about 50 lakh cylinders. I always give this type of examples. If you see in every house there are two children to compete against each other so that one must understand who is better and who is bad. So in two products, two company should be there otherwise product will not be purchased. We also have our policy of company. We don't do any product development where I have one supplier. And we don't produce any product where I have one customer. It's a policy. I think you got your answer.

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Dhairya: Okay sir. Got it. So I went through some government reports claiming that they plan to increase the pipeline infrastructure in India, which will eventually lead to decreasing daughter stations, which results into decreasing demand of Type-IV CNG cascade. So what are views -- what are your views regarding this?

Bharat Vageria: Let me tell you one thing you are talking of plan and today you collect the data in India as I have said that this is August 2024 data a

nd apart from that press release is there that 50 crores cylinders

it is in population and 32.68 crores it is in active consumption. In India today also 60% to 70% area is rural and backward area, there you forget about CNG and LPG there you have to make the food from the coal gas.

Pipeline all over India in today's date you see in Bombay pipeline it is not there. It is in high rise building. Kalbadevi it is not there because in Bungalow it is not economical. In high rise building you will get pipeline

Dhairya: Yes sir, but actually I am talking about Type IV CNG cylinder for their daughter station?

Bharat Vageria: See I have a factory in Panvel. From last 12 months I have been struggling and hearing that CNG pipeline is coming. If CNG pipeline comes presently I am purchasing the gas from cylinder. I have been able to reduce by cost pipeline it is getting supplied and from 12 months there has been a delay. This is a government work. In paper everything is written, but in implementation it takes lot of time. From 5 years back it has been said 100 smart city will be developed, how much smart city is developed hardly four or five.

Dhairya: I agree.

Bharat Vageria: Let me give you some other example in my opinion you know that CNG, gas availability it was there before 25 years and I have also installed 15 vehicles CNG around 20 years but station is not there. 4 months in every CNG whatever tank is there everything has been disconnected because the vehicle has to be in line and CNG is not available and in fielding 4 to 5 hours is wasted. So, time is important compared to cost. Otherwise I have also done the working INR1.50 per kilometers running cost of CNG, but it didn't work out well because value of the person time is person, but government is awakened after 20 years and 20 years policy it has been made in August 20, 2020, ~8000 new stations has been allotted. So it is getting developed so stations are made new.

Dhairya: MRU is also increasing at the same pace around?

Bharat Vageria: MRU is going to grow let me tell you as and when the logistics parks will rise in India. If you see logistic park in India everywhere. So whenever foreign systems is there. In America logistics parks if you see that in one filling station to other filling station there is a gap. So that gap will be filled MRU mobile refuelling unit. How will they do because vehicle is standing and it is getting vacated in logistics then they will come by roaming if you want gas then fill it.

Today also in India if the car is parked in your house and if the vehicle will come filled with petrol then if they say you want petrol then you will say please fill it who will go to petrol pump, fill it. You know that in India if your consumption is more than 2 lakh liters of diesel so there

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are many people are there they will come in your factory they will make the storage tank and they will put the diesel in that. So to take the diesel you don't have to go to petrol pump. This is going to happen. In India future is going to change slowly and gradually, did anyone think of ecommerce business will be this much, in 10 minutes you will get the packet of bread, did anyone thought of it, this we can never bring. If you want half liter milk in 10 minutes then you have to go and come it takes around 15 minutes and they are giving you in 10 minutes. So it is going to be improved.

Dhairya: That's all from my side. Thank you so much.

Moderator: Thank you. We'll take last question from the line of Jenish from S&P. Please go ahead.

Jenish: So in your investor presentation report, in the overall market potential slide, the total estimated business mentioned for Type-IV cylinders is INR2,200 crores, but why does the same does not cover commercial vehicles and passenger vehicles and what is the estimated market and the targeted share of Time Technoplast in the same?

Bharat Vageria: See the point is that the table which you are ordering that we are following the government policy in which CNG whichever is recorded. Today we have also tried that in markets CNG cylinder is how much till now we have not got much data. We talked to Tata Motors asked everyone, but the market which you are seeing now which is of INR2200 crores of new cascade. Today the existing cascade it is from the last 25 years which is metal cascade that we have tried to collect the data roughly IOCL, BPCL the gas distribution company from there and public data is available. Around 15,000 cascade are there in the market. Now 15,000 cascade are of every metal. The composite has been started from last three years. In 2021 August we have launched

it. So this 15,000 cascade when the replacement will come, how the replacement will come. Today you also know that till when your mobile is running in your home it is running. If we have to scrap then I will not go back to metal. I will take it back to composite. Today tell me If you go to buy an apple phone will you buy Apple 5 or not. You will not buy Apple 5, you will buy an Apple 15/14 more or less because it is cost saving. Your cost saving is 50% running cost saving. Two cascade composites can come in one truck against metal cascade one. So it is everyday saving of a person. It is a onetime investment. Jenish: Yes sir. But sir, the cost of composite cylinders is very high compared to the metal cascade? Bharat Vageria: You will have to see the savings also with cost comparison it is available. In presentation also we have provided that in today's date metal cascade is INR23 lakhs and our cascade is INR85 lakh to INR80 lakhs, but everyday saving per kilometer saving that payback is less than 12 months. You will have to understand this working. You are welcome in office then working is available. Jenish: Okay got it. But what about the vehicles will they also add up the composite cascade? Time Technoplast Limited
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Bharat Vageria: In today's date metal is there. This I have said earlier also that today along with cascade cylinder plus cascade set why I am selling because in all of that I get 18%. The day when my further expansion will be there then that day we will start supplying to OEM. They have a process of 6 months to 8 months process is there for OEM approval, but today we don't have the capacity, approval is there. Today in automotive sector 16 liters capacity approval is there and now every OEM think it is of different size somebody will require 30 liters, somebody will require 60, somebody will require 120 and in truck it should be big. So this work we have take in second stage, only by doing R&D and by developing what I will do. So generally you must have seen in the market that when the media TV ad comes then the product should be available in the market. If the ad is given in the TV and the product is not available in the market then the markets gets out that they ad and product is no there. Today when I will approach automotive sector when I have a product in front of me. Approvals not a problem. Jenish: Got it, sir. Will auto OEMs adopt Type IV cylinder their cost is approximately three times? Bharat Vageria: You understand this, I will give an example. Today we have like we have made an air receiver tank composite product and gave it to Tata, Its weight normally was 12 kg. 12 kg thing was made in 6.5 kg and gave it. 50% weight is less. Today every person wants to reduce weight in vehicle. You sit in any vehicle, you see the vehicle, you feel that many things are made of metal, but this is actually made of ABS or other plastic, lightweight. Everybody wants to become a lighter vehicle to increase the efficiency. Jenish: Okay sir. And my last question is, how do you determine the pricing in Type IV cylinders and what is the margin for cascade and automobile OEMs considering

passenger vehicles and commercial vehicles?

Bharat Vageria: Again passenger, chemical is different, cascade pricing is that all inputs cost in that plenty of products comes in to use, in that special polymer is used, in that carbon fiber is used and we put the chemicals for bonding, If you ever come to office, you will see that the cylinder is more than steel. It is bullet proof. Even if your bullet goes, it cannot cross the bullet. It becomes so hard, it becomes harder than steel. Long self life. So as far as the question is, it is depending on the volume. Today, I give an example of LPG cylinder. 8 years ago, when LPG cylinder was made the cost of glass fiber was INR95 per kilo. Now when the volume has increased, its price has increased to INR65 kg. What happens when the difference in volume increases? Today if you buy 1,000 ton of material, you will get INR100 per kilo. If you buy 10,000 ton, you will get INR95 per kilo. If you get at INR95 you will keep the margin of 18% then you will be able to take the market volume more, you will be able to get the more margin, more business. Jenish: Sir, is the margin higher in cascade or passenger vehicles and passenger vehicles? Time Technoplast Limited
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Bharat Vageria: I have told you If I give an example. Today I have limited capacity and I make a 156 liter cylinder then why I will make a 60 liter cylinder in my machine. My time, capacity and productivity liter will be more in 156 liter. Now Price, if I sell a cylinder in a car, I will get INR40,000 or INR50,000. Now if I make a cascade in its place, then my casket, piping, system, everything adds up to the value. Above that, 18% is available, but we know very well, any person will come in savings today, cost, cost efficiency, then only he will put the vehicle. Today we have made an air receiver tank,

the weight of the tank is 5 kgs, 12 kgs. So today it was cost effective, long shelf life is done. So the person does not see its price of it efficiency of vehicle has increased. Now I will give you another example 25 years ago you also travelled in train we have done it.

So you see we used to drink water from tap filled in bottle, today anyone drinks today poor man INR5, INR10 because health is the important he buys bottle of mineral water. So life is safe and if you put a metal cylinder in the car and there is an explosion then your car will be completely destroyed, but the explosion proof in this thing so that your life is not affected there is a safety is concerned.

Moderator: Thank you sir. As there are no further questions. Now I hand the conference over to Mr. Bharat sir for closing remarks.

Bharat Vageria: Thank you very much to listening us and I hope query and clarification of all the participants have been answered. If anything left, they are free to call to our IR agencies and to our IR relationship manager Mr. Himanshu. We will provide you the requisite answer to them. Thank you very much. Thank you, Abhijeet.

Moderator: Thank you. On behalf of Kaviraj Securities Private Limited that concludes this conference. Thank you for joining us and you may now disconnect your lines.

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"Time Technoplast Limited Q4 FY-25 Earnings
Conference Call"

May 28, 2025

MANAGEMENT : MR. BHARAT KUMAR VAGERIA – MANAGING
DIRECTOR, TIME TECHNOPLAST LIMITED
MR. RAGHUPATHY THYAGARAJAN – WHOLE-TIME
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MR. SANDIP MODI – SENIOR VICE PRESIDENT ,
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MODERATOR : MR. ABHIJEET MUKESH PUROHIT – KAVIRAJ
SECURITIES PRIVATE LIMITED

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Moderator: Ladies and gentlemen, welcome to the Time Technoplast Limited Q4 and FY '25 Earnings Conference Call, hosted by Kaviraj Securities Private Limited.

Please be advised that this conference call may contain certain forward-looking statements regarding the company's performance. These statements are based on the company's beliefs, opinions and expectations as on the date of this call. However, please note that such forward-looking statements are not guarantees of future performance and are subject to inherent risks and uncertainties.

As a reminder, all participants' lines will be in listen-only mode, and there will be an opportunity for you to ask questions at the end of today's presentation. Should you need assistance during the conference call, please signal an operator by pressing '*' then '0' on your touchtone phone. Please note that this conference is being recorded.

I now like to hand the conference over to Mr. Abhijeet Mukesh Purohit from Kaviraj Securities Private Limited. Thank you, and over to you, sir.

Abhijeet Purohit : Thank you, Rhea. Good evening, everyone. Kaviraj Securities Private Limited welcomes you all for Q4 and FY '25 Earnings Conference Call of Time Technoplast Limited. Today, on the call we have with us the Management Team, which is represented by Mr. Bharat Kumar Vageria – Managing Director; Mr. Raghupathy Thyagarajan – Whole-Time Director; Mr. Sandip Modi – Senior VP (Accounts & Corporate Planning); and Mr. Hemant Soni – VP (Legal & Corporate Affairs).

Now without any further delays, I would hand over the call to Mr. Bharat Kumar Vageria for his opening comments, post which we open the floor for Q&A session. Thank you and over to you sir.

Bharat Vageria: Yes. Thank you, Abhijeet. Now good afternoon to all our valued, existing and prospective investors. And along with my colleague, and once again, thank you to Abhijeet for organizing this call.

Now I am privileged with you all today as we present our "Financial and Operational Performance" of whole year FY '25, along with it's a perspective for the current financial year, which already begin for 2026.

Now I am pleased to report that our momentum has remained strong through FY '25 as we had achieved a 13% year-on-year growth in volumes, and a 9% increase in revenue. Volume growth

outpaced revenue growth due to lower raw material prices, which is available in the market as we all know that oil prices is down, which is around 5%. However, we demonstrated strong operational resilience effectively sustaining volume while maximizing revenue potential under evolving market conditions. The CNG Composite, Cascade Time Technoplast Limited
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segment with robust growth of around 28% has been a standout performer and a major contributor to our overall success.

This, along with the strong performance across the other composite products lead by 17% increase in composite volume. Importantly, our profit after tax grew by 25% year-on-year, reflecting the effectiveness of our diligent emphasis on capacity optimization, financial discipline, particularly managing the financing costs, and always taking efforts on reduction in the cost.

We remain encouraged by the continued strong demand for Type 4 composite cylinders reflected in the robust order book for approximately INR 185 crores. This momentum is further reinforced by notable growth in value-added offerings such as LPG, CNG, composite cylinder. Meanwhile, our Industrial Packaging division continued to perform with a consistent streak. And in addition that we are pleased to announce approximately order book for the current financial year, on account the packaging is around INR 445 crores in domestic and international market for the current calendar year.

The results reaffirm the strength of our foundation and the remarkable progress of our diversified portfolio

. As we chart our course ahead, we are inspired by the opportunity before us, confident in our capacity to accelerate sustainable, cleaner growth and create lasting value in both the current and the future financial years.

With that, we now proceed to much anticipated, detailed discussion of our financial highlights as presented in our results. I invite you to join me in reviewing the key takeaways, especially year-on-year basis, during FY '25 on a consolidation basis, company has crossed the business of revenue INR 5,462 crores as against INR 5,007 crores previous year. EBITDA, INR 790 crores as against INR 705 crores.

Profit after tax, INR 388 crores as against INR 311 crores last year. In terms of the percentage, sales increased by 9%, which is inclusive of India 8%, overseas 11%. Volume increased 13%: India 12% and overseas 15%. EBITDA increased by 12% and the PAT increased by 25%.

In FY 2025, our EBITDA margin improved to 14.5%, up from 14.1%, reflecting a 40-basis point increase year-on-year. If you recall, last time in call also I had said, when sales percentage of the composite product will increase, EBITDA margin will improve by 20 to 30 basis points. So that is because the growth in the composite product is higher than the other products growth.

Now in Q4, sale is increased INR 1,471 crores as against INR 1,405 crores last year. EBITDA INR 216 crores as against INR 197 crores, PAT INR 110 crores as against INR 92 crores. Net sales increased by 5%: India 3%, overseas 9%. Volume increased 11%: India 9%, overseas 15%. EBITDA increased 9% and PAT increased by 19%. But as I mentioned just in earlier annual that PAT has increased by 25% year-on-year, which is including Quarter 4 of this FY '25.

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Now the EBITDA margin, which is rose in '25, that is 14.7% this quarter compared to 14% in the previous year, 70 basis point increase EBITDA in the Q4.

I am also pleased to share that our overseas subsidiary has delivered a robust performance both in Q4 and throughout the full fiscal year, despite ongoing global uncertainties. This strong operational performance is reflected in our volume growth outpacing revenue growth primarily due to the reduction in raw material prices.

Now share of the business:

The share of the business in established products versus value-added products. In FY '25, value-added products recorded a strong growth of 15% compared to the previous year, while our established product line grew 7%.

Notably, the contribution of value-added contribution for total sales increased to 27%, up from 26% in FY '24, reflecting our continued focus on the innovation and high-margins offering.

Again, when I am talking about the value-added products, I mentioned in my last call also that this value-added products is going to be 35% in the next further 2 years' time because growth is higher.

Now share of the India and overseas business is almost 2/3rd, 1/3rd. In terms of the percentage, I can say India business, 66%, overseas business is 34% as against last year, 67%-33%, almost same. But EBITDA margin in Indian business is around 14.6%, overseas 14.2%. But because of

the taxation effect where the overseas taxation rates, overall rate is less, therefore, the PAT margin, India is 6.8%, overseas is 7.7%.

Net cash from operating activity stood around INR 344 crores. In whole of the year, as committed, efforts of the company for reduction of debt will continue. So this year, debt is reduced by INR 98 crores and net of the cash reduced by INR 122 crores. Total CAPEX, always I have mentioned it will be less than INR 200 crores.

Now in 2025 is INR 195 crores, which includes INR 81 crores towards the regular maintenance CAPEX, reengineering, automation for established products and INR 115 crores towards the value-added products, mainly for IBC and composite products and IBC products in overseas, and India both put together, composi

te products in India only.

Now certain highlights that I will share with you, it was already given in the earnings presentation, but I am thought I should repeat it again. Some of the dividend, the Board of Directors has recommended dividend INR 2.50 per share, which is 250% as against INR 2 last year.

Now focus on ROCE:

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I recall my call when we had said last 3 years, ROCE targeted for this year was 18%, which company has achieved 18.1% because 3 years back, we have said 14%, 16% 18%, 20%. 4 years back, we have said. So year-on-year, we are fulfilling our commitment and achieving the targeted ROCE. ROCE, which is for '26, targeting 20%.

Then sale on the noncore assets, efforts are continuing. At 2 years back, it was INR 125 crores, which is now reduced to INR 51 crores. We will do our best effort basis to dispose of these assets in the current financial year, which is noncore assets and company in the present future not estimating any use of these assets. This is included some of the non-small projects, which is R&D have been done by the company, some the land matters, which is not required for the expansion.

Now I am giving my brief about the QIP, which in the last year, it was there:

The Board and the shareholders have all given approvals, appointed merchant bankers also for arranging of the QIP INR 1,000 crores, and this is valid till November 2025. But till date, nothing has been raised. Approvals are in hand. As per the need base, it will be done in the period ahead.

Now I am pleased to share with you, cost reduction measures which is done by the company for the cost reduction and administrative benefit. Like one of the subsidiary company, we had an NED Energy Limited and Power Build Batteries Private Limited, a step-down subsidiary, which is now merged because both the companies were in same sector energy storage devices.

So there is a kind consolidations of the team: administrative team, marketing that will give the savings. And the business is going to be growth faster there, because the expansion plan, which I will cover in my other further year, 2 major product, which was undertaken for the development, which is now almost 90% work has been completed, and one battery is already launched and one battery about to launch in the current financial year only.

Another development, looking to the next expansion of the company and the future green industry, Type-III hydrogen cylinder for drone applications, already company got approvals and company has some quantity made it and given to some drone manufacturers for the internal trial.

Then another recognition, Type-IV composite cylinders for hydrogen cylinder already we have approval, which we will launch in the next year after completion of the greenfield expansion of the CNG, which is undergoing and which we are expecting to start in this financial year.

In the second half, a commercial will take place because we recall that the project was to be started now Q1, but it is a little delayed because of the approvals and some international disturbance. So finally, trials have been taken.

We are expecting to do the shipment of the consignment, and the production should start in the Q3 of this year. So next 6 months is available of the expansion for the composite products. And

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this incoming expansion will take care of the hydrogen cylinders development and the commercial applications also next year.

In addition to that, the expansion will take care of the onboard application to the automotive sector for the CNG cylinders, because the company currently, we have a 60 liters and 156 liter CNG cylinder, but another 250 and 350 size is also on the way for getting the approval, which will further cost effectively, and the large volume can carry while transporting the gas.

Then consolidation of the products and manufa

cturing unit, that process is continue for the cost reduction and increase in the margins, and we offer product at a competitive price in the market. Green energy conversion of electricity unit consumed to the solar power, that is also going to continue. As we have mentioned, almost around yearly 18 crores units we do consumption in India, and our focus is government policy allowed at all the states, then we will be able to save around INR 25 crores to INR 30 crores on account of using the solar connected power, buying from the outside parties instead of using the government power.

But currently, now I can say that till now, almost 4-5 crores units we have signed the agreement, for which benefit we are expected in the second half of this year, because every company to whom we signed the contract, they take 6 months is the moratorium time to commercialization and supply of the power from the solar projects.

Now as I mentioned about the benefit of the merging of the company, NED Energies, Power Build, now launch of the E-Rickshaw batteries, which is developed by Power Build Batteries Private Limited is already done. Commercial sale is starting from the Q2 of this year.

Now another thing which we have already updated to site on the NSE and BSE, because company has to new sustainability through these government regulations, the company has formed a Time Ecotech Private Limited, which is 100% subsidiary of Time Technoplast Limited, because we consume almost around 2 lakh tonnes of the polymer, India and overseas put together, which includes around 150,000 tonnes material in India.

So we will be required to use some material with the reprocessed, refurbished material to control the quality, and we should get the required quality material. So company management has decided to go on a captive consumption plant, which has taken the initiative. And Phase 1, it is decided to put up the plant in the Western region of India, where the large consumption is there. And slowly in the next 3, 4 years' time, this plant will be set up across the East, West, North, South, with the investment of INR 120 crores in the next 3 to 4 years' time.

As in India also, we do manufacturing of the steel drum in one of our joint venture company and the Time Technoplast. Similarly, because the steel drum requirement in the Middle East is there, so we thought we should capture the business to market because when customers need steel drum, plastic drum, it's a one-stop shop for them.

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So company management has decided to put up the steel drum plant in the Middle East region to cater the Middle East customers to whom already company is catering the polymer drums.

And just when I am on the steel drum and plastic drum, I am glad to tell you in the last 35 years, you go back to 40 years back, everything was under steel drum. But in more than 60% market have been converted from steel to plastic, but it took 35 years. Some of the products there still the steel drum required, because plastic drum they cannot use. So that is going to be continue almost 15% of the total requirement continue steel drum.

Now I would like to open the floor to answer specific questions. If anything I have left in my...

Moderator: Thank you very much. We will now begin the question-and-answer session. The first question is from the line of Jatin Damania from SVAN Investments. Please go ahead.

Jatin Damania: Good evening, sir. Thank you for the opportunity. First of all, congratulations on the great set of numbers and putting your words into action by achieving the guidance. Sir, I wanted to understand that in FY '25, the majority of our growth was driven by the CNG Cascade business.

Now with the Type-III hydrogen approval is in place, Type-IV, which will come into commercial operation in second half of FY '26, what type of growth one can assume in the Cascade business and the value-added pro

ducts for '26 and '27?

Bharat Vageria: Just I will tell you this way. As far as I think this year, composite products which LPG, CNG both put together is around INR 625 crores, right?

Jatin Damania: Yes.

Bharat Vageria: In '25. Yes. Now, especially I mentioned in my discussion that we are estimating composite product growth of 30% as against the other products business, 10% to 12%, because the base is very small for composite product is concerned. And in my call also I have mentioned, current, which is 27% of my total revenue is composite product, which I am expecting 35% in the next 3 years' time, because even though company is growing at a CAGR of 15%.

So if you ask me in terms of the value, if you ask me 3 years down the line, the composite business 3 years down the line can be INR 1,500 crores, which includes LPG, CNG and hydrogen put together. Hydrogen, we are ahead in all the terms. We have the approvals for drone applications. We have approvals for the normal applications in automotive sectors. But this product what we have done, Jatin bhai, I will tell you and clarify.

When my CNG expansion is coming up, where we are investing INR 125 crores, which almost INR 80- 85 crores have been done, equipment is going to arrive in this current financial year and the separate plant will be ready.

In the second half, we will launch the commercial production of the CNG from my expansion

capacity. I just recall our talk, and I am clarifying that my existing capacity of CNG is 480 cascades; in terms of the cylinder is 30,000 cylinders, which is going to be increased by 36,000
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cylinders; in terms of the cascade, 600 cascades. So the total will be 1,080 cascades, where the revenue op can be generated around INR 800 crores as against current revenue of INR 350 crores, so there's enough potential.

And on the same equipments, we are importing certain additional equipment for the small way commercialization of the hydrogen cylinder. So that we will start our marketing in the Year '26, '27, because it is too early to say. We have a very high-level discussion with some of the hydrogen gas distribution company, who are in existing also and the big company like Adani and Reliance, they are all coming in the hydrogen plant.

You just have seen it 1 month back, I think, 1 or 45 days back, Reliance has announced they are investing INR 65,000 crores, and they are putting up 500 plants in Telangana. So they are also working out and they are also planning in a very big way investment.

So I think hydrogen cylinder, yes, it is again because of the capacity is higher, this compressing pressure is very around 170 bar pressure. They can take more rolling kilometers can use when the hydrogen cylinder is there. But yes, as a first mover advantage, we are keeping ourselves ready. But for that, another expansion will be required, that we will see after 1, 2 years or 3 years. But currently, as far as CNG itself is concerned, as per the current policy of the government, which is announced in 2020, 8,100 stations they have allotted.

Again, compressed biogas requirement is there, then mobile refilling unit market. So almost INR 28,000 crore composite products market is already there. So we will first try to achieve, and we are ourselves keeping targeting the 5 years down the line, we are estimating business of INR 2,500 crores from the composite products because 30% growth we are achieving.

Jatin Damania: Thank you for the detailed answer. Secondly, in terms of the costing, now we have already achieved the respective ROCE and probably we are targeting for 20% for FY '26. One thing you alluded in your opening remarks that near about 74 million units or 7.4 crores of the unit you will be tying up for the solar. So this savings of INR 25 crores, INR 30 crores is after the transformation of 75% of the electric consumption or it is pertaining to the 7.4 crores u

nits only?

Bharat Vageria: I cannot take this in account of ROCE, which is not yet materialized. My requirement is 18 crore units. Currently, government policy only has come in the 5 states where I can buy solar power. That is, for example, Karnataka, Tamil Nadu, Maharashtra, Gujarat and Uttarakhand, other states that too our team is studying.

I have considered benefit in the second half of the year only on 4.5 crore units, maybe INR 8 crores to INR 10 crores. But that is a very small thing when we are talking PAT of INR 350 crores or INR 400 crores. That can be the bonus for that.

I can't account for that, which is not in my hand. But yes, we have heard all the government, most of the governments are coming out with a similar policy. And therefore, I am considering what benefit occurs if the solar policy is applicable all the state, and every statement will provide
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this opportunity for reduction in the power cost. So that may come in 1- or 2-years' time. But as far as concerned, on account of the power, I have taken a benefit of hardly, I can say, INR 8 crores to INR 10 crores.

Jatin Damania: Sure, sir. And what are the other cost benefits available for us in this year?

Bharat Vageria: Other benefits mean additional benefit, for example, you have seen my EBITDA margin whole of the year is 14.5%, okay? I mentioned already accounted that 20 to 30 basis point improvement will be there on account of the composition of the changes in the product, composite product where the margins are high, growth is 30% like that. And this is going to be continued till we achieve our target of 15.5% in the 3 years' time.

Jatin Damania: Sure, sir.

Bharat Vageria: And other thing I mentioned, when the actual picture will come next year, because we are focusing automation and consolidation process, which will give a saving in the labor. I need some capital investment, but based on the trial and experience basis, we are doing small investment in automation. If one item succeed, then we take the second item. Second item succeed; we take the third item. But that is a regular process, and that is going to be continue to make our product competitive and offer additional advantage to the customer to get the more business.

Jatin Damania: Sure, sir. And sir, in terms of the Time Ecotech, you indicated that you will be spending about INR 120 crores over a period of next 2, 3 years.

Bharat Vageria: 3 to 4 years.

Jatin Damania: Yes, 3 to 4 years and probably we are setting up one more subsidiary in Middle East, for the steel drum manufacturing. So can you help us understanding the Middle East market, how big the Middle East market in terms of steel drum and what sorts of capacity we will be putting it and the CAPEX that we will be doing there?

Bharat Vageria: I tell you, this everything is accounted considering my growth of 15% year-on-year, right? You asked me as far as India is concerned, number one, that Time Ecotech Private Limited. Now that is the statutory requirement. I have to do it. That will give me the benefit also, by the way I will have to make some collection centers at the different region. I will buy the polymer drums, because these guidelines of the government is applicable to the packaging company. And the packaging company, again, there is a certain exemption given to the manufacturer.

If I am supplying my product for the food packaging, if I am doing the export and I am supplying my pharma those are exempted. The packaging product where I am supplying to the other uses, I require to use 30% the reprocessed material, means I have to make an arrangement for buying from the EPR registered company, which I have certain contracts already I have done, I am

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doing it. But I thought to get the better quality, because I will not able to get the required quantity from the market.

And we would like to go our own captive consumption and would like to put our automatic line where less manpower. I will definitely whatever investment we are doing in this equipment in terms of the saving, I will save my raw material cost. So I will not have any additional cost on account of putting this investment.

And at the same time, we will be able to maintain our margin, we will able to comply the regulations with the government. And it is our moral duties also because we are the largest producer of polymer drums in India. So we will have to do it.

And most of the customers are also pressurizing us. So that will give benefit by way of getting more business from the reputed multinational customers, because many multinational customers ask, sir, are you complying government guidelines for the reusability of your materials? We told them, yes, we are doing it, and we are going to put our own plant, because small manufacturer is not able to match this requirement, which is international and multinational customers need that.

Now second, you asked me about the steel drum. And another, there is no problem as far as the investment part is concerned. We have adequate internal accruals available, which will take care of the small investment of INR 25 crores or INR 30 crores in a year, for as far as India. You know that we have kept the non-disposable assets of INR 51 crores.

If I sell that this year, I will do the invaluable usable assets of that. In addition to that, you asked me about the steel drum plant in the Middle East. Yes, there, we are doing investment in the range of around INR 30 crores. But one thing I am telling you, the steel drum and polymer drum is a difference. In the steel drum business, if I invest INR 1, we get the 5x revenue. In polymer drums and polymer business, we invest INR , we get the 2.5x revenue.

Yes, EBITDA margin is less in the steel drum business, but the gaining is high. As far as ROCE is concerned, we will not compromise on the ROCE, because currently in the Middle East, one government company, the largest government company, I will not name it, largest company in government steel drum manufacturing is there. The same company is having plants in the Middle East. And the Middle East, many of our existing customers, who need the steel drums. So we don't want to allow our customers to go on the other shop for the other requirements. Therefore, we thought we are there, and current our business in Middle East is concerned, in overseas revenue, which I mentioned to you, 34% revenue from overseas. Now in terms of the overall revenue of the company is around INR 5,500 crores, we get almost 30% revenue from my Middle East region.

Jatin Damania: Alright.

Bharat Vageria: Almost around INR 550 crores revenue we get from the overseas Middle East market.

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Jatin Damania: And sir, last question, now since we are doing this, we have a couple of approvals, CNG cascades' part CAPEX is left. So in FY '25, we did a CAPEX of INR 195 crores and our gross debt stood at near about INR 646 crores. So what will be the CAPEX that we will be spending in FY '26? And any guidance on the reduction of the debt further in FY '26?

Bharat Vageria: In fact, internally target based on my all projects considered, there will be the maintenance CAPEX for the automation reengineering continue, and that covers around INR 80 crores to INR

85 crores. That is already covered. INR 122 crores is inclusive brownfield expansion, new products, CNG, LPG development product, all covered in that. I am not revising my guidelines of up to INR 200 crores of the CAPEX. That will continue at least till I am achieving the growth of 15%, and I have to achieve the composite product growth of 30% for at least next 3 years.

Jatin Damania: And sir, on the debt?

Bharat Vageria: On the debt, as we continue, as I mentioned to you, 2 years' time the lin

e, I have kept to become

a company debt-free. I mentioned in my last call also, and that effort will still continue. And that will not compromise the growth of the company.

And the payout ratio, considering the payout ratio to maintain the 15%, which this year also we have maintained and increased the dividend. Last year, PAT was around INR 310 crores, dividend was INR 2. This year, the dividend increased to INR 2.50. So to maintain the dividend, payout will continue. Even in the period. PAT will increase further on account of the any windfall profit, then we will increase the dividend part also.

Jatin Damania: Sure sir. Thank you sir. That's all from my side, and all the best.

Moderator: Thank you. Next question is from the line of Manish Ostwal from Nirmal Bang Securities Private Limited. Please go ahead.

Manish Ostwal: Thank you for the opportunity, sir. First question on the IOC order update sir. We were anticipating in the 4th quarter, this order is about to come. So can you update what is the reason of delay and when we anticipate the order to come?

Bharat Vageria: Manish ji, it is like this, in government organization always March-April there are a lot of transfer of people, and new people thinks differently. This is process delay and order is expected, but it is taking time because in every PSU, in March, April, May, people get transferred and the new person that comes in thinks differently.

The new Chairman has taken over. He is studying the overall markets. Our meetings are going to be continued, because there was a development started, which is 14.2 kg cylinder, which is equivalent to a steel cylinder. So, after the person settles after 2 months, it will come back. But at the same time, another government company also we are in touch. The India 3 gas distribution companies are there: IOCL, BPCL, HPCL, so remaining 2 also discussions have started already.

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Manish Ostwal: Okay, sir second, last year also we had a Board resolution for capital raise, and this time also. So any equity capital raise plan, can you update us in terms of time line for that?

Bharat Vageria: No. Just now I told you few moments ago, that we have board approval, shareholders' approval everything is there, but the money is not ready, because market situation, we are waiting.

Second thing is we have approval valid till November 2025 already. So at present we don't have any immediate plan nor do we have any meeting in place for this. We are waiting that a bigger expansion, bigger volume, any capital expansion, any acquisition than we can raise immediately. But as on today, till now, nothing is there. Regarding debt, in the next 20 days I can raise and be debt free. But the management decision is a prudent decision, because when you are getting the cost of the fund at 9%, so when ROCE we have to give at 20%, so by raising equity we cannot give.

Manish Ostwal: Yes, sir. And secondly, your comments, you said debt-free over 2 years, your INR 200 crores of CAPEX annual, so yearly we are generating operating cash flow of INR 400 crores. So basically...

Bharat Vageria: For INR 600 crores we become debt free in 2 years' time, including CAPEX also. Cash flow permits it, there is no worry in that regard. If we hold INR 200 crores of CAPEX, hold tax, it will be net cash flow positive only. Incremental 15% working capital also if you put, then also debt free you will be in 2 years.

Manish Ostwal: And this 35%...

Bharat Vageria: '25-'26 and '26-'27. By March '27 you ask what happened.

Manish Ostwal: Okay, sir. And lastly sir, this value-added mix of 35%, that will be achieved by F '27, right sir?

Bharat Vageria: See today it is 27%, 15% overall the company will grow. Composite product will grow by 30%. For 35% target, it will reach between '27-'28.

Manish Ostwal: Okay, sir. Thank you.

Moderator: Thank you. Next question is from the line of Vikas

Kasturi from Focus Capital. Please go ahead.

Vikas Kasturi: Good evening, sir. First of all, a very big congratulations to the entire management of Time Technoplast. You have really done wonders in the last few years, sir, and heartfelt congratulations to you.

Sir, I had 3 questions. The first question is could you please elaborate the receivables days for value-added products versus established, because we see a trend of the receivable days going down and the share of value-added products going up. So could you please elaborate on that?

The second thing is, sir, what is this noncore asset which is up for sale?

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And the third thing is, sir, any plans of setting up a division or a strategic business unit within Time Technoplast to focus on composite and fast-growing products like hydrogen, CNG, oxygen, et cetera, sir? So these are my questions.

Bharat Vageria: Okay. I think your first question, receivables remarks, overall consolidated receivables in the range of around 69 days, okay? Hello?

Vikas Kasturi: Yes sir. Yes, sir.

Bharat Vageria: 69 days is a composition of both. But specifically, you asked me around the CNG composite products. Normally, because this product, what the period needed, because when these products leave our place, it takes 15 days' time, arrival of the customer place, then they accept it.

Normally, we give 45 to 60 days' time as far as composite product credit period are concerned, because most of the all reputed companies, government companies who pay over time. So we take in our credit terms around 60 days' time as far as composite product is concerned.

As far as packaging products is concerned, we have to follow the industry norms, which is the Government company, Balmer Lawrie and there are so many other companies are there, 75 days. So combinedly, I can say the 70-day period we take in our receivable times.

And when we are talking about 69 days, you know very well our business whole in the second and third quarter, we used to get 55% revenue. So exactly this average comes at the whole of the year. But if I will take separately for December and January to March revenue, then it will come down to 65 days. Because it's a normal trend, always we do in the first half, 45% business and 55% in the second half. Again, if I divide in the quarterly, then I do 22% business in the first quarter, around 24% business in 2nd Quarter, standard trend. This particular year has changed a little, because the prices have gone down in the second half in the value terms.

Otherwise, normal 44% in the first half, 22%, 24%. Another in Q3, Q4, it's a total we get around 56%, which is 26% and 30%. So that is our normal trend. But again, yes, you are right. If you ask me in other words, I can say this is less receivables period in terms of the composite products.

And the return period is higher in the other products, which inclusive of the PE pipe business, where I have to give credit more, where the supplier takes time, because it's a bigger pipe, takes time in the transit period also. And it is from this debtor working out from the date of the invoice when customer count from the receipt of the acceptance of the material. And within the industry norms only as far as the receivables are concerned.

Second point, you have asked about?

Vikas Kasturi: Noncore assets, sir.

Bharat Vageria: Noncore assets. I mentioned 2 years back, I recall, I think, end of the October, November '23, I decided we have met the assessment list, INR 125 crores. What are the items, yes.

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Vikas Kasturi: Yes, sir.

Bharat Vageria: Inclusive of some land parcel, which we have bought for my expansion plan. But looking to the current scenario, we got the new allotment, some other areas, change in the management plan.

So they have been identified for sale. So currently, which is in terms of t

he INR 52 crores, which

is lying, I can tell you around INR 20 crores value on account of the land and building, which is identified for sale.

And another plant and small, small project, because we have an R&D team, who do the development of the product. But when the final call comes, we do not want to go ahead with a small project, because as a policy, we took the decision, any single product where my revenue is less than INR 40 crores, company management is not going to continue. That we will give to the other people, who would like to grow for smaller businesses and smaller growth.

Another assets also we have policy decision, one factory, we should have a minimum revenue of INR 40 crores. If any factory where revenue is less than INR 40 crores, we will dispose that and we will consolidate with our nearby locations.

So these are the small assets, which are a small project, which, for example, another DWC line, we have in PE pipe business, which is called plain pipe, DWC pipe - Double Wall Corrugated pipes. So as a management policy, because of the price realization, people are not maintaining the quality in the standard, because we are the quality cautious as far as product is concerned.

In each of the products, we maintain our quality standard. So we observed, so we have taken the DWC pipe business, and put up the line for 9,000 tonnes capacity all over India. The 3 lines were there.

Already, I have exited one line 12 months back. Now another 2 lines available, we don't want to

go in business, and we have put up this words. Our discussion is on, which we are going to materialize in the current financial year. We are ourselves keeping the target to maximize and sell off these noncore assets.

Vikas Kasturi: And third question was about setting up...

Bharat Vageria: Third one. What you said, third one?

Vikas Kasturi: Sir, setting up a strategic business unit for fast-growing products like CNG, LPG, hydrogen oxygen.

Bharat Vageria: Yes, you are right. I mentioned to you in the last year as my expansion is coming out, one separate unit nearby Vapi area, which is ongoing construction, I am going to get possession of land and building by July in hand, because already construction is ongoing. If you any time you would like to visit my Daman and Silvassa area, you will able to see that unit. And that expansion is coming.

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So this specific unit nearby Vapi will have an entire composite, CNG and hydrogen product. LPG will not merge there, because of the space limitation. I have adequate space available for my LPG, which is currently ongoing. If I change that location, then I need so many approvals and its time-taking process, and we can't afford that. So for CNG and hydrogen and oxygen, we will continue with the new premises which is going to be ready in the next 4, 5 months' time. If you ask me the separate company, not now. We can talk about 3 years down the line when the sizable business of more than INR 2,500 crores business, we will have as against current business of INR 500 crores, we can think the separate company. Otherwise, one way, we are consolidating our companies in operations. Another opening of the INR 500 crores for a separate company, it is not advisable on the financial decision also.

Vikas Kasturi: Wish you all the best, sir. Thank you very much.

Moderator: Thank you. Next question is from the line of Prakash Kapadia from Spark PMS. Please go ahead.

Prakash Kapadia: Yes. A couple of questions from my end. On the e-battery business for the rickshaws, you said you should start at, I think, the 2nd Quarter onwards. So this year, what sales are we expecting? And is this an OEM-driven business or a government tendering business, which we participate in?

Bharat Vageria: I just recall. As far as e-rickshaw is concerned, we have developed it. We are going to give in the secondary market, not an existing OEM, b

ecause OEM requirement is very big. The small base trial projects have been taken. As far as currently is concerned, we are estimating business of only INR 30 crores with my existing and the minimum investment, minimum R&D development, which we are already invested, not investing.

It's a small investment of INR 4 crores, INR 5 crores, we have developed this e-rickshaw batteries, and it's a low maintenance batteries. It is not a lithium-ion battery, I am clarifying you, because if you go lithium-ion batteries, it takes INR 7 lakhs, INR 8 lakhs. I am talking e-rickshaw batteries where the prices are in the range of INR 9,000 to INR 10,000 per battery.

And I recall my discussion, I have mentioned in my last call also, the total currently e-rickshaw in the market is 15 lakhs. For e-rickshaw, if I consider the 4 batteries, 1 rickshaw, the battery market itself is INR 6,000 crores. And every year, 4 lakhs e-rickshaws are new selling in the market.

So another of around INR 1,000 crores business is there. So the total market is very big. But yes, there are some existing players, but we have very clear, we have done some internal trial and testing by having our own rickshaw and our super quality batteries, where we can command a premium, but we are offering to at the same price. And in the first year, yes, if expansion required, we will do next year, because life of the battery is considered 1.5 to 2 years only.

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And another thing I am glad to tell you, 4 batteries in a day can run 150 kilometers, that trial internally we have taken as against other manufacturers' battery can take 120 kilometers in a day. So they are getting 20% better performance.

Prakash Kapadia: Understood. And on the composite cylinder, you mentioned discussions are still on. So I think last call, you had alluded the design was approved. And once the design approves, we will get some sense on order book execution and accordingly we will plan our CAPEX.

So any sense of this coming through because that clearly, I think, is linked to the fundraise event also. So how do we get a sense of composite cylinder approval or CAPEX or because everything seems unsure as of now.

Bharat Vageria: Yes, yes. My colleague, Mr. Raghupathy is here. I think he is regularly having touch with the gas distribution company team, and why there is a change, a little delay is there, he will explain

to you overall where we stand on that.

R. Thyagarajan: The initial introduction of the LPG composite cylinders with the OMCs has been with regard to a specific size called as the 10 kg size. And that exercise has been done by introducing close to about 2.5 million to 3 million cylinders. And that's a process which is still continuing in smaller quantities, et cetera. Those supplies we continue to make.

There is an additional order that is expected on the same size, which is currently stuck up at the higher levels as Bharat was mentioning to you. There has been some change of heads, et cetera, as a result of which the traditional approach are also taking some time. But at the same time, before the new management took office, there has been discussions right from the ministry level, and including all the 3 OMCs with regard to the introduction of 14.2 kg.

So that also needs definitely a nod from the senior levels also. So that's an additional project which is going to go, and that number will definitely far outstrip the current supply level of 10 kg. So these are all a part of the composite cylinder market for LPG cylinders per se, which is definitely going to go up in the coming years.

Prakash Kapadia: And is it fair to say, by second half, we should get visibility and CAPEX should start for that particular project?

Bharat Vageria: Yes, yes, surely. Another thing I mentioned, we are under development with the nearby countries also. We are not depending only in India business. We have sub

mitted our sample in Saudi,

Oman, Kuwait. Our process is on with getting the approval from that country also for the different sizes as per the requirement of that country. And we have already started our continuous supplying in the Taiwan country, where already we got the approvals and our business is continuing.

Prakash Kapadia: Okay. And assuming this approval comes, it should be about a 6-month process to get the CAPEX and everything.

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Bharat Vageria: I have mentioned last call also, once we get the approval, 10 kg will continue, which is present cylinder; 14.2 kg will take 4 to 6 months' time in development, we are ready. Design approval is there. That is not in question at all. What was my point, the design which we are developing, that should be acceptable to all the government 3 gas distribution company, because we don't want to develop the design for each and every company, HPCL, BPCL, all differently. That's the internal discussion, they will take it, because it's all the 3 are the government-owned companies, right? We will inform you when the big CAPEX will be required, you know very well. When the QIP will come, you can understand very well. If there is any development at the time of the QIP only will be done.

Prakash Kapadia: Right, right. And lastly, sir, post the approval from PESO, when can monetization be expected from the defense side? I know it's a long process. It's a good product we have developed. So where are we in that stage? Meaning, typically, what sense are you getting? Is it 1 year from now? Is it earlier, later?

Bharat Vageria: For which oxygen or what?

Prakash Kapadia: The hydrogen for the drone applications, the PESO which has approved the product.

Bharat Vageria: Okay. I think...

R. Thyagarajan: The defense application that you mentioned is with regard to drone aspect. Is that right that you are relating to?

Prakash Kapadia: Yes, yes.

R. Thyagarajan: Yes, the initial small test modules have already been supplied. They are currently being supplied to DRDO. They are under testing right now for some aerospace requirements, et cetera. They will take their time about 4 to 5 months, I think, for validating the whole concept. And then subsequently, they should be in a position to really take over.

There are some preliminary trials that have also been taken with regard to the use of these cylinders for hydrogen, for drone applications as well parallelly. And that requires a parallel arrangement of the cells that are required, the fuel cells also that currently is not available here in India. We have imported some of them to take the proof of concept. So that exercise is also going on. By the second of this year, we will have some ideas as to where is this development headed for. But there are definitely good potential for some of these emerging technologies that are there.

Prakash Kapadia: Understood. Thank you.

Bharat Vageria: Thank you, Prakash.

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Moderator: Thank you. We are taking the last question from the line of Shivam Dave from Prodigy

Investment. Please go ahead.

Shivam Dave: I wanted some color on what was volume growth in CNG and LPG cascade this quarter?

Bharat Vageria: No, this current quarter?

Shivam Dave: Yes, for Q4.

Bharat Vageria: Q4. Q4 as far as concerned, Q4 where is composite products, CNG? You did the business of INR 165 crores, no? Yes, the total business is INR 165 crores composite products.

Shivam Dave: Okay. And I had another question. What is the pricing differential for a normal LPG cascade that is --

Bharat Vageria: Okay. No, no, no. I am telling you the cascade for LPG, we are not manufacturing. We are manufacturing cascade with CNG cylinder only. And if you want comparison, that we have given in our presentation part also it is available, we have mentioned.

R. Thyagarajan: No, they will give y

ou a rough idea as such. A typical type 1 or a steel cylinder cascade for CNG would be in the region of about INR 20 lakhs or so, which is about 4,500 water liter capacity.

Bharat Vageria: Yes.

R. Thyagarajan: And it actually sits on a typical, let's say, 18 to 20 feet truck. On the same truck, we are able to accommodate a cascade of about 9,500 water liter capacity, which will cost them close to about INR 80 lakhs to INR 100 lakhs.

Bharat Vageria: INR 80 lakhs to INR 100 lakhs.

R. Thyagarajan: So because of the fact that they are double in terms of the volume that they can carry, there's a very quick payback and that's...

Bharat Vageria: Payback period is less than 12 months, Shivam.

Shivam Dave: Okay. So the payback is somewhere around that...

Bharat Vageria: Yes, yes, less than 12 months, yes.

Shivam Dave: Okay. That's it from my side. Thank you.

Moderator: Thank you. Ladies and gentlemen, that was the last question of the day. I now hand the conference over to management for closing remarks.

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Bharat Vageria: Yes. Thank you very much to listening us very carefully. And thank you very much for you all having your patience and attending our conference call. Thank you once again, Abhijeet.

Moderator: Thank you. On behalf of Kaviraj Securities Private Limited, that concludes this conference.

Thank you for joining us, and you may now disconnect your lines.

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"Time Technoplast Limited
Q1 FY '26 Earnings Conference Call "
August 12, 2025

MANAGEMENT : MR. BHARAT VAGERIA – MANAGING DIRECTOR –
TIME TECHNOPLAST LIMITED

MODERATOR : MR. ASHISH PODDAR – MOTILAL OSWAL FINANCIAL
SERVICES LIMITED

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Moderator: Ladies and gentlemen, good day, and welcome to Time Technoplast Q1 FY '26 Earnings Conference Call hosted by Motilal Oswal Financial Services Limited. As a reminder, all participants' lines will be in listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand over the conference to Mr. Ashish Poddar from Motilal Oswal Financial Services Limited. Thank you, and over to you, sir.

Ashish Poddar: Yes. Thank you, Pari. Thank you all the participants to join us today for the Q1 FY '26 earnings conference call of Time Technoplast. We have the senior management of the company available for the discussion on the financial results, business strategy and the growth outlook of the company.

Now I hand over the call to Mr. Bharat Vageria, Managing Director of the company, for his opening remarks, post which we will open the forum for question -and-answer session. Over to you, sir.

Bharat Vageria: Yes. Thank you, Ashish, for introducing us. Good afternoon to esteemed investors, respective colleagues, and thank you to team of MOF SL for the kind introduction. It is both an honor and a pleasure to address you today as we present our financial and operational performance for Q1 FY 2026, along with our outlook for the remainder of the fiscal year.

I'm pleased to share that our positive momentum has continued into Q1 FY '26 with the volume growth of 14% year -on-year and corresponding 10% increase in the revenue. The difference reflect on account of the lower -- the input cost, which is approximately 4% to 5%, which tempered the revenue growth. Nonetheless, the demonstrated strong operational resilience, maintaining healthy volume while optimizing revenue in dynamic market environment.

The composite product, especially CNG segment emerged as delivering good growth of 20% around, playing a pivotal role in our overall performance. Together with the strong results from the other composite product, we achieved an impressive overall 18% growth in composite volumes.

Notably, our profit after tax increased by 20% year -on-year, underscoring our continued focus on the capacity utilization, prudent financial management, particularly in controlling finance costs and continued process of automation and reengineering to reduce the cost and make available the product at a competitive price.

We are further encouraged by the sustained demand for Type 4 composite cylinder as evidenced by healthy order book for approximately INR175 crores. This positive trend is complemented by growing interest in our value -added offering, including LPG, CNG composite cylinder simultaneously.

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Our Industrial Packaging division continued to deliver steady performance. We are also pleased to announce a confirmed order pipeline of approximately INR425 crores in packaging solutions for the current calendar year, covering both domestic and international markets. This result underscores the strength of our diversified business model and solid foundations and the rich distribution for the business across 10 countries. And if I count including India, it's 11 countries. We remain focused on the capturing emerging opportunities and accelerating our journey towards a sustainable environment responsible growth, delivering long-term value for all the stakeholders.

With that now, I invite you to join me to delve into the key highlights of our financial performance that are presented in the result. We have, in fact, loaded on the BSE, NSE, our earnings presentation also. But once again, I am reading that.

During the Q1 FY '26

on a consolidation basis compared to previous same year of Q1 FY '25, sales stood INR1,354 crores as against INR1,231 crores last year. And EBITDA is INR196 crores against INR175 crores, profit after tax, INR95 crores against INR79 crores. In terms of the percentage, which is represented by sales -- net sale revenue terms increased by 10%, which includes India 8%, overseas 14%.

Volume growth, 14%; 12% India, and overseas 17%. EBITDA margin increased by 12%. PAT increased by 20%. Q1 FY '26 OIBDA margin rose 14.5% to 30 basis point improvement from 14.2%. Our overseas subsidiaries also delivered a strong result in Q1 despite global uncertainties. This performance was driven by volume growth, outpacing revenue growth supported by the lower raw material cost and corresponding price adjustment passed on to the customer because we have a relationship with the customer, and we are directly having B2B business.

Share of the business, established products versus value-added product is increasing trade, recorded a strong growth of 15% value-added products compared to previous year, while our established product line grew 8.3%. Doubly, the contribution of value-added product to the total sales increased to 26% from 25% the previous year, reflect to a continuous focus on the innovation and the higher-margin offering. Our share of the India and overseas business is 62% and 38% as against last year was 63% and 37%.

EBITDA margin in India and overseas almost on the same line, which is in India, 14.7%, overseas 14.1%, respectively. PAT margin in India and overseas 6.5% and overseas 7.9%, respectively. Cash from operating -- there is a positive net cash from the operating activity is around INR116 crores.

As company has a focus for reduction of the debt for every quarter, this quarter also debt reduced by INR37 crores. Total capex in the first quarter is INR43 crores, which includes towards the regular maintenance capex, expansion, automation, reengineering INR20 crores and INR23 crores value-added products that is called IBC and composite products.

I would like to draw your attention to a couple of the interesting development, which the -- during the development, which have been seen. Especially, I'm pleased to announce in the Time Technoplast Limited

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history of the company, first time that bonus share is announced, 35 years have been completed operations of the company.

The Board have recommended for the approval to -- in the meeting held on 11th August yesterday and announced the bonus of 1:1 face value of INR1 fully paid up equity shares of the company held by the members of the company as on the date of the record dates. This is subject to approval from the members at the ensuing 35th Annual General Meeting of the company, which is scheduled on 11th September 2025 and other regulatory required approvals for issue of the bonus.

Another sale of the noncore assets, focus is still continue. If I recall my discussion 2 years back, company decided and identified noncore assets worth of INR125 crores, which is now reduced to INR47 crores, and this money realized and used for the capex and reduce the borrowings, et cetera. And this focus balance also will be targeting to complete in the next 12 months' time.

Now -- as again, I'm repeating that focus on improving the ROCEs continue and ROCE can be increased by increasing the productivity, increasing the margin, increasing the capacity utilization, reduction the working capital cycle time, that focus will continue. I recall in my discussion that we had said 3 years back, ROCE should be 14%, 16%, 18% and 20%. 4 years, company had made a target achievement.

I'm pleased to tell you, last 3 years, we have achieved that target what was capped by the

company, 14% achieved, 16% achieved and the '25, 18% achieved, now targeting for ROCE of 20% for FY '26. This will be, again, co

ntinued focus on the cost reduction through automation, reengineering, automation, optimizations, working capital cycle time, strategy and development of the newer products, which have a higher margin.

Consolidation of the products and manufacturing unit is also continuing for the cost reductions and optimization of utilization, considering the logistic cost from one unit to our customer.

Because you know the -- India, road and infrastructure is increasing. So based on that, our team is analyzing how we can reduce the cost of the logistic and wherever cost of logistic is cheaper than the running the separate unit. So our team is regularly keeping focus on that. And accordingly, based on their decision, we're consolidating our operations of the units.

Then again, I'm just repeating. QIP approval, which was taken last year is continue, and it is valid till November 2025, especially purpose was also mentioned at time, QIP is not only for reduction of the debt. And again, for the automation, reengineering capex plan for the value-added products, then certain new product -- greenfield product, which is taken by the company, like for sustainability point of view, for expansion.

As a company in the polymer packaging products where company need to do some strategic compliances to have to consume their packaging material buyback arrangement from the products, which we are supplying after considering the exemption granted by the government notification, the product which have been exported from India, the product which is supplied for the pharma packaging, food packaging that have been excluded.

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So to have any statutory compliances, because we are a law-abide company, the company has undertaken project expansion for that, the new company has already formed and we have intimated to the exchange regarding Time Ecotech Private Limited that will take project for the sustainability across the India in 3 regions, Western regions, Eastern region and South region. First plant will be come out in the current financial year only, and that will be in the Western region in Gujarat. The place is already identified. The company has entered into agreement for buying of the premises, ready premises. And I'm quite hopeful in the next 3 to 4 months, that the plant will be commissioned completely.

So QIP is the involvement of the various purpose, as I mentioned to you. So it will be the right time considering that and to go for the QIP. Then recently, we have done certain development done in the R&D, especially as you know that we are focusing on the development of the newer product, which is a higher margin and high technology-based product, especially we have signed -- we are doing in the composite cylinder, LPG applications, CNG applications, hydrogen application, gas applications also.

The company technical team has made an agreement with the company called Drone Stark Technologies, who is already existing manufacturers for the drone. Presently, all the drone, special drone is manufactured by him -- by using the energy storage devices, mainly called batteries. But yes, we have seen -- so we will do very close working, signed the exclusive MOU with them for the 3 years for development of the hydrogen cylinder we have.

We have already approval for Type 3 and Type 4. The cylinder will be used for the drone applications. So initially, the drone applications will use hydrogen cylinder and give the performance. And based on that, we will -- able to supply by use of this technology for supply of the cylinder for the drone applications because we all know that drone market is going to be various uses of the drones are there.

Various sectors are using in surveillance, agriculture, then this fire department, so many other -- police department, government authorities, all using the drone application is going to i

ncrease.

So we thought it's a quality performance-wise, height-wise, is very good cylinders, hydrogen cylinder, which have a better performance. So we are going to develop this along with the drone manufacturer.

Now our focus is continue for the green energy conversation of electrical unit by using the solar power. I mentioned in my last call also, again, I'm repeating, we have around 15 crores units requirement annualized in India. And if at all, all the states that units are available by solar, then we can sign the contract. But currently, some of the states have that policy like Karnataka, Uttarakhand, Maharashtra, Gujarat and that is called -- Uttarakhand, I told you, then Gujarat, Maharashtra and Tamil Nadu. 5 states have that policy. So we have already signed the contract. So this year, half year, we'll get the benefit of the solar power where the saving working out around INR3 per unit. So in terms of the units, I can say around INR8 crores to INR10 crores company will be able to save by way of purchasing the solar. But overall focus is continue

wherever possible to buy the purchase power agreement by the solar.
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I am once again clarifying you, company is doing the equity investment for a longer period, maybe 15 years or 20 years, that the face value will be written back to the company. In addition to that, company will get the committed units, which have been signed and we'll get the benefit for 10 years or 15 years as per the agreement value for the units for which the agreement have been signed. So it's quite substantial benefits can occur in the period ahead.

Then as we are in the energy storage devices, the company in the last call also, I have told that there were the 2 companies we were having earlier like NED Energy Limited, which was a subsidiary of Time Technoplast. And NED Energy was having a step-down subsidiary of Power Build. So in the last 4 to 5 months, the exercise ongoing for the merger, that merger process has been completed. Now the Power Build batteries is directly owned by the Time Technoplast Limited for the 97% equity is owned by the company.

Now in that, company has taken the project for development of the newer batteries, which includes E-Rickshaw batteries, low-cost batteries and that's quite -- the results on the batteries is very good and very satisfactory. So company has submitted and expecting that approval from the government authorities in the next 30 to 45 days because samples already submitted and is under testing process with the government ICAT, we call it the institution authorities in Delhi. So we have submitted for the batteries for the approval.

Another batteries for the power sector batteries and the power expansion in India is ongoing. That battery is also -- preparation is on. We will -- already in the process of submitting our sample for use of the batteries for the power system. As per my technical team experts, we are going to get that approval also in the next 3 months' time, the batteries, which can be used for the power sector also.

Now as I mentioned to you, the new sustainability focused subsidiary, Time Ecotech Private Limited, which is mainly for use of the quality recycled material, which otherwise is not available in India because company has various polymer products and this law has come out only for the packaging products where company needs to have a system of collecting back for the approximately 30% of the packaging product after exemption, which is supplied to the customer. So we are already in the process of appointing local agents to get the material back, reprocess, recycle and use as per the application.

So we are -- till we start our own facility, we have made arrangement with the local vendors, developed one vendor and identified some agents who are supplying the material, collecting back from the centers and

getting reprocessed back. So we can have an extended process with responsibility can be complied.

Then I have mentioned in this also, I think nowadays, everybody talks about the impact of the US tariff, which is ongoing. I can say that since April, there is some confusion is ongoing, what is the tariff available applicable to Indian products, which is exported in the US.

I'm glad to tell you that your company is having manufacturing operations in US and the products which is manufacturing in US, it is for the local countries only, not export to the other countries. So it's because of the voluminous nature of the product -- is the voluminous product.

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So we are not much, I can say, the major effect regarding the tariff of the US operation. Very small items, inputs, which is exported from the other countries, which is used in manufacturing in terms of the value, it is hardly 3% to 4% of their inputs, which they are importing from the other countries.

Now I would like to open the floor to answer the specific questions, if any, which I have not covered in my speech.

Moderator: First question is from the line of Shashi Ranjan from Anandan Capital.

Shashi Ranjan : Congratulations to the entire team for the first quarter, very good result. That is usually not that good, but it is -- this time it is quite good. So just one question, which -- after which I'll come back in queue that it is about Time Ecotech Private Limited. I understand that TEPL is a low-margin business over the ones we have. So why do the capex is being done there? It is because of only extended producer responsibility or -- and what is the revenue coming out of TEPL and the revenue from the Power Build and visibility -- revenue visibility on that, sir?

Bharat Vageria: Yes. Anything else or this is it?

Shashi Ranjan: This is the one question. As I've been told to ask only one question, I'll come back in the queue

later.

Bharat Vageria: Okay. Yes, yes. I think your question is nice. And one thing I'm telling you, if any reprocessed material, it's a one thing, it's a statutory compliance, we have to fulfill that -- we have to fulfill.

Second thing, the material which is available, recycled material because when the drums which as a company is selling, I have to make the arrangement to buy back through the agents, which I'm going to do that.

And that material is going to be used in the process back. So there is no any cost increase will be there because as I'm responsible, my customers are also responsible. So whatever cost will be there, that will pass on to the customers only. I'm just giving you one of the example. In India, we have to do it our own plant because we have a various product. We want quality assurance. Therefore, company is doing our own plant. And it's a requirement, and it is not going to affect the profitability of the company, cost of the product, cost of the item, recycled material, including cost of the capital investment, everything will be count when we worked out the cost of that raw material. And it is not going to be cheaper also.

It will be the price difference between the cost of the procurement of the drums back plus the reprocessed material equivalent to the virgin raw material, which otherwise we are buying from the local manufacturer. So company, when considering this price, there is no effect on the margin will be there. And as far as financing part is concerned, company has adequate internal appeals available and capex plan for the normal capex automation engineering is already there.

And this is in the period of 2 to 3 years, the three region will be covered. This year, only the one region, Western region, which has a very, very high requirement is there and the availability of the recycled drums from the markets are available. So first plant will be the Western region.

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Next year, we will see the Northern region and then after the Southern region. So it's a 3-year plan compliance for the statutory compliance as well as margin will not be affected while working out the cost of the product.

Shashi Ranjan: Sir, sorry to interrupt. My question was on the revenue visibility for the TEPL and Power Build. I understand that this is a 60,000 metric ton recycling plant, TEPL I'm talking about. So just help me with that?

Bharat Vageria: I'll tell you Power Build is a different Power Build in the energy storage devices, there is no any compliance, any point of view. Power Build is an energy storage devices, which I mentioned to you, two batteries is under process of approval, that is E-Rickshaw batteries, another battery is power sector batteries.

As far as this energy storage devices division is concerned, our revenue is in the range of INR125 crores and in which we are counting E-Rickshaw batteries around INR35 crores to INR50 crores we have taken into consideration. Now the Time Ecotech Private Limited, which you are talking, right? You are talking the recycled materials side, right?

Shashi Ranjan: Yes, sir. Yes, sir.

Bharat Vageria: Yes. So that is entirely different from the Power Build. Now this is, as I mentioned to you, it's a statutory requirement and no cost increase to the company. Company will be able to maintain the EBITDA margin for overall the product -- packaging product impact. You have seen that company packaging products which constitute to almost around 75% of the total revenue, which includes 37% from overseas revenue. And I'm glad to tell you, overseas unit, already, we are getting some quality of the recycled materials available, and we are using our overseas plant. So we have no any means new technology or something. We are already experienced. But in India, that recycled quality material is not available. Therefore, we are putting our own plant to give the 100% guarantee, 100% product success for the finished products.

Moderator: The next question is from the line of Jatin Damania from SVAN Investments.

Jatin Damania: So sir, just wanted to understand now given the growth that we have seen in 1Q coming from Cascade business with 18% volume growth. So how do we see a growth because now Type 3, we have already got an approval, Type 4, we are about to commission. And now with an MoU signing with a draw, how do we see a growth assumption for FY '26-'27 for the Cascade business and the revenue as a whole?

And second part to the question on the cylinder front, we were also in touch with IOCL for a couple of orders which are supposed to come in Q4, which was got delayed in Q1. So you can give an update on that before I come back in the queue for other questions.

Bharat Vageria: Yes, yes. Jatin bhai, I think you are talking composite cylinder, you recollect my transcription, which I have said last time. As far as growth part is concerned for '25-'26, we are estimating 10% to 12% growth for the packaging products, around 28% to 30% growth for the composite

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products, which include LPG, CNG, hydrogen, other composite products all put together. So we are on that line only working out.

As far as -- because, where you know that in composite products, we have already developed fire extinguisher, which is also under process of BIS approval by our one of the customers.

Another some from the automotive sector composite product, we have developed that also, we are regularly supplying like air receiver tank, and fuel tanks, et cetera.

Then hydrogen cylinders, you are talking drone application. This R&D MOU have been done.

This is the future of the business. Type 3 and Type 4, nothing to do. Type 3 because Type 4, I don't have a capacity currently, the new capacity, which you

are aware that it is to be come out

in the second half of this year. And we are in the process of completing our all other formalities, including the building completion in this first half of the year.

The work is on, but there is some delay because of the rainy season is continuing and delay in getting the completion of the construction of the building. So we are linking our import consignment directly considering the -- as the building complete, we get the power connection, we get it I think, transfer from our -- this overseas supplier. So it is going to take in the second half of this thing.

Now another thing as far as LPG is concerned, regular business with the existing customer, IOC is already there. And you have seen BPCL, HPCL also discussion is on, and they have also started to utilizing the LPG cylinders. So composite product all of the year, I think better clarity will come in the Q3 of this year, but we are sure to achieve the growth of -- in the range of 28% to 30%, especially in the composite products.

Jatin Damania: Sir, and a follow-up on this on your value-added product, which is around 25% to 27%. With the commissioning of Type 3, what sort of value-added mix you can see by end of this year and probably in FY '27?

Bharat Vageria: I tell you 3 years, as I mentioned to you, I can't see the further because everything, but as far as we are not affected by the tariff for this thing, this is for the local consumption of the industry.

So at least 2, 3 years visibility as composite product after expansion also, we are quite confident about to achieve the growth of 30%, as far as composite product is concerned, LPG, CNG, hydrogen, all automotive composite product, everything.

Jatin Damania: Sir, I have a couple of more questions, but I will come back in the queue.

Moderator: The next question is from the line of Deepak Poddar from Sapphire Capital.

Deepak Poddar: Yes. So just a clarification. First, I mean, next 3, 4 months, we were talking about some plant being commissioned. So which plant we're talking about here?

Bharat Vageria: In fact, because certain new plants which are coming from India, especially, but when just Jatin has asked me, about the expansion plan of the composite cylinder, CNG, especially in consolidation because currently, we are manufacturing our CNG and hydrogen cylinder in the two places, some part in Daman, some part in Silvassa. But we are linking because my existing Time Technoplast Limited

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capacity is equivalent to 30,000 cylinder we can produce, which is going to be increased by another 36,000 cylinders. And you know that at one cascade make the 60 cylinders.

So in the current -- in terms of the cascade, we can say 480 cascades can be manufactured in a year as per the current capacity. Or last year, company took the expansion by increasing the capacity from 480 to 1,080; 600 new expansion means one cascade 60 cylinders so totally 36,000 cylinders in a month. So that expansion plan is coming nearby Vapi in the Gujarat only. So I'm talking about that plant only. That is going to be started in the second half of this year.

Deepak Poddar: Okay. So sir, the capacity will increase from 30,000 cylinders?

Bharat Vageria: Yes, of course, of course, capacity, which is currently hardly 480 cascades, which will generate the value of around INR350 crores only. But after the expansion, definitely, which is coming about 300 cascades, the total business can be generated around -- INR700 crores business can be generated from CNG and hydrogen together.

Deepak Poddar: Okay. And this 30,000 cylinders we're talking about per month, right?

Bharat Vageria: 30,000 cylinder yearly. Yearly. I'm talking 1,080 cascades yearly.

Deepak Poddar: Fair enough. I got it. And just a question on the drone parts. So what is the potential we can see in that particular space?

Bharat Vageria: We have

not yet counted, but I'm telling you, as I heard from the drone industry, there is new -- many new companies are coming in India. We are not going to manufacture drone, I can tell

you. We are going to develop our hydrogen cylinder for drone applications because drone market, as per the current, what I heard, it should be 75 billion by 2032. That is the estimation is given available in the public resources. So we thought the specific -- we can get a good realization, good value and green energy, and it is really very, very -- we can have a Make in India, and we can support to the drone industry.

And all the batteries are the Chinese batteries currently today. So at least we will replace it from the hydrogen cylinders, which have a light weight, then they can fly more time, they can fly on the higher height. There are multiple advantages. So we thought let us first do R&D, let's tie up with some of the drone manufacturers.

So we have tie-up with the existing experienced person who is specialized, who has already experience of supplying 50 drones -- 50 to 60 drones in India. So we thought it's better to have a tie-up with him. So our cylinders will be used there. And then we will take the experiment of supplying the -- our batteries, our cylinders for the drone manufacturer.

Moderator: The next question is from the line of Ankur Sawariya, an Individual Investor.

Ankur Sawariya: Congratulations on a good set of numbers again, sir. My question is regarding -- as you see that from last 2, 3 quarters, we have given very good results. But since that you have announced that you are willing to go for a QIP, the share price is not going up. So are you comfortable in going for the QIP at these valuations, sir, after the company is doing so well for last 1 year, 2 years?

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Bharat Vageria: I'm telling you, in fact, you know that in the last transcription also, some investors asked me what will be the right time for the QIP. I told them there is no any right time. QIP is only -- as per the without QIP also, I said very clearly, in the next 18 months' time, company plan to have a debt free, because company have adequate approvals, adequate earnings and company has a capability, debt security ratio is also very low and company can borrow more, which is priced in the range of around 9% per annum.

But again, as you know very well, I have discussed last time also. But again, there is a multiple object of the QIP. And therefore, you know that already 8 months past, I can say, after when the QIP, we have not did, because the timing, you know very well last 6 to 8 months, it's a very, very uncertain -- global uncertainty was there.

So means market growth was not visible, what kind of the business. So we thought we should have a certain right because certain new products, which company has developed in the recent year and which have a very, very high potential, especially we have told about the composite products, which includes CNG, hydrogen and LPG, very large potential.

Market is very big in terms of the LPG cylinder. 50 crore cylinders are in population. 32.68 crores active connections are there. And every year, government need, which is currently totally sourced on the metal cylinder except a small quantity in the last 3 years, we have supplied to the government companies, where every year, the requirement of the cylinder, LPG cylinder itself is a INR3 crore cylinder as against we and Supreme together have a capacity of hardly 1.7 million or 1.8 million cylinder, which is hardly 7% to 8% of the requirement of the government.

But at the same time, we were working hard for development and doing the development as per the -- under consultations with the government agencies. We should have a 14.2 kg cylinder for which development is ongoing. So, it can be at par with the metal cylinder, which is currently in

tly in

the use. So, very large potential we are expecting. So, we ourselves -- keeping ourselves ready for the fast moving to capture the market and timely supply of the composite as well as LPG and CNG cylinders.

Now composite product also, if you see the government policy, the total market size is more than INR28,000 crores. We are projecting business of INR2,500 crores in a period of 5 years.

But considering the -- considering the timeline of the equipment supply, considering the -- because most of the equipments are imported and very, very highly -- imported from the overseas market, and it is a time-taking process of 12 to 18 months delivery equipment time.

So -- and further companies that developing the hydrogen cylinder, already approval in hand. So many other new plants are coming, biogas plant and the hydrogen cylinders requirement is increasing in the drone, other applications are in development.

So, we thought we should keep ourselves ready for the QIP because at the same time, company management is also directing to maintain the debt at this level. And if we are going for the QIP, then why we should not become the debt-free as early as possible and do the expansion, need-based expansion, which -- to capture the market -- available market in India.

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So, for that reason, last year, we got the approval. So we will see the right timing, right investment, procurement, right investment because company is also exploring companies for organic as well as nonorganic growth also there because one thing is very clear as per the direction received and as per the management need and to grow in the double-digit growth, and then that is possible by organic and nonorganic growth and to capture the market, which is developed by the company for which company has made an investment time to time where the market is very big.

So, we know very well packaging business, which we are there for more than 35 years, but we can grow that in the pace of, I can say, 10% to 12%. But when company need to grow over 15%, it is possible only from the other, where the market are there, especially composite products. So, therefore, we're keeping ourselves ready for that. Nothing to do that -- we have to do today or tomorrow. We are keeping ourselves ready to capture the growth in the period ahead when the internationally -- also, I'm glad to tell you my capacity utilization internationally and India all put together is around 80%. Even international is 85%. But internationally, we do only the packaging business.

And my international team, certain expansion is in hand in the Saudi, in US where to capture the local demand growth. That all covers under my capex plan, of the normal capex, which is normally INR175 crores to INR200 crores. But when the major demand come, so we thought we should keep ourselves ready to capture the growth.

Ankur Sawariya: Sir the point is well taken. And we have also seen that time and again, the promoters have also bought at these rates. So why are you not considering something like the right issues? Why are you only -- why do you want to go for a QIP? Even the shareholders, present shareholders will benefit from something like rights issue rather than QIP.

Bharat Vageria: No, one thing I'm telling you, to give the benefit of the investor and existing promoters also, we have already announced the bonus because in the last 35 years, we have not given any award by the bonus. We thought promoters will also benefit, company will also benefit and widely investor can get the opportunities. Therefore, company has announced the bonus 1:1 in the history of these 35 years.

Now, you are asking the right issue. You know very well, that promoter have no any other business opportunity. Promoters don't have a fund to put again in the right issue money because promoter are around 51.7%. All th

e promoters are having full-time Directors to the company, and they have a business of Time Technoplast only.

So, to avoid that, when the direct institution, small investors are showing their interest because they are not getting their required value of the investment, which they like to have in the company, and they would like to have a -- participate in the growth of the company considering India and overseas operations. Therefore, we thought, okay, we have been suggested by the merchant banker, that it's the right -- instead of going the right issue, you should go for the QIP or the preferential issue for that.

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Ankur Sawariya: Sir, you will see that right from 2020, the number of shareholders has increased from 30,000 to approximately 140,000. So, the retail shareholders are showing a lot of interest and their share in the shareholding has already increased so much that the pressure of the rates share price is always there when the QIP is announced. That was only my concern.

Bharat Vageria: I'll tell you; I'm not looking -- company management is not looking that QIP should be the higher price or something. It will be a reasonable price following the SEBI norms at all. If you recollect that 3 years back, what were the prices, we don't control on the prices.

It's again, market circumstances, demand supply gap, international, I can say the circumstances, global scenario, everything considering the price. We don't see the prices every day, and we are not -- our work is very clear, we should deliver what we are promising to the investor. We should deliver and we should go ahead for the direction of where we would like to have today.

Moderator: The next question is from the line of Saloni Jain from Nirmal Bang Securities.

Saloni Jain: Yes, sir. Two questions. First on the composite tender, pace of tendering. So earlier, we had seen a slower pace in tendering from IOCL and BPCL. But recently, Supreme also signed one of 2 lakh 10 kg LPG cylinders, which is small, but what is your take on the pace of ordering going forward now? Or is it the same?

Bharat Vageria: No, I'll tell you, existing users are usually there. And as I mentioned in my last call also, we are continuing export to the various -- 48 countries. We have a good order book for supply. So, as far as this order is concerned, BPCL order was there, which is -- BCPL order, which is because some of the locations, which is required by the BPCL, we are not nearby, and that is very near to the Supreme location. So, we -- in fact, our prices were a little higher than them considering

the delivered prices.

So, we have left that order, and we are continuing to capture the other geographical where we are getting a good realization. It is very on the commercial sales point of view, we have not participated in that. And we have provided our higher prices compared to them.

Saloni Jain: Right. And sir, with respect to our composite cylinder facility, what would be the utilization and how much utilization are we expecting to ramp up after expansion?

Bharat Vageria: I'll tell you as far as I recollect my discussion last time I had, we have a current capacity of 1.4 million cylinder. Depending on the different sizes, we can produce up to 1.2 million cylinders because various sizes depending on the requirement of each country, we do manufacture them, 2 kg, 5 kg, 10 kg, 20kg, different countries are there.

So, in terms of the revenue, I can say we can generate the revenue maximum of INR240 crores to INR250 crores from this LPG business, based on my current capacity. So, utilization, you are asking me, it is in the range of 85%. It is there considering the working days of the -- working days and efficiency of the equipment depending on the sizes of the cylinder.

But again, expansion, yes, we will do the expansion at the right time after getting

the finalization

of 14.2 kg cylinders, which will be similar to the current metal cylinder and when all the gas

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distribution company like IOCL, BPCL, HPCL are on the same page and same line for the same size, then we will put up the plant for expansion. And we are very clear, considering our experience in this business, we -- the normal expansion time will take 4 to 6 months' time in the capacity expansion in the gradual way we can do that.

Saloni Jain: Right, sir. And sir, my second question is on the new MOU that we had signed for hydrogen cylinders. Can you talk a little bit about this customer of our, drone start-up? What is the size of the company and how much -- how many drone capacity they have? And do they have the spec to integrate hydrogen cylinders with the drones or that is still developing?

Bharat Vageria: No, no. It is -- I tell you, we have signed the MOU for hydrogen cylinder will be developed by us, not -- there is no any know-how required from the drone stock company. They are manufacturers of the drone. They have their own team. They are presently manufacturing the drone. They have more than 3 years' experience. More than 50 drones they have supplied in India to the government authorities, government companies in the various states now.

And currently, they are using the batteries. So, we have very clear understanding. We will do the development of the hydrogen cylinders, Type 3 or Type 4 and that will be used for the drone applications. And after successful trial, after getting the final result, we will offer this hydrogen cylinder to various drone manufacturer. And it is not a restriction that we will do the only for the -- this will be the one of the suppliers, not that. We can supply to any drone manufacturers. We are open for that.

But that is only for the -- exclusively signed as far as development of the hydrogen cylinder for drone applications, because all other infrastructure is available with them. As far as cylinder manufacture has come, cylinder manufacturing capacities come, that technology we have already, and we have already in hand approval for hydrogen cylinder of Type 3 and Type 4 that's we have.

Saloni Jain: And sir, if I -- if you allow me just one more question. If you could give us just a ballpark timeline of when do we expect to monetize from this technology of hydrogen cylinders that we have?

Bharat Vageria: I can say next financial year, you will be able to hear something because the 6 months, I'm keeping ourselves, my expansion is coming from where we are -- we do manufacturing -- we will do manufacturing some hydrogen cylinders. But commercialization point of view, the 6 months' time, we -- in fact, I tell you in the last time also, again, I'm mentioning you, and last time mentioned that we are going to have our own one drone. I tell you the drone cost I understood from this people, the drone available in the market from INR10 lakhs to INR50 lakhs for the various applications.

So, we are going to have our own one drone as a style purpose, which will be available at our plant, so we can show to the potential customers, these are the drone available, how the battery -- how the cylinder can be used, how it is flying like that. So, we are doing that. I think next financial year, we'll have some commercial value as far as how much cylinders we are supplying, how market is taking up.

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Moderator: The next question is from the line of Rohit from Samatva Investments.

Rohit: Sir, I had just one question on the IBC segment and in the domestic market. As per my understanding, last 1, 1.5 years, there has been some pricing pressure overall in the market with some new competitor coming in and an existing competitor expanding its capacity. I just wanted to know how is the market

in terms of pricing and in terms of the potential volume growth that you see in this segment, in the domestic market for the next 1 or 2 years maybe?

Bharat Vageria: You're talking about the IBC right?

Rohit: Yes. Yes. IBC.

Bharat Vageria: Yes. They're called Intermediate Bulk Containers, right?

Rohit: Yes.

Management: So, as far as the IBC is concerned, let me just clarify to you, it is mostly a packaging, which is basically used for export of the chemicals, et cetera. So, the user base is varying from chemical industries varying -- manufacturing various kinds of chemicals, et cetera, they export it. When you are competing in the industry, these packaging gets identified as the brand that you manufacture. Today, GNX is a brand of IBC that we manufacture, is a multinational brand. Today, I manufacture in all the 11 countries wherever we are present. As compared to that, there are just 2 other global brands such as Schutz and Mauter.

So, among these 2, Schutz has just recently started a manufacturing unit somewhere in India. But other than that, the local manufacturers are all basically a stand-alone local brands. They're not really internationally recognizable. So, whenever they have to be talking about an export of the chemicals and packing it in a certain IBC, the buyer at the other end would also like to ensure that he uses the right quality-based packaging and which is -- on which he has a reliance on. So that is where they go for international names, and that is how GNX has been able to really get the recognition.

We are able to get that differentiation in the market, both in terms of the pricing and also in terms of the preference. Additionally, we have multiple location units for IBC even in India because we are a geographically large country. So, we have a couple of units in Daman. We have got one unit up north in -- sorry, in the West in Dahej. We have one unit running up in South also. We also stock and sell in Bhuj and Kolkata. So, we have a fairly wide network to ensure that we are able to capitalize on the market demand and we stay very, very competitive. So, that's the reason as to why we are able to ensure that the IBC will continue to have a positive growth as compared to the other industrial packaging products as well.

Rohit: So sir just, has there been any pricing pressure overall in the industry because of Schutz is coming into the market? Or have you been able to retain prices?

Bharat Vageria: No, no. I am very clear. We are quality standard company. We have to maintain our quality standard, and we are getting our pricing and remain -- able to maintain our required margin.

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Therefore, it is counting under the value-added product. You know we have already said, it comes under the value-added product where we have a required margin there.

And as my colleague mentioned to you, the growth in the IBC as the exports from India is increasing. So, percentage terms, growth in the IBC, we are also projecting in the range of 18% to 20%, and we are maintaining that growth. And I'm glad to tell you one of my subsidiary company has put up the fully automatic plant in Western region, Dahej and there and another plant is also coming up in the Maharashtra also.

So, IBC business, definitely, it will be there and company is going to be focused for the export back in India, and that is -- growth compared to other packaging products, its growth of 18% to 20% will continue. And in India and overseas put together, I tell you in all the overseas also, we have a very good business, value of the business as far as the IBC business is concerned in US and Southeast Asia and Middle East everywhere. And as my colleague told me -- told you that brand is the next have been created with the hardworking of more than 20 years in this product.

Moderator: The next question is from the

line of Ganesh Kumar, an Individual Investor.

Ganesh Kumar: Just have a couple of questions. So, we had reports about a 14.2 kg LPG cylinder that we are working with another partner and with Indian Oil and other PSUs. So, any update on that? That is number one.

And the growth percentage of CNG Cascades, I think we just did a very big expansion, completed. But the growth percentage, I'm not talking about the growth number, the growth percentage seems to have leveled off. I think we had an order book of INR150 crores just like last year same time. My third question is about, what is the total market value for the E-Rickshaw batteries that we have planned?

Bharat Vageria: Okay. I'm coming one by one. I think, first, you asked me the 14.2 kg cylinder. Currently, we manufacture 2 kg, 6 kg, 10 kg and then 28 kg, like various sizes are there for the requirement of each country. 14.2 kg currently in India, most popular cylinder, which government providing most of the home, you will see 5 kg and 14.2 kg. Now 14.2 kg is the metal cylinder weight, which is currently it is there and 15 kg is the weight of the cylinder so total put together is 29 kg.

The current cylinder which we are supplying to government gas distribution company like IOCL, BPCL, HPCL, we -- and why I'm using word we because the Time Techno and Supreme both are supplying the 10 kg cylinder where the weight of the cylinder is around 6 kg and gas is the 10 kg. So that 5 kg is also there. So, 2 types of the cylinder we are supplying now.

The 14.2 kg, we are under development. I mentioned in the last call also. So, where the design should be the same, process is the same so that all government, 3 companies can use the same cylinder, and across the globe the uniformity is there. So that development is under -- I mean, again, I can say it need 6 months' time, which includes the design approvals, full development, then finally materialize and do the expansion plan.

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Expansion plan, I mentioned just 10 minutes back to somebody. That expansion plan, we will decide after receiving the large size of orders for the 14.2 kg cylinder. But till, in the intervening period, we have been given the assurance by the gas distribution company. They will continue the buying of the 10 kg cylinder, which presently is supplying. So that is as far as 14.2 kg is concerned.

Now I have not considered any capex plan for the 14.2 kg cylinder only we have considered in our -- product development cost only, we have included in our normal automation and reengineering expenses.

Now you're asking me CNG. I mentioned that CNG expansion yet to do. Capital expenditures amount, including advances already remitted. Now the expansion will complete in the -- I can say in the next 60 days' time. So, it is made available for the commercial business in the second half of this year. CNG; market is big. Order booking, I tell you, we have mentioned also that currently, we are supplying that CNG cylinder, not only the cylinder. We are supplying completely cascade with the different sizes of the cylinder.

But CNG market, you know automotive sector is a very big market is there. We have not yet explored that possibility. We have already approval in hand for the 60 liters CNG cylinders for the automotive application. That market also we will capture in the next fiscal year after completing the expansion.

Now you are asking about the E-Rickshaw business. As I mentioned to you in our projections, we have taken business of INR35 crores to INR50 crores in my total energy storage devices business of around INR125 crores to INR150 crores. Now E-Rickshaw factories, company has developed, performance is very good. We submitted our sample to the government-nominated agency, which is -- we are expecting that approval because testing, there is a certain minimum time required for the

testing in the government system. So, we'll get that approval also in the next 30 to 45 days' time, approval in hand.

But again, I'm thing -- one thing to clarify. Certain -- in the secondary market, we have already started seed marketing because they don't need the government certificate approval. They can use because it's a very, very good performance batteries. And as I think we are supplying to the secondary market, the E-Rickshaw batteries in certain states, we have started supply of this E-Rickshaw batteries.

But yes, market is very big. We have done this product development with a small investment of around INR4 crores, and we develop these products. This is the -- so yes, in the period ahead, if you would like to expand the E-Rickshaw batteries, I'm going to tell you that this is the low maintenance batteries and they use in the Rickshaw, 4 batteries that's used and approximately 1 battery cost is in the range of INR8,500 to INR9,000.

So total Rickshaw, 1 set of the batteries is INR36,000, and that 4 batteries can run 120 kilometers in a day. So that is normal E-Rickshaw runs in a day, 120 kilometers. So that's the way of the -- as far as E-Rickshaw is concerned. I hope I've answered your queries.

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Moderator: Ladies and gentlemen, that was the last question for today. I now hand over the conference to management for closing comments.

Bharat Vageria: Yes. Thank you very much for having your patience and listening to the management commentary on the Q1 FY '26 results. Thank you to the team of Motilal Oswal, who has introduced us and arranging this conference call for update of the FY.

And one thing I'm telling you, we are committed to create the value of the investor by maintaining a double -digit growth and achieving the ROCE of around 20%. Thank you very much.

Moderator: Thank you. On behalf of Motilal Oswal Financial Services Limited, concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Bharat Vageria: Yes. Thank you very much. Thank you.

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November 17, 2025

MANAGEMENT : MR. BHARAT KUMAR VAGERIA – MANAGING
DIRECTOR – TIME TECHNOPLAST LIMITED
M R. RAGHUPATHY THYAGARAJAN – WHOLE-TIME
DIRECTOR – TIME TECHNOPLAST LIMITED
M R. SANDIP MODI – SENIOR VICE PRESIDENT ,
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MR. HEMANT SONI – VICE PRESIDENT , LEGAL AND
CORPORATE AFFAIRS – TIME TECHNOPLAST LIMITED

MODERATOR : MR. ASHISH PODDAR – MOTILAL OSWAL FINANCIAL
SERVICES LIMITED

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Moderator: Ladies and gentlemen, good day, and welcome to Time Technoplast Q2 FY '26 Earnings Conference Call, hosted by Motilal Oswal Financial Services. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need any assistance during the conference call, please signal an operator by pressing star, then zero on your touch-tone phone.

I now hand the conference over to Mr. Ashish Poddar from Motilal Oswal Institutional Equities. Thank you, and over to you, sir.

Ashish Poddar: Yes. Thank you, Sam. Good afternoon, everyone, for joining this conference call of Time Technoplast Q2 FY '26 results. From the management, we have Mr. Bharat Kumar Vageria, the Managing Director; Mr. Raghupathy Thyagarajan, the Whole-Time Director; Mr. Sandip Modi, Senior Vice President, Accounts and Corporate Planning; and Mr. Hemant Soni, Vice President, Legal and Corporate Affairs.

I hand over the call to Bharat sir for his opening remarks, post which we can open the floor for Q&A session. Over to you, sir.

Bharat Kumar Vageria: Yes. Good afternoon, our esteemed investors, respected colleagues, and thank you to team of the Motilal and Ashish Poddar, who is organizing this call, for the kind introduction. It is both an honor and pleasure to address you today as we present our financial and operational performance for Q2 and half year H1 FY '26, along with our outlook for the remainder of the fiscal year.

Our momentum remained strong in H1 FY '26 with 14% volume growth and 10% rise in the revenue growth. That gap of 4% is on account of the reduction of the raw material prices. Despite this, we had delivered solid operational performance, balancing volume strength with the effective revenue management.

The CNG Composite Cascades segment stood out with a robust 22% growth, materially boosting our overall performance with strong contribution from other composite products. Composite volumes increased 18.3%. Profit after tax rose 18% year-on-year, underscoring our focus on capacity utilization and disciplined financial management, particularly around the finance cost. We are encouraged by the sustained demand of Type IV composite cylinder reflected in the healthy order book of around INR195 crores. This momentum is further supported by rising interest in our value-added offerings, through our composite products which includes LPG,

CNG, Oxygen & other composite products for automotive sector. Our Industrial Packaging division also continued to perform steady with a confirmed order pipeline of approximately INR450 crores for the current calendar year across both domestic and international market. Our results reaffirm the resilience of our diversified business model and the strong platform we have built for the future.

Moving forward, we will continue to pursue new opportunities and accelerate our transition towards a sustainable, environmentally responsible growth that delivers long-term value for the agri stakeholders.

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Now let's take a closer look at the key highlights of our financial performance presented in the results. The key figures are during Q2 FY '26 compared to Q2 FY '25. Our net sales stood at INR1,512 crores as against INR1,372 crores, EBITDA INR224 crores as against INR197 crores, profit after tax INR115 crores as against INR98 crores. This is compared with the corresponding quarter previous year, sales grew by 10%, which includes India 9%, overseas 13%. Volume increased by 14%, India 13%, overseas 16%. EBITDA increased by 14% and PAT increased by 17%.

During the H1 FY '26, on a consolidated basis, net sales stood at INR2,866 crores as against INR2,602 crores last year, EBITDA INR420 crores as against INR372 crores last year. Profit after tax

, INR211 crores as against INR178 crores last year. In terms of the percentage, net sales increased by 10.1%, India 8.5%, overseas 13.2%. Volume increased by 14%, India 12.2%, overseas 16.4%. EBITDA increased by 13%, PAT increased by 18%.

In percentage terms, you must find that EBITDA has increased as the volume growth is increasing. It's almost as the volume increase, EBITDA further is going to be increased. In H1 FY '26, EBITDA margin 14.6% as against 14.3% increase of 30 basis points. That's in every my conference call I said, you will find yearly improvement of 20 to 30 basis points in the EBITDA margin.

Now share of the business, established product versus value-added product. Value-added product grew 17% in H1 FY '26 as compared to H1 FY '25, while established product grew by 8%. The share of the value-added product is 28% of the total sales in H1 FY '26 as against 27%. This percentage year-on-year is going to be increased. And that will help us in the improvement in the other as far as margins, PAT, EBITDA and ROCE.

Now share of the India and overseas business in FY '26 was 64:36 as against 65:35. EBITDA margin in India and overseas, India is 14.8%, overseas is 14.3%, respectively. Net cash from operating activity H1 FY '26 stood at INR226 crores. Total debt net of the cash H1 FY '26 reduced to INR56.4 crores. And that company focus will continue for reduction in the debt. Total capex incurred in H1 FY '26 was INR117 crores, which includes INR42 crores towards the regular maintenance, capacity expansion, brownfield. For the established product, INR75 crores towards the value-added product, mainly called IBC and composite cylinder -- composite product expansion, which is on the way only.

I would like to now draw your attention to a couple of the interesting developments, which we have seen in the quarter and which we have seen till now, especially after the QIP. Now as far as bonus share is concerned, the Board allotted 22.69 crores fully paid-up equity shares of face value of INR1 each on 24th September, that's reflected in every of my investors. And that has been issued out of the premium available with the company.

Then recent development, which we have seen and closed on 11th of November, in the November month, the company successfully completed INR800 crores QIP, issuing 397.77 lakh equity shares at the price of INR201.12 per share, which is face value of 1, including premium of INR200.12 pursuant to allotment on 11th November '25, paid-up share capital increased from

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INR45.38 crores to INR49.36 crores. List of the allottees who have been allotted more than 5% of the equity share offered pursuant to the qualified institution placement.

The major names, I will just tell you, the 3P India, which is managed by Prashant Jain, who was earlier managing HDFC Fund. Then the international company like Aberdeen Group, Axis Mutual Fund, Edelweiss Mutual Fund and Edelweiss Life. These are some big names who are - who bought this equity.

Resulting, you will see the equity, which was there on the 30th September and equity which was on 11th November after the allotment of QIP, promoters and promoter group equity reduced to 47.46% from 51.62% resulting 4.16% dilution. There is no any offer for sale from promoter. All the funds have gone in the company's account only.

DII mutual funds in percentage terms from the total equity after the bonus, after the QIP increased to 16.63% as against 13.26%. So in a nutshell, I can say the domestic mutual fund investment has increased by 3.37%...

Moderator: Ladies and gentlemen, we have the line for the management connected. Please go ahead, sir.

Bharat Kumar Vageria: Dear friends, sorry for interruption because some connectivity issue was there, technical problem. But again, I'm continuing from my -- the financial, what I have explained to you. And I'm continuing from now

the highlights, which is especially started from the bonus shares.

Company has issued the bonus shares of INR22.69 crores, which is 1 to 1 and on 24th September, which is capitalized INR22.69 crores, which is from the security premium account. Now after that, in the month of November, company launched QIP and company successfully completed INR800 crores QIP issuing 397.77 lakh shares.

I am pleased to tell you company has received a bid for INR931 crores, but accepted considering the long-term investor, the value of INR800 crores and share issue price is INR201.12, which is after 5% discount from the NSE advice, NSE regulations, INR211.70 price was there as per the NSE formula.

Pursuant to this allotment, equity shares increased from 45.38 crores to 49.36 crores. List of the allottees who is allotted more than 5% equity share offered are mainly 3P, which is managed by Prashant Jain, who was earlier managing HDFC Fund. Then Aberdeen Group, this is a new entry from the international is a very large fund. And Axis Mutual Fund, Edelweiss Mutual Fund and Edelweiss Life.

And I'm great to tell you now the domestic institution and foreign institution equity have increased. Like promoter and promoter group because of this QIP issue, reduced to 47.46% from 51.62%. There is a reduction of 4.16%. I would like to clarify you, company has not -- promoter has not offered any offer for sale. It is entire subscription, entire paid equity INR800 crores have been own in the company account only.

Domestic institution mutual fund increased to 16.63% as against 13.26%, an increase of 3.37%. FIIs, which includes NT assets and Aberdeen, 11.05% as against 8.42%. There's an increase of Time Technoplast Limited

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2.63%. Public equity reduced by 1.84%. Currently, as of 11th November 24.86% as against 26.70%. And I'm glad to tell you today, the number of the shareholders in our company, investors are around 150,000 numbers as against I remember the March '20, it was around 25,000 shareholders.

Now sale of the noncore assets, one point of time, 2 years back, company management decided to sell off, realize the value of INR125 crores value of the assets, which is not in use, including the small, small project, land building, etcetera, machineries, is now reduced to INR41 crores as of 30th September.

ROCE improvement is definitely year-on-year improvement is there because 3 years back, company management has given the guidance from 12% to 14%, then 14% to 16%, 16% to 18%. So 18% is already achieved by March 2025, and now the target is 20% for FY26 and thereafter 2% increase minimum every year as we are working on consolidation of the products and the manufacturing units, which is the continuous process and is going to be completed considering the logistic cost comparison.

International Centre for Automotive Technology is government authorized agency approved E-Rickshaw batteries, which is to our -- one of the subsidiary company, Power Build Batteries Private Limited. He has a very good potential in the period ahead. Market size based on the current operational, current rickshaw, which are in the market is around INR6,400 crores.

But currently, we have considered the only secondary market, and the OEM will approve. Then after the expansion we will complete, which is going to be complete by March 2025 -- '26.

Another thing, green energy conversion of the electricity unit consumed to the solar power, the process is on. I had mentioned in my all the calls and meeting energy consumption currently based on the March '25 is around 15 crores units, which currently we are buying from the government nominated company like in Maharashtra.

Maharashtra Electricity Board; Gujarat, Gujarat Electricity Board; hotels. Some of the states have cleared, we can buy by signing a purchase power agreement. So we did for our consumption of 4.5 crores units from the certain governments

who has agreed and we have signed the agreement. So this benefit will come from next year.

In terms of the value, I can say 4.5 crores units. If you multiply it by INR2.50 units, then INR10 crores to INR12 crores EBITDA will increase by way of this 4.5 crores. But certainly, if at all, the entire government -- entire, all the states cleared this policy of the purchase power through solar, then my requirement is 12 crores units. So we can get a substantial benefit of maybe around

INR30 crores for this power itself.

Then another sustainable -- this new sustainability focused subsidiary company, recycled material and company has formed Time Ecotech Private Limited company, which is 100% subsidiary of our listed company, Time Technoplast Limited, an overall plan to invest around INR120 crores across the India. But first plant will be set up in Western region, which is going to be start from January 2026.

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All the equipment will be installed in December month only. So company can comply all the statutory requirements by using the 30% recycled material for the packaging products. Second plant will come up next year. And that is also included in the object of the QIP, will come in the North region.

Then another like high-density polyethylene pipe company has developed, HDPE Pipe for gas line application because company is already in PE product where we are doing business of around INR350 crores of pipe business. So it is another additional product in the pipe segment to enhance the utilization capacity.

And recently, I'm glad to tell you which after that September we have submitted, that awarded order of INR190 crores for supply of the HDPE Pipe for power duct applications, especially this is for Southern region: Amaravati Development Corporation Limited and Andhra Pradesh Capital Region Development Authority.

So this -- but again, I'm glad to tell you the Amaravati Smart City for the water requirement, they are estimating total in terms of the revenue pipe of INR1,250 crores, maybe 1 lakh ton pipes will be required by them. It's a 2-year project. This project was there 2 years back, but was abandoned, but this is ready, has again taken up this present government and now targeting to complete in 2 years' time.

Out of that, one EPC contract -- from one contractor, we get INR190 crores order. Other contractor also, we are in touch with them. And we are going to award the order from the Abu Dhabi EPC contractor who has got under -- who was participating in this program. Then I'm glad to tell you some of the other products companies in development and that will be added the company's growth plan further.

One of the products is like composite fire extinguisher, which is also product -- company is ready, 6 kg is ready, 9 kg we are waiting. So both products we can launch together and that we are going to do in Q4 of this financial year. The requirement is very large because it's a lightweight composite fire extinguisher compared to the metal fire extinguisher, which is currently presently available.

And I'm glad to tell you, railway department has made compulsory if composite fire extinguisher available, that must be used by the railway department in all the rail coaches and the stations. And power sector OPz batteries, which we are going to get approval in the Q4. Sample is under testing. In the time period testing, samples already submitted 6 months back. We are going to get approval in the Q4 of this year, very large market for power projects.

Another composite CNG cylinders company already having approval for 60 liters for automotive, 156 liters for the gas transportation companies because supplying is a complete cascade. And another company expansion plan because current capacity is only 30,000 cylinders, from which we can make 480 cascades only because each cascade needs 60 cylinders, capacity of 156 liters. Bu

t company got to have a product more competitive is developing more about 200 liters capacity, maybe around 250. So number of the cylinders will reduce. And the

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expansion plan, which is on the way, is going to be complete in the Q4, commercial production is there, land and buildings are ready.

Our material, our machines and everything is already tried, tested and is in the transit. And we are going to receive them and then the installation will complete. Q4, this product will be made available in the expansion capacity. So this expansion will have 36,000 cylinders per annum. So there is the addition of approximately, I can say, the 600 cascade can be increased. The total will become 1080 cascade in terms of the cylinder, 66,000 cylinders. In terms of the revenue, company can generate INR800 crores.

And another development for hydrogen cylinders for the higher capacity. Small capacity, already developed. And a special application for drone company has made. A strategic alliance with the Drone Stark, who is currently a manufacturer of drone. But company is not going to manufacture drone. Company objective is very clear to sell hydrogen cylinders, which will be used in the drone application.

So first pilot project of company to have our own drone, which is going to be completed, and we will be able to see this drone operation by hydrogen cylinder next month only. It's 30 days away from today. And it has a very big market as hydrogen cylinders in the drone application because drone application market in agri sector, surveillance, government departments, even most of the industries also would like to use the drones. So it is going to be a very big market as far as drones are concerned. And drone cost, what I can say, available in the market from INR5 lakhs to INR50 lakhs depending on the size of drone.

Now the another product, which is composite LPG cylinder, 14.2 kg is under development because this is the necessary requirement. We have been advised by IOCL -- HPCL. Current, we are supplying 10 kg to them, but they would like to have an equivalent to the metal cylinder, which is for a number of the years is there. So that products are on the line. And designs, it is on -- the approvals of the designs have been done, and we are in the discussion with the HPCL, BPCL for the approvals.

Now I would like to open the floor to answer specific questions. Thank you. Thank you very much.

Moderator: Thank you. The first question is from the line of Prakash Kapadia from Kapadia Financial Services. Please go ahead.

Prakash Kapadia: A couple of questions from my end. Generally, H2, Bharat ji is better for us. So how is that expected to pan out? And if I look at H1, we had a debt of around INR600 crores and interest cost of INR43 crores. So what kind of savings can we expect? Is it fair to say interest cost will not be more than INR70-odd crores this year? And with further cash flows, will debt maybe reduce further in the next coming quarters?

And lastly, Bharat ji, one more question, if I may just add. We were very sure we'll raise the QIP money if we get visibility on scaling the composite cylinder business. So what is the status from the OMCs, if you can highlight for the 14.2 kg cylinders, anything on CNG higher capacity

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cylinders, 200-liter cylinders and hydrogen cylinders. So if you can give some outlook on that, that will really be helpful.

Bharat Kumar Vageria: That's all, right? Kapadia ji, number one, you have told me that first one always. You will see my trend of the last 10, 15 years. In always first half, we do business of 45% of our guidelines - - annual guidelines. Balance, we do 55% in the second half, right? Now you ask me the interest. You are right. As far as this current year is concerned, initially interest cost, it was estimated around

INR80 crores, INR85 crores something, right? Now it is definitely going to be reduced.

In the first half, we have reduced INR45 crores of debt and in QIP we have identified reduction for debt of INR400 crores, which easily can be benefit around INR30 crores.

So if you ask me the next year, definitely, as QIP we've received just now, which is lying in the escrow account. So whatever the direct payment, the reduction of the debt to be done, straight will go for that. So simply INR400 crores, 8.5% interest rate, that will be the saving of INR34 crores, INR4 crores yearly saving.

So this benefit will come in this year as far as INR9 crores plus December. Maybe around INR10 crores, INR11 crores benefit will come. But certainly, I can ask you the next year, the internal accruals will add for the debt reduction. So definitely, next year, we can expect interest cost -- because I tell you one thing also, interest is not only the fund-based.

Finance cost includes non-fund-based facilities also, because non-fund-based facilities, if that is required. Wherever the government orders are there, tenders are there, and we have to give the performance guarantee for composite product, LPG, CNG. So I conclude the financial -- from next year onwards, the financial cost will be in the range of again INR35 crores to INR40 crores only, overall. Now QIP money is especially raised INR800 crores...

Prakash Kapadia: Yes. On the QIP money, what I was trying to understand...

Bharat Kumar Vageria: QIP, again INR400 crores I tell you that we have given objects in the earnings presentation and company is planning some automation to increase the EBITDA margin, automation and re-engineered products, and just add will something because we have more than 350 machines are there, including the injection, blow-moulding, extrusion. So we have decided now to do some automation, reengineering of the moulds so that capacity -- production capacity can be increased. So we would like to mainly do the use of the robot technology with the software technology. So I have considered a payback period of under 3 years payback period. So around INR30 crores means when I'm investing INR90 crores, I should get benefit, INR30 crores of EBITDA in the first year, which may arrive in after the 6 months' time because it will take 6 months' time to invest this.

So if you ask me the post-tax, maybe around -- from INR30 crores post tax, 30%, around INR21 crores benefit will be there. Post tax, EBITDA of maybe 5 years. But EBITDA margin, both period is a 3-year payback period. Another company is investing, as I mentioned to you that the

time it could take for the recycling plant. First, I have taken in my QIP, two plants only I have taken where we are investing INR30 crores for each plant in the Western region, Northern region around investment, but that will come only next year only.

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So capital expenditure, then we have included, including this inorganic growth, we have identified one company. But currently, we are required to include in the general corporate purpose because the agreement was not signed. It is under the due diligence, the company which is identified. I recall the name of the company, Ebullient Packaging Private Limited, where we have identified to investment of INR150 crores for buying of the 74% equity, right?

So if you ask me, you can speculate. We have taken the 15% volume growth and revenue growth in the range of 11% to 12%. 3% to 4% difference is there on account of the prices is down by the polymer prices, which is raw material supply. But we have seen compared to last year, there's a price reduction of 3% to 4%, which is already exist. Therefore, there is a gap between the volume growth and revenue growth.

But I'm very happy when the prices are down, I can do the rotation more. If for example, prices are down by INR100. If 4% prices are down, no

w INR96 toward the same kind of the increased,

which we are targeting to see 30 to 40 basis point improvement you will see year-on-year. And in conclusion, my target is ROCE 20% for this year, where later on also 2% minimum should increase in the subsequent period. Kapadia ji, I have covered your all the points.

Prakash Kapadia: Yes. Just one more thing on that cylinder part. We were very gung-ho and confident we'll do the QIP once we get visibility. Sir, any visibility on the 14.2 kg cylinder from the PSUs or the larger CNG cylinders of 200 liters. Any sense we have...

Bharat Kumar Vageria: Yes, yes, it will come. It's a question of time only. But as far as this year, 10 kg cylinders is continuous supply. And it is very clear by gas distribution company, till we developed in commercial -- you supply a 14.2 kg cylinders because it's the time of the tool development. We have submitted our design, approved by IOCL, BPCL, HPCL.

And I'm happy to tell you, till last year, the buying was only IOCL. Now HPCL also started buying. Then BPCL, we are under discussion. So I'm quite hopeful as far as next year is concerned, we will definitely need -- will need for the expansion because by next year, we will have another product also, which is going to manufacture on the same LPG line, that is fire extinguisher which I told you.

The requirement is very large. Very large, I can say, because the export market is there in local, refinery company, many industries, every office is using this fire extinguishers made from metal. And the lightweight will be available very much. We will estimate market on the fire extinguisher also next year.

So definitely -- therefore I mentioned in certain products, development and R&D and approval process. We will revise our guidelines, but looking to present product, looking to present demand, looking to present contract, we can say 15% guideline. We are not changing as far as volume growth is concerned because the international, we are very clear.

Presently, we are in Q3 and the company is supplying right quality of product at the right price.

So I'm not changing my guidance of 15%. This percentage will increase after developing this product. In internally, we are thinking to grow 20%. And further, as I mentioned to you, if my volume growth is 15%, 16-17% EBITDA, and the PAT growth more than 20%.

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Prakash Kapadia: Understood, sir. Look forward to seeing a better H2...

Bharat Kumar Vageria: Yes, my point is very clear. I have a value investor, I have a good value of the investor. They have given me the money with the full confidence, and we should fulfill our promise. Only stuff I want 6 months' time to use of this fund 6 months' time. After that, you will come to know from April 2026.

Prakash Kapadia: Absolutely, sir. Absolutely. Look forward. All the best.

Moderator: The next question is from the line of Saransh Gupta from SVAN Investments.

Saransh Gupta: Yes. So sir, I guess there was some disturbance in my line during starting...

Bharat Kumar Vageria: Yes, there was some technical problem.

Saransh Gupta: If I heard it right, then out of the INR241 crores that we have mentioned for the QIP utilization, INR120 crores is for the cylinders expansion and the rest you said that you will be buying -- you were into an agreement for buying 74% stake for a packaging company, right?

Bharat Kumar Vageria: Yes. The FIBC, the flexible IBC, jumbo bags it's called FIBC, cylinder expansion INR120 crores, it is not there anything. It is the INR400 crores for repayment -- prepayment of the debt. Then capital expenditure of around INR90 crores for automation, reengineering product, which

have a payback period less than 3 years.

We are going to use more robotic and conveying and material mixing, we are going to change it. Another INR55 crores for the recycled sustainability, which is required because recycled m

aterial companies need to use for the packaging products. Excluding the product which has gone in the exports, excluding the product which has gone in the food packaging. It is a statutory compliance. So we are going to put our own plant in the Western region there. Another capital -- then another is the fund inorganic growth which includes around INR150 crores, then the INR100 crores for general corporate purpose. So these are the total amount. You know that we have an approval for INR1,000 crores, but company decided INR800 crores is okay, so we reduced the size of the QIP.

Saransh Gupta: Yes, sir. Sir, if you can give a bifurcation of the inorganic growth, like if we have something in our mind or into what segment other than FIBC we are getting into?

Bharat Kumar Vageria: FIBC, I tell you, you can get. If you want, you can e-mail to Mr. Himanshu and Modi ji. We have identified the company. FIBC, it's a flexible IBC, I can say. We are in the rigid packaging, which is the 1,000 liter IBC, we are already processing. That is a rigid product. But the flexible, it is called the -- we made from the PP, raffia material.

And some of the listed companies are also available, FIBC. But I cannot show you video here, but you can get it details what is the FIBC and the company which we have identified. We have submitted to NSE, BSE, our letter also that these are the companies we have identified. But it's a nonbinding agreement because the due diligence was not completed at that time until QIP not completed, but we have processed. We have already started the due diligence of that company.

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That company is having business revenue of around INR250 crores with the EBITDA margins of INR25 crores. And purpose of buying is very clear, because I am buying 180,000 tons of polymer in a year, and this company is buying 38,000 tons polymer. So the available discount to Time Technoplast is much, much higher, maybe around 3% to 4%.

So that benefit also will go to the subsidiary. The present EBITDA, which is 10% will go back -- will be equal to our EBITDA margin, which is 14%. Second, this company can have an advantage of just-in-time delivery because this company is doing 60% export to the various countries, including the MENA region, that is Dubai and nearby countries. And another, they are in Southeast Asia also.

So you know that our company has a presence in the Middle East, like in this Sharjah, Bahrain, Saudi, Egypt. Another, we have a presence in Southeast Asia, the Thailand, Malaysia, Indonesia, Vietnam and Taiwan. And then U.S.A. also. So you know very well, I'm very -- once again for you. Our total revenue contribution includes 36% from the overseas and 64% from India.

And overseas, we do only packaging business. So this company can take the advantage of our presence in the other countries just-in-time delivery. So their revenue can be grow. And what we have seen from the data available that FIBC market is growing by around 25%. India FIBC market itself is around INR8,000 crores.

Saransh Gupta: Yes. Very clear, sir. Sir, next question is that you said that the HDPE for which we got INR190 crores order requirement was somewhere around INR1,200 crores...

Bharat Kumar Vageria: Yes, INR1,150 crores, which is equivalent to 1,00,000 tons. We have just procured this order of around, I think, 16,000 tons. This is the Amaravati project.

Saransh Gupta: That you are working for another -- other contract to get?

Bharat Kumar Vageria: Yes, six contractors have been awarded for this project. Those who are in Southwest and maybe some Bangalore, maybe some Hyderabad. So we're in talking to the area wise, because our plant is available in Hyderabad and from logistic advantage is available to us. One plant is Gummidipundi we have, one plant in Hyderabad we have, both can take care of this project.

So we are thinking to get almost around 30,000

tons. We would like to have out of 30% of order

we are estimating to get from this contract this time, which we have a capacity due from Hyderabad and the Gummidipundi plant.

In terms of the value, I can say maybe around INR350 crores value, which should be executed in 2 years' time. And while on this subject, I can clarify you from pipe business across the globe, presently, we are manufacturing in Silvassa, we are manufacturing in Amta, near to Kolkata. And third plant is in Gummidipundi near Chennai.

Fourth plant is in Hyderabad, Medchal called place, which is near to Hyderabad. So we are currently having four plants. We can do maximum business of INR450 crores considering my current investment. So I'm glad to tell you, you will hear very shortly that we will have almost 50% my plant is booked.

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Saransh Gupta: Okay, sir. That's very good to hear. Sir, in this quarter, we saw that LPG cylinders saw an incremental volume and value growth.

Bharat Kumar Vageria: Yes.

Saransh Gupta: So do we have an eye on that going ahead? Like, how -- but we also know that it is a very low contributor to our overall revenue.

Bharat Kumar Vageria: Yes, I agree fully with you. Today, currently, we have a capacity of -- I can say the sellable capacity may be around 1 million to 1.2 million. Even though installed capacity is 1.4 million, but different sizes are there. So currently we are doing export plus local supply. Maximum business, we can do INR240 crores from this business.

Current utilization is almost 90% is there and we are achieving. But at the same time, as we are talking to other capacity, everybody will give me certain time for the installation. And we know very well, based on our experience, we can do the increase -- increase the requirement, we can do the compliance, everything within the 4 to 5 months' time.

So -- but we have taken the project for developing of 14.2 kg cylinders, which is going to be done before the March 2026. But then we will think on the expansion plan next year because as the alternate product also, we are in process.

CNG is completely different, which I've explained to you. Current my capacity is equivalent to do the business of INR400 crores, which we are going to increase to INR800 crores. By next year, it will be available for CNG cylinders. Another industry, which we have not covered our business that is called the OEM, automotive manufacturing industry currently because we are concentrating first to supply as a CNG cascades only.

But after the expansion, we will explore the possibility of our business with the OEM like Tata, Eicher Motors, Ashok Leyland, who are in this like auto line -- like that who are in the automotive line. But we'll approach next year only, design and approval. Internal discussion already started because it will take 6 to 8 months' time.

Saransh Gupta: Okay, sir. Just one last question. Sir, with the 25% green power commitment, I guess you said that we'll be able to save INR10 crores to INR12 crores annually.

Bharat Kumar Vageria: Yes. No, no, INR10 crores to INR12 crores, it will be INR30 crores. INR10 crores benefit will come we have till now. Till now I can say we have signed the contract, like state, Karnataka, Tamil Nadu, then Maharashtra, Gujarat and the Uttarakhand. These four states have cleared the solar policy. Therefore, we have signed the purchase power agreement benefit. Karnataka already started. Other four states, we will get benefit from the next year, full benefit, we will get it.

Saransh Gupta: So sir, with 75% of our power being green energy, so tell me...

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Bharat Kumar Vageria: Yes. Today, I tell you how the benefit come. Today, government power rate is approximately - the average of the states now, average is INR8 a unit. But when you buy -- when you sign the PPA agreement, the

power cost will reduce to INR5.5. INR2.50 unit save will be there.

So I'm expecting next year benefit of this 4.5 crores unit multiplied by INR2.50, it will come to around INR11 crores benefit from next year. And the other discussion with the states, because three states is coming with the industry friendly and everybody -- every state needs the industry. So there -- and present industry also should not go away from that location.

Therefore, I'm very clear that when Maharashtra, Gujarat, Uttarakhand, their people have cleared. The other state is also going to follow the same policy for the power. So you remember, you see now, as the Reliance is coming in these power projects, solar, green energy in Andhra.

So to whom they will say that? Like that only.

Saransh Gupta: Yes, sir. Sir, just one small question, if I could squeeze in. In our packaging and IBC segment, we saw -- did we see some price pressure for this quarter? And why was it?

Bharat Kumar Vageria: No, I have not seen pressure. You have seen my EBITDA margin is more of 14.6%. Price pressure maybe to the other people. I have just capacity in just -- we are in that way. We were able to reduce our manufacturing cost. We will be able to reduce our material cost. As I mentioned, I have a good automation system and my cost is very, very competitive.

But I'm very clear on the one side, I always -- in the big orders, I will work out the reverse logistics. First get the order, then I do based on the volume, how I can reduce the logistic cost because I'm the only company who have a presence in 20 locations in India, it's a one-stop shop for the customer. I see based on the logistics, we can take the business of the large quantity from the customers. I'm not compromising on my pricing. I'm very clear.

Saransh Gupta: And we will sustain that going ahead, right?

Bharat Kumar Vageria: Yes.

Moderator: The next question is from the line of Aditya Sahu from 3P Investment Managers. Please go ahead.

Aditya Sahu: I just have one question.

Bharat Kumar Vageria: Yes.

Aditya Sahu: I can see that there is a revenue of 131 million from other composite products. I just wanted to know what are the products which have started generating revenue in this quarter? And what is the growth in this segment that you're expecting?

Bharat Kumar Vageria: Yes, yes. You know that LPG cylinder, Aditya. Then CNG cylinder is there, cascades. Other composite product, which goes into automotive segment. That is called air receiver tanks, hydraulic tanks, which we have made from the composite product. These are the other products, which is made from the composite and which is going in the automotive industry.

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Moderator: Thank you. Due to time constraints, that was the last question. On behalf of Motilal Oswal Services India Private Limited, that concludes this conference call. I would now like to hand the conference over to the management for closing comments.

Bharat Kumar Vageria: So thank you very much to the organizer from Motilal Oswal and our valued investors. One thing I tell you, whatever commitment given by the management, that is going to be fulfilled.

And because the 15% growth, ROCE 20% and 2% every year is going to be continued.

And I again would like to thank our valued investors who have seen the confidence in the management. And one thing, again, as I mentioned to you, INR800 crores QIP is given by participants who have a long-term interest in the company. Because of that, domestic institution funds and the internal institution funds, that substituted -- substantial amount contributed in this QIP, right? Thank you very much.

Moderator: Thank you. That concludes this conference call. Thank you for joining us, and you may now disconnect the line.

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Moderator: Ladies and gentlemen, good day, and welcome to Q3 and 9 Months FY '26 Earnings Conference Call of Time Technoplast Limited hosted by Kaviraj Securities Private Limited . As a reminder, all participant lines will be in the listen -only mode . And there will be an opportunity for you to ask questions after the presentation concludes.

Should you need assistance during this conference call, please signal an operator by pressing star then zero on your touch -tone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Abhijeet Mukesh Purohit from Kaviraj Securities Private Limited. Thank you, and over to you, sir.

Abhijeet Purohit : Thank you, Palak. Good evening, ladies and gentlemen. Kaviraj Securities welcomes you all for Q3 and 9 Months FY '26 earnings conference call of Time Technoplast Limited. Today, we have with us the management team, which is represented by Mr. Bharat Kumar Vageria, Managing Director; Mr. Raghupathy Thyagarajan, Whole -Time Director; Mr. Vishal Anil Jain, Non - Executive Director; Mr. Sandip Modi Senior , VP, Accounts and Corporate Planning; Mr. Hemant Soni, VP, Legal & Corporate Affairs, and Mr. Himanshu Upadhyay, Senior Manager, Finance and IR.

Now without any further delay, I hand over the call to Mr. Bharat Kumar Vageria for his opening remarks, post which we can open the floor for Q&A session. Thank you, and over to you, Bharat, sir.

Bharat Vageria: Yes. Thank you, Abhijeet, and good afternoon to all my valued and esteemed investors and respected colleagues for your kind introduction to the management. And it is both an honour and pleasure to address you today as we present our financial and operational performance of Q3 and 9 months ended FY '26, along with our outlook for the remainder of the fiscal year. Our momentum remains strong in the 9 months with a 15% volume growth, 11% rise in the revenue. The gap is primarily due to lower of the raw material cost in spite of considering the exchange rate increase, which is also 3% to 4%, but the polymer prices are down more than that. Despite this, we delivered a solid operational performance, balancing volume strength with the effective revenue management. The CNG Composite Cascade segment stood with a robust 23% growth, materially boosting our overall performance with a strong contribution from other composite products. Composite volume increased 21%.

Profit after tax rose to 21% year -on-year, underscoring our focus on the capacity increase in the

capacity utilization and disciplined financial management, particularly around the finance cost. We are encouraged by the sustained demand for Type 4 composite cylinder reflected in a healthy order book of around INR165 crores. This momentum is further supported by rising interest in our value-added offering, though composite products, which include LPG, CNG, oxygen and other composite products for automotive sector.

Our Industrial Packaging division also continues to perform steady with the confirmed order pipeline of approximately more than INR400 crores for the current calendar year across both

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domestic and international markets. Our results reaffirm the resilience of our diversified business model and strong platform we have built for the future.

Moving forward, we will continue to pursue new opportunities and accelerate our transition towards a sustainable, environmentally responsible growth that delivers long-term value for every stakeholder.

Now let's look over the key highlights for the quarter and the 9 months. In the quarter, the revenue stood to INR1,567 crores as against INR1,389 crores of the same previous year. EBITDA, INR236 crores as against INR202 crores. Profit after tax, INR126 crores as against INR101 crores. In terms of

the percentage, sales increased by 13%, which includes India, 10%, overseas 13%. Volume increased 15%, India 13%, overseas 17%. EBITDA increased by 17% and PAT increased by 25%.

In the 9 months, similarly, you will see that revenue increased to INR4,433 crores as against INR3,992 crores. EBITDA, INR655 crores in the 9 months as against INR575 crores of the previous year same period. Profit after tax, INR337 crores as against INR278 crores last year. In terms of the percentage, 9 months, as I mentioned in my remarks also, 11% sales increase, volume increased 15%, EBITDA increased 14%, PAT increased 21%.

Our share of the business is also increased in terms of the value-added product grew by 17% as compared to 9 months previous year. Another thing, you will see that the share of the value-added product also is 30% from the total sales in the 9 months, which previous year was 27%. India and overseas business is also increasing because growth is higher in the overseas market and overseas, we do only the packaging product. And so therefore, the business level-wise, I can say India business 64% and overseas business is 36%, which represent the 10 countries. EBITDA margin in India and overseas almost same, I can say there is hardly difference of 0.5%. India EBITDA margin 15%. Overseas EBITDA margin is 14.5%. Net cash from the operating activity is quarter-on-quarter is increasing. Now in the 9 months, it stood at INR332 crores and I'm pleased to tell you the total debt in 9 months reduced by INR380 crores, including the payments made for the QIP funds. And now the total debt as of -- in the 9 months ended stood only INR266 crores as against INR647 crores.

I think it can be very clear visibility is there to have a complete debt-free in the next 6 months' time. capex in the 9 months, INR177 crores, which included INR80 crores regular maintenance capex and the balance is regular maintenance, automation, reengineering and the expansion, INR97 crores. And this mostly of the capital expenses are on account of the value-added product where the company has a higher margin.

Now I want to draw your attention to a couple of things, which is the process was taken in the last quarter and further planning and the projects which were undertaken time to time. So I will just tell something brief. Now for example, sale of the noncore assets, which 18 months back decided INR125 crores, now only INR37 crores value is remaining. That also company is in discussion and would like to utilize or it will be liquidated in the next 6 months' time. And that fund will be utilized for value-added products and expansion and brownfield expansion.

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Now in the QIP matter, it is already reported in the month of February. But once again, I will give highlights. The QIP was INR800 crores, which is subscribed. I mentioned last time also around INR940 crores was subscribed, but company accepted INR800 crores and the issue price was INR201.12 fund utilized as per the object, which is controlled by the CARE rating agency, which is appointed for the monitoring agency and that report separately, monitoring agency is submitting and yesterday for the quarter 31st December already submitted.

INR800 crores, which is original allotment, original money received, fund utilized INR340 crores, balance INR460 crores, company is lying in the FD account, which is also the consideration is available on the NSE and BSE site. One another, the management is focusing on the ROCE, which 3 years back, it is decided company ROCE when 14% was there, it was decided the 14%, 16%, 18% and 20%.

So company in the last 4 years working on the deduction only, 14% to 16% achieved, 16% to 18% achieved. Now this year is targeting to 20%. Already in the 9 months, it is 18.6%. And we always know in the last quarter, company do business of 30% of the overall estimat

ed business.

So I am quite sure, it will be 20% targeted. It will be around that company management to achieve.

Now another thing company has taken in the last 12 months, I can say, consolidation of the products and the manufacturing unit that to reduce the operational cost and to consolidate the products to use of the people at the one place, specialized people. So that process is on already, consolidation manufacturing unit and brownfield expansion that will continue.

As far as green energy is concerned, yes, the electricity consumed by through of a solar power, especially states wherever the government is allowing wherever the power companies are available. As I have mentioned in the last call also, as per the India, the requirement of the 15 crore units all of the in India, which is growing by 15% if at all, at all the states, wherever we have a presence.

If I get the solar power 75%, then company can save substantial amount, maybe INR40 crores, INR45 crores annualized, but it is not available. Currently, the purchase power facility is available in Karnataka, it is available in Tamil Nadu. It is available in Maharashtra, it is available in Gujarat, it is available in Uttarakhand. So company have signed the agreement wherever this facility is available. And I'm pleased to tell you now from this month, Gujarat, where we have a major facilities, the benefits have been started.

But I'm sure in the next 6 months' time, as we are in discussion, Maharashtra government is also -- policy is already there. So we have already signed the agreement, and we are going to get benefit in the Maharashtra units also. But certainly, I can -- if the visibility is there, at least for -- I can say that '26, '27 company will have a power benefit on account of the power benefit will be approximately INR10 crores, where the investment is almost equivalent to 1 year saving only. So that benefit next 14 years, cost-free benefit will be available because the power will be available for more than 15 years. Then another thing -- certain products with company had under development, we have taken, which is progressing very well. For example, I can tell you the fire Time Technoplast Limited

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extinguisher, yes, I'm talking since last, I can say, the 6 to 8 months. Now I'm pleased to tell you both the products of 6 kg and 9 kg is ready, and that will be the commercialization will take place from April 2026.

CNG cylinders, yes, presently, we are manufacturing 156 liters, but we are ready with 250 liters. You will very shortly heard that 250 liters CNG cylinders ready, so that number of the cylinder in one category will reduce from 60 to 36, that will be the more cost competitive and per liter cost will be reduced. And the substantial savings will be there. So you will heard very slowly in the next 45 to 60 days' time about this approval. The company is ready with that product.

Another oxygen cylinder already we have mentioned, we got all the approvals for 2 kg, 4 kg, 9 kgs and commercialization has already started. Hydrogen cylinder, we have submitted approvals for hydrogen cylinder used in the drone. And if anybody would like to visit the drone operation by the hydrogen cylinder, company own 1 drone, which is lying in Silvassa, which is 140 kilometers from Mumbai.

They are free to see that drone working on this -- working by hydrogen cylinder, so they can see how this 8,000 meters drone can fly, how the weight of the drone is reduced by using the hydrogen cylinder instead of the battery use.

Another thing, one of the subsidiary company, PowerBuild batteries have developed the battery, E-Rickshaw batteries and another that recently signed the contract for -- which battery we have signed -- advanced VRLA batteries for the data center, which has a very high potential and the international company, listed company, that contract have been signed.

That is also we have updated on BSE and NSE site.

So there's a lot of opportunity in composite products and these all products are available. Now because in the gradually way many times we told how the company will grow. Now the greenfield composite product, I'm pleased to tell you and giving you certain background, Currently, composite cylinder, which we were manufacturing in Daman, where the capacity is only ~29,000 cylinder where I can manufacture 480 cascades now.

Expansion took place 2 years back. And I'm pleased to tell you that the expansion is now on completion stage. Erection installation, plant and machinery is already begin. March, it is going to be complete. Commercialization will take place from April because erection installation is going. So at one place, you will find the company can generate the revenue of INR800 crores in the 2 years' time from the new plant after the consolidation of the existing plus the new expansion

facilities.

And on this plant, hydrogen cylinder will also be -- we can make from this plant itself. Another -- we have made one separate subsidiary. And 6 months back, we have announced and is a part of the QIP also because compliance with the statutory. Government is also -- would like to have a pollution-free recycling for the packaging product made compulsory. So company has formed a separate company, Time Ecotech.

And in that company, it was a part of the QIP to have a 3 locations recycling plant beginning with the Western region. So I'm pleased to tell you first plant commissioning is ongoing, and it

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will be ready in March and will be operational from April 2026. So company will have own recycling plant so can maintain their quality standard as per the need of the Indian Institute of Packaging for the packaging product.

Another facility company has taken automation, which is also -- automation is very clear day by day, cost of the manpower, power operation cost is including. Nowadays, we have to think out of the box and automation is must for the cost reduction and make our product more competitive. So in automotive IBC manufacturing facility, Silvassa is already operational Phase 1, but the larger facility also Phase 2 also will be there.

That is target taken for the '26, '27. But Phase 1 is ready with a fully automated plant for manufacturing the IBC with a very high capacity, which can have annual capacity of 150,000 pieces. Another thing, PE pipe. Company has consolidated one plant is having in Gummidipoondi, that is 40 kilometers from Chennai.

In one location, manufacturing, packaging, pipes, everything. So for better utilization of the assets, better utilization of the space, increase the productivity, company has expanded, new building have been constructed for 40,000 square feet that's completed and the plant is operational now.

So -- which will give the benefit of the manpower is still specific plus space utilization better way and consolidation of the product in the specified area. And this is the expansion, which I have told to India, which have been completed and near to completion in this '25, '26. In overseas, also, I'm pleased to tell you the place called Georgia USA company completed this plant and already in operational.

And it is in U.S.A., I mentioned in my last call also, the tariff nothing to do with our company because we have a manufacturing location in U.S.A. and supplying for the local in U.S.A. So tariff has not affected any of our revenue in the U.S.A. They are growing 10% to 12%, growing because they are the locally supplying.

Another plant, which also we have identified to be completed in '26, '27, you know very well. I have already explained, company has ready projections to grow 15% for the next 3 years, which includes various segment of the company, where the higher growth will be from the composite, but something

ing I will highlight you, and I've given in my earnings presentation also the segment-wise where the growth company is projecting.

So to achieve the production now, I'm pleased to tell you in Gujarat, company got the allotment in this month, plot area of around 3 acre land already allotted. Agreement is under process, the plant expansion for the next '26, '27 for the packaging products and the other products wherever time to time requirement because 3-acre area is good enough to take care of the company's other products.

Another looking to the infrastructure development in Odisha, especially company got the allotment of the government leasehold land. It is ready. Company is in process of completing building plan, order of the plant and equipment, et cetera. So they can take the benefit of infrastructure requirement, especially PE Pipe business in the Odisha region.

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Another in Maharashtra, you know the Maharashtra. Now government is fixed, everything is fixed, government changing the policies, this is the policy business. One of the subsidiary company, TPL Plastech, 75% owned by Time Technoplast Limited, has already allotted land in Chiplun place called Maharashtra for the packaging business.

It's almost 5 acre land -- more than 5 acre land is there. So already submitting the building plan and there has a plan to manufacture packaging business, especially value-added product that is called IBC. And Chiplun is a fully chemical where most of the big chemical companies in Maharashtra are situated there. So in packaging business, we have already explained to you cost of the logistics is the main important cost you should be near to the customer to reduce the packaging cost and timely delivery to the customer.

Now growth drivers because in many of my conference calls, in many of the meetings, people ask what are the growth drivers of the company. So I just divided my growth drivers in the 4 regions, like packaging company, which is a 75% business, packaging products, which include drums, jerry cans, pails and IBC, which company is estimating growth of the 11% to 13% range because overseas is more than 13%. India is 10% to 11%.

So range is 11% to 13% growth we are projecting for the next 2 to 3 years, especially composite product because expansion has taken place, product development has taken place. Composite, which include LPG, CNG, hydrogen, fire extinguisher, et cetera, and auto-related products, which is 25% to 30% growth projection is there. And for that company's capacity already expanded, which is completion in the Q4 of the FY '26.

PE pipe business, I mentioned to you, Odisha is there. Chennai is there, already existing capacity, company manufacturing pipe in Silvassa, Hyderabad. So there is a growth potential looking to the development policy, looking to the government, infra-related activity, government.

I can say the water management system improving, road construction activity because this PE pipe, which is used for the water management, sewage management, drainage management, power duct line, smart cities, various applications, then I can say this gas pipeline, which government is also planning to increase the gas pipeline, supply the gas.

This also we got the approvals, which already we have updated company, now got the approval for the gas pipe manufacturing facilities also. And other products, which is very small percentage terms, 10% to 12%. So all put together, I can say the consolidated growth will be above 15%.

That is the projection is there. Then other revenue growth I've explained to you, but at the same time, what are the growth drivers of the EBITDA because EBITDA, which is currently ranging from 14.5% to 14.8%.

Now to increase the EBITDA margin, which will finally will increase the ROCE, which company is targeting 2% year-on-year increase and PAT increase is there finally

because

everybody is concerned, what is the net PAT company has earned and what is the dividend payout ratio, what the investors are getting. So therefore, company decided to increase the efficiency, like automation, consolidation of the molds, machineries, centralized systems of the material conveying systems, high productivity machines.

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Another thing, power cost reductions, another man power cost reduction by doing the automation, using the latest technology of the robotic technologies, power cost by way of using the solar power, another big thing, which will also give some benefit, finance cost because company has repaid the debt and further in the next 6 months' time, it will be paid entirely. I'm just telling -- I would like to clarify -- you will see in the last 3 to 4 years, the finance cost in the range of INR90 crores to INR100 crores, which is slowly, slowly reducing now.

And after the debt repayment, the finance cost will be in the range of INR25 crores to INR30 crores annualized only, and that is on account of the use of the nonfund-based facilities, export documentation, import documentation, bank guarantees, LCs cost, that only will continue. So that will give the substantial benefit. Another company is to improve the ROC, the working capital cycle time. If I go back to 4 years back, the working capital cycle time was 120 days, which is now reduced to almost 98 to 99 days.

And the next 2 to 3 years' time, it is targeting to reduce to 90 days. And that is also very clear, how is possible because the 65 days inventory, 70 to 75 days is the receivables and 40 to 45 days in the creditors. So net working cycle time company is targeting 90 days. Noncore assets, already I've explained to you. The balance assets also will be liquidated.

So most of the things which I have covered, if anything left, I'm now leaving for the answers and questions. I tried to giving most of the information in my earnings presentation. But again, I'm leaving for you. If any specific questions, I'm willing to answer. And if there are any questions which has some calculations, which have some return, they are free to send their mail. We will send the reply by the mail.

Moderator: The first question is from the line of Jatin from Svan investments.

Jatin: First of all, congratulations on the good set of numbers in the current scenario. Sir, on the composite product, now when our capacity is going to expand by Q4 of FY '26 and there will be consolidation of the product at one place. So with 30% of the value-added product, which we are doing in 9 months, when you do INR800 crores of incremental revenue of composite product, what sorts of value-added product contribution one should expect over a 2-year period?

Bharat Vageria: I think currently, if I remember the 27% is the value-added product is there, composite, how much? 27%. We are targeting overall growth is 15%. For value-added products will reach to 35% in the 2 years' time.

Jatin: Okay. 35%?

Bharat Vageria: And again, you know very well, the margin in the other products and composite product is

different. In the standard product in the range of 12% to 13.5%. But the composite products and the value-added product margin in the range of 17% to 18%.

Jatin: But sir, the margin in the hydrogen and the firefighting cylinder and 14.2 liter cylinder will be also a better margin compared to the average composite products, right?

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Bharat Vageria: I can say the same range because I have to -- I don't -- I'm telling you, I believe in the 2 things.

One, you want volume or you want small volume. I believe in the volume. But if anything is a high volume, then you will be able to -- whenever if your volume will increase, you can negotiate better with your inputs and you offer your product

t. Now you know the fire extinguisher very

clear. I have to offer my product as against the metal fire extinguisher. Yes, it is a lightweight, long shelf life, easy handling that all benefit there.

But at the same time, people would like to see, not everybody will like to pay the additional cost of 10%, 20%, 30%. But if I will say the fire extinguisher of the metal cylinder is INR2,000, composite will be INR3,000, people with little think. But INR500 to INR100 everybody willing to pay more because of the advantage of the product. So I'm very happy. We are very happy to -- we don't want to -- if I tell you, if anything, margin over and above the 18% or 20% EBITDA margin you are keeping, then you are inviting your competitors.

Jatin: Right. And sir, on the cost?

Bharat Vageria: We have a reasonable everything.

Jatin: Sir, on the costing front, I just wanted to understand, you indicated that next year, we'll get the benefits of the power in the range of INR10 crores to INR12 crores. But with the consolidation of the product at one place, the automation and the reengineering that we will be doing in FY '27, what sort of overall cost benefit one can see on the company level?

Bharat Vageria: I tell you this way. You know very well if normal way everything is running, then you know in case of the manpower cost, we will have to give the incremental cost of 8% to 10%. At the same time, I don't -- I would like to reduce that. At the same time, I don't want to leave away that people also. So whatever my new plant is coming, I will exhaust that people in my plant itself. I will not give the recruitment of the new people.

But that, for example, I've explained last time also. For example, I'm doing the investment, I have explained to you that one machine called 2,200 tonnes, I have invested INR25 lakhs in my robot technology, and I want to save INR60,000 a month, which gives me the saving of 40 months equivalent to I'm saving now.

That is the one example I've given for 2,200 tonne machine. Similarly, for example, 1,000-tonne machine. There also, I'm incurring INR60,000 per month on account of the 3 labor in each shift. But I have to incur INR15 lakhs only for my robot technology and software technology. So there the payback period may be 25 months. So we have worked out the average in my blow molding, injection molding everywhere.

Therefore, you see in my QIP portion, we have put the automation, cost of the automation, everything is around INR75 crores. So that benefit will come in the 3 years' time now. 3 years' time means, it will take 1 year in completion and 3 years payback period, so entire 4 years. For example, INR75 crores I'm investing and payback period is 4 years, including the investment period. Then you can see INR20 crores EBITDA margin will be on account of the automation and we will be saved by way of manpower cost.

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Jatin: I mean that's a good...

Bharat Vageria: Similarly -- in power also. For example, in Gujarat, my requirement is INR4 crores unit. If I'm saving INR2.5 crores, INR2.5 per unit, the saving will be INR10 crores. I'm investing INR10 crores as equity. That will come back after 15 years as a face value. But as a management, I'm presuming I will not get that by 15 years, I don't know. But my buyback period is 1 year only. So Gujarat is common this year. So if visibility is there next year, sure, INR10 crores on account of the power benefit, I can earn more.

So the normal EBITDA, for example, this year EBITDA, overall EBITDA range will be around INR900 crores. Now you know the percentage by 15 to 20 basis points every year increase because the composite product percentage business is increasing -- business where the EBITDA margin is.

So when this 20 to 30 basis points is increasing on account of the change in the composition of the product. Similarly, you will see 10 b

asis points on account of the increase in the manpower, power and other administrative cost on account of the consolidation of the business. Another thing, I have no need to borrow any money because for the automation, for the expansion company has already accounted money and that money is lying under the escrow account that is only to be incurred in the next 6 to 8 months' time because every automation will take based on the experience, based on the cost savings time to time, even project is identified, machine is identified, location is identified.

So based on that only, that QIP amount which is raised, whatever repayment was required that has been done, balance have been kept as per account wherever the need that automation, recycling plant, the process is on. So if you see the visibility, yes, after '27, '28, you will have a complete visibility on account of the manpower cost, on account of the power cost, saving of additional INR25 crores EBITDA annually.

Jatin: Sir, second question on the recycling. I mean now that's a need of an hour, and we are probably doing INR54 crores, INR55 crores of the capex on the recycling at the 3 units. So how shall one look at the viability of this particular project as compared to the existing 14.5%, 15% business?

Bharat Vageria: Yes, yes. I tell you different. Therefore, you know that it's not in Time Technoplast. Why I have kept a separate company, Time Ecotech -- because Time Ecotech I consider it as a separate company. As a Time Techno, I'm investing INR75 crores in that project. Now the INR75 crores, I should have an ROCE of 20% more than that because I don't want to go below that. I'm telling you, if, for example, today, virgin raw material prices are INR100 a kg, right? Now I will buy the recycled drums from the market. I will appoint the agent, my cost of the buying maybe INR65 a kg plus. I will have a INR12 to INR13 kg, my cost of the power, manpower, machine cost, everything.

So I will definitely work out in such a way that company will earn a separate -- because they will give whether customer is concerned is the statutory compliance of both if I'm using a recycled material, okay? I don't need to give a price reduction.

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I'm obliging my customer because ultimately, it's the obligation of the chemical manufacturers companies also. So he's not asking for any price reduction. They are asking, you should use the PCR material. I'm using that. So we don't want any reduction. So as many companies earning 15% EBITDA, so that Time Ecotech will also earn 15% margin and cost basis, they will supply to the Time Techno that will be the cost and then the product will be supplied to them. So as a separate -- it's a profit center separately.

Jatin: Right. And sir, last question before I come back in the queue. Sir, just wanted to understand your thought process on the flexible IBC, which you are talking since last couple of quarters. So what is the scenario out there? What is the growth road map out there on flexible IBC, if you can throw some light on that?

Bharat Vageria: But I'm just telling you that the revenue figure, EBITDA figure is not accounted anywhere because I remember very well. We have signed the in-principle agreement. We will review, we will do the due diligence. Yesterday, we discussed our Board meeting due diligence for the 6 months because we signed that agreement of the -- in the month of August or September somewhere. So data is encouraging.

And as per the company projected, they are going to have a business of INR250 crores annualized business. We have seen 9-month business. Yes, it is on par. At the same time, my Boards are giving me the comments. We have a time line to confirm the deal by March 2026 because first, we have seen the 6 months data for them, that is from July to December. Now I'm -- just my Board yesterday, certain

comments were there, which we are going to discuss with the management of that company name called Ebullient Packaging, which is unlisted company having their manufacturing plant in Vapi and Silvassa.

And yes, I remember that the flexible IBC is a huge market. They are doing 60%, they are doing product export and 40% locally. Good business clientele they have. Some of the common, I can say it's a packaging business only. But -- and that business is also growing 25% to 30%. That money -- still it's lying under the FD account because it's taken under the general corporate purpose because on the day of the QIP, it was not identified specifically for inorganic growth, but it was part of the inorganic growth. Therefore, that amount has taken.

But finally, we will announce after getting the final due diligence report and everything before March, we will do that. So that process is on. We have a time line up to the March. And that also can be further extended subject to the due diligence compliance and everything. And we have that time line. And as time comes, we will announce that deal. But yes, it is on.

Jatin Bhai, you're welcome always, you know very well. If you don't -- cannot come in the queue because the long queue is there, you are always welcome to the office and get your clarification in time.

Moderator: The next question is from the line of Dhananjai from Alchemy.

Dhananjai: Congratulations, good set of numbers. Just wanted to ask you a couple of questions. In this drone you mentioned, have you got any approval from many customers for using our cylinders? And how is that conversation going?

Bharat Vageria: Mr. Dhananjai, there is a pilot project we did it. If you recall 60 days back, I told we have imported entirely fuel cells, cylinder we made it. We have given -- we have tied up with company Drone Stark that he will make the drone for us. So we have signed the contract with him for the 3 years in the confidential agreement. And I'm again clarifying you, we have no any plan to manufacture drone.

Dhananjai: No, no.

Bharat Vageria: No, no, yes, that I'm coming. As far as this drone is concerned, we have made one pilot project so that whoever customer would like to use the hydrogen cylinder for the drone, they are very welcome to my plant. They can see how the cylinders are useful, what is the capacity, what -- because we have a particular -- as on today, we have developed a particular size of the cylinder and for the particular drone application, various sizes of the drones are application, various sectors using the drone. So still that commercialization will take place next year.

But yes, as I mentioned, this year, our commitment was to have our own drone ready, and that is visibility is there and that we have submitted our video also, how it is benefit, what are the benefit of using the hydrogen cylinder instead of the batteries. That is the benefit and that's available. Now very, I can say, you will come to know as the commercialization, you know that if somebody want to the hydrogen cylinder, I can't give it because I have a limited capacity. I mentioned to you in the March 2026, my plant is commissioning.

We will be ready for the hydrogen cylinder, for the expansion, any new requirement comes, for the automotive supply -- in supply of the CNG cylinder for auto industry also, we will be ready after our expansion. So from April 2026, we'll be ready. Then we will approach. Now we have a capacity and we supply them.

Till now, our objective for this year was to keep ourself product ready. And as the expansion complete, we will be able to supply. Because if today, somebody will come to me, I may not able to supply yet because I don't have a capacity at all. My capacity is full.

Dhananjai: Sure. And sir, one more question is regarding your PP plant, in what capacity will we be

by the

end of the expansion? And how is demand shaping up on ground?

Bharat Vageria: No, PP?

Dhananjai: For your plastic pipes?

Bharat Vageria: Plastic pipe, okay. I'll just give you the business of the PE pipe. Currently, we are manufacturing PE pipe in my Silvassa location in the Western region. Southern region, we are in Hyderabad, then we are in Gummidipoondi near Chennai. And another plant is available in my Kolkata for the Eastern region. All current business for the existing investment, we can do maximum of around INR450 crores. Current utilization is almost around 70% is there.

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But the expansion, we know that India, the last, I can say, the 4, 5 months, the financial government has started timely payments. Infra business is growing. So definitely looking to the government infrastructure development, we have invested in the Odisha, where the land is already there, the plant will be ready this year, so it will be available for next year only. But yes, this business, current capacity itself is available for 20% growth for the '26, '27.

For example, this year, suppose we are closing around INR350 crores, so almost if I take 20%, then I have a capacity available. But again, for the '27, '28, if I need, I don't have. So therefore, Odisha, we will be ready. So looking to the India development, looking at the infra development, looking to smart -- 100 smart city development taken, you know very well. In Andhra Pradesh, Amrapati project, which was shut, now which is now started and fast growing as a city separately. So the demand has grown.

Odisha, now you see the Bihar, some of the people are approaching from Bihar that you come there, we need pipe. So we can take supply from our Kolkata plant. We can make supply from our Rajasthan plant. So a lot of requirement is coming. So I'm very sure as per PE pipe business, growth will be more than 20% to 25%. But yes, capacity for '26, '27 available. We're keeping ourselves ready for '27, '28 and the later period.

Moderator: The next question is from the line of Vishvender Singh from Prudent Equity.

Vishvender Singh: Sir, I have a couple of questions related to TPL Plastech. So can you share what is the expected capacity to be added from the Lote -Parshuram plant?

Bharat Vageria: Yes, yes. You know that if you have gone through the TPL Plastech working, I think TPL has

also grown more than 25%. They have also the PAT growth of 25%. That is my 75% subsidiary. They have a current plant in Silvassa, Bhuj, Ratlam, Vizag. They have a full plant available in Dahej, latest fully automatic plant for IBCs there. Now -- but they are mostly in the packaging products only.

So this Lote -Parshuram, TPL is coming with a packaging product where they are going to investment of INR30 crores to INR35 crores, so they can have a revenue of more than INR100 crores in the 3 years' time. The plant will be completed in the financial year '26, '27, so that they can -- plant will be completed and '27 onwards, that plant will be ready for that area. So currently, I can say the TPL Plastech contribute to the Technoplast 8% or 9% of their total revenue. The revenue in the range of estimated revenue for financial year '25, '26 is around INR450 crores. And that company certainly looking to their growth plan, looking to their product, looking to the location where they are there, they will grow more than 20% annually. And I'm glad to tell you their ROCE is also more than us. Our ROCE is 20%, we are doing this year in '25, '26, but they are more than 22% ROCE.

Vishvender Singh: Okay, sir. Another question on the utilization. So on a consolidated basis and for TPL Plastech, can you share utilization?

Bharat Vageria: Because packaging product is different. Utilization -wise, I can say if the capacity utilization, IBC, they are almost doing 80% capacity utilization with

the plant set up last year. Silvassa, almost

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75%. They can say Vizag around 70%. Bhuj, maybe 65%. Because company put up the plant at the new location when the breakeven is there and company breakeven comes when the capacity utilization is 50%, above 50%, you have a contribution -- positive contribution from that plant.

Vishvender Singh: Okay. Just last question on the solar power. So in the filing that was posted yesterday, it was mentioned that the company plans to shift on 75% to solar energy.

Bharat Vageria: Yes. So you are right.

Vishvender Singh: And INR4 crores of annual savings would be there. So by when can we expect such savings, sir?

Bharat Vageria: I think you have not heard what I've explained clearly. I told you, as a group company, I have a TPL time, my subsidiary can't put together. We have an annual requirement of 15 crores units in a year. And if company is growing 15%, so INR15 crores, 15% every year growth would be there. But again, INR15 crores unit, wherever the company presents locations like in Daman, Silvassa, Gujarat, Uttarakhand, everywhere company is a plant.

But yes, currently, we have availability we have seen -- the solar power available is in Karnataka, Uttarakhand, Tamil Nadu, Gujarat and Maharashtra. Karnataka benefit last year started where company is already getting benefit of INR2 crores annualized. Gujarat, I have explained that this month, this month means February benefit have started. In Gujarat area, the company consumption is 4 crores units. So INR2.55 per unit saving will give the saving of INR10 crores from next year onwards.

Company has made an investment equivalent to 1 year benefit, INR10 crores equity investment put all companies put together. So INR10 crore benefit will come first year. That INR10 crores which investment is there is by way of investment, equity investment, not in expenses, but the income will come straight saving in the power cost.

And that benefit will get continues for the next 15 years. Gujarat already started. Maharashtra policy is already there, but because of some government has delayed clearance of the policy, what latest I heard yesterday in my Board meeting, now Maharashtra is cleared.

So I'm quite hopeful much benefit should also come in the operational because we have an operation in Maharashtra, existing operation subsidiary and joint venture company in Mahad. We have a unit in Pen. But as the Lote -- TPL Plastech latest is coming up in Lote, that company will also have a benefit of solar power. So that company unit will come by that time, this benefit will also be made available.

Moderator: The next question is from the line of Prakash Kapadia from Kapadia Financial Services.

Prakash Kapadia: I was saying congrats for the 20% ROCE target. You are ahead of expectations. So that's a very good sign?

Bharat Vageria: Target is like this, everything should have a target. We kept this target before 4 years. 14, 16, 18, 20. After 20, if we keep the target, it will be 22, 24, 26, 26. If debt is free, it will be a target.

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Now there is a 15% payout ratio of dividend payout. If your dividend payout increases by INR100 crores to 150 crores every year, the payout ratio will also be parallelly increasing. And again, as promoters are holding 48%, 52% is the other investors.

And I am glad to tell you, today your company is having more than 1,53,000 shareholders of the company. Like 4 years back, the company had 25,000 shareholders only. And another thing I'm glad to tell you today, your company equity owned by 15% overseas investors, FII's all put together and 15% mutual funds.

Prakash Kapadia: That's very good to know.

Bharat Vageria: Only 20% is more than 150,000 high net worth and other retail shareholders, very widely holding is there.

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Prakash Kapadia: Held by absolutely, absolutely.

Bharat Vageria: Held by, yes.

Prakash Kapadia: But Bharat Bhai consolidation, you were talking about manufacturing units now?

Bharat Vageria: Yes, yes.

Prakash Kapadia: As far as I remember, there are 50 units across the world and 33 are in India. So the consolidation will happen in India only is what I'm guessing?

Bharat Vageria: No, no. Overseas, no need to consolidate. Overseas, I'm very clear. For example, I'm in MENA region. I have a plant in Sharjah 1. I have a plant in Bahrain. I have a plant in Saudi. I have plant -- 4 plants are there. That is going to be continue. As far as MENA region -- Southeast Asia is concerned, we have a 3 plant in Thailand, different continents is there. All our Thailand 3 plant is going to be continued. And then Taiwan, Malaysia, Indonesia, Vietnam, 1 plant is going to be continued.

U.S.A., 4 plants were there. Fifth plant, Georgia already started 6 months back, consolidation is there, nothing to do. As far as consolidation of the facilities in India is concerned, you know that some -- we have started in India operation 30 years back. Now I have a plant in Silvassa, 3 plant. I have a 2 plant in Daman. So I thought why to have 4 or 5 plants there. I do a bigger plant, I can consolidate. For example, 3 machines at 1 location, large blow molding.

Another plant is at 3 machines. So we thought why we should not have 8 machines in 1 place only. So I can accumulate, I can have a material common. I have a motor supply unit common. I have a convert system common. I can utilize the manpower effectively for the special product, special people. So that kind of the process is on. That I call as the consolidation of facilities and the consolidation of products.

Prakash Kapadia: Understood. That's helpful.

Bharat Vageria: I'm telling you, I had a plant in Jambusar, okay? Now I have the plant in Ahmedabad also. As I mentioned to you, I have allotted land of 13,000 square meter in Thailand 2 area. You know

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Thailand 2 area is a very automotive industrial area. I got allotment of that land from government. Now I don't need to have a plant in Jambusar because I know the new highway is coming from Baroda to Ahmedabad. It's a 2-hour journey now, the new highway is, which is connected.

So why I should have a 2 plants, why I should have a 2 administrative cost? Why I should have a 2 commercial manager, why I should have a 2 quality manager. I can have a bigger plant, so I can reduce my administrative cost. I know the labour cost variances will be different. Based on my requirement, I will hire the labour. And that also when you are putting the new plant from day 1, you do the automation, you will reduce the manpower. That's the object.

Prakash Kapadia: And sir, based on 9-month numbers and the entire initiatives which you talked about, right, from the debt reduction, composite scale, increasing share of value-added products, inorganic should get closed very soon. So based on this, the profit growth should be at least 25% over the next 2 years. Is that the right direction I'm thinking?

Bharat Vageria: Yes, you see that. When my -- my growth is 13% to 14% volume growth, you will see the EBITDA growth by 18%. You will see the paid growth of 25%. Now paid growth will be further more because the after EBITDA interest cost is there, which I mentioned to you, one point of time, my INR90 crores was the interest cost, which is now going to be reduced to INR25 crores to INR30 crores because company is a debt-free company. And the payout ratio will continue. So definitely, the PAT is going to be more than the volume growth.

Prakash Kapadia: Understood. Look forward to that journey...

Bharat Vageria: Clear visibility is there. Because 3 years plan for international and India business, consolidation, consolidation facility, i

It's already paper layout, plan already discussed, Board with an approval is there. You see in my earnings presentation, we have mentioned what are the growth drivers for the revenue and what are the growth drivers for the margin.

Prakash Kapadia: Absolutely, sir. Absolutely, sir.

Moderator: The next question is from the line of Deepak Poddar from Sapphire Capital.

Deepak Poddar: I just wanted to check on the debt side, you mentioned we have a clear visibility of being debt -

free. Current debt stands around. That's the gross debt, INR266 crores that you mentioned?

Bharat Vageria: Yes, yes. I mentioned. Because you see the last year, it was around more than INR680 crores, so out of the QIP amount have been paid. And another identified QIP amount have been kept separately for the expansion, for the general corporate purpose, for the automation that has been kept separately.

Deepak Poddar: Correct. So what's the target? I mean, by when we are looking to be debt free?

Bharat Vageria: Next 6 months. Very clear.

Deepak Poddar: Next 6 months. So ideally, I mean, whatever interest cost you are mentioning of INR25 crores to INR30 crores?

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Bharat Vageria: I don't count the interest cost. I can say it's a financial cost. It's a document -- I'm doing export, I'm doing imports. So always some will be the minimum document charges. Another thing, when I'm doing the composite products and certain government company contracts, almost we do in my revenue of this packaging business INR2,000 crores, INR800 crores composite product, INR3,000 crore revenue.

Now we'll have to give the performance guarantee, maybe 2 years or 3 years, some performance guarantee. So that guarantee cost, you know every bank has a bank guarantee charges, they charge 1% or 1.5% annualized. And if I give the 2 years guarantee. So that documentation cost that will be there. That is not the debt cost, I can tell you. So INR25 crores to INR30 crores is going to be continuation of the utilization of the non-fund facilities? Hello?

Deepak Poddar: Yes, yes.

Bharat Vageria: Yes. Non-fund facilities, documentation charges, import charges because we do the import 60% document imports. So that only will continue. Otherwise, around INR647 crores, which company were utilizing earlier with average cost of 9%, so that INR60 crores will go away.

Deepak Poddar: Correct. And this will be visible in FY '28. I mean, assuming next 6 to 9 months, you become...

Bharat Vageria: Before March '27, not -- next year, of course.

Moderator: Ladies and gentlemen, due to interest of time, we will take this as the last question for today. I would now like to hand the conference over to Mr. Bharat Vageria for closing comments.

Bharat Vageria: So once again, I would like to thank you, my valued investors having confidence in the management and management assure you whatever commitment and guidance is giving, we will try our best to achieve that in the -- you know every well in the last 18 months, challenging period of everybody. But in spite of that, company has saved and achieved the growth because the company has a risk distributed geographically, has presence in 11 countries, company has a various segment, which have -- users are different.

So if one sector is down, company can get the revenue from the other sector. So that's the management policy, always have a de-risk by geographically and product-wise. And company, as already mentioned and everybody knows, is a professionally managed company who do -- and every company has more than 4,000 people working in India and overseas. And each of the department is headed by the experienced professional people who have more than 20, 25, 30 years with the company.

If you see in my average age of the people in the company is around 35 to 36 years because most of the people have grown with the company

and they have continued with the company. I again,

thanks to my all valued investors to having a patience and listening to our management commentary for quarter-on-quarter. And company management will continue to give updates and insight time-to-time, whichever is available with the company. Thank you very much.

Moderator: Thank you, sir. On behalf of Kaviraj Securities Private Limited, that concludes this conference call. Thank you for joining us, and you may now disconnect your lines. Thank you.

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Bharat Vageria: Yes. Thank you very much.

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"Time Technoplast Limited
Q4 FY26 Earnings Conference Call"
May 29 , 2026

MANAGEMENT : MR. BHARAT KUMAR VAGERIA – MANAGING
DIRECTOR – TIME TECHNOPLAST LIMITED
MR. RAGHUPATHY THYAGARAJAN – FOUNDER
MEMBER AND WHOLE TIME DIRECTOR – TIME
TECHNOPLAST LIMITED
MR. NAVEEN JAIN – WHOLE TIME DIRECTOR
TECHNICAL – TIME TECHNOPLAST LIMITED
MR. VISHAL ANIL JAIN – NON EXECUTIVE DIRECTOR
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MR. SANDIP MODI – SENIOR VICE PRESIDENT
ACCOUNTS AND CORPORATE PLANNING – TIME
TECHNOPLAST LIMITED
MR. HEMANT SONI – VICE PRESIDENT LEGAL AND
CORPORATE AFFAIRS – TIME TECHNOPLAST LIMITED
MR. HIMANSHU UPADHYAY – SENIOR MANAGER
FINANCE AND INVESTOR RELATIONS – TIME
TECHNOPLAST LIMITED

MODERATOR : MR. ABHIJEET MUKESH PUROHIT – KAVIRAJ
SECURITIES PRIVATE LIMITED

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Moderator: Good evening, ladies and gentlemen and a warm welcome to all those present for Time Technoplast Q4 and FY 26 Earnings Conference Call, hosted by Kaviraj Securities Private Limited . Please be advised that this conference call may include forward -looking statements regarding the company performance. These statements are based on company beliefs, opinions and expectation as of the date of this call.

However, please note that such forward -looki ng statements are not guaranteed of future performance an d are subject to i nhere nt risks and uncertainties. As a reminder, all participant lines will be in the listen -only mode. During the presentation, once the presentation concludes, there will be an opportunity for you to ask qu estions. Should you require any assistan ce at any point during the call, kindly signal an operator by pressing star then zero on your touchtone phone. I now hand the conference ove r to Mr. Abhijeet Mukesh Purohit from Kaviraj Securities . Thank you, and over to you, sir.

Abhijeet Purohit : Good evening, ladies and gentlemen. Kaviraj Securities welcomes you all for Q4 and FY 26 Earnings Conference Call of Time Technoplast Limited. We have with us the management team, which is represented by Mr. Bharat Kumar Vageria , Managing Director; Mr. Raghupathy Thyagarajan , Founder Member and Whole -Time Director; Mr. Naveen Jain, Whole -Time Director, Technical.

Mr. Vishal Anil Jain, Non -Executive Director; Mr. Sandip Modi, Senior VP, Accounts and Corporate Planning; Mr. Hemant Soni , VP Legal and Corporat e Affairs and Mr. Himanshu Upadhyay , Senior Manager, Finance and Investor Relations. Without further delays, I hand over the call to Mr. Raghupathy Thyagarajan for his opening remarks, post which we open the floor for questions session. Thank you, and over to you, sir.

Raghupathy Thyagarajan : Good afternoon, esteemed investors, respected members of the Board, valued stakeholders, and thank you, Mr. Abhijeet, for the gracious introduction. It is a privilege to address you today as we present our financial an d operational performance for FY '26 and share our outlook for the coming year FY '27.

Update on the current geopolitical situation. We continue to closely monitor the evolving global situation, including the ongoing West - Asia conflict and other geopolitical uncertainty. Despite

the tensed geopolitical environment caused by tensions in West Asia and the Russia -Ukraine war, the company has successfully delivered its projected performance for the year FY '26, and this momentum is expected to continue going forward.

In Q4 FY '26, polymer prices witnessed a sharp increase. However, given that 92% of our business operates under a B2B model, with industrial customers, price revisions are implemented through mutually agreed monthly or quarterly mechanisms. This enables us to effectively pass on cost increases and maintain the stability of our absolute EBITDA. Our CNG composite cascade segment emerged as a key growth driver during the year, delivering an impressive 22% growth and making a significant contribution to overall business performance, supported by sustained demand across our broader composite portfolio. Most
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importantly, our profit after tax registered a strong 21% growth and underscoring our continued focus on operational excellence, capacity optimization.

Cost efficiency and prudent financial management; our disciplined approach towards controlling finance costs and improving operational leverage continues to strengthen profitability and shareholder value creation. We remain highly optimistic about the opportunities ahead, particularly in the composite product segment, where demand momentum continues to be exceptionally encouraging.

This is reflected on a robust order booking of approximately

INR195 crores. In parallel, our value -added product portfolio, including IBCs and composite products, continues to witness healthy market acceptance and sustained growth. Our Industrial Packaging division has also maintained steady and consistent performance across markets.

Further reinforcing our growth visibility, we are pleased to announce confirmed packaging orders of approximately INR400 crores for the current calendar year, spanning both domestic and international markets. These achievements reaffirm the strength of our diversified business portfolio, the scalability of our operations and the strategic directions we have pursued over the years.

As industries globally transition towards cleaner, safer and more sustainable energy and packaging solutions, we believe our company is exceptionally well positioned to capitalize on these structural growth opportunities. Looking ahead to FY '27 and beyond, we remain committed to accelerating sustainable growth, enhancing operational efficiencies, expanding our innovation -led product portfolio and delivering long -term value for all our stakeholders.

With this, let's now move to the detailed review of our financial and operational highlights for the year. I invite you all to join us as we take you through the key performance insights and strategic development shaping our future growth. During FY '26, on a consolidated basis, an all -time high revenue, EBITDA and PAT level has been achieved.

I would say that it is a lifetime high revenue EBITDA and PAT. Key highlights for the FY 26 compared with the corresponding previous year are as follows: net sales, INR6,114 crores as against INR5,462 crores last year. EBITDA INR901 crores as against INR790 crores last year. Profit after tax INR469 crores as against INR388 crores last year.

Net sales has increased by 12%; India, 11% and overseas 13%. Volume increased by 13.5%; India 13% and overseas 15%, EBITDA increased by 14%, and PAT increased by 21%. In FY '26, our EBITDA margins improved to 14.7%, up from 14.5%, reflecting a 20 basis point increase.

During Q4 FY '26, on a consolidated basis, we have achieved the highest ever quarterly performance as well. Key highlights of Q4 FY '26 compared to the corresponding period previous year are as follows: net sales INR1,682 crores as against INR1,471 crores last year. EBITDA of INR246 crores as against INR216 crores; profit after tax, INR132 crores as against INR110 crores last year.

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Net sales has increased by 14%; India, 16% and overseas 12%, Volume has increased by 13%; India 14% and overseas 11%. EBITDA increases by 14%, and PAT has increased by 20%. I'm also pleased to share that our overseas subsidiaries have delivered robust performance both in Q4 and throughout the full fiscal year despite the global uncertainties.

Share of business established products versus value -added products. In FY '26, value -added products recorded a strong growth of 18% compared to the previous year, while our established product lines grew by 10%. Notably, the contribution of value -added products to total sales

increased to 29%, up from 27%, reflecting our continued focus on innovation and higher -margin offerings.

Share of India and overseas business in FY '26 was 65% to 35%. Last year, it was 66% to 34%. EBITDA margins in India and overseas are 14.9% and 14.4%, respectively. PAT margins in India and overseas are 7.4% and 8.2%, respectively. Net cash from operating activities in the year FY '26 stood at INR156 crores. Debt net of cash in FY '26 was reduced by INR409 crores. Total capex incurred during FY '26 was INR370 crore s, which includes INR198 crores towards regular and maintenance, capacity expansion, reengineering and automation for established products and INR172 crores towards value -added products that is IBC and composite cylinders. I would like to now draw yo

ur attention to a couple of interesting developments with -- the year has seen. We have already shared these all in our earnings presentation . But however, I just touched upon them. Dividend, the Board has recommended final dividend this year of 150% per equity share of face value INR1.

The company has been paying dividend consistently for the last 30 years and has increased the dividend payout in this year to 15.8% as compared to 14.6% last year. Sale of non -core assets continues as a part of our consolidation and automated initiatives. The company has identified total non -core assets worth INR134 crores for disposal with a target realization over the next 18 to 24 months.

Focus on improving ROCE. FY '26 ROCE is 18.9% versus 20% target, reflecting short -term impact of QIP -led automation investments targeting 1.5% to 2% annual improvement, driven by automation and re -engineering of machinery. We remain committed to becoming debt -free. As per our internal calculations, we are estimating a time line in the next 12 to 18 months.

There are other acquisition updates which have also been communicated. Regarding Ebullient Packaging Private Limited and S ystoverse Private Limited as well. If there are any questions, we'll be quite pleased to answer them. Consolidation of products and manufacturing units, the company has made a decision to consolidate its products and manufacturing units.

This includes brownfield expansion and adding new units in India and overseas which will better align with evolving market demands. Green energy, the conversion of electricity units consumed to solar power continues. The company is committed to transitioning 75% of its pow er consumption to green energy over the next 2 years through its partnership with solar power producers.

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Power purchase agreements across Karnataka, Tamil Nadu, Gujarat and West Bengal have already started generating annualized benefits of about INR11 crores, with additional benefits from Maharashtra and Uttarakhand expected from quarter 3 FY '27, The payback period on these equity investments is close to about a year.

Update on LPG cylinders. The company has been manufacturing LPG cylinders for over a decade. It currently has 32.68 crore s active LPG connections and about 50 crores cylinders in circulation. Th is is the current numbers for the Indian market. The company has a wide range of cylinders from 5 kg to about 22 kgs.

Since 2022, company has been supplying cylinders to the government of India owned companies. Following a strong response 10 gas cylinder size, the company has been working towards 14.2 kg, which has already been finalized and accepted by the OMC. Because o f the ongoing shortages in terms of the LP market -- LPG availability due to the Iran Iraq war -- sorry, Iran U.S. war, there is a slight pause with regard to the launch of these new sizes as 14.2 kg. But it is quite pertinent to note that the 10 kg sales continues to improve because the government is also able to see that there is a 40% saving in terms of the gas that gets distributed among its consumers. Considering geopolitical uncertainties Board has committed pursuing joint venture tie-ups with private gas distributors to establish an indep endent LPG distribution network.

While continuing discussions with government authorities for app roval and tenders. There are other product updates as well for the year FY '26 on hydrogen cylinders, fire extinguisher, air receiver tank and OPZ battery for the power sector. Products which are under development includes higher capacity cylinders for CNG and hydrogen and t he LPG, as I just mentioned. There are similar updates on other products such as the higher -capacity cylinders for CNG, higher -capacity cylinders for hydrogen. There are newer sizes being developed for which the respective PESO approvals are being pursued as per t

he demands that are being experienced from the market.

Power Build Batteries have launched the OPz batteries for the power sector. We have received the CPRI certification for these new tubular batteries in transparent SAN containers, covering

different capacity. These flooded lead acid batteries offer long service life, reliable float performance and durability, making them suitable for infrastructure-grade applications. Power Build batteries and Monbat AD, Europe. Power Build Batteries have entered a multiyear exclusive agreement with Bulgaria's Monbat to supply advanced VRLA stationary batteries in India, targeting the fast-growing data center, IT, BFSI and other critical sectors by combining Monbat's technology with Power Build manufacturing and service network.

Fire extinguishers. The company has developed 2 sizes, namely 6 and 9 kg composite fire extinguishers that are significantly lighter, corrosion resistance and offer enhanced safety. We are engaging with suppliers and distributors to bring this product to the market. The initial target segment would be the oil OMC or oil refineries, which collectively require approximately about 800,000 fire extinguishers annually.

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Project-related updates, Greenfield composite projects. This project is being located at Morai near Vapi, Gujarat. We have set up a fully automated CNG plant at Morai with a total capacity of 1,080 cascades. The plant will consolidate the existing 480 cascade capacity at Daman facility, along with additional 600 cascades being added to the same location.

The plant has been commissioned after successful completion of trials, cost savings, availability of expert manpower at 1 location, improved capacity utilization and freed up space at Daman for future expansion. Greenfield recycling plant. Time Ecotech Private Limited. It's a wholly owned subsidiary of Time Technoplast has been formed at a location at Bhilad in Gujarat, where we have completed setting up a fully automatic Greenfield recycling plant at Bhilad in line with the PCR compliance and the QIP fund utilization plan.

This will be the first of the 3 planned recycling facilities across India with an annual capacity of 12,000 metric tons for captive consumption, catering to the Western region. With the PCR compliance requirements and the recycling requirement that have been given by the pollution control boards, having our own captive recycling generation plant would be of tremendous importance to the company.

The plant has been commissioned after successful trials that have been completed. The benefits that it offers are it strengthens backward integration, ensure steady supply of recycled raw material for captive use, supports the regulatory compliance under PCR norms and enhances long-term cost efficiency.

Brownfield Automated IBC Facility at Silvassa -Phase 1. We have completed a fully automatic brownfield expansion of Silvassa to manufacture IBC cage lines. This facility will have an annual capacity of 150,000 IBCs. Phase 2 work has started and is expected to be completed by the end of '26, '27. Capacity post completion of Phase 2 will be 300,000 IBCs per annum. Phase 1 is completed and production has already started. This enhances manufacturing capacity, strengthens our presence in the industrial packaging segment, improving supply reliability for customers and support future revenue growth. On the polythene pipes, at our facility at Gummidipoondi, we have completed a Brownfield expansion to enhance manufacturing efficiency and address space constraints.

A second shed has been developed on the same land parcel to create a dedicated pipe manufacturing unit, while the existing shed continues to focus on packaging products. The plant has also been commissioned after successful -- has been commissioned after successful completion of requisite trials. The commercial

activity from the plant has also begun.

This improves operational segregation, enhance throughput, optimizes space utilization and provide scalability to support future growth. Regarding our overseas capacity developments, at USA in the state of Georgia, our fifth plant in the region of U.S. operate, this has been brought operational since May 2025.

It features a fully automatic IBC manufacturing line. We are expanding the facility additionally to put over 1 more IBC line, along with a drum manufacturing line as well to further strengthen

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our presence in the region and enhance the basket offerings. The expansion activities are completed.

It enhances production capacity, broadens product offerings in the U.S. market, improves customer service levels with no impact on tariffs due to local manufacturing. This would be probably the -- this would be the largest factory in the states of U.S. when we compare the other 4 facilities that are already in operation.

Projects that are being completed in FY '27 covers our units for PE pipes in Sanand Guj arat, Packaging & PE pipes in Cuttack, Odisha, for Packaging Products at Chiplun, Maharashtra, for Recycling of Polymer products, additional units are being planned at North and South India and for Packaging Products, additional plants that are coming in p lace is in Saudi, Dammam region. The growth drivers for the company continues to be the packaging products, which is about 11% to 13%; composite products with 25% to 30%; PE pipes 20% to 25%; and other products, namely MOX films Auto Products and Turf et cetera, were 10% to 12%. We operate on a B2B model serving industries like specialty chemicals, FMCG and pharmaceutical with long -term industry relationships on a mutually agreed pricing formula enabling us to maintain our EBITDA.

Volume growth on a consolidated basis is targeted at 15% per annum. Revenue growth might differ based on key input prices as polymer is a derivative of oil and gas. EBITDA growth drivers, increased in efficiency, consolidating more than machinery into centralized high - efficiency pro duction system to reduce cost, maximize asset utilization.

This will benefit in increasing ROCE and EBITDA margin levels of the company. Consolidation of products and unit streamlining products and consolidating units to enhance operational efficiency and reduce overhead costs, lowering manpower costs to strategic work for optimization and process reengineering to eliminate redundancies and improve productivity and automation for cost reduction.

Reducing energy expenses through the adoption of green energy , solar solutions and implementation of long -term power purchase agreements, decreasing finance cost by reducing overall debt through QIP proceeds and strong internal cash flow generation, divesting non -core assets to redeploy capital into higher -margin va lue-added products that strengthen profitability. I would like to open the floor to answer specific questions as may be. Thank you.

Moderator: Thank you. We will now begin the question and answer session. The first question is from the line of Prakash Kapa dia from Kapadia Finance Service. Please go ahead.

Prakash Kapadia : So a couple of questions from my end. Last many years, we've seen margins being in the band of 13% to 15%. You seem pretty confident of maintaining or even expanding that. You obviously talked about some of the newer initiatives in the PPT and on the openi ng remarks also . So directionally, is it possible to grow it 20% -plus PAT growth over the next 2, 3 years? And what kind of value -added product share can we expect in the next 2, 3 years? And what are we trying to grow that from the current 29%?

Bharat Kumar Vageria : Anything further or two things only?

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Prakash Kapadia : And lastly, Bharat b

hai, on cash flow this time, second half, we've seen very poor operating cash flow in the business. So we've seen a lot of buildup in inventories, receivable, other assets because historically, we've always grown and we've seen very goo d conversion of EBITDA to operating cash flow. But this time around, cash flow has actually decreased substantially in this financial year. So when will that normalize? Is it one -off? Is it war? Is it anticipation of supply chain disruptio n, order book?

Bharat Kumar Vageria : I think you raised a good question number one. You asked about the PAT growth, which is when the revenue growth and volume growth is around 15%. We are considering the price level of the current, which is ongoing in the month of March or April. On that, we have taken the volume growth is 15%.

As my colleague director has mentioned, revenue growth, maybe depending on the oil prices and the other day. revenue. But one thing I can commit, you have seen the initial remark th at we have mentioned the absolute EBITDA per ton basis is not going to be reduced. because when we have a 92% business B2B.

So EBITDA margin maybe we don't see the percentage in terms of the absolute figure, you will find that the 15% volume growth, then definitely, EBITDA growth will be over and about 2% more than that. So percentage -wise EBITDA, maybe less or maybe up. But absolute figure, it is going to be increased.

And you will find growth in the EBITDA. If growth in my volume growth is, for example, 15%, you will see the EBITDA growth is 17% . PAT growth minimum 21%, may exceed further because as the interest cost is further reduced, okay? Now you are asking about this composite business, which is currently in the range of around almost 22%.

We have said in the last conference call also, in the 3 -years' time, in spite of overall business growth is 15% but the composite product growth will have over 25% because certain new products developed in composite in addition to LPG, CNG, hydrogen, then this is c alled Air Receiver Tank, Fire Extinguisher, so many other products are under development.

So composite products where the margins are higher. So that will increase in the margins are also in the range of around 17%, 18% compared to other legacy product, where is 12% to 13%.

So combined, you have seen in fact, I recall my discussion in the last call also. So there you 20 to 30 basis points higher in terms of the EBITDA.

You recall that last time, for example, 13%, it reached to 14.5%, 14.7%. Now again, because of these war started in February, March so much uncertainty. So we have also increased the prices. So particular quarter March, we will see some of the company required to fund because whatever inventory I was there.

But when I bought the inventory in the month of February and March and the prices have increased. So last quarter, cycle time has also little increased because I need to continue on minimum inventory level to continue the customer service. So we were aware. Even in my last remark also I said when Russia Ukraine going for last 3 years.

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So we have certain inventory for the composite product, which is largely dependent on the overseas market because India -- nobody is manufacturing the inputs which are required for the composite number carbon fiber, for special polymers, some kind of special carbon fiber, glass fiber. So we carried the inventory for 6 months.

Whatever happen, I cannot disturb the supply to my customer. So inventory, yes, but that will be normalized. We have said my 3 years target when my working capital cycle time was 100 days, we said it will going to be next 3 years time, 90 days. So I'm very clear, we are on that line only. But specifically, this March 2026 data is not comparable because the 45 days includes on account of the war, the price has substantially increased by 50% to 60%.

Now better answer inventory -- now you are asking with the regulation time. Yes, you will find by December even I'm considering that war decision may be over in the next 30 to 45 days, whatever may be. But I'm expecting in this year, entire thing before March, it should come regular everything what we have committed.

And again, we have mentioned that we are not revising any guidelines. We are continuing our guidance, whatever been given. Because I'm very clear my international business company, international management has already given. They are not ready to give any guidance because somebody may ask in this West Asia war is ongoing.

Yes, I have 4 locations countries there. Their business well down, but that will be compensated by my other location in U.S.A. and the Southeast Asia. So overall guidance, we are not changing. 15% volume growth, we are keeping -- still continue irrespective of the whatever ongoing situation.

Yes, one segment and other segment will compensate each other. And sure, as many times companies was asking, what your target for the next 5 years, definitely, we have also a target to reach in the next 5 years time more than \$1 billion business. We are continuing. We are not changing anything.

And I think margin improvement, how will come? You know, QIP raised in November only. Now we started investing that we have paid. So now investment will come in this complete -- completion will be due by September. So that result of that automation, consolidation, resulting we are getting some kind of non-core assets, which will be realized. So if overall ROCE will improve by 1.5% to 2% a year.

Margin will also improve. And that margin when the company becomes debt free, definitely payout ratio will also be increased by 1.5% to 2% year-on-year because company required normal capex. After completion of the onetime this QIP investment, automation, re-engineering, consolidation. My normal capex requirement is INR250 crores to INR300 crores. That is adequate for me to brownfield expansion than to take the growth to 15%.

Prakash Kapadia : Right, absolutely. Very, very heartening to hear your and reassuring investors, that's very good Bharat bhai. And then lastly, Bharat bhai, on the composite cylinder tenders, anything from the PSU side, you can share, is it deferred? Is it in pipeline? Anything from the government?

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Because we were doing the prototype that was under approval that was two quarters before. So any updates you have on that?

Bharat Kumar Vageria : My colleague director have said that subsequent to government said, we are ready to send 10 kg cylinders continued supply, but government is doing the around work controlling the oil prices, controlling the diesel, petrol. There still new -- but continue buying 10 kg cylinders. But he has also -- the Board has recommended to go their own gas distribution line for which cylinder required we have the ready cylinders available. So we are also looking -- exploring the

possibility to go for the retail market, along with the gas filling station directly also. So we're looking for the JV or our own, we will go, and we will submit in the next, I think next quarter conference call, where we stand in that matter.

Moderator: The next question is from the line of Karan from Guardian Capital Partners.

Karan: So my first question is HDPE polymer prices have moved up sharply after the West Asia crisis. So I want to understand what percentage of this increase has already been passed on to customers? And are you seeing any sort of volume deferment or slowdown of demand because of higher prices?

Bharat Kumar Vageria : Yes. Number one, Yes. Next?

Karan: Sir, second question is on what kind of utilization ramp -up should we expect in the new composite CNG plant of 1,080 unit capacity? And the third question is, I just want to confirm one thing if

our contracts with our clients are based on a fixed EBITDA per ton basis or a fixed percentage margin basis? These are my 3 questions?

Bharat Kumar Vageria : Once you have asked about the price increase. You know till January and February, very little price increase was there. In the -- particularly in the month of March, price increases are almost 50%. If for example, the polymer prices were INR100, it went up to INR150. But now there is some slowdown in there now is -- average you can say I have as my colleague said, we have some monthly pricing, quarterly pricing.

Certain contract monthly pricing, yes, if you ask me in the month of the March, we're able to get 50% of the increase prices because price increased 4x in a month, we are able to get the price increase by 50%. If price increased by 50%, we're able to get a 25% increase from the customer. Balance of 25% will be recovered in the month of April. In April, if there is higher prices, than we recover in May. So as far as you will see stability if the same thing continues, you will find in the April, May, June quarter result, there is definitely upside of the revenue part. There was a very 30 days effect was there that already accounted in my profitability.

In spite of that, higher margin, higher revenue and high PAT is observed in the Q4. Utilization of new facility. Recently completed as we have committed to complete the composition in the facility in Morai, Vapi everything ready. It is fully imported plant is there now. You know that in composite, we did 2 types of the composite, LPG and CNG, we did a business of INR600 crores.

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Now definitely, INR600 crores, we are estimating this year business of more than INR750 crores. It is almost more than 25% growth we are projecting. But yes, we are sure in the next 3 months time, next 2 years time, we'll have to see further expansion because some of the new composite product development, which is hydrogen cylinder is just with this plant, we can -- very small quantity, we can manufacture.

So we are watching very clearly, we are understanding the customer requirement for the hydrogen cylinder, for the power project, for the gas project, for the automotive sector. Another thing until I can say the March 2026, our CNG cylinder, we are not selling, we were selling as a complete set.

But now when the capacity is ready now, we can offer to the automotive sector cylinders separately. Every automotive OEM, they will start talking to them. But yes, in the next 6 to 8 months' time, visibility is there, how much -- because we have to develop their capacity. We have to develop the tool based on their retail capacity.

CNG for cascade is a standard 156 liter. Then we have started now 250 and 350 under process. We will update market as we get the approval from the authority. If you -- I use 156-liter CNG cylinder in my cascade, I need 60 cascade -- 60 cylinders in 1 cascade. Then I will use 250, it will reduce to 36 or something. Then if I will go back to 350 liters, it will go to.

So my capacity is number of significantly more. So remaining capacity, I can use manufacturer automotive cylinder, and we can supply to the them. As far as -- currently, I'm getting the benefit of selling entire cascade at percentage EBITDA. Therefore, we are selling it. Then another thing, other composite products also under development, as we have mentioned, already done.

Fire Extinguisher we have done that, Air Receiver Tank we have done a very big market in automotive sector. So we will update market as the business is there. Now yes, some of the tenders are under discussion, finalization, we will update to the market as and when it's finalized and agreed with the customer, right? Yes.

Raghupathy Thyagarajan : Very specifically addressing the concern questions that have raised, yes, to a very large extent or to a com

plete extent, whatever is the increase in the polymer prices, it is passed on to the user on a 100% basis. Maybe there is a lag, as Bharat was explaining, maybe about 15 days, 30 days

or of quarter. But definitely, these are all passed on to the customers on a 100 -plus basis. .
Our understanding with the customer, the refore, would be that while they reimburse you the ups and downs of the polymer prices, the value addition or the margins or the EBITDA, they continue to be fixed. So your contract is always ensuring that your margins are not really disturbed.

Bharat Kumar Vageria ; Absolute EBITDA will be same. .

Moderator: The next question is from the line of Bhagwat from Prosperity Wea lth Management Private Limited.

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Bhagwat: My question regarding the borrowing. As of 31st March, your company's borrowing stood at INR640 crores. Could you please provide an update on the utilization of the QIP proceeds towards the debt repayment? And what is the expected finance cost for FY '27 following the debt repayment?

Bharat Kumar Vageria : I think QIP updated -- my compliance department have already submitted separately to BSE and already given what funds were, where were they are very utilized, what are the remaining funds that are reflected. But now as far as we are talking, the main QIP portion, which was for the payment of the debt have been completed immediately as banks has agreed, and we will repay to them. And second, you have asked for -- what's second?

Bhagwat: Finance cost for FY '27.

Bharat Kumar Vageria : Finance costs, which you have seen in the -- this definitely, we are estimating after utilization of QIP fund and after utilization of the asset listing, this year, finance cost were INR30 crores. But as I mentioned in my last call also, even after the debt -free company, there will be the minimum finance cost of INR25 crores to INR30 crores will continue on account of the non -funding facility, which includes -- because composite products.

We need to give the guarantees, customer, government companies, many semi government companies, we need to provide the guarantee of the products where I need to give the bank guarantee. Another thing, import documents, export document, some finance expenses will be there for the charges th is thing. So minimum, I think it is going to be a continuation of the finance cost will be there to INR35 crores to INR40 crores will continue. And remaining will come by after-tax profit, and it will continue.

Bhagwat: Okay. And currently, what is the borrowing right now after the debt repayment?

Bharat Kumar Vageria : I think that is mentioned there. My colleague has mentioned also in the balance sheet also mentioned that what is the current borrowing is there. .

Bhagwat: As of March 31, it seems like the QIP debt repayment has not factored in. So is this post March that has been factored into the debt?

Bharat Kumar Vageria : Yes, yes, yes. As I mentioned, I mentioned already, net of the debt reduced by INR409 crores, that have been reduced already. But net of the everything today, borrowing is only 60 crores. Because certain units, they have a surplus funds. I'm considering a net of everything is INR60 crores only.

Moderator: The next question is from the line of Sahil Garg from CCV Fund.

Sahil Garg : Sir, ma y now what was the revenue contribution from the value -added products in FY '26?

Bharat Kumar Vageria : Value -added product contribution in FY '26 is INR1,741 crores. INR1,741 crores .

Sahil Garg: That is close to 29%, right? 28.5%.

Bharat Kumar Vageria : 29%. Yes.

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Sahil Garg: And last year, it was close to 26%, %25-odd.

Bharat Kumar Vageria : It was INR1,476 crores. 27%.

Sahil Garg: Right. So sir, when we have like any are saying that our overall contribution from the VAP is inc

reasing year -on-year basis. But if we talk about the margins during last 5, 6, 8 quarters, it remains same at 13% to 14% or 15%. .So when we can see the margin s to get improved if we are adding value -added products more into our overall business?

Bharat Kumar Vageria : Of course, it's visible be cause you are looking at the percentage, I'm looking at the EBITDA margin. You see the higher -- because percentage maybe the revenue ups and down because of the input cost. But you see the absolute figure, definitely the absolute figure, the margins have improved with our margin is higher we are talking about the last year percentage EB ITDA margin, composite product.

Whenever we'll do costing best around 17% to 18% EBITDA margin. Other products, we do

legacy product, which is already there for a number of the years, more than 20 years, 25 years, 30 years, there we keep the EBITDA margin in the range of 12% to 13%. But as I mentioned, don't see the percentage, see the absolute figure in EBITDA, absolute figure in terms of the PAT because percentage is dependent on the input cost of everything.

Now I tell you today dollar is INR95. 1 year back, it was maybe around INR85. So when INR85 dollar, maybe the EBITDA margin was 15%. -- and the 95 may EBITDA margin 15% go back to 13%. But absolute figure, you will see there is an increase because I do the 92% business with the institutions and this business.

The price increase or decrease, we have to pass on them. And if to maintain my EBITDA margin or EBITDA in absolute terms. I will -- we are doing reverse engineering. You have seen automation, power cost savings. So that will give me the additional benefit who will improve my ROCE and the PAT margin.

In our kind of a business, which is oil and gas derivative product in the current scenario, we have seen in the last 2, 3 years, there are not only much changes. But because of this war situation, current change have been taken place. So see the absolute terms were bigger. And you will see, you got that EBITDA, EBITDA in terms of the absolute figure quarter-on-quarter is going to be increased.

Sahil Garg: Okay. No, but absolutely should obviously definitely converting into percentage terms as well, right?

Bharat Kumar Vageria : For example, today raw material prices are \$1,400. Tomorrow, it become \$1,800. So percentage may become 13% to 10%, okay? Because I passed on every increase, but revenue is up. Okay.

But maybe an absolute figure, my EBITDA will increase.

Sahil Garg: Okay. Okay. And what is the current order book spread between Industrial Packaging business and the value-added product business, sir?

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Bharat Kumar Vageria : The value-added products are combination of both various CNG, LPG, hydrogen. you mentioned INR400 crores packaging business. Indian overseas order book is already there. And I remember that reading around INR194 crores composite product order is also there. Certain other products, which are under discussion because the prices have increased.

So may be materialize in the next 30 to 40 days, it will be materialized because everybody is watching. For example, if I tell you, pipe business, I have order book of INR260 crores. But now I don't want to supply at this price because prices have increased. So government should revise the prices to the EPC contractor, then if they will revise, I will start supplying. I'm not going to supply into older prices which the government has finalized to the EPC contractor. So if you ask me the -- across the segment in India, we may order booking of more than INR900 crores.

Sahil Garg: And specifically for this Type 4 composite hydrogen cylinder, sir, I mean I know that we got first order of approximately INR2 crores, INR2.5 crores, the trial order from Navratna PSU. So any further progress?

Bharat Kumar Vageria : That already supplied. -- is under

their testing. Couple of projects which are under discussion.

And as the outcome will come -- because certain R&D with the government, with the other company, Navratna, they all will have to do. In the trial -- after getting a trial, they will wait for 2 or 3 months, get the upon, then they will come back and then we'll talk about that.

And time to time, I will advise what kind of this thing. But the overall business prospect, composite product, which we did LPG CNG INR800 crores last year, definitely, we expect a growth of more than 25%, which is -- because completed the composite new line completely and whatever other capacity or automation required that we are doing it.

So definitely -- therefore, we are projecting growth of over 20% in composite products. And to meet our guidance, we have developed other many composite product we have already expanded in our earnings presentation. And during this call, also my partners told you like Fire Extinguisher, many composite product we are under developing.

Sahil Garg: Okay. Sir, just last question. So I understand that you are not giving any revenue guidance and you have given the volume guidance of 15% because there is still uncertainty about the raw material prices. So keeping the raw material prices constant what they are today, can you give us just ballpark number, like what could be the revenue numbers for FY '27, just a range maybe?

Bharat Kumar Vageria : That's the figure Okay. If you take the volume growth of 15%, right? Now if the current prices continue for whole of the year, then revenue growth, maybe 40%.

Sahil Garg: 40%.

Bharat Kumar Vageria : Because 50% prices increase, 15% volume growth already taken in revenue, but a 25% difference today between that 40% price increases. So overall, you can take a revenue growth of 40%. But you know this -- But again, one thing I -- One thing, you know, yes, you have asked first thing whether volume growth is going to be down or what, of course, if somebody where

you are present, for example, till February.
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You are supplying the product at INR125 a kg, today somebody to ask, I want 170 a kg. So there will be a pause. There will be a reduction in the requirement of growth, as I mentioned to you, in HDPE pipe business. Definitely, the growth will be there. Till government gives the increase, then no EPC contractor will put the loss in their money and they do.

They've asked government to keep the extension of the contract period. No, there should not be any charges for the late delivery and completion of the project. This government is also considering because government cannot afford any, in fact, at the cost increase by 50% or something.

Raghupathy Thyagarajan : But on the other hand, you have also known that because of the LPG shortage situation, government has advised that CNG pipeline should be increased so that they can replace the LPG demand. So there are avenues of growth that are also coming up in these difficult situations also.

So overall, that is how we are reflecting a growth position.

Sahil Garg: But overall, if we are able to pass on the price increase in the price of raw materials I mean, it is good for us because we are able to command higher profits and higher margins in that?

Bharat Kumar Vageria : Of course, no doubt. Because no down side because we are very clear. Therefore, we have selected the industry business now. We are not in consumer products.

Moderator: The next question is from the line of Aditya Sahu from 3P Investment Managers Limited.

Aditya Sahu : Bharat, this was like a follow-up on the borrowings question that someone asked. Like if you look at the cash flow and in the section of increase, decrease of debt, we can only see of INR71 million, like there was -- should be around like more than INR400 crores because they've already paid debt of INR400 crores,

right? Like how has been accounted or have we taken another loan after the repayment of the earlier? I just wanted some clarity on that.

Bharat Kumar Vageria : No. As you see, the total borrowing, which is as per the balance sheet is how much INR639 crores. As against because you know the certain things which is identified by QIP, I was required to give for the deposit. I cannot use that fund for my other purpose because the capex expenditure, which is incurred already, that is from the internal accrual.

Number two, the INR800 crore s QIP fund which we raised, which is repayment to the bank to the INR400 crores, which was identified at the time a bank, which has a higher cost, it is to be repaid first. Then if any new borrowings required, I will take from the new bank but at the lower cost.

Whatever balance QIP fund I was required to give as for the separate the institution was appointed to monitor -- so I have a given deposit amount, that expenditure will be incurred in the current year. Therefore, you have seen the net borrowing, if you ask me any bank deposit and fixed deposit, everything, only INR60 crores.

So that big deposit, I will use in the current year for my balance QIP expenditure because I cannot change without permission of the shareholders and everything. If any need be, I will bring to the Board in the next AGM, I need the shareholder approvals also that are coming the next

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AGM. If any QIP fund left further, then I will leave for the other purpose. I cannot change the object of the QIP.

Moderator: The next question is from the line of Saket Kapoor from Kapoor and Companies.

Saket Kapoor: Only to have a further understanding as you were replying to the earlier participant. When we are looking at the closing balance, our noncurrent liability, that is the long-term borrowing stands at INR149 crores, whereas our current liability stands at INR490 crores. So this is after the repayment exercise of INR400 crores, that was earmarked for the repayment of outstanding borrowings?

Bharat Kumar Vageria : Yes, of course. Yes.

Saket Kapoor: Okay, So this is the closing balance post the payment to our borrowers?

Bharat Kumar Vageria : Yes, yes.

Saket Kapoor: Sir, in your presentation, you have also mentioned about our acquisition of Ebullient Packaging sir. If you could just throw some light on how that is now -- what steps have we taken to sweat that asset and what is the roadmap for future and how are we going to derive?

Bharat Kumar Vageria : I will tell you. You know very well, everything was online, everything. And then we could have to take the decision. I presented my Board that this decision report, which is received up to the evident, which is report the March '26. My Board has suggested there is a current situation of

the ongoing war, war Asia.

Prices have increased substantially. So let us study that situation normalized, then see what is the 3 to 4 months or 6 -month revenue is there, how they are able to sustain EBITDA. Put up again to the board, then we'll take forward with them because we can't get that exactly apple-to-apple comparison of the whole year in the current situation.

And at the same time, you know how many months are going to be continued, how they are doing business in April, May, June that I will come to know when the bridge is over and I appreciate my Board decision because situation is uncertain, first thing whatever business we have, what our production that we should continue in the present scenario.

So -- and board is the right into giving this time to take decision because there's a larger investment, investment of more than INR150 crores for the acquisition of Ebulient Yes. So -- and there is a product you already know . This is the flexible IBC . So that's -- we will -- again, we will update into my next -- till the situation normalized and my

next conference call.

Another is the Systoverse Private limited. That is in any case, my small investment that in my existing line of the business, I have no presence in the Maharashtra Pipe e business. So I thought it is small investment including the cost of the equipment and everything, INR125 crores. And that I will give immediate benefit to the my company because that company is presenting the Maharashtra in place called Dhule. Current all near pipe manufacturing place in Silvassa.

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I have a certain contract in the Maharashtra. So I can execute that contract from a nearby location. And you know pipe is a voluminous product, if I'm supply manufacturing in Ebulient I will save that my transportation cost itself. Second, this company is already registered. They are having certain BIS. They are having some income tax, GST benefit, that also company. So we are doing investment, buying up the equity or something 76%, my board has straight told, yes, if it's existing product, small investment, we are getting immediately payback period is very less, less than 2 years, I'm recovering whatever money I'm investing. So they have given with a clean approval. So we'll go for the share purchase agreement, other due diligence process, and we'll complete that acquisition because board decide what is the size of the investment requirement on that they give us the approval.

Saket Kapoor: Yes. So as of now the Ebulient Packaging is not consolidated with our numbers as on 31st March?

Bharat Kumar Vageria : No without payment how will I do. I have not given the money.

Saket Kapoor: Okay. So we have not closed the transaction as of now?

Bharat Kumar Vageria : No. Wait and watch. It's wait and watch till the situation normalize.

Saket Kapoor: Okay. And we are paying INR125 crores and then we will own some debt also. Is it INR125 crores the enterprise value or the amount.

Bharat Kumar Vageria : I'll tell you this way. For 76% equity, INR150 crores, okay? So you take the 100% enterprise value INR200 crore s debt free cash free company.

Saket Kapoor: And second question is, sir, pertaining to the vagaries of the market currently as you have said that RM cost have increased significantly, how are we already two -third into the quarter, so how well are our assets currently sitting for the ensuing quarters and how is this quarter business environment or setup is there? If you could throw some light?

Bharat Kumar Vageria : You know very well. Running quarter 2 months has already been completed I can't comment it now. As I mentioned in my comments, I'm not compromising on any of guidance. We will commit it to quarterly growth, and that definitely will continue in terms of the revenue and volume, both will be the plus side only. And you will see EBITDA margin also positive.

Saket Kapoor: Okay, sir. I will join the queue. Thank you.

Moderator: Thank you. Due to time constraint, we take this as a last question. I now hand the conference over to Mr. Raghupathy for closing comments. Over to you, sir.

Raghupathy Thyagarajan : Thank you very much. If any, my investor because of the shortage of time, he could not ask questions, he is free he can send mail and he can come personally visit to the office. And further my request, if any investor would like to see my visit of the plant, which have been completed in '26,'27, especially the CNG composite product in Vapi, fully automatic plant.

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In Silvassa , they are free, they can give their advance name and schedule, we will organized for the visit. Once again, thank you very much to listening company. Understand as, again, in last comment, we are not changing any guidance. We are going to fulfil our commitment for ROCE,

for margin, EBITDA. There is no change in any guidance margin in this t

hing. Thank you very

much to all my valued investors and the organizer this call.

Moderator: Thank you, sir. On behalf of Kaviraj Securities, that concludes t his conference. Thank you for joining us. You may now disconnect your lines.